

cc: OS
OCC
BZG
Ry



ORIGINAL

**BEFORE THE
FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

FILED

MAY 2-2018

Federal Maritime Commission
Office of the Secretary

DOCKET NO. 12-02

MAHER TERMINALS, LLC

COMPLAINANT,

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT.

**MAHER TERMINALS, LLC'S EXHIBITS IN SUPPORT OF
MOTION FOR PAGE LIMITATION RELIEF AND
SECOND MOTION TO COMPEL DISCOVERY FROM
RESPONDENT PORT AUTHORITY OF NEW YORK AND NEW JERSEY**

EXHIBIT LIST

EXHIBIT No.	DATE	DESCRIPTION
1	03/30/2012	Complainant's First Request for Production of Documents from the Port Authority of New York and New Jersey
2	03/30/2012	Complainant's First Set of Interrogatories Propounded on the Port Authority of New York and New Jersey
3	05/07/2012	The Port Authority of New York and New Jersey's Objections and Responses to the Complainant's First Request for Production of Documents
4	05/07/2012	The Port Authority of New York and New Jersey's Objection and Responses to Complainant's First Set of Interrogatories
5	07/12/2012	The Port Authority of New York and New Jersey's Amended and Supplemental Objections and Responses to Complainant's First Set of Interrogatories
6	02/16/2016	Complainant's Revised First Request for Production of Documents from the Port Authority of New York and New Jersey
7	02/16/2016	Complainant's Revised First Set of Interrogatories Propounded on the Port of New York and New Jersey
8	03/17/2016	The Port Authority of New York and New Jersey's Objections and Responses to the Complainant's First Revised Request for Production of Documents
9	03/17/2016	The Port Authority of New York and New Jersey's Objections and Responses to the Complainant's Revised First Set of Interrogatories
10	03/31/2016	Letter from B Gardner to J Friedman re Deficiency Letter
11	05/02/2016	Declaration of Bryant E. Gardner
12	04/14/2016	Email from L. Kiern to J Friedmann
13	04/18/2016	Email from J Friedman to L Kiern
14	04/19/2016	Email from L. Kiern to J Friedman
15	04/20/2016	Email from J Friedmann to L. Kiern
16	07/23/2010	Mem. and Order on Discovery Mot., Dkt. 08-03
17	01/18/2012	Mem. and Order on Second Set of Discovery Mot., Dkt. 08-03
18	04/28/2016	Declaration of Rand K. Brothers

EXHIBIT No.	DATE	DESCRIPTION
19	07/27/2012	Maher's Supp Resp to the Port Authority's Interrogatories.
20	02/23/2011	Memo from W Baroni to D Samson re Agreed-to PNCT Lease Terms

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 12-__

MAHER TERMINALS, LLC

COMPLAINANT

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**COMPLAINANT'S FIRST REQUEST
FOR PRODUCTION OF DOCUMENTS
FROM THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY**

Complainant, Maher Terminals, LLC ("Maher"), by undersigned counsel, hereby propounds the following Requests for Production of Documents (these "Requests") upon Respondent The Port Authority of New York and New Jersey ("PANYNJ") PANYNJ shall produce the documents requested and otherwise respond to these requests separately, fully and in writing within 30 days unless otherwise agreed by the parties in accordance with the schedule to be developed pursuant to Rule 201 of the Federal Maritime Commission ("FMC") Rules of Practice and Procedure (the "Rules"), and thereafter supplement such responses as and when required by the Rules, to be updated through the date of hearing.

RECEIVED

26 MAR 30 PM 15

OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

INSTRUCTIONS

1 If you object to any Request or part thereof on the claim of privilege, you must nevertheless provide the following information pursuant to Federal Rule of Civil Procedure 26(b)(5)

- a. the nature of the privilege claimed (including work product),
- b if the privilege is being asserted in connection with a claim or defense governed by State law, the privilege rule being invoked,
- c the date of the document or oral communication,
- d. if a document: its type (correspondence, memorandum, facsimile etc.), custodian, location, and such other information sufficient to identify the document for a subpoena *duces tecum* or a document request, including where appropriate the author, the addressee, and, if not apparent, the relationship between the author and addressee,
- e. if an oral communication the place where it was made, the names of the persons present while it was made, and, if not apparent, the relationship of the persons present to the declarant; and
- f the general subject matter of the document or oral communication.

2 You are under a continuous obligation to supplement your answers to these Requests under the circumstances specified in Rule 201(j)(2)

3 To the extent that you consider any of the Requests objectionable, answer so much of each Request and each part thereof as is not objectionable in your view and separately identify that part of thereof as to which you raise objection and each ground for each such objection.

4 Where documents in the possession or control of PANYNJ are requested, each Request includes documents not only in PANYNJ's possession, but also documents over which it has

control, including documents in the possession of PANYNJ's contractors, subcontractors, agents, representatives, experts and, unless privileged, PANYNJ's attorneys.

5 Unless otherwise specified, the Requests shall be limited to documents prepared or obtained during the period 2005 to the present.

6 All documents shall be produced as they are kept in the usual course of business. Individual files shall be produced separately and labeled to identify the person from whose files it is produced.

7 All documents shall be produced with each page identified by Bates number

8 Electronic data should be produced in the form of a TIF with metadata attached in the same format agreed by the parties in FMC Docket No 08-03 In addition, all electronic data should be preserved in native format without alteration or deletion of data, including metadata.

DEFINITIONS

As used herein, the following definitions apply

"Agent" shall mean any agent, employee, officer, director, attorney, independent contractor, subcontractor, representative, or any other person acting at the direction of or on behalf of another

"Agreement of Lease 248" or "EP-248" shall mean the agreement between PANYNJ and Maersk Container Service Company, Inc. (a/k/a APM Terminals North America, Inc., "APM" or "APMT") dated as of January 6, 2000 and filed with the Federal Maritime Commission ("FMC") as FMC Agreement No 201106

"Agreement of Lease EP-249" or "EP-249" shall mean the agreement between PANYNJ and Maher dated as of October 1, 2000 and filed with the FMC as FMC Agreement No 201131

APM Terminals North America ("APM" or "APMT") is the successor in interest to Maersk Container Service Company, Inc. and is a marine terminal operator that operates a marine terminal in Elizabeth, New Jersey pursuant to a lease agreement with PANYNJ

A.P. Moeller-Maersk A/S ("A.P. Moeller-Maersk") is a company incorporated in Denmark, including any of its affiliates, subsidiaries, or related companies, with which PANYNJ has done business including entering into certain consent agreements and releases pertaining to among other things PNCT, APMT, and the former Sea-Land marine terminal at Elizabeth, New Jersey

"Communication" includes, but is not limited to, correspondence, telephone calls, facsimiles, electronic mail ("e-mail"), and meetings, and records of such communications, including but not limited to transcripts, notes, records, memoranda, and recordings of such communications, in whole or in part.

"Complaint" shall mean separately and/or collectively the Complaint Maher filed in this proceeding.

"Complainant" shall mean Maher

"Date" shall mean the exact date, month and year, if ascertainable or, if not, the best approximation of the date based upon the relationship with other events.

The term "document" means any written or any other tangible thing of every kind and description, however produced or reproduced, whether draft or final, in the actual or constructive possession, custody or control of PANYNJ, original or reproduction, including but not limited to letters, correspondence, notes, films, transcripts, telegrams, teletype messages, contracts and agreements including drafts, proposals, any and all modifications thereof, licenses, notes, transcripts and recordings of telephone conversations or personal conversations, microfilm,

microfiche, books, newspapers, magazines, advertisements, periodicals, bulletins, circulars, pamphlets, statements, notices, memoranda (including inter and intra office memoranda, memoranda for file, pencil or pen jotting, diary entries, desk calendar entries, expense accounts, recorded recollections and any other written form of notation of events thereto, draft minutes, resolutions and agendas), expressions and/or statements of policy, lists of persons attending meetings and conferences, reports, rules, regulations, directions, communications, interoffice communications, reports, financial statements, tax returns, ledgers, books of account, proposals, prospectuses, offers, orders, receipts, analyses, audits, working papers, computations, projections, tabulations, financial records, blueprints, plans, writings, drawings, graphs, charts, photographs, phono-records and other data computations from which information can be obtained (translated, if necessary, into reasonably usable form), invoices, receipts, working papers, desk calendars, appointment books, diaries, time sheets, logs, movies, tapes for visual audio reproduction, recordings, computer tapes and discs, electronic media, reports and/or summaries of investigations, opinions and/or reports of consultants, appraisals, reports and/or summaries of negotiations, proposals, presentations, "e-mail," electronic mail, voice mail or material similar to any of the foregoing, however denominated. The term "document" shall also include all copies of each document if the copies contain any additional writing or are not identical copies of the originals.

Global Terminal & Container Services, LLC ("Global") is a marine terminal operator that operates a marine terminal at Jersey City, New Jersey pursuant to a lease agreement with PANYNJ

Maersk, Inc is a company with which PANYNJ has done business, including but not limited to with respect to APMT and the former Sea-Land marine terminal at Elizabeth, New Jersey

“MSC” shall mean the shipping line Mediterranean Shipping Company and its affiliates.

New York Container Terminal (“NYCT”) is a marine terminal operator that operates a marine terminal in Staten Island, New York pursuant to a lease agreement with PANYNJ, (formerly Howland Hook)

“Person” shall mean any individual, corporation, proprietorship, partnership, trust, association or any other entity

The words “pertain to” or “pertaining to” mean relates to, refers to, contains, concerns, describes, embodies, mentions, constitutes, constituting, supports, corroborates, demonstrates, proves, evinces, shows, refutes, disputes, rebuts controverts or contradicts.

Port Newark Container Terminal (“PNCT”) is a marine terminal operator that operates a marine terminal in Port Newark, New Jersey pursuant to a lease agreement with PANYNJ

“PNCT Restructured Lease Agreement” shall mean PANYNJ’s restructured lease agreement with PNCT announced in PANYNJ’s press release number 34-2011 dated June 14, 2011

The term “proceeding” shall mean this proceeding before the FMC captioned above, and filed on even date herewith, titled *Maier Terminals, LLC v The Port Authority of New York and New Jersey*

The term “third party” or “third parties” refers to individuals or entities that are not a party to this proceeding.

Terminal Investment Ltd. (“TIL”) is a container terminal investment company affiliated with MSC

The words “you,” “yours” and/or “yourselves” means PANYNJ and any Commissioners, directors, the Executive Director, officers, employees, agents, representatives, agents, or other persons acting, or purporting to act, on PANYNJ’s behalf.

The use of the past tense shall include the present tense, and the use of the present tense shall include the past tense, so as to make the request inclusive rather than exclusive.

The singular shall include the plural and vice versa, the terms “and” or “or” shall be both conjunctive and disjunctive; and the term “including” shall mean “including without limitation.”

Unless otherwise defined, all words and phrases used in this Request For Production of Documents shall be accorded their usual meaning as defined in the Merriam-Webster online dictionary, <http://www.merriam-webster.com>.

REQUEST FOR PRODUCTION OF DOCUMENTS

In accordance with the Instructions and Definitions set out above, PANYNJ is hereby requested to identify and produce all of the following documents.

- 1 All documents pertaining to your communications, deliberations, determinations, negotiations, practices, actions, inactions and omissions pertaining to the acts and allegations which are the subject of the Complaint.
2. All of your rules, regulations, procedures, and/or practices pertaining to the allegations of the Complaint.
- 3 All documents pertaining to establishing, observing and enforcing your rules, regulations, procedures, and/or practices that are the subject of the allegations of the Complaint.

(This request is not subject to the time limitation of 2005 to the present generally applicable to the requests.)

- 4 All documents pertaining to the PNCT Restructured Lease Agreement, including, but not limited to, communications, meetings, notes, proposals, term sheets, deliberations, concerns, issues, analyses, models, projections, negotiations, Board recommendations, discussions, resolutions, consents, approvals, summaries, and final agreements, including but not limited to such documents by or between PANYNJ, PNCT, MSC and TIL.
- 5 All documents pertaining to or referring to the movement of MSC cargo from Maher to PNCT on or about October 1, 2009 and the handling of MSC cargo at PNCT or any other PANYNJ marine terminal thereafter
- 6 All documents pertaining to the letting and/or redevelopment of the marine terminal facility which is the subject of the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001), including, but not limited to, communications, meetings, notes, proposals, term sheets, deliberations, concerns, issues, analyses, models, projections, negotiations, Board recommendations, discussions, resolutions, consents, approvals, summaries, documents related to or referenced in the Global Lease.
- 7 All documents pertaining to PANYNJ's alleged refusal to deal with Maher which is the subject of the Complaint concerning the letting and/or redevelopment of the marine terminal facility which is the subject of the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001)

- 8 All documents pertaining to your rules, regulations, practices, and/or procedures for dealing with or refusing to deal with existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001)
- 9 All documents pertaining to your rules, regulations, practices, and/or procedures related to “Qualified Transferees” and existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001)
- 10 All documents pertaining to any PANYNJ practice, policy, substantive standard, or procedure for making “appropriate recommendations for Board consideration and action” or for taking any other action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution “Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests.” (This request is not subject to the time limitation of 2005 to the present generally applicable to the requests.)
- 11 All documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution “Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests,” including, but not limited to, any “report and appropriate recommendations for Board consideration and action,” any documents forming the basis of any such report and recommendations, documents of deliberations,

calculations, models and decisions (including decisions to approve, deny or neither approve nor deny), and documents reflecting requirements or conditions of decisions, including but not limited to any payments and/or the providing of any economic consideration to PANYNJ

(This request is not subject to the time limitation of 2005 to the present generally applicable to the requests, and for the avoidance of doubt, includes marine terminal operator leases with respect to Sealand, Maher, Maersk, Universal Maritime (UMS), Howland Hook and PNCT prior to February 22, 2007)

12. All documents pertaining to any PANYNJ practice, policy, substantive standard or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests."
13. All documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests," including, but not limited to, any reports or recommendation for consideration or action, any documents forming the basis of any such report or recommendations, documents of deliberations, calculations, models and decisions (including decisions to approve, deny or neither approve nor deny), documents reflecting requirements or conditions of decisions, including but not limited to any

payments and/or the providing of any economic consideration to PANYNJ and all “executed agreements and other documents necessary to effectuate a Tenant Facility Change.”

(For the avoidance of doubt, this request includes marine terminal operator leases with respect to PNCT, NYCT, APM, Maher and Global after February 22, 2007)

- 14 All documents pertaining to the regulations, rules, practices, policies, and/or procedures that you observed in establishing and/or implementing any consent or transfer fees policy
- 15 All documents pertaining to any PANYNJ practice, policy or procedure for requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, general releases and/or waivers of claims, including, but not limited to, releasing PANYNJ from potential violations of the Shipping Act.
- 16 All documents pertaining to any PANYNJ practice, policy or procedure for requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, liquidated damages provisions, including any in excess of \$20,000,000 00, and further including, but not limited to, provisions designed to trigger if Shipping Act claims are brought against PANYNJ
- 17 All documents pertaining to any PANYNJ practice, policy or procedure for requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, lease rate renewal and/or extension provisions that establish future lease renewal or extension rates in advance.

- 18 All documents pertaining to PANYNJ's determination to defer APM's construction investment obligations from 2006 to 2017 as alleged in the Complaint, including, but not limited to, any valuation, analysis, or comparison of the deferral granted to APM.
- 19 All documents pertaining to PANYNJ's decision to not provide Maher a comparable deferral of its construction obligations, or other comparable consideration.
- 20 All documents pertaining to PANYNJ's decision to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work, for other purposes, including further expansion of APM's container terminal capacity
- 21 All documents pertaining to PANYNJ's decision to not provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work or otherwise, for other purposes, including further expansion of Maher's container terminal capacity
- 22 All documents pertaining to your rules, regulations, practices, and/or procedures for the granting or denying of deferrals of investment or capital expenditure obligations and/or provision of additional constructing financing for terminal capacity expansion to users of your facilities, including but not limited to marine terminal operators.
- 23 All documents pertaining to whether or not your actions that are the subject of the Complaint in this proceeding violate the Shipping Act.
- 24 The resume, engagement agreement, fee arrangement, invoices, and reports, including information the expert relies upon in forming opinions, of any and all experts or consultants retained by PANYNJ pertaining to the Complaint.

25 All communications, including all documents, from or to PANYNJ, PNCT, NYCT, Global, APMT, Maersk, Inc., A.P. Moeller-Maersk A/S, MSC or TIL pertaining to the subject matter of the Complaint not covered by the foregoing requests.

March 30, 2012

Respectfully submitted,

A handwritten signature in black ink, appearing to read 'L. Kiern', is written over a horizontal line.

Lawrence I. Kiern
Bryant E. Gardner
Gerald A. Morrissey III
Rand. K. Brothers
Winston & Strawn
1700 K Street, N W
Washington, DC 20006-3817
(202) 282-5811
Email - lkiern@winston.com
Email - bgardner@winston.com
Email - gmmorrissey@winston.com
Email - rbrothers@winston.com

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 12-__

MAHER TERMINALS, LLC

COMPLAINANT

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

COMPLAINANT'S FIRST SET OF INTERROGATORIES
PROPOUNDED ON THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

Complainant, Maher Terminals, LLC ("Maher"), by undersigned counsel, hereby propounds the following Interrogatories upon Respondent The Port Authority of New York and New Jersey ("PANYNJ"), pursuant to Rule 205 of the Federal Maritime Commission Rules of Practice and Procedure (the "Rules") PANYNJ shall answer each Interrogatory separately and fully in writing under oath in accordance with the following instructions and definitions, unless it is objected to, in which event the reasons for objection shall be stated in lieu of an answer. The answers are to be signed by the person making them, and the objections signed by the attorney making them.

The answers should include all information known by PANYNJ or available to PANYNJ directly or through agents, representatives, or attorneys as of the date of verification. Answers are due within 30 days unless otherwise agreed by the parties in accordance with the schedule to

RECEIVED

20 MAR 30 PM 45

OFFICE OF THE CLERK
FEDERAL MARITIME COMMISSION

be developed pursuant to Rule 201 and PANYNJ must thereafter supplement such responses as and when required by the Rules, to be updated through the date of hearing.

INSTRUCTIONS

1 All Interrogatories should be verified and answered on the basis of your knowledge, including that of your representatives, agents, and, unless privileged, attorneys. Each answer should identify all persons involved or assisting in the response to that interrogatory, including but not limited to the person from whom the information contained in each answer was obtained. If you cannot answer any interrogatory on the basis of your personal knowledge, please answer the interrogatory on the basis of your information and belief; all such responses, however, should indicate that the answer is based on your information and belief, rather than your personal knowledge.

2 If you cannot answer an interrogatory after conducting a reasonable investigation, please so state and answer to the extent you can, stating what information you cannot provide and stating what efforts you have made to obtain the requested information

3 If you contend that the answer to any interrogatory is privileged, in whole or in part, or if you otherwise object to any part of the interrogatory, please identify the nature of the privilege which is being claimed, if the privilege is being asserted in connection with a claim or defense governed by State law, set forth the privilege rule being invoked, and identify each person having knowledge of the factual bases on which the privilege or other objection is asserted.

4 If you object to, or otherwise decline to respond to any portion of an Interrogatory, please answer that portion of the Interrogatory to which you do not object or to which you do not decline to answer. If you object to an Interrogatory on the ground that it is too

broad (i.e., that it requests information which is relevant to the subject matter of the action and information which is not), please answer the Interrogatory to the extent that it is concededly relevant. If you object to an Interrogatory on the ground that to answer the Interrogatory would constitute an undue burden, please answer the Interrogatory to the extent that it can be answered without undertaking an undue burden.

5 You are under a continuous obligation to supplement your answers to these Requests under the circumstances specified in Rule 201(j)(2).

6 Unless otherwise specified, the Interrogatories are intended to be limited to the period from 1997 to the present.

DEFINITIONS

As used herein, the following definitions apply:

“Agent” shall mean. any agent, employee, officer, director, attorney, independent contractor or any other person acting at the direction of or on behalf of another

“Agreement of Lease 248” or “EP-248” shall mean the agreement between PANYNJ and Maersk Container Service Company, Inc (a/k/a APM Terminals North America, Inc., “APM” or “APMT”) dated as of January 6, 2000 and filed with the Federal Maritime Commission (“FMC”) as FMC Agreement No 201106

“Agreement of Lease EP-249” or “EP-249” shall mean the agreement between PANYNJ and Maher dated as of October 1, 2000 and filed with the FMC as FMC Agreement No 201131

APM Terminals North America (“APMT” or “APM”) is the successor in interest to Maersk Container Service Company, Inc and is a marine terminal operator that operates a marine terminal in Elizabeth, New Jersey pursuant to a lease agreement with PANYNJ

A.P. Moeller-Maersk A/S (“A.P. Moeller-Maersk”) is a company incorporated in Denmark with which PANYNJ has done business including entering into certain consent agreements and releases pertaining to among other things PNCT, APMT, and the Sea-Land marine terminal at Elizabeth, New Jersey

“Communication” includes, but is not limited to, correspondence, telephone calls, facsimiles, electronic mail (“e-mail”), and meetings, and records of such communications, including but not limited to transcripts, notes, records, memoranda, and recordings of such communications, in whole or in part.

"Complaint" shall mean the Complaint of Maher filed in this proceeding.

"Complainant" shall mean Maher

“Date” shall mean the exact date, month and year, if ascertainable or, if not, the best approximation of the date based upon the relationship with other events.

The term “describe in detail” mean as follows.

- a. When used to refer to actions, identify the principal and material facts pertaining to each action by date, persons involved, actions taken, and documents involved. For all such persons or documents, identify such persons or documents in accordance with these instructions.
- b. When used to refer to an allegation, reason, or contention, identify the principal and material facts upon which you rely and the legal basis for the allegation or contention as appropriate.

The term “document” means any written or any other tangible thing of every kind and description, however produced or reproduced, including electronic data, whether draft or final, in the actual or constructive possession, custody or control of PANYNJ, original or reproduction,

including but not limited to letters, correspondence, notes, films, transcripts, telegrams, teletype messages, contracts and agreements including drafts, proposals, any and all modifications thereof, licenses, memoranda, notes, transcripts and recordings of telephone conversations or personal conversations, microfilm, microfiche, books, newspapers, magazines, advertisements, periodicals, bulletins, circulars, pamphlets, statements, notices, memoranda (including inter and intra office memoranda, memoranda for file, pencil or pen jotting, diary entries, desk calendar entries, expense accounts, recorded recollections and any other written form of notation of events thereto, draft minutes, resolutions and agendas), expressions and/or statements of policy, lists of persons attending meetings and conferences, reports, rules, regulations, directions, communications, interoffice communications, reports, financial statements, tax returns, ledgers, books of account, proposals, prospectuses, offers, orders, receipts, analyses, audits, working papers, computations, projections, tabulations, financial records, blueprints, plans, writings, drawings, graphs, charts, photographs, phono-records and other data computations from which information can be obtained (translated, if necessary, into reasonably usable form), invoices, receipts, working papers, desk calendars, appointment books, diaries, time sheets, logs, movies, tapes for visual audio reproduction, recordings, computer tapes and discs, electronic media, reports and/or summaries of investigations, opinions and/or reports of consultants, appraisals, reports and/or summaries of negotiations, proposals, "e-mail," electronic mail, voice mail or material similar to any of the foregoing, however denominated. The term "document" shall also include all copies of each document if the copies contain any additional writing or are not identical copies of the originals.

“FMC Agreement No 201131” is also known as “Agreement of Lease EP-249” or “EP-249” and shall mean the agreement between PANYNJ and Maher dated as of October 1, 2000 and filed with the FMC

Global Terminal & Container Services, LLC (“Global”) is a marine terminal operator that operates a marine terminal at Jersey City, New Jersey pursuant to a lease agreement with PANYNJ

The terms “identify” or “state the identity of” mean as follows.

- a. When used to refer to a non-natural person, provide the entity’s full name, address of its main office or principal place of business, all addresses used by the entity, its state of incorporation, if any, phone number of its principal place of business, and phone number for each address used by the entity
- b. When used to refer to a natural person who is not an expert witness expected to be called at hearing, provide his full name, occupation, present employer, business address and telephone number, and his home address and telephone number and a summary of the anticipated testimony from such person, if any;
- c. When used to refer to a natural person who is expected to be called as an expert witness at hearing, provide all information required of a natural person who is not an expert witness pursuant to subsection b above, and in addition state said witness’ field of expertise and qualifications as an expert;
- d. When used to refer to a “document,” state the date of the document; its title, if any; specify the author and each person who participated in preparing the document; the person or persons to whom it is addressed, the person or persons who were intended to receive one or more copies of all or part of the document at

or about the time it was sent or delivered to its intended recipient; and specify each person who presently has possession, custody or control of the original and/or any copies of the document.

- e. When used to refer to a “communication,” state the date of the communication, the mode of communication (face-to-face discussion, telephone conversation, memorandum, letter, etc.), specify the person conveying information (the communicator), specify the person to whom the communication was directed and the persons to whom copies of the communication, if any, were sent, summarize the substance of the communication, and identify all witnesses to the communication.

“Maersk, Inc ” is company with which PANYNJ has done business, including but not limited to with respect to APMT and the former Sea-Land marine terminal at Elizabeth, New Jersey

“MSC” shall mean the ocean carrier Mediterranean Shipping Company and its affiliates.

New York Container Terminal (“NYCT”) is a marine terminal operator that operates a marine terminal in Staten Island, New York pursuant to a lease agreement with PANYNJ

“Person” shall mean any individual, corporation, proprietorship, partnership, trust, association or any other entity

The words “pertain to” or “pertaining to” shall mean. relates to, refers to, contains, concerns, describes, embodies, mentions, constitutes, constituting, supports, corroborates, demonstrates, proves, evidences, shows, refutes, disputes, rebuts controverts or contradicts.

Port Newark Container Terminal (“PNCT”) is a marine terminal operator that operates a marine terminal in Port Newark, New Jersey pursuant to a lease agreement with PANYNJ

“PNCT Restructured Lease Agreement” shall mean PANYNJ’s restructured lease agreement with PNCT announced in PANYNJ’s press release number 34-2011 dated June 14, 2011

The term “proceeding” shall mean this proceeding before the FMC captioned above, and filed on even date herewith, titled *Maher Terminals, LLC v The Port Authority of New York and New Jersey*

The term “third party” or “third parties” refers to individuals or entities that are not a party to this proceeding.

Terminal Investment Ltd. (“TIL”) is a container terminal investment company affiliated with MSC

The words “you,” “yours” and/or “yourselves” means PANYNJ and any Commissioners, directors, the Executive Director, officers, employees, agents, representatives or other persons acting, or purporting to act, on PANYNJ’s behalf

The use of the past tense shall include the present tense, and the use of the present tense shall include the past tense, so as to make the request inclusive rather than exclusive

The singular shall include the plural and vice versa, the terms “and” or “or” shall be both conjunctive and disjunctive; and the term “including” shall mean “including without limitation.”

Unless otherwise defined, all words and phrases used in these Interrogatories shall be accorded their usual meaning as defined in the Merriam-Webster online dictionary, <http://www.merriam-webster.com>.

INTERROGATORIES

In accordance with the Instructions and Definitions set out above, PANYNJ is hereby requested to answer the following Interrogatories.

- 1 Identify and describe in detail your negotiations with PNCT with respect to expansion of the PNCT marine terminal, including, but not limited to, requests, proposals, draft terms, and the reasons that negotiations were successful or not successful
2. Describe in detail your involvement with the relocation of MSC's ocean carrier business, i.e., its cargo, from Maher to PNCT on or about October 1, 2009, including, but not limited to, when and how you first became aware that the relocation was contemplated, any reasons provided by PNCT and/or MSC, any requests made to PANYNJ (by PNCT, MSC or Maher) or by PANYNJ (to PNCT, MSC or Maher) related to the relocation of cargo volume to PNCT, and any PANYNJ actions taken or PANYNJ consents, approvals, waivers given or requirements forborne, related to the MSC cargo or any marine terminal operator
- 3 Describe in detail the effects of the relocation of MSC cargo to PNCT on and after October 1, 2009, pertaining to container terminal handling capacity, container terminal handling efficiency, terminal operator revenue, terminal operator lease covenant compliance/non-compliance, terminal industry reputation, and the container revenue rates for each of (i) Maher, (ii) PNCT and (iii) PANYNJ, including, but not limited to, any analyses or projections of future effects and any observations, analyses or conclusions of the effects that occurred.
- 4 Identify when PNCT was, at any time on or after October 1, 2009, in default of any of its PANYNJ leases for any reason, whether characterized as a technical or material default (whether or not notice of default was given or required, or whether or not cured or waived), and if so, describe in detail the nature of the default, its cause, any actions taken by PANYNJ or PNCT and the outcome.

5 Describe in detail your negotiations after October 1, 2009 with PNCT, MSC, and TIL, with respect to expansion of the PNCT marine terminal, a restructured marine terminal lease, and any cargo volume guarantee agreements, and including, but not limited to, requests, proposals, draft terms, approvals, and the reasons that negotiations were successful or not successful.

6 Describe in detail (i) when and how you first became aware (after the 2007 purchase of PNCT by AIG) that PNCT contemplated a change in control and or ownership interest, (ii) describe in detail the principle and material facts of each contemplated change in control and or ownership interest (including without limitation divesting ownership or control interests of AIG and MSC, TIL or others obtaining ownership or control interests of PNCT or its parent or affiliated entities), and (iii) for each contemplated change in control and or ownership interest, describe in detail the actions taken by PANYNJ to consider and consent or decline to consent, and the principle and material facts of the terms of any consent.

7 Describe in detail PANYNJ's practice, policy, substantive standard, or procedure for making "appropriate recommendations for Board consideration and action" or for taking any other action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests."

8 Describe in detail PANYNJ's practice, policy, substantive standard, or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests."

9 Describe in detail the purpose for your seeking, or having sought, payments and/or the providing of any economic consideration to PANYNJ with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ before and after the February 22, 2007 Resolution.

10 Describe in detail the principal and material facts of (i) any formula, model, calculation or other basis that has been used to determine the amount of requesting payments and/or the providing of any economic consideration to PANYNJ with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ including, without limitation, the principal elements, criteria, inputs, assumptions and/or variables of any such basis, (ii) differences in any such basis before and after the February 22, 2007 Resolution, (iii) how you apply any such basis and (iv) the principle and material facts of any determination by PANYNJ of the reasonableness under the Shipping Act of such basis and/or application.

11 Identify each transfer or change of ownership or control interest in a marine terminal operator lease since 1997 for which PANYNJ consent was requested, given, denied, or that PANYNJ contemplated requiring, and for each, (i) describe the principal and material facts of the proposed or effected change of ownership or control interest, (ii) the amount of payments and/or economic consideration committed to PANYNJ, and if no payments and/or economic consideration was committed, the reason therefore, and (iii) how such amounts are related to service provided by PANYNJ to the marine terminal operator

12 Describe in detail the reason or reasons that you decided to negotiate and agree to PNCT's Restructured Lease Agreement.

13 Describe in detail the reason or reasons that you decided not to provide to Maher a comparable restructuring of Maher's lease.

14 Describe in detail the letting and/or redevelopment of the marine terminal facility which is the subject of the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001), including, but not limited to, any requests, responses or negotiations with Maher and PANYNJ's alleged refusal to deal with Maher which is the subject of the Complaint.

15 Describe in detail your rules, regulations, practices, and/or procedures for dealing with or refusing to deal with existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001)

16 Describe in detail (i) your rules, regulations, practices, and/or procedures related to defining a “Qualified Transferee” in a marine terminal lease, (ii) the purpose of the “Qualified Transferee” provision in the Global Terminal & Container Services, LLC (Lease No LPJ-001), (iii) its applicability to an existing marine terminal operator such as Maher and (iv) the principal and material facts of any determination by PANYNJ of the reasonableness under the Shipping Act of such rules, regulations, practices, and/or procedures and/or application.

17 Describe in detail (i) your rules, regulations, practices, and/or procedures pertaining to requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, general releases and/or waivers of claims, including, but not limited to, releasing PANYNJ from potential violations of the Shipping Act, and (ii) the principal and material facts of any determination by PANYNJ of the reasonableness under the Shipping Act of such rules, regulations, practices, and/or procedures and/or application.

18 Describe in detail (i) your rules, regulations, practices, and/or procedures pertaining to requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, liquidated damages provisions, including those in excess of \$20,000,000 00, and further including, but not limited to, provisions designed to trigger if Shipping Act claims are brought against PANYNJ, and (ii) the principal and material facts of any determination by PANYNJ of the reasonableness under the Shipping Act of such rules, regulations, practices, and/or procedures and/or application.

19 Describe in detail (i) your rules, regulations, practices, and/or procedures pertaining to requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, lease rate renewal and/or extension provisions that seek to establish future lease renewal or extension rates in advance and (ii) the principal and material facts of any determination by PANYNJ of the reasonableness under the Shipping Act of such rules, regulations, practices, and/or procedures and/or application.

20 Describe in detail your rules, regulations, practices, and/or procedures for the granting or denying of deferrals of investment or capital expenditure obligations and/or provision of constructing financing for terminal capacity expansion to marine terminal operators, including but not limited to, additional construction financing for terminal capacity expansion for APM and Maher after the leases EP-248 and EP-249 were executed.

21 Describe in detail (i) the basis for your determination to defer APM's construction investment obligations as alleged in the Complaint from 2006 to 2017, (ii) your valuation of the deferral granted to APM with respect to its construction obligations as alleged in the Complaint, (iii) your valuation of the consideration you received from APM in return for the deferral of APM's construction investment obligations and (iv) what steps you took, if any, to ensure that the deferral granted to APMT did not exceed the value of APM's alleged claim against PANYNJ which was the subject of FMC Docket No 07-01

22 Describe in detail why you decided not to provide Maher a comparable deferral of its capital expenditure obligations or other comparable consideration as that granted to APM, e.g., deferral of Maher's remaining terminal investment obligations.

23 Describe in detail your decision to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work, for other purposes, including further expansion of APM's container terminal capacity

24 Describe in detail your decision not to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work or otherwise, for other purposes, including further expansion of Maher's container terminal capacity

25 Describe in detail what steps or actions you took, or did not take, to deal with or negotiate with Maher at any time after the execution of EP-249 with respect to the deferral of Maher's leasehold capital expenditure obligations, or other financial obligations like the foregoing deferral granted to APM, and with respect to providing additional construction financing for terminal capacity expansion like the foregoing approval to use PANYNJ financing for additional terminal capacity expansion.

26 Describe in detail your rules, regulations, practices, policies and/or procedures pertaining to the just and reasonable treatment of marine terminal operators, including, but not limited to, rules, regulations, practices, policies and/or procedures to prevent the granting of undue preferences or prejudices to marine terminal operators.

27 Describe in detail any principal and material facts showing that PANYNJ's practices, policies, procedures, or lack thereof, and actions or inactions that are the subject of the Complaint in this proceeding do not violate the Shipping Act, including but not limited to, the principal and material facts of any justifications of the differences in treatment PANYNJ accorded to the marine terminal operators that are the subject of the Complaint in this proceeding, and the principal and material facts that any such justifications do not exceed what is necessary to achieve a valid transportation purpose justifying the differences.

28 Identify the PANYNJ persons known to you to have knowledge concerning the following subjects and where more than one person has knowledge concerning a subject, list all such persons and further *specify the person who is most knowledgeable*.

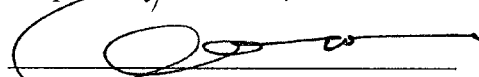
- a. The interactions, negotiations and agreements with PNCT, MSC, and TIL that are the subject of the Complaint;
- b. PANYNJ's practice, policy or procedure pertaining to financial consideration for consent for transfers or changes of ownership or control interests involving marine terminal operator leases, and PANYNJ's implementation and/or decisions regarding the same subject, that are the subject of the Complaint;
- c. PANYNJ's practice, policy or procedure pertaining to deferral of required capital expenditures and approval of PANYNJ construction financing for additional terminal capacity expansion, and PANYNJ's implementation and/or decisions regarding the same subject, including, but not limited to, Maher and APM, that are the subject of the Complaint;

d. PANYNJ's practice, policy or procedure pertaining to leasing the terminal that is the subject of the Global lease, and PANYNJ's implementation and/or decisions regarding the same subject, including, but not limited to, consideration of perspective tenants, communications and consideration of Maher, and basis for excluding from the definition of Qualified Transferee entities that directly or indirectly own a controlling interest in any other PANYNJ marine terminal, that are the subject of the Complaint;

e. PANYNJ's practice, policy or procedure pertaining to the following leasing, lease renewal, and lease modification practices that are the subject of the Complaint: (i) seeking general releases and/or waivers of claims, including to release PANYNJ from potential violations of the Shipping Act, (ii) seeking liquidated damages provisions that are excessive and/or are designed to trigger if Shipping Act claims are brought against PANYNJ and (iii) seeking to establish future lease renewal and/or extension rates in advance in a manner not reasonably related to the cost of services provided, and PANYNJ's implementation and/or decisions regarding the same subject.

March 30, 2012

Respectfully submitted,



Lawrence I. Kiern
Bryant E. Gardner
Gerald A. Morrissey III
Rand K. Brothers
Winston & Strawn
1700 K Street, N W
Washington, DC 20006-3817
(202) 282-5811
Email – lkiern@winston.com

Email – bgardner@winston.com
Email – gmorrissey@winston.com
Email – rbrothers@winston.com

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

MAHER TERMINALS, LLC

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY'S
OBJECTIONS AND RESPONSES TO THE COMPLAINANT'S FIRST
REQUEST FOR PRODUCTION OF DOCUMENTS**

Pursuant to §§ 502.201 and 502.206 of the Federal Maritime Commission Rules of Practice and Procedure, and Rules 26 and 34 of the Federal Rules of Civil Procedure, Respondent The Port Authority of New York and New Jersey (the "Port Authority") hereby responds to Complainant's First Request for Production of Documents (the "Requests") as follows.

PRELIMINARY STATEMENT

On April 26, 2012, the Port Authority filed a motion to dismiss and a motion to stay this action in its entirety. See The Port Authority of New York and New Jersey's Motion to Dismiss Maher Terminals, LLC's Complaint and Request for a Stay of Litigation Pending the Presiding Officer's Resolution of the 08-03 Litigation or, at

Minimum, Pending Decision on the Port Authority's Motion To Dismiss ("*Motion to Dismiss & Stay*") filed April 26, 2012. It is the position of the Port Authority that, to the extent that any of Maher's claims made in this proceeding survive the motion to dismiss, the Presiding Officer should stay this action pending the full and final resolution of the pending 08-03 action or, at minimum, until the motion to dismiss is decided. A stay of discovery into Maher's claims pending decision of the motion to dismiss is warranted because it is likely that at least some, if not all, of Maher's claims are plainly time-barred or were already resolved in the approval of the 07-01 settlement agreement, while, as to other claims, Maher obviously lacks any standing to bring a claim or fails to plead any conceivable cause of action. A stay of discovery would serve to save the parties from unnecessary discovery and motion practice and would save the Presiding Officer the substantial burden of deciding any subsequent discovery motions. Pending the Presiding Officer's likely reduction or elimination of Maher's claims, neither the Port Authority nor the Presiding Officer should be subjected to the overbroad and unduly burdensome discovery that Maher seeks, and will continue to seek absent a stay, and the contentious discovery disputes and motion practice that will inevitably ensue.

Furthermore, it is the position of the Port Authority that the responses to Maher's document requests will become due in accordance with the discovery schedule to be agreed upon by the parties and to be set by the Presiding Officer, as contemplated by FMC Rule 201. However, out of an abundance of caution, the Port Authority hereby serves these responses at this time, preserving all of its applicable rights and remedies, including the right to supplement these responses.

RESERVATION OF RIGHTS

The Port Authority expressly reserves the right to supplement, clarify, revise, or correct the responses herein. By making the following responses to the Requests, the Port Authority does not waive, and hereby expressly reserves, its right to object to the admissibility of such responses into evidence at the trial of this action, or in any other proceedings, on any and all grounds, including, but not limited to, competency, relevancy, materiality, privilege, or for any other purpose. The Port Authority makes the responses herein without in any manner implying or admitting that it considers the Requests, or the responses thereto, to be relevant or material to the subject matter of this action. The Port Authority reserves the right to assert additional general and/or specific objections arising from matters discovered in the course of this litigation. Subject to and without waiving the foregoing, the Port Authority provides the following objections and responses.

OBJECTIONS AND RESPONSES TO MAHER'S FIRST REQUEST FOR PRODUCTION OF DOCUMENTS

Document Request No. 1

All documents pertaining to your communications, deliberations, determinations, negotiations, practices, actions, inactions and omissions pertaining to the acts and allegations which are the subject of the Complaint.

Response to Document Request No. 1

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise

protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. Subject to and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 2

All of your rules, regulations, procedures, and/or practices pertaining to the allegations of the Complaint.

Response to Document Request No. 2

The Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 3

All documents pertaining to establishing, observing and enforcing your rules, regulations, procedures, and/or practices that are the subject of the allegations of the Complaint. (This request is not subject to the time limitation of 2005 to the present generally applicable to the requests.)

Response to Document Request No. 3

The Port Authority objects to this request on the grounds that it is vague and overbroad in that it specifies no time limitation whatsoever, instead merely exempting the request from the time limitation of 2005 to the present generally applicable to the requests without proposing any alternative time limitation. The Port Authority further objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by

the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 4

All documents pertaining to the PNCT Restructured Lease Agreement, including, but not limited to, communications, meetings, notes, proposals, term sheets, deliberations, concerns, issues, analyses, models, projections, negotiations, Board recommendations, discussions, resolutions, consents, approvals, summaries, and final agreements, including but not limited to such documents by or between PANYNJ, PNCT, MSC and TIL.

Response to Document Request No. 4

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity Subject to and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 5

All documents pertaining to or referring to the movement of MSC cargo from Maher to PNCT on or about October 1, 2009 and the handling of MSC cargo at PNCT or any other PANYNJ marine terminal thereafter

Response to Document Request No. 5

The Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 6

All documents pertaining to the letting and/or redevelopment of the marine terminal facility which is the subject of the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No. LPJ-001), including, but not limited to, communications, meetings, notes, proposals, term sheets, deliberations, concerns, issues, analyses, models, projections, negotiations, Board recommendations, discussions, resolutions, consents, approvals, summaries, documents related to or referenced in the Global Lease.

Response to Document Request No. 6

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. Subject to and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 7

All documents pertaining to PANYNJ's alleged refusal to deal with Maher which is the subject of the Complaint concerning the letting and/or redevelopment of the marine terminal facility which is the subject of the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No. LPJ-001).

Response to Document Request No. 7

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any

other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. The Port Authority also objects to this request to the extent that it seeks information related to a “refusal to deal” because the Port Authority did not refuse to deal with Maher. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority’s possession, custody, or control.

Document Request No. 8

All documents pertaining to your rules, regulations, practices, and/or procedures for dealing with or refusing to deal with existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No. LPJ-001).

Response to Document Request No. 8

The Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority’s possession, custody, or control.

Document Request No. 9

All documents pertaining to your rules, regulations, practices, and/or procedures related to “Qualified Transferees” and existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No. LPJ-001).

Response to Document Request No. 9

The Port Authority objects to this request on the grounds that it is vague and ambiguous, including in its use of the term “Qualified Transferees.” Subject to and

without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 10

All documents pertaining to any PANYNJ practice, policy, substantive standard, or procedure for making "appropriate recommendations for Board consideration and action" or for taking any other action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities – Consent to Transfer of Leases and Changes of Ownership Interests." (This request is not subject to the time limitation of 2005 to the present generally applicable to the requests.)

Response to Document Request No. 10

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. The Port Authority further objects to this request on the grounds that it is vague and/or overly broad and burdensome, in that it specifies no time limitation, instead exempting the request from the time limitation of 2005 to the present generally applicable to the requests without proposing any alternative time limitation. The Port Authority also objects to this request in that it is overly broad and burdensome to the extent it requests "any PANYNJ practice, policy, substantive standard, or procedure for making 'appropriate recommendations for Board consideration and action' or for taking any other action or inaction. with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with

PANYNJ [prior to February 2007] ” Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request from 1997 to February 22, 2007 that are in the Port Authority’s possession, custody, or control.

Document Request No. 11

All documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution “Port Facilities – Consent to Transfer of Leases and Changes of Ownership Interests,” including, but not limited to, any “report and appropriate recommendations for Board consideration and action,” any documents forming the basis of any such report and recommendations, documents of deliberations, calculations, models and decisions (including decisions to approve, deny or neither approve nor deny), and documents reflecting requirements or conditions of decisions, including but not limited to any payments and/or the providing of any economic consideration to PANYNJ (This request is not subject to the time limitation of 2005 to the present generally applicable to the requests, and for the avoidance of doubt, includes marine terminal operator leases with respect to Sealand, Maher, Maersk, Universal Maritime (UMS), Howland Hook and PNCT prior to February 22, 2007)

Response to Document Request No. 11

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity The Port Authority further objects to this request on the grounds that it is vague and/or overly broad and burdensome, in that it specifies no time limitation, instead exempting the request from the time limitation of 2005 to the present generally applicable to the requests without proposing any alternative time limitation. The Port Authority also objects to this request as unduly broad and burdensome to the extent it requests “[a]ll documents pertaining to

any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ prior to [2007] ” Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request from 1997 to February 22, 2007 that are in the Port Authority’s possession, custody, or control.

Document Request No. 12

All documents pertaining to any PANYNJ practice, policy, substantive standard or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to the PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution “Port Facilities – Consent to Transfer of Leases and Changes of Ownership Interests.”

Response to Document Request No. 12

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity The Port Authority also objects to this request in that it is overly broad and burdensome to the extent it requests “any PANYNJ practice, policy, substantive standard, or procedure for taking any action or inaction with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ after [February 2007] ” Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority’s possession, custody, or control.

Document Request No. 13

All documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities – Consent to Transfer of Leases and Changes of Ownership Interests," including, but not limited to, any reports or recommendation for consideration or action, any documents forming the basis of any such report or recommendations, documents of deliberations, calculations, models and decisions (including decisions to approve, deny or neither approve nor deny), documents reflecting requirements or conditions of decisions, including but not limited to any payments and/or the providing of any economic consideration to PANYNJ and all "executed agreements and other documents necessary to effectuate a Tenant Facility Change." (For the avoidance of doubt, this request includes marine terminal operator leases with respect to PNCT, NYCT, APM, Maher and Global after February 22, 2007)

Response to Document Request No. 13

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. The Port Authority also objects to this request in that it is overly broad and burdensome to the extent it requests "[a]ll documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ after [2007] ." Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 14

All documents pertaining to the regulations, rules, practices, policies, and/or procedures that you observed in establishing and/or implementing any consent or transfer fees policy

Response to Document Request No. 14

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 15

All documents pertaining to any PANYNJ practice, policy or procedure for requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, general releases and/or waivers of claims, including, but not limited to, releasing PANYNJ from potential violations of the Shipping Act.

Response to Document Request No. 15

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. Subject to and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 16

All documents pertaining to any PANYNJ practice, policy or procedure for requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, liquidated damages provisions, including any in excess of \$20,000,000.00 and further inducing, but not limited to, provisions designed to trigger if Shipping Act claims are brought against PANYNJ

Response to Document Request No. 16

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. The Port Authority further objects to the term “further inducing” as vague and/or incorrectly characterizing the Port Authority’s practices, policies or procedures. Subject to and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority’s possession, custody, or control.

Document Request No. 17

All documents pertaining to any PANYNJ practice, policy or procedure for requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, lease rate renewal and/or extension provisions that establish future lease renewal or extension rates in advance.

Response to Document Request No. 17

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and

does not constitute waiver of any privilege or other immunity Subject to and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 18

All documents pertaining to PANYNJ's determination to defer APM's construction investment obligations from 2006 to 2017 as alleged in the Complaint, including, but not limited to, any valuation, analysis, or comparison of the deferral granted to APM.

Response to Document Request No. 18

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity Subject to and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 19

All documents pertaining to PANYNJ's decision to not provide Maher with a comparable deferral of its construction obligations, or other comparable consideration.

Response to Document Request No. 19

The Port Authority objects to the characterization in the request regarding "PANYNJ's decision to not provide Maher with a comparable deferral of its construction obligations, or other comparable consideration." The Port Authority further objects to the

phrase “comparable deferral of its construction obligations” as vague, ambiguous and confusingly worded. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority’s possession, custody, or control.

Document Request No. 20

All documents pertaining to PANYNJ’s decision to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM’s deferred work, for other purposes, including further expansion of APM’s terminal capacity

Response to Document Request No. 20

The Port Authority objects to the characterization in the request regarding “PANYNJ’s decision to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM’s deferred work, for other purposes.” The Port Authority further objects to this request as vague, ambiguous, and confusingly worded in that it is not clear what construction financing it is referring to, what “other purposes” means, and what is meant by “the amounts contemplated in EP-248 for the cost of APM’s deferred work.” EP-248 does not specify an amount of construction financing “for the cost of” APM’s deferred work. Subject to, and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority’s possession, custody, or control.

Document Request No. 21

All documents pertaining to PANYNJ’s decision to not provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM’s deferred work or otherwise, for other purposes, including further expansion of Maher’s container terminal capacity

Response to Document Request No. 21

The Port Authority objects to the characterization in the request regarding “PANYNJ’s decision to not provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM’s deferred work or otherwise, for other purposes, including further expansion of Maher’s container terminal capacity ” The Port Authority further objects to this request on the grounds that it is vague, ambiguous, and confusingly worded in its use of the phrase “amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM’s deferred work or otherwise.” EP-248 does not specify an amount of construction financing “for the cost of” APM’s deferred work. Subject to, and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority’s possession, custody, or control.

Document Request No. 22

All documents pertaining to your rules, regulations, practices, and/or procedures for the granting or denying of deferrals of investment or capital expenditure obligations and/or provision of additional construction financing for terminal capacity expansion to users of your facilities, including but not limited to marine terminal operators.

Response to Document Request No. 22

The Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority’s possession, custody, or control.

Document Request No. 23

All documents pertaining to whether or not your actions that are the subject of the Complaint in this proceeding violate the Shipping Act.

Response to Document Request No. 23

The Port Authority objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. Subject to and without waiving the foregoing objection, the Port Authority will produce non-privileged documents responsive to this request that are in the Port Authority's possession, custody, or control.

Document Request No. 24

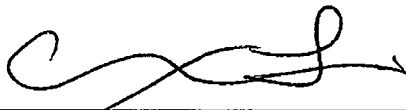
The resume, engagement agreement, fee arrangement, invoices, and reports, including information the expert relies upon in forming opinions, of any and all experts or consultants retained by PANYNJ pertaining to the Complaint.

Response to Document Request No. 24

The Port Authority objects to this request to the extent it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity, and to the extent that it seeks information protected from disclosure by Federal Rule of Civil Procedure 26(b)(3) and (4). In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege or other immunity. The Port Authority will produce non-privileged, non-protected documents responsive to this request that are in the Port Authority's possession, custody, or control pursuant to the discovery schedule to be set by the Presiding Officer.

Dated. May 7, 2012

Respectfully submitted,

A handwritten signature in black ink, appearing to read 'Richard A. Rothman', written over a horizontal line.

Richard A. Rothman
Robert Berezin
Kevin F. Meade
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, New York 10153

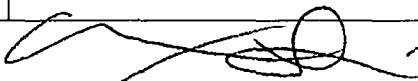
Peter D. Isakoff
Holly E. Loiseau
Alexander O. Levine
WEIL, GOTSHAL & MANGES LLP
1300 Eye Street, NW
Suite 900
Washington, DC 20005

*Attorneys for The Port Authority of
New York and New Jersey*

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon the person listed below in the matter indicated, a copy to each such person.

<u>Via Federal Express and E-mail:</u> Lawrence I. Kiern Bryant E. Gardner Gerald A. Morrissey III Rand Brothers Winston & Strawn LLP 1700 K Street, NW Washington, DC 20006	Dated at Washington, DC this 7th day of May, 2012
--	--



Alexander Levine

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

MAHER TERMINALS, LLC

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY'S
OBJECTIONS AND RESPONSES TO COMPLAINANT'S
FIRST SET OF INTERROGATORIES**

Pursuant to §§ 502.201 and 502.205 of the Federal Maritime Commission Rules of Practice and Procedure, The Port Authority of New York and New Jersey (the "*PANYNJ*" or "*Port Authority*") hereby responds and objects to Complainant's First Set of Interrogatories Propounded on the Port Authority, as follows:

PRELIMINARY STATEMENT

On April 26, 2012, the Port Authority filed a motion to dismiss and a motion to stay this action in its entirety. *See* The Port Authority of New York and New Jersey's Motion to Dismiss Maher Terminals, LLC's Complaint and Request for a Stay of Litigation Pending the Presiding Officer's Resolution of the 08-03 Litigation or, at Minimum, Pending Decision on the Port Authority's Motion To Dismiss ("*Motion to*

Dismiss & Stay”) filed April 26, 2012. It is the position of the Port Authority that, to the extent that any of Maher’s claims made in this proceeding survive the motion to dismiss, the Presiding Officer should stay this action pending the full and final resolution of the pending 08-03 action or, at minimum, until the motion to dismiss is decided. A stay of discovery into Maher’s claims pending decision on the motion to dismiss is warranted because it is likely that at least some, if not all, of Maher’s claims are plainly time-barred or were already resolved in the approval of the 07-01 settlement agreement, while, as to other claims, Maher obviously lacks any standing to bring a claim or fails to plead any conceivable cause of action. A stay of discovery would serve to save the parties from unnecessary discovery and motion practice, and would save the Presiding Officer the substantial burden of deciding any subsequent discovery motions. Pending the Presiding Officer’s likely reduction or elimination of Maher’s claims, neither the Port Authority nor the Presiding Officer should be subjected to the overbroad and unduly burdensome discovery that Maher seeks, and will continue to seek absent a stay, and the contentious discovery disputes and motion practice that will inevitably ensue.

Furthermore, it is the position of the Port Authority that the responses to Maher’s interrogatories will become due in accordance with the discovery schedule to be agreed upon by the parties and to be set by the Presiding Officer, as contemplated by FMC Rule 201. However, out of an abundance of caution, the Port Authority hereby serves these responses at this time, preserving all of its applicable rights and remedies, including the right to supplement these responses.

RESERVATION OF RIGHTS

The Port Authority expressly reserves the right to supplement, clarify,

revise, or correct the responses herein at any time. The Port Authority reserves the right to assert additional specific objections arising from matters discovered in the course of this litigation. By making the following responses, the Port Authority does not waive, and hereby expressly reserves, its right to object to the admissibility of such responses into evidence at the trial of this action, or any other proceedings, on any and all grounds, including, but not limited to, competency, relevancy, materiality, privilege or for any other purpose. Furthermore, the Port Authority makes the responses herein without in any manner implying or admitting that it considers the interrogatories, or the responses thereto, to be relevant or material to the subject matter of this action. Subject to and without waiving the foregoing, the Port Authority responds as follows.

**SPECIFIC OBJECTIONS AND RESPONSES TO
MAHER'S FIRST SET OF INTERROGATORIES**

- 1 Identify and describe in detail your negotiations with PNCT with respect to expansion of the PNCT marine terminal, including, but not limited to, requests, proposals, draft terms, and the reasons that negotiations were successful or not successful.

The Port Authority objects to Interrogatory No 1 on the grounds that it is overbroad and unduly burdensome to describe in detail negotiations with PNCT with respect to expansion of PNCT's marine terminal, which took place over multiple years. The Port Authority further objects to Interrogatory No 1 to the extent that it seeks more than the principal and material facts concerning negotiations with PNCT with respect to expansion of PNCT's marine terminal. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority states that PNCT requested a renegotiation of the PNCT marine terminal lease as early as 2008

Negotiations continued intermittently for the next few years. In 2010, PNCT and MSC began discussions with the Port Authority concerning a proposal that included a significant financial investment by PNCT and a large cargo guarantee by MSC in exchange for an increase in acreage and adjusted lease terms. The Port Authority entered into an agreement with PNCT in June 2011, pursuant to which PNCT was provided with additional acreage, including 84 acres of contiguous upland terminal property and 26 acres in vacant lots, and committed to make approximately \$500 million in terminal

~~investments using its own funding. Unlike other leases, including the lease for Maher~~

Terminals, the Port Authority did not provide PNCT with any construction funding.

Under the restructured lease, PNCT received the same base rent as Maher but has higher overall costs on a per acre basis when the additional investment costs and cargo guarantees are factored in. The Port Authority also entered into an agreement with MSC, which required MSC to guarantee as many as 1,120,300 containers to be brought through the Port (regardless of which terminal they come through) in the final year of the agreement.

2. Describe in detail your involvement with the relocation of MSC's ocean carrier business, i.e., its cargo, from Maher to PNCT on or about October 1, 2009, including, but not limited to, when and how you first became aware that the relocation was contemplated, any reasons provided by PNCT and/or MSC, any requests made to PANYNJ (by PNCT, MSC or Maher) or by PANYNJ (to PNCT, MSC or Maher) related to the relocation of cargo volume to PNCT, and any PANYNJ actions taken or PANYNJ consents, approvals, waivers given or requirements forborne, related to the MSC cargo or any marine terminal operator

The Port Authority objects to Interrogatory No. 2 to the extent that it seeks more than the principal and material facts concerning the Port Authority's involvement with the relocation of MSC's ocean carrier business from Maher to PNCT. Subject to and without

waiving the foregoing objection, the Port Authority responds that the Port Authority does not directly involve itself with the relocation of ocean carrier cargo business from one marine terminal to another marine terminal, and does not prevent (or assist) carriers from moving their business from one marine terminal to another marine terminal. MSC began the process of moving its cargo to PNCT before PNCT executed a final restructured lease agreement in 2011. The Port Authority did express concern, however, that relocating MSC from Maher to PNCT could cause significant disruptions in the Port due to PNCT's inability to accommodate all of the traffic from MSC's business. The Port Authority's concerns proved to be true, and the increased business from MSC caused severe traffic disruptions beginning in the latter half of 2009. The Port Authority provided police staff to control the flow of traffic and minimize the effect of the relocation on other Port tenants. Beginning in September 2009, the Port Authority agreed to provide PNCT with a space permit for six to eight months starting October 2009 for 14 1/2 acres on Marsh Street and providing PNCT with a remote 35 acre parcel in Elizabeth in order to alleviate the severe traffic congestion and other disruptions caused by the relocation of MSC cargo business and in response to complaints from other Port tenants, including Maher.

- 3 Describe in detail the effects of the relocation of MSC cargo to PNCT on and after October 1, 2009, pertaining to container terminal handling capacity, container terminal handling efficiency, terminal operator revenue, terminal operator lease covenant compliance/non-compliance, terminal industry reputation, and the container revenue rates for each of (i) Maher, (ii) PNCT and (iii) PANYNJ, including, but not limited to, any analyses or projections of future effects and any observations, analyses or conclusions of the effects that occurred.

The Port Authority objects to Interrogatory No. 3 to the extent that it seeks information concerning container terminal handling capacity, container terminal handling efficiency,

terminal operator revenue, and container revenue rates that is not in the possession, custody or control of the Port Authority. The Port Authority further objects to Interrogatory No. 3 to the extent that it seeks more than the principal and material facts concerning the effects of the relocation of MSC's ocean carrier business from Maher to PNCT. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority states that the relocation of MSC's ocean carrier business to PNCT created severe traffic congestion and disruptions in the Port. MSC's business entailed a large volume of cargo and PNCT only had 180 acres prior to the expansion of its marine terminal. While the Port Authority does not possess specific detailed information concerning Maher and PNCT's container terminal handling, terminal operating revenues, and container revenue rates, the Port Authority is aware that PNCT was unable to fully accommodate MSC's business, and consequently, MSC returned some of its business to Maher. The Port Authority does not possess any analyses of the future effects of the relocation of MSC's business to PNCT.

- 4 Identify when PNCT was, at any time on or after October 1, 2009, in default of any of its PANYNJ leases for any reasons, whether characterized as a technical or material default (whether or not notice of default was given or required, or whether or not cured or waived), and if so, describe in detail the nature of the default, its cause, any actions taken by PANYNJ or PNCT and the outcome.

The Port Authority objects to this interrogatory to the extent it seeks information protected by the attorney-client privilege and/or work product doctrine. Subject to and without waiving, but rather expressly preserving, the foregoing objection, the Port Authority responds that it has not determined that PNCT, on or after October 1, 2009, was in default of any lease with the Port Authority for any reason.

- 5 Describe in detail your negotiations after October 1, 2009 with PNCT, MSC, and TIL, with respect to expansion of the PNCT marine terminal, a restructured marine terminal lease, and any cargo volume guarantee agreements, and including, but not limited to, requests, proposals, draft terms, approvals, and the reasons that negotiations were successful or not successful.

The Port Authority objects to Interrogatory No 5 on the grounds that it is overbroad and unduly burdensome to describe in detail negotiations with PNCT, MSC, and TIL with respect to expansion of PNCT's marine terminal, a restructured marine terminal lease, and any cargo volume guarantee agreements. The Port Authority further objects to Interrogatory No. 5 to the extent that it seeks more than the principal and material facts concerning negotiations with PNCT, MSC, and TIL with respect to expansion of PNCT's marine terminal, a restructured marine terminal lease, and any cargo volume guarantee agreements. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority refers the Complainant to its Response to Interrogatory No 1

- 6 Describe in detail (i) when and how you first became aware (after the 2007 purchase of PNCT by AIG) that PNCT contemplated a change in control and or ownership interest, (ii) describe in detail the principle [sic] and material facts of each contemplated change in control and or ownership interest (including without limitation divesting ownership or control interests of AIG and MSC, TIL or others obtaining ownership or control interests of PNCT or its parent or affiliated entities), and (iii) for each contemplated change in control and or ownership interest, describe in detail the actions taken by PANYNJ to consider and consent or decline to consent, and the principle [sic] and material facts of the terms of any consent.

The Port Authority objects to Interrogatory No 6 to the extent that it seeks more than the principal and material facts concerning the change of ownership of PNCT The Port Authority further objects to section (ii) of Interrogatory No 6 as duplicative of

Interrogatory No 11 Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that in connection with the 2007 purchase of PNCT by AIG, the Port Authority became aware that AIG contemplated a seven-year plan pursuant to which AIG intended to divest its ownership or control interests in PNCT within five to seven years of acquiring it. The agreement was structured in such a way to allow for such a transaction after five to seven years.

Prior to February 22, 2007, the Port Authority did not have a formal written policy concerning requests for changes in ownership interests. Port Authority staff would review each requested change in order to provide the Board with a report and appropriate recommendations for Board consideration and action by resolution. The review entailed a determination of whether the new entity that acquired the ownership interest was suitable to control tenant operations at a Port Authority marine terminal in terms of its integrity, financial capacity, security qualifications and operational ability; and ensured that the entity would commit to make the appropriate capital investments in the facility

After the February 22, 2007, Board resolutions, the substantive standard that the Port Authority applied to evaluating requests for consent to changes of ownership interests in marine terminal operators remained the same, except that the decision-making authority was delegated to the Port Authority's Executive Director instead of the Board. This change in the delegation of decision-making authority was made to allow the Port Authority to uniformly, efficiently and timely respond to requests for its consent to proposed changes in ownership interests.

Since 1997, the following transfers or changes of ownership or control interest in marine terminal operator leases have occurred for which PANYNJ consent was requested, given, denied or that PANYNJ contemplated requiring:

- Continental Terminals to Commodity Storage in 1998, security deposit was established at \$100,000
- Interamerican Juice Company to Citrus Products in 2000, security deposit was increased from \$100,000 to \$200,000
- Kent Steel to Port Storage & Handling in 2000, a guaranty was provided by Bushwick Metals
- M.J Rudolph Corporation to Kinder Morgan Bulk Terminals in 2002, a guaranty was provided by Kinder Morgan Energy Partners
- Continental Gypsum to LaFarge in 2002, a consent fee was given of \$175,000
- Howland Hook Container Terminal to New York Container Terminal in 2004, security deposit was established at \$1,000,000
- United Transport to Jakon in 2006, security deposit was increased to \$10,200
- PNCT to AIG in 2007, a consent fee of \$10 million was given to the Port Authority, a guaranteed investment of \$40 million was agreed to
- Maher to RREEF in 2007, consent fee of \$22 million was given to the Port Authority, guaranteed investment of \$114 million and the security deposit was increased to \$26 million
- ASA Apple to Anchor Logistics in 2007, a guaranty was provided by ASA Apple
- OOIL owned NYCT - Orient Overseas International Lines ("OOIL") to Ontario Teacher's Pension Fund in 2007, a consent fee of \$16 million was given to the Port Authority, guaranteed investment of \$30 million was agreed to and the security deposit was increased to \$9 million
- Cargotec USA merged with Hiab in 2009 and Cargotec assumed Hiab's lease, minimum insurance established at \$5,000,000 for commercial general liability
- AIG to Highstar Capital L.P in 2011 for the consideration detailed in the Response to Interrogatory No 1

- 7 Describe in detail PANYNJ's practice, policy, substantive standard, or procedure for making "*appropriate recommendations for Board consideration and action*" or for taking any other action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution "*Port Facilities – Consent to Transfer of Leases and Changes of Ownership Interests.*"

The Port Authority objects to Interrogatory No. 7 on the grounds that the interrogatory is vague and ambiguous in that it purports to seek the Port Authority's "*practice, policy, substantive standard, or procedure for taking any other action or inaction with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with [the Port Authority before February 2007]*" Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority refers Complainant to its Response to Interrogatory No. 6

- 8 Describe in detail PANYNJ's practice, policy, substantive standard, or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution "*Port Facilities – Consent to Transfer of Leases and Changes of Ownership Interests*"

The Port Authority objects to Interrogatory No. 8 on the grounds that the interrogatory is vague and ambiguous in that it purports to seek the Port Authority's "*practice, policy, substantive standard, or procedure for taking any other action or inaction with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with [the Port Authority after February 2007]*" Subject to and

without waiving, but rather expressly preserving, the foregoing objections, the Port

Authority refers Complainant to its Response to Interrogatory No 6

- 9 Describe in detail the purpose for your seeking, or having sought, payments and/or the providing of any economic consideration to PANYNJ with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ before and after the February 22, 2007 Resolution.

The Port Authority objects to Interrogatory No 9 to the extent that it seeks more than the principal and material facts concerning the Port Authority's purpose for seeking payments and economic considerations with respect to a transfer in the ownership interests of a marine terminal operator lease. Subject to and without waiving the foregoing objection, the Port Authority responds that the terminal facility and the leases are assets that belong to the Port Authority. The Port Authority, functioning as a landlord port, has invested over \$3.8 billion in marine terminals and basic Port infrastructure since 1948. When an existing marine terminal tenant transfers its interest in its lease, the Port Authority may have no relationship with the new entity and, absent a change of ownership clause, would not have adequate means of ensuring that the new owners will devote sufficient capital investment in its terminal or will uphold the obligations of the lease. Seeking payments, increased investment obligations, or an increased security deposit is meant (1) to ensure that such new owners are committed to continued investment in the terminal, (2) to protect the Port Authority's investments and assets, and (3) in instances where private parties are deriving significant capital gains from increases in the value or productivity of Port Authority controlled land and facilities, to return a portion of the Port Authority's significant investment in the Port to the Port and to offset the need for increases in Port revenue collection.

- 10 Describe in detail the principal and material facts of (i) any formula, model, calculation or other basis that has been used to determine the amount of requesting payments and/or the providing of any economic consideration to PANYNJ with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ including, without limitation, the principal elements, criteria, inputs, assumptions and/or variables of any such basis, (ii) differences in any such basis before and after the February 22, 2007 Resolution, (iii) how you apply any such basis and (iv) the principle [sic] and material facts of any determination by PANYNJ of the reasonableness under the Shipping Act of such basis and/or application.

The Port Authority objects to Interrogatory No. 10 to the extent it seeks information that is not in the possession, custody or control of the Port Authority. The Port Authority further objects to this interrogatory to the extent it seeks information protected by the attorney-client privilege and/or work product doctrine. Subject to and without waiving the foregoing objections, the Port Authority responds that it determined the amount of payment or consideration that was required in connection with a transfer of ownership based on the amount of Port Authority investments scaled in comparison to the final outcome of PNCT's transfer of control to AIG, which was the first transaction that required significant payments or consideration. Prior to the transaction with AIG, the Port Authority had not required any significant payment or consideration in connection with transfers of ownership. The Port Authority used the PNCT payments and consideration as a basis for subsequent transactions and made appropriate modifications based on the facts and circumstances of each tenant seeking consent.

- 11 Identify each transfer or change of ownership or control interest in a marine terminal operator lease since 1997 for which PANYNJ consent was requested, given, denied or that PANYNJ contemplated requiring, and for each, (i) describe the principal and material facts of the proposed or effected change of ownership or control interest, (ii) the amount of payments and/or economic consideration

committed to PANYNJ, and if no payments and/or economic consideration was committed, the reason therefore, and (iii) how such amounts are related to service provided by PANYNJ to the marine terminal operator

The Port Authority objects to Interrogatory No 11 on the grounds that it is unduly burdensome by seeking information going back to 1997. The Port Authority further objects to Interrogatory No 11 to the extent that it seeks information going back to 1997 that is no longer in the Port Authority's possession, custody or control. Subject to the foregoing objections, the Port Authority refers Complainant to its Response to Interrogatory No 6.

12. Describe in detail the reason or reasons that you decided to negotiate and agree to PNCT's Restructure Lease Agreement.

The Port Authority objects to Interrogatory No 12 to the extent that it seeks more than the principal and material facts concerning negotiations with PNCT with respect to expansion of PNCT's marine terminal. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority refers the Complainant to its Response to Interrogatory No 1 for the principal and material facts supporting its positions.

13. Describe in detail the reason or reasons that you decided not to provide to Maher a comparable restructuring of Maher's lease.

The Port Authority objects to Interrogatory No 13 to the extent it seeks more than the principal and material facts concerning the Port Authority's reasons for not providing Maher with a restructured lease. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that Maher never

sought a “*comparable restructuring of Maher’s lease.*” Furthermore, Maher’s base rent is equal to PNCT’s base rent under PNCT’s restructured lease. The PNCT restructured lease, however, contains different cargo guarantees and investment requirements than Maher’s lease, and PNCT, unlike Maher, does not have access to Port Authority funding. Accordingly, PNCT faces higher costs under its lease than Maher faces under its lease, which, in exchange for the agreements and concessions contained therein, PNCT deemed not to be unduly burdensome or disadvantageous in relation to other marine container terminal leases. Furthermore, Maher already has the largest leasehold with more combined acreage than any other tenant in the Port in addition to an off-site chassis depot.

- 14 Describe in detail the letting and/or redevelopment of the marine terminal facility which is the subject of the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001), including, but not limited to, any requests, responses or negotiations with Maher and PANYNJ’s alleged refusal to deal with Maher which is the subject of the complaint.

The Port Authority objects to Interrogatory No 14 as overbroad and unduly burdensome for requesting a description in detail about the letting and redevelopment of Global Terminal & Container Services, LLC (“*Global*”). The Port Authority further objects to Interrogatory No. 14 to the extent that it seeks more than the principal and material facts concerning the letting and redevelopment of Global. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that the Port Authority considered it a priority to obtain ownership of the 100-acre Global terminal, located in Port Jersey, because it was the only remaining non-Port Authority-owned container terminal in the Port of New York and New Jersey. The Port Authority

needed to own all of the container terminals in order to manage the overall development of the Port effectively, to manage capacity demands in the harbor, and to give the Port Authority the ability to impose uniform requirements on Port users to encourage and justify significant additional Port Authority investment in the growth, development and prosperity of the Port and the surrounding region.

Accordingly, the Port Authority entered into discussions with Orient Overseas Container Line (“OOCL”), whose parent company OOIL owned the Global terminal, to discuss acquiring the Global terminal and combining it with the 70 acres that the Port Authority owned at the adjacent property, which was formerly leased to the Northeast Auto-Marine Terminal (“NEAT”), an auto processor, which use was determined by the Port Authority to be less beneficial to the region than the expansion of the contiguous neighboring marine container terminal. OOIL was in the process, at the time, of selling OOCL to Ontario Teachers Pension Fund.

The Port Authority briefly considered issuing a request for proposal (“RFP”) involving a bid for the right to form a joint venture with Global. As part of that consideration, the Port Authority considered Maher and other potential terminal operators’ interest in the Global Terminal. Global, the owner of the property, however, did not desire to pursue such a joint venture. Therefore, the Port Authority was obliged to abandon the joint venture/RFP approach.

The Port Authority determined that it was not feasible or practical to lease the 70 acres that was formerly the NEAT terminal as a stand-alone container terminal. The Port Authority could not construct a berth extension on the 70 acres and the 70 acres was a small property, unconnected with other terminals, and accordingly could provide only limited value to other existing Port tenants. While leasing the 70 acre parcel as a stand-alone terminal would not maximize the value of the parcel, it would have caused significant adverse effects on an existing tenant's operations by eliminating BMW's waterfront access, which was a requirement under the Port Authority's lease with BMW

- 15 Describe in detail your rules, regulations, practices, and/or procedures for dealing with or refusing to deal with existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global Terminal & Container Services, LLC (Lease No LPJ-001).

The Port Authority objects to Interrogatory No. 15 on the grounds that it is vague and ambiguous, and the Port Authority therefore cannot ascertain what is being asked.

Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that it has an established practice and procedure of dealing with existing marine terminal operators with respect to the letting of facilities in the port. As part of that practice and procedure, the Port Authority considers all reasonable requests for the letting of facilities that the Port Authority owns and controls, and works with existing marine terminal operators to accommodate reasonable requests subject to the Port Authority's mission to promote the overall prosperity of the Port of New York and New Jersey and the surrounding region.

- 16 Describe in detail (i) your rules, regulations, practices, and/or procedures related to defining a "Qualified Transferee" in a marine terminal lease, (ii) the purpose of the "Qualified Transferee" provision in the Global Terminal & Container

Services, LLC (Lease No. LPJ-001), (iii) its applicability to an existing marine terminal operator such as Maher and (iv) the principal and material facts of any determination by PANYNJ of the reasonableness under the Shipping Act of such rules, regulations, practices, and/or procedures and/or application.

The Port Authority objects to Interrogatory No. 16 on the grounds that it is vague and ambiguous, and the Port Authority therefore cannot ascertain what is being asked. The Port Authority objects to this interrogatory to the extent it seeks information protected by the attorney-client privilege and/or work product doctrine. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that it has no formal rule or regulation specifically with respect to the definition of “*Qualified Transferee*,” a phrase which the Port Authority believes appears only in the Global lease, but that such term was negotiated between the parties as part of a negotiation that was undertaken consistent with the Port Authority’s practice and procedure to negotiate leases that comply with all applicable laws and regulations, including the Shipping Act.

The “*Qualified Transferee*” provision was negotiated as part of the Port Authority’s purchase of Global’s 100-acre terminal and lease-back to Global of an expanded terminal that combined the 100-acre former Global terminal with an additional 70 acres of adjacent property. The Qualified Transferee provision was required to induce Global's lenders to consent to the conversion of their fee mortgage over the land Global owned in fee simple into a leasehold mortgage, and allows Global's lenders, in the event of a default by Global on its credit facility, the right to foreclose on Global's leasehold interest and transfer the lease to a Qualified Transferee.

The Qualified Transferee provision is applicable to existing marine terminal operators in that it prohibits Global's lenders, in the context of a mortgage foreclosure on the Global Lease, from transferring the Global lease to any existing marine terminal operator without the consent of the Port Authority. The Port Authority could consent to such a transfer but must have the ability to review any potential anticompetitive impacts on the region and other operators.

While the Port Authority objects to Maher's request for privileged legal analysis relating to the Qualified Transferee provision, the Port Authority states generally that it determined that such provision was reasonable and necessary as described above to accomplish the Global sale and lease-back transaction, and to ensure the Port Authority's ability to analyze any potential anticompetitive and concentrated risk effects that could impair the prosperity of the Port and the surrounding region.

- 17 Describe in detail (i) your rules, regulations, practices, and/or procedures pertaining to requesting, negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, general releases and/or waivers of claims, including, but not limited to, releasing PANYNJ from potential violations of the Shipping Act, and (ii) the principal and material facts of any determination by PANYNJ of the reasonableness under the Shipping Act of such rules, regulations, practices, and/or procedures and/or application.

The Port Authority objects to this interrogatory to the extent it seeks information protected by the attorney-client privilege and/or work product doctrine. The Port Authority also objects to this interrogatory to the extent it assumes there are, or is a

requirement to have, specific practices or procedures with respect to these provisions rather than case-by-case consideration of reasonable and fair terms. Subject to and without waiving, but rather expressly preserving, the foregoing objection, the Port Authority responds that it has no formal rule or regulation with respect to negotiating, requiring or obtaining in marine terminal leases, lease extensions and/or amendments and modifications, general releases and/or waivers of claims. With respect to the specific instances where the Port Authority has negotiated the provisions referred to in Interrogatory Number 17, the Port Authority has apprised potential and existing marine terminal tenants of its requirement that all marine terminal leases comply with all governing laws and regulations including the Shipping Act. Before a potential or existing marine terminal tenant agrees to a lease agreement, amendment, or extension, the Port Authority seeks to have the potential or existing tenant review the provisions of existing Port Authority marine terminal leases with other tenants. Should the potential or existing tenant determine, based on such leases, that the proposed lease agreement, amendment, or amendment is unduly or unreasonably discriminatory or disadvantageous in the light of all agreements, concessions and considerations contained in their proposed lease, the Port Authority provides the opportunity to negotiate further with the tenant to ensure that all parties are satisfied that the asserted undue prejudice or disadvantage is eliminated. Once all parties are satisfied that the lease is in compliance with all governing laws and regulations, this agreement is formalized in the form of a general release provision, which includes the tenant's representation that it believes that the lease is fair, reasonable, and does not unduly or unreasonably prejudice or disadvantage it.

20 Describe in detail your rules, regulations, practices, and/or procedures for the granting or denying of deferrals of investment or capital expenditure obligations and/or provision of constructing financing for terminal capacity expansion to marine terminal operators, including but not limited to, additional construction financing for terminal capacity expansion for APM and Maher after the leases EP-248 and EP-249 were executed.

The Port Authority objects to this request as vague and ambiguous to the extent it seeks information about "*constructing financing for terminal capacity expansion to marine terminal operators*" and information regarding "*additional construction financing for terminal capacity expansion for APM and Maher after the leases EP-248 and EP-249 were executed*" since it is not clear what Complainant means by these phrases. Subject to and without waiving, but rather expressly preserving, the foregoing objection, the Port Authority responds that it has no formal rule or regulation with respect to "*the granting or denying of deferrals of investment or capital expenditure obligations and/or provision of constructing financing for terminal capacity expansion to marine terminal operators.*" It is the Port Authority's practice and procedure to consider requests for the deferrals of investment or capital expenditure obligations on a case by case basis and to grant or deny such deferrals based on its obligation to treat all marine terminal operators fairly and to avoid causing undue preference to or imposing unreasonable prejudice on any marine terminal operator

As noted above in the objection regarding vagueness and ambiguity, the Port Authority does not understand what Complainant means by "*additional construction financing for terminal capacity expansion for APM and Maher after the leases EP-248 and EP-249 were executed*" and is therefore unable to answer that portion of the interrogatory

Subject to the above objections and to further clarification by Complainant, the Port Authority does not believe any additional “*construction financing*” was provided that was not already provided for in leases EP-248 and EP-249

21 Describe in detail (i) the basis for your determination to defer APM's construction investment obligations as alleged in the Complaint from 2006 to 2017, (ii) your valuation of the deferral granted to APM with respect to its construction obligations as alleged in the Complaint, (iii) your valuation of the consideration you received from APM in return for the deferral of APM's construction investment obligations and (iv) what steps you took, if any, to ensure that the deferral granted to APMT did not exceed the value of APM's alleged claim against PANYNJ which was the subject of FMC Docket No. 07-01

The Port Authority objects to this interrogatory to the extent it seeks information protected by the attorney-client privilege and/or work product doctrine. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority directs Complainant to the following filings made in FMC Docket No 07-01 for the principal and material facts responsive to this request:

(1) the Port Authority and APM Terminal North America Inc.'s (“APM”) Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice dated August 14, 2008,

(2) the Reply to Maher's Opposition to the Settlement Agreement dated September 3, 2008,

(3) the Affidavit of Dennis Lombardi dated September 15, 2008,

(4) the Reply to Maher's Response to the October 2, 2008 Second Order for the Parties to Supplement the Record dated October 6, 2008,

(5) the Port Authority and APM's Reply to Maher's Exceptions to Initial Decision Approving Settlement and Related Dismissals with Prejudice dated December 9, 2008, and

(6) the Memorandum in Opposition to Maher's Petition to Stay the Commission's Consideration of the Initial Decision Approving Settlement in this Proceeding Pending the Commission's Consideration of Maher's Petition to Determine the Port Authority's Subject Matter Waiver of Privilege Concerning Evidence Material to the Settlement and/or the Port Authority's Spoliation of Such Evidence along with the attached affidavit of Robert Evans and declaration of Peter Isakoff in support of such opposition dated January 28, 2009

22. Describe in detail why you decided not to provide Maher a comparable deferral of its capital expenditure obligations or other comparable consideration as that granted to APM, *e.g.*, deferral of Maher's remaining terminal investment obligations.

The Port Authority objects to this interrogatory to the extent it seeks information protected by the attorney-client privilege and/or work product doctrine. The Port Authority further objects to this interrogatory as vague and ambiguous to the extent it seeks information regarding a "*comparable consideration as that granted to APM.*" The Port Authority objects to the incorrect characterization of a "*deferral of Maher's remaining terminal investment obligations*" as an example of a "*comparable consideration as that granted to APM.*" Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that Maher did not request a "*comparable deferral of its capital expenditure obligations or other*

comparable consideration as that granted to APM” and therefore the Port Authority did not make any decision with respect to these subjects. *See* Initial Decision Granting Joint Motion for Approval of Settlement Agreement and Dismissal With Prejudice, FMC Docket No 07-01, at 30 (finding that “Maher did not approach PANYNJ with a request to negotiate a deferral of the completion date for the Class A Work required by Lease EP-249 ”)

- 23 Describe in detail your decision to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work, for other purposes, including further expansion of APM's container terminal capacity

The Port Authority objects to this request as vague, ambiguous, and confusingly worded such that it is not sure what is being asked. The Port Authority does not understand what Complainant means by the reference to the Port Authority’s “*decision to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM’s deferred work, for other purposes.*” The Port Authority also objects to the extent that the interrogatory does not specify to what entity or individual the Port Authority is allegedly providing construction financing. Additionally, the Port Authority does not understand what Complainant means by the “*further expansion of APM’s container terminal capacity* ” Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that pursuant to its lease with APM, EP-248, the Port Authority agreed to provide approximately \$ 174 million to APM in funding for certain Class A and Class B Work as defined under EP-248. EP-248 did not specify amounts of funding which had to be used on either Class A or Class B work. Nor did EP-248 require that the funding had to be

entirely used. Subject to the above statements and objections, the Port Authority is not aware of any additional Port Authority "*construction financing*," besides the funding provided for under EP-248, which is being or has been provided to APM.

24 Describe in detail your decision not to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work or otherwise, for other purposes, including further expansion of Maher's container terminal capacity

The Port Authority objects to this request as vague, ambiguous, and confusingly worded such that it is not sure what is being asked. The Port Authority does not understand what Complainant means by its reference to the Port Authority's "*decision not to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work, for other purposes.*" The Port Authority also objects to the extent that the interrogatory does not specify to what entity or individual the Port Authority is allegedly not providing construction financing to and notes that this interrogatory seems to contradict Interrogatory No 23. Additionally, the Port Authority does not understand what Complainant means by the "*further expansion of Maher's container terminal capacity*." Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that pursuant to its lease with Maher, EP-249, the Port Authority agreed to provide approximately \$ 250 million in funding to Maher for certain Class A, Class B, and Class C Work as defined under EP-249. EP-249 does not obligate Maher to accept this funding or specify amounts of funding which have to be used on any one class of work. Accordingly, the Port Authority did provide funding exceeding the amounts contemplated in EP-248 to

Maher and the decision on how to use that funding was made by Maher subject to the limitation set forth in EP-249 that such funding be used on Class A, B, or C work.

- 25 Describe in detail what steps or actions you took, or did not take, to deal with or negotiate with Maher at any time after the execution of EP-249 with respect to the deferral of Maher's leasehold capital expenditure obligations, or other financial obligations like the foregoing deferral granted to APM, and with respect to providing additional construction financing for terminal capacity expansion like the foregoing approval to use PANYNJ financing for additional terminal capacity expansion.

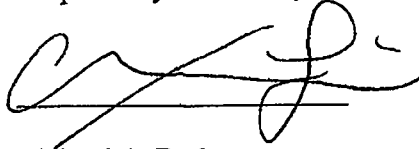
The Port Authority objects to this interrogatory as vague, ambiguous and confusingly worded such that it is not sure what is being asked. The Port Authority does not understand what is meant by the phrase "*other financial obligations like the foregoing deferral granted to APM*" or the phrase "*providing additional construction financing for terminal capacity expansion like the foregoing approval to use PANYNJ financing for additional terminal capacity expansion.*" Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority directs Complainant to its responses to Interrogatory Numbers 20, 22, 23, and 24

- 26 Describe in detail your rules, regulations, practices, policies and/or procedures pertaining to the just and reasonable treatment of marine terminal operators, including, but not limited to, rules, regulations, practices, policies and/or procedures to prevent the granting of undue preferences or prejudices to marine terminal operators.

The Port Authority objects to this interrogatory to the extent it seeks information protected by the attorney-client privilege and/or work product doctrine. Subject to and without waiving, but rather expressly preserving, the foregoing objection, the Port Authority responds by stating that it complies with all applicable laws and regulations, which includes its obligation to treat all marine terminal operators fairly and to avoid

Dated. May 7, 2012

As to Objections:
Respectfully submitted,

A handwritten signature in black ink, appearing to be 'Richard A. Rothman', written over a horizontal line.

Richard A. Rothman
Kevin Meade
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, New York 10153

Peter D Isakoff
Holly E. Loiseau
Alexander O Levine
WEIL, GOTSHAL & MANGES LLP
1300 Eye Street, NW
Suite 900
Washington, DC 20005
*Attorneys for The Port Authority of
New York and New Jersey*

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 12-02

MAHER TERMINALS, LLC
COMPLAINANT

v.

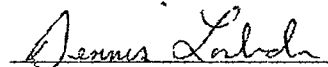
THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT

CORPORATE VERIFICATION

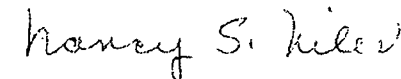
I, Dennis Lombardi, declare as follows

I am the Deputy Director, Port Commerce Department at The Port Authority of New York and New Jersey, and I have reviewed and am familiar with the contents of The Port Authority of New York and New Jersey's Objections and Responses to Complainant's First Set of Interrogatories (the "Responses"). I further declare that I believe that the matters set forth in the Responses are true and correct, but I do not have personal knowledge of all of the facts contained in the Responses, and with respect to some facts, I have been informed that they are true and I base my belief as to the accuracy of the Responses on such information.

I declare under penalty of perjury that this Corporate Verification was executed by me on May 7, 2012. The foregoing is true and correct.


Dennis Lombardi

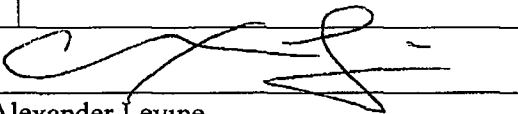
Sworn to me on this 7th day of May 2012


NANCY S. NILES
NOTARY PUBLIC-STATE OF NEW YORK
No. 01NI4993233
Qualified in Bronx County
My Commission Expires March 09, 2014

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon the person listed below in the matter indicated, a copy to each such person.

<u>Via Federal Express and E-mail:</u> Lawrence I. Kiern Bryant E. Gardner Gerald A. Morrissey III Rand Brothers Winston & Strawn LLP 1700 K Street, NW Washington, DC 20006	Dated at Washington, DC this 7th day of May, 2012
--	--


Alexander Levine

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

MAHER TERMINALS, LLC

COMPLAINANT

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY'S
AMENDED AND SUPPLEMENTAL OBJECTIONS AND RESPONSES TO
COMPLAINANT'S FIRST SET OF INTERROGATORIES**

Pursuant to §§ 502.201 and 502.205 of the Federal Maritime Commission Rules of Practice and Procedure, The Port Authority of New York and New Jersey (the "PANYNJ" or "Port Authority") hereby serves its Amended and Supplemental Objections and Responses to Complainant's First Set of Interrogatories ("Supplemental Responses") The Port Authority herein amends and supplements its responses to Interrogatory Nos. 1, 2, 5, 6, 7, 8, 11, 12, 23, and 28 In providing Maher with its Supplemental Responses, the Port Authority does not intend to, and does not waive its responses to Interrogatory Nos. 3, 4, 9, 10, 13, 14, 15, 16, 17, 18, 19, 20, 21, 22, 24, 25, 26, and 27, or Specific Objections set forth in the Port Authority's Objections and Responses to Complainant's First Set of Interrogatories, dated May 7, 2012, ("Interrogatory Responses") and responds as follows.

RESERVATION OF RIGHTS

The Port Authority has not completed its discovery and investigation and the following Responses are based solely on the information that is presently available. The Port Authority expressly reserves the right to supplement, clarify, revise, or correct the responses herein at any time. The Port Authority reserves the right to assert additional specific objections arising from matters discovered in the course of this litigation. By making the following responses, the Port Authority does not waive, and hereby expressly reserves, its right to object to the admissibility of such responses into evidence at the trial of this action, or any other proceeding, on any and all grounds, including, but not limited to, competency, relevancy, materiality, privilege or for any other purpose.

SPECIFIC OBJECTIONS AND RESPONSES

- 1 Identify and describe in detail your negotiations with PNCT with respect to expansion of the PNCT marine terminal, including, but not limited to, requests, proposals, draft terms, and the reasons that negotiations were successful or not successful

The Port Authority objects to Interrogatory No. 1 on the grounds that it is overbroad and unduly burdensome to describe in detail negotiations with PNCT with respect to expansion of PNCT's marine terminal, which took place over multiple years. The Port Authority further objects to Interrogatory No. 1 to the extent that it seeks more than the principal and material facts concerning negotiations with PNCT with respect to expansion of PNCT's marine terminal. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority states that PNCT requested a renegotiation of the PNCT marine terminal lease as early as 2008. Negotiations continued intermittently for the next few years. In 2010, PNCT and

MSC began discussions with the Port Authority concerning a proposal that included a significant financial investment by PNCT and a large cargo guarantee by MSC in exchange for an increase in acreage and adjusted lease terms. The Port Authority entered into an agreement with PNCT in June 2011, pursuant to which PNCT was provided with additional acreage, including 84 acres of contiguous upland terminal property and 26 acres in vacant lots, and committed to make approximately \$500 million in terminal investments using its own funding. Unlike other leases, including the lease for Maher Terminals, the Port Authority did not provide PNCT with any construction funding. Under the restructured lease, PNCT paid the same base rent as Maher but has higher overall costs on a per acre basis when the additional investment costs and cargo guarantees are factored in. The Port Authority also entered into an agreement with MSC, which required MSC to guarantee as many as 1,120,300 containers to be brought through the Port (regardless of which terminal they come through) in the final year of the agreement. The negotiations between PNCT and the Port Authority with respect to expansion of the PNCT marine terminal were successful because evidently each party believed the negotiated deal was to its advantage.

The Port Authority further responds that pursuant to Fed. R. Civ. P. 33(d), it expects that non-privileged, responsive documents related to the negotiations with PNCT as concerning the expansion of the PNCT marine terminal will be produced in connection with this proceeding. These documents consist of emails and correspondence between the Port Authority and PNCT from 2008 to 2011, emails by and among Port Authority staff from 2008 to 2011, and draft term sheets, which can be found in the documents of Dennis Lombardi, Richard Larrabee, Patricia Duemig, Steve Borrelli, Andrew Saporito, and Jason Kirm.

2. Describe in detail your involvement with the relocation of MSC's ocean carrier business, i.e., its cargo, from Maher to PNCT on or about October 1, 2009, including, but not limited to, when and how you first became aware that the relocation was contemplated, any reasons provided by PNCT and/or MSC, any requests made to PANYNJ (by PNCT, MSC or Maher) or by PANYNJ (to PNCT, MSC or Maher) related to the relocation of cargo volume to PNCT, and any PANYNJ actions taken or PANYNJ consents, approvals, waivers given or requirements forborne, related to the MSC cargo or any marine terminal operator

The Port Authority objects to Interrogatory No. 2 to the extent that it seeks more than the principal and material facts concerning the Port Authority's involvement with the relocation of MSC's ocean carrier business from Maher to PNCT. Subject to and without waiving the foregoing objection, the Port Authority responds that the Port Authority does not directly involve itself with the relocation of ocean carrier cargo business from one marine terminal to another marine terminal, and does not purposely prevent (or assist) carriers from moving their business from one marine terminal to another marine terminal. The Port Authority learned in mid-2009 that MSC contemplated moving its ocean carrier business from Maher to PNCT and participated in preliminary discussions with PNCT regarding logistical issues associated with the handling of MSC's volume. In August 2009, Donald Hamm of PNCT informed the Port Authority that PNCT had concluded negotiations to relocate a major shipping line to PNCT, though the identity of the shipping company was not disclosed to the Port Authority. MSC began the process of moving its cargo to PNCT in October 2009 – long before PNCT executed a final restructured lease agreement in 2011. The Port Authority did express concern, however, that relocating MSC from Maher to PNCT could cause significant disruptions in the Port due to PNCT's inability to accommodate all of the traffic from MSC's business. The Port Authority's concerns proved to be true, and the increased business from MSC caused severe traffic disruptions beginning in the

latter half of 2009. The Port Authority provided police staff to control the flow of traffic and minimize the effect of the relocation on other Port tenants. Beginning in September 2009, the Port Authority agreed to provide PNCT with a space permit for six to eight months starting October 2009 for 14 1/2 acres on Marsh Street and providing PNCT with a remote 35 acre parcel in Elizabeth in order to alleviate the severe traffic congestion and other disruptions caused by the relocation of MSC cargo business and in response to complaints from other Port tenants, including Maher.

The Port Authority further responds that, pursuant to Fed. R. Civ. P. 33(d), it expects that non-privileged, responsive documents related to the relocation of MSC's ocean carrier business to PNCT will be produced in connection with this proceeding. These documents consist of emails and correspondence by and between PNCT and Port Authority staff, and emails by and between representatives of other marine terminal operators and Port Authority staff, and can be found in the documents of Dennis Lombardi, Richard Larrabee, Patricia Duemig, Steve Borrelli, and Jason Kirin.

5. Describe in detail your negotiations after October 1, 2009 with PNCT, MSC, and TIL, with respect to expansion of the PNCT marine terminal, a restructured marine terminal lease, and any cargo volume guarantee agreements, and including, but not limited to, requests, proposals, draft terms, approvals, and the reasons that negotiations were successful or not successful.

The Port Authority objects to Interrogatory No. 5 on the grounds that it is overbroad and unduly burdensome to describe in detail negotiations with PNCT, MSC, and TIL with respect to expansion of PNCT's marine terminal, a restructured marine terminal lease, and any cargo volume guarantee agreements. The Port Authority further objects to Interrogatory No. 5 to the

extent that it seeks more than the principal and material facts concerning negotiations with PNCT, MSC, and TIL with respect to expansion of PNCT's marine terminal, a restructured marine terminal lease, and any cargo volume guarantee agreements. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority refers the Complainant to its Response to Interrogatory No 1

The Port Authority further responds that pursuant to Fed. R. Civ P 33(d), it expects that non-privileged, responsive documents concerning the negotiations between the Port Authority and MSC related to the cargo volume guarantee will be produced in connection with this proceeding. These documents consist of correspondence between Chris Ward and Diego Aponte, and communications by and between Port Authority staff and representatives of MSC and PNCT, and can be found in the documents of Chris Ward, Steve Borrelli, Jason Kirin, Richard Larrabee, and Dennis Lombardi

- 6 Describe in detail (i) when and how you first became aware (after the 2007 purchase of PNCT by AIG) that PNCT contemplated a change in control and or ownership interest, (ii) describe in detail the principle [sic] and material facts of each contemplated change in control and or ownership interest (including without limitation divesting ownership or control interests of AIG and MSC, TIL or others obtaining ownership or control interests of PNCT or its parent or affiliated entities), and (iii) for each contemplated change in control and or ownership interest, describe in detail the actions taken by PANYNJ to consider and consent or decline to consent, and the principle [sic] and material facts of the terms of any consent.

The Port Authority objects to Interrogatory No 6 to the extent that it seeks more than the principal and material facts concerning the change of ownership of PNCT Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that in 2007 AIG acquired, through a subsidiary fund, ownership of Ports America. Port

Newark Container Terminal LLC was an indirect, wholly-owned subsidiary of Ports America. AIG paid a consent fee of \$10 million to the Port Authority and agreed to a guaranteed investment of \$40 million in the PNCT terminal as part of this transaction. In connection with the 2007 purchase of PNCT by AIG, by virtue of its acquisition of Ports America, the Port Authority became aware that AIG contemplated a seven-year plan pursuant to which AIG intended to divest its ownership or control interests in PNCT within five to seven years of acquiring it. The agreement was structured in such a way to allow for such a transaction.

In 2011, two change of control events of the PNCT terminal occurred simultaneously: 1) AIG spun off its control of the fund that invested in Ports America to Highstar Capital LP, a private fund manager, and 2) Ports America and its new parent, Highstar Capital LP, sold 50% of their ownership of Port Newark Container Terminal LLC to TIL. The Port Authority consented to these two changes of control by means of the Amended and Restated Lease Agreement, dated June 14, 2011. The consideration and terms of the Port Authority's consent to these changes of control are reflected in the terms of the Amended and Restated Lease Agreement.

The Port Authority further responds that, pursuant to Fed. R. Civ. P. 33(d), it expects that non-privileged, responsive documents describing the actions taken by the Port Authority to consider and consent to the changes of control described above will be produced in connection with this proceeding. These documents consist of emails by and between Port Authority staff, drafts of the amended lease agreement, draft term sheets, and documents reflecting Board consideration and approval, and may be found in the documents of Steve Borrelli, Dennis Lombardi, Richard Larrabee, and Linda Handel.

- 7 Describe in detail PANYNJ's practice, policy, substantive standard, or procedure for making "*appropriate recommendations for Board consideration and action*" or for taking any other action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution "*Port Facilities – Consent to Transfer of Leases and Changes of Ownership Interests* "

The Port Authority objects to Interrogatory No 7 on the grounds that the interrogatory is vague and ambiguous in that it purports to seek the Port Authority's "*practice, policy, substantive standard, or procedure for taking any other action or inaction with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with [the Port Authority before February 2007]* " Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that prior to February 22, 2007 the Port Authority did not have a formal written policy concerning marine terminal operator requests for changes in ownership interests. Port Commerce Department staff would review each requested change on a case-by-case basis and consider whether a requested change of control would result in the same or better circumstances for the Port Authority Port Authority staff in the Finance and Law departments would review the requested change of control and consider whether the new entity that acquired the ownership interest was suitable to control tenant operations at a Port Authority marine terminal in terms of its integrity, financial capacity, security qualifications and operational ability; and ensured that the entity would commit to make the appropriate capital investments in the facility Board consideration of changes of control was rare

- 8 Describe in detail PANYNJ's practice, policy, substantive standard, or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution "*Port Facilities – Consent to Transfer of Leases and Changes of Ownership Interests.*"

The Port Authority objects to Interrogatory No. 8 on the grounds that the interrogatory is vague and ambiguous in that it purports to seek the Port Authority's "*practice, policy, substantive standard, or procedure for taking any other action or inaction with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with [the Port Authority after February 2007]*" Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that after the February 22, 2007 Board resolution, the substantive standard that the Port Authority applied to evaluating requests for consent to changes of ownership interests in marine terminal operators remained the same, except that the decision-making authority concerning container terminal lease transfers was delegated to the Port Authority's Executive Director. This change in the delegation of decision-making authority was made to allow the Port Authority to respond to requests for its consent to proposed changes in ownership interests in a uniform, efficient and timely manner.

- 11 Identify each transfer or change of ownership or control interest in a marine terminal operator lease since 1997 for which PANYNJ consent was requested, given, denied or that PANYNJ contemplated requiring, and for each, (i) describe the principal and material facts of the proposed or effected change of ownership or control interest, (ii) the amount of payments and/or economic consideration committed to PANYNJ, and if no payments and/or economic consideration was committed, the reason therefore, and (iii) how such amounts are related to service provided by PANYNJ to the marine terminal operator.

The Port Authority objects to Interrogatory No 11 on the grounds that it is unduly burdensome by seeking information going back to 1997. The Port Authority further objects to Interrogatory No 11 to the extent that it seeks information going back to 1997 that is no longer in the Port Authority's possession, custody or control. The Port Authority additionally objects to Interrogatory No 11 to the extent that it implies that the amount of payment or economic consideration provided to the Port Authority in connection with a change of ownership or control is, or should be, "related to service provided by PANYNJ to the marine terminal operator." Such amounts are intended to compensate the Port Authority, inter alia, in part for the large sums it has invested in the terminals and surrounding infrastructure – investments which contribute significantly to the asset value of the Port's marine terminal operators – and also for risks to which it may be subjected due to the change in control. Subject to the foregoing objections, the Port Authority responds that since 1997, the following transfers or changes of ownership or control interest in marine terminal operator leases have occurred for which PANYNJ consent was requested and given.

- Continental Terminals to Commodity Storage in 1998, security deposit was established at \$100,000
- Interamerican Juice Company to Citrus Products in 2000, security deposit was increased from \$100,000 to \$200,000
- Kent Steel to Port Storage & Handling in 2000, a guaranty was provided by Bushwick Metals
- M.J Rudolph Corporation to Kinder Morgan Bulk Terminals in 2002, a guaranty was provided by Kinder Morgan Energy Partners
- Continental Gypsum to LaFarge in 2002, a consent fee was given of \$175,000
- Howland Hook Container Terminal to New York Container Terminal in 2004, security deposit was established at \$1,000,000

- United Transport to Jakon in 2006, security deposit was increased to \$10,200
- PNCT to AIG in 2007, a consent fee of \$10 million was given to the Port Authority, a guaranteed investment of \$40 million was agreed to
- Maher to RREEF in 2007, consent fee of \$22 million was given to the Port Authority, guaranteed investment of \$114 million and the security deposit was increased to \$26 million
- ASA Apple to Anchor Logistics in 2007, a guaranty was provided by ASA Apple
- OOIL owned NYCT - Orient Overseas International Lines ("*OOIL*") to Ontario Teacher's Pension Fund in 2007, a consent fee of \$16 million was given to the Port Authority, guaranteed investment of \$30 million was agreed to and the security deposit was increased to \$9 million
- Cargotec USA merged with Hiab in 2009 and Cargotec assumed Hiab's lease, minimum insurance established at \$5,000,000 for commercial general liability
- AIG to Highstar Capital L.P. in 2011 for the consideration detailed in the Response to Interrogatory No. 1

The Port Authority further responds that it is currently aware of one preliminary request for a change of control that was initially considered by the Port Authority, but which never reached the stage of formal approval or denial.

12. Describe in detail the reason or reasons that you decided to negotiate and agree to PNCT's Restructure Lease Agreement.

The Port Authority objects to Interrogatory No. 12 to the extent that it seeks more than the principal and material facts concerning negotiations with PNCT with respect to expansion of PNCT's marine terminal. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that it decided to negotiate and agree to PNCT's Restructured Lease Agreement because it was advantageous to the Port Authority, and to the Port of New York and New Jersey as a whole. The benefits of the Restructured Lease Agreement to the Port Authority included a \$500 million capital investment by PNCT in its facility, additional financial benefit of up to \$177 million to the Port Authority from increased

throughput, and the opportunity to create additional jobs and regional economic activity. In connection with the negotiation and execution of the Restructured Lease Agreement, the Port Authority negotiated a port-wide throughput guaranty with MSC that provides for guaranteed container volume through the Port, escalating to over 11 million containers by 2030.

- 23 Describe in detail your decision to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work, for other purposes, including further expansion of APM's container terminal capacity.

The Port Authority objects to this request as vague, ambiguous, and confusingly worded such that it is not sure what is being asked. The Port Authority does not understand what Complainant means by the reference to the Port Authority's "*decision to provide construction financing, in amounts equal to or exceeding the amounts contemplated in EP-248 for the cost of APM's deferred work, for other purposes.*" The Port Authority also objects to the extent that the interrogatory does not specify to what entity or individual the Port Authority is allegedly providing construction financing. Additionally, the Port Authority does not understand what Complainant means by the "*further expansion of APM's container terminal capacity*." Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that pursuant to its lease with APM, EP-248, the Port Authority agreed to provide approximately \$ 174 million to APM in funding for certain Class A and Class B Work as defined under EP-248. EP-248 did not specify amounts of funding which had to be used on either Class A or Class B work. Nor did EP-248 require that the funding had to be entirely used. Subject to the above statements and objections, the Port Authority responds that it has not provided construction financing to APM in amounts exceeding the funding contemplated in EP-248, and has not approved the use of such funding for any purposes other than those provided for

- 28 Identify the PANYNJ persons known to you to have knowledge concerning the following subjects and where more than one person has knowledge concerning a subject, list all such persons and further specify the person who is most knowledgeable:
- a. The interactions, negotiations and agreements with PNCT, MSC, and TIL that are the subject of the Complaint;
 - b. PANYNJ's practice, policy or procedure pertaining to financial consideration for consent for transfers or changes of ownership or control interests involving marine terminal operator leases, and PANYNJ's implementation and/or decisions regarding the same subject, that are the subject of the Complaint;
 - c. PANYNJ's practice, policy or procedure pertaining to deferral of required capital expenditures and approval of PANYNJ construction financing for additional terminal capacity expansion, and PANYNJ's implementation and/or decisions regarding the same subject, including, but not limited to, Maher and APM, that are the subject of the Complaint;
 - d. PANYNJ's practice, policy or procedure pertaining to leasing the terminal that is the subject of the Global lease, and PANYNJ's implementation and/or decisions regarding the same subject, including, but not limited to, consideration of perspective tenants, communications and consideration of Maher, and basis for excluding from the definition of Qualified Transferee entities that directly or indirectly own a controlling interest in any other PANYNJ marine terminal, that are the subject of the Complaint;
 - e. PANYNJ's practice, policy or procedure pertaining to the following leasing, lease renewal, and lease modification practices that are the subject of the Complaint: (i) seeking general releases and/or waivers of claims, including to release PANYNJ from potential violations of the Shipping Act, (ii) seeking liquidated damages provisions that are excessive and/or are designed to trigger if Shipping Act claims are brought against PANYNJ and (iii) seeking to establish future lease renewal and/or extension rates in advance in a manner not reasonably related to the cost of services provided, and PANYNJ's implementation and/or decisions regarding the same subject.

The Port Authority objects to this interrogatory to the extent it requires the Port Authority to interpret the subject matter of Maher's Complaint. As detailed in the Port Authority's Motion to Dismiss and Stay filed on April 26, 2012 as well as in the Port Authority's answers to Interrogatory Numbers 7, 8, 15, 16, 19, 20, 22, 23, 24, 25 and 27, the Complaint and the actions Maher points to as pertaining to the subject of the Complaint are vague, ambiguous, insufficiently detailed and confusingly worded. The Port Authority is therefore not sure what

is being asked and is unable to answer this interrogatory fully. The Port Authority also objects on the grounds that the person “*who is most knowledgeable*” about any general topic may not be the most knowledgeable regarding certain details within that topic. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds as follows below, with the knowledgeable individuals organized by the applicable subsection designation and individuals who are most knowledgeable indicated in italics. The Port Authority reserves its right to supplement or change individuals on this list as discovery is ongoing and/or if Maher clarifies the subject matter of its Complaint.

a. *Steve Borrelli*, Pat Duemig, Dennis Lombardi, Richard Larrabee, Charles Huang, Jason Kirin, Wayne Rakoski, Andrew Saporito, Marios Philis, Fernando Martinez

b. *Dennis Lombardi*, Jason Kirin, Robert Evans, Steve Borrelli, William Ellis, Richard Larrabee, Peter Zantal

c. The Port Authority objects to this interrogatory subpart as ambiguous, vague and confusingly worded. The Port Authority does not understand what is meant by “*additional terminal capacity expansion*” and accordingly does not understand what is meant by “*PANYNJ’s implementation and/or decisions regarding the same subject, including, but not limited to Maher and APM.*” The Port Authority is therefore not sure what is being asked and is unable to answer this interrogatory subpart fully. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that the knowledgeable individuals regarding its practice, policy or procedure pertaining to deferral of required capital expenditures and approval of Port Authority construction financing for Maher and APM are as follows. *Robert Evans*, Dennis Lombardi

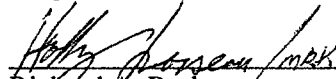
d. *Steve Borrelli*, Dennis Lombardi, Jason Kiriin, Ann Marie Clancy, Charles Huang

e The Port Authority objects to the characterization of its leases' general releases and/or waivers as "including to release PANYNJ from potential violations of the Shipping Act." The Port Authority also objects to the characterization of its lease liquidated damages provisions as "excessive and/or are designed to trigger if Shipping Act claims are brought against PANYNJ " The Port Authority also objects to the characterization that it seeks "to establish future lease renewal and/or extension rates in advance in a manner not reasonably related to the costs of services provided." The Port Authority also objects to this interrogatory subpart to the extent it assumes there are, or is a requirement to have, specific practices or procedures with respect to these provisions rather than case-by-case consideration of reasonable and fair terms. Subject to and without waiving the foregoing objections, the Port Authority identifies Dennis Lombardi as a person known to have knowledge concerning the subjects identified in 28(e).

Dated. July 12, 2012

As to Objections

Respectfully submitted,

A handwritten signature in dark ink, appearing to read "Holly E. Loiseau / mek", is written over a horizontal line.

Richard A. Rothman

Kevin F Meade

Marcie Kaufman

WEIL, GOTSHAL & MANGES LLP

767 Fifth Avenue

New York, New York 10153

Peter D Isakoff

Holly E. Loiseau

WEIL, GOTSHAL & MANGES LLP

1300 Eye Street, NW

Suite 900

Washington, DC 20005

*Attorneys for The Port Authority of New
York and New Jersey*

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

**MAHER TERMINALS, LLC
COMPLAINANT**

V.

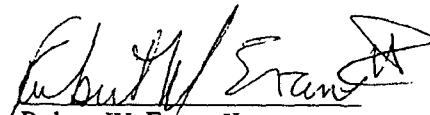
**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

CORPORATE VERIFICATION

I, Robert W Evans II, declare as follows:

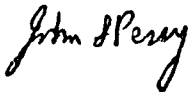
I am the Acting Manager, Leasing & Property Development Division, Port Commerce Department at The Port Authority of New York and New Jersey, and I have reviewed and am familiar with the contents of The Port Authority of New York and New Jersey's Amended and Supplemental Objections and Responses to Complainant's First Set of Interrogatories (the "Amended Responses"). I further declare that I believe that the matters set forth in the Amended Responses are true and correct, but I do not have personal knowledge of all of the facts contained in the Amended Responses, and with respect to some facts, I have been informed that they are true and I base my belief as to the accuracy of the Amended Responses on such information.

I declare under penalty of perjury that this Corporate Verification was executed by me on July 12, 2012. The foregoing is true and correct.


Robert W Evans II

Sworn to me on this 12th day of July 2012.

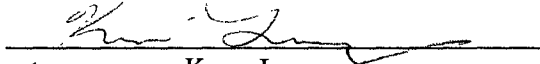
Sworn & Subscribed Before Me
This 12 Day Of July 20 12



CERTIFICATE OF SERVICE

I hereby certify that I have this day served the Port Authority of New York and New Jersey's Amended and Supplemental Objections and Responses to Complainant's First Set of Interrogatories upon the persons listed below via Federal Express and e-mail.

<u>Via Federal Express and E-mail.</u> Lawrence I. Kiern Bryant E. Gardner Gerald A. Morrissey III Rand K. Brothers Winston & Strawn LLP 1700 K Street, NW Washington, DC 20006	Dated at New York, NY this 12th day of July, 2012
---	--



Kami Lizarraga

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

MAHER TERMINALS, LLC

COMPLAINANT

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**COMPLAINANT’S REVISED FIRST REQUEST
FOR PRODUCTION OF DOCUMENTS
FROM THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY**

Per the Presiding Officer’s January 29, 2016 Scheduling Order, Complainant, Maher Terminals, LLC (“Maher”), by undersigned counsel, hereby propounds the following Requests for Production of Documents (these “Requests”) upon Respondent, The Port Authority of New York and New Jersey (“PANYNJ”) PANYNJ shall produce the documents requested and otherwise respond to these requests separately, fully, and in writing on March 17, 2016 per the Scheduling Order, unless otherwise agreed by the parties, and in accordance with the Federal Maritime Commission (“FMC”) Rules of Practice and Procedure (the “Rules”), and thereafter supplement such responses as and when required by the Rules, to be updated through the date of hearing.

INSTRUCTIONS

1 If you object to any Request or part thereof on the claim of privilege, you must nevertheless provide the following information pursuant to Federal Rule of Civil Procedure 26(b)(5)

- a. the nature of the privilege claimed (including work product),
- b. if the privilege is being asserted in connection with a claim or defense governed by State law, the privilege rule being invoked,
- c. the date of the document or oral communication,
- d. if a document: its type (correspondence, memorandum, facsimile, etc.), custodian, location, and such other information sufficient to identify the document for a subpoena *duces tecum* or a document request, including where appropriate the author, the addressee, and, if not apparent, the relationship between the author and addressee;
- e. if an oral communication the place where it was made, the names of the persons present while it was made, and, if not apparent, the relationship of the persons present to the declarant; and
- f. the general subject matter of the document or oral communication.

2 You are under a continuous obligation to supplement your answers to these Requests under the circumstances specified in Rule 201(k)

3 To the extent that you consider any of the Requests objectionable, answer so much of each Request and each part thereof as is not objectionable in your view and separately identify the part thereof as to which you raise objection and each ground for each such objection.

4 Where documents in your possession or control are requested, each Request includes documents not only in your possession, but also documents over which you have control, including documents in the possession of your employees, contractors, subcontractors, agents, attorneys, advisors, consultants, representatives, and experts.

5 Unless otherwise specified, these Requests shall be limited to documents prepared or obtained during the period from 2005 to the present.

6 All documents shall be produced as they are kept in the usual course of business. Individual files shall be produced separately and labeled to identify the person from whose files they are produced.

7 All documents shall be produced with each page identified by Bates number

8 Electronic data should be produced in the form of a TIFF with metadata attached in the format agreed by the parties in this proceeding, as set forth in Part I of Maher's May 14, 2012, Rule 201 Report. In addition, all electronic data should be preserved in native format without alteration or deletion of data, including metadata.

DEFINITIONS

As used herein, the following definitions apply

"Agent" shall mean. any agent, advisor, consultant, employee, officer, director, attorney, independent contractor, subcontractor, representative, or any other person acting at the direction of or on behalf of another

"Agreement of Lease EP-249" or "EP-249" shall mean the agreement between PANYNJ and Maher dated as of October 1, 2000 and filed with the FMC as FMC Agreement No 201131

APM Terminals North America (“APM” or “APMT”) is the successor in interest to Maersk Container Service Company, Inc. and is a marine terminal operator that operates a marine terminal in Elizabeth, New Jersey pursuant to a lease agreement with PANYNJ

A.P. Moeller-Maersk A/S (“A.P. Moeller-Maersk”) is a company incorporated in Denmark, including any of its affiliates, subsidiaries, or related companies, with which PANYNJ has done business including entering into certain consent agreements and releases pertaining to among other things PNCT, APMT, and the former Sea-Land marine terminal at Elizabeth, New Jersey

“Communication” includes, but is not limited to, correspondence, telephone calls, facsimiles, electronic mail (“e-mail”), and meetings, and records of such communications, including but not limited to transcripts, notes, records, memoranda, and recordings of such communications, in whole or in part.

“Complaint” shall mean the Complaint Maher filed in this proceeding.

“Complainant” shall mean Maher

“Date” shall mean the exact date, month and year, if ascertainable or, if not, the best approximation of the date based upon the relationship with other events.

The term “document” means any written or any other tangible thing of every kind and description, however produced or reproduced, whether draft or final, in the actual or constructive possession, custody or control of PANYNJ, original or reproduction, including but not limited to letters, correspondence, notes, films, transcripts, telegrams, teletype messages, contracts and agreements including drafts, proposals, any and all modifications thereof, licenses, notes, transcripts and recordings of telephone conversations or personal conversations, microfilm,

microfiche, books, newspapers, magazines, advertisements, periodicals, bulletins, circulars, pamphlets, statements, notices, memoranda (including inter and intra office memoranda, memoranda for file, pencil or pen jotting, diary entries, desk calendar entries, expense accounts, recorded recollections and any other written form of notation of events thereto, draft minutes, resolutions and agendas), expressions and/or statements of policy, lists of persons attending meetings and conferences, reports, rules, regulations, directions, communications, interoffice communications, reports, financial statements, tax returns, ledgers, books of account, proposals, prospectuses, offers, orders, receipts, analyses, audits, working papers, computations, projections, tabulations, financial records, blueprints, plans, writings, drawings, graphs, charts, photographs, phono-records and other data computations from which information can be obtained (translated, if necessary, into reasonably usable form), invoices, receipts, working papers, desk calendars, appointment books, diaries, time sheets, logs, movies, tapes for visual audio reproduction, recordings, computer tapes and discs, electronic media, reports and/or summaries of investigations, opinions and/or reports of consultants, appraisals, reports and/or summaries of negotiations, proposals, presentations, "e-mail," electronic mail, text messages, voice mail or material similar to any of the foregoing, however denominated. The term "document" shall also include all copies of each document if the copies contain any additional writing or are not identical copies of the originals.

Global Terminal & Container Services, LLC ("Global") is a marine terminal operator that operates a marine terminal at Jersey City, New Jersey pursuant to a lease agreement with PANYNJ

New York Container Terminal (“NYCT”) is a marine terminal operator that operates a marine terminal in Staten Island, New York pursuant to a lease agreement with PANYNJ, (formerly Howland Hook).

“Person” shall mean any individual, corporation, company proprietorship, partnership, trust, association, or any other juridical or natural person.

The words “pertain to” or “pertaining to” mean relates to, refers to, contains, concerns, describes, embodies, mentions, constitutes, constituting, supports, corroborates, demonstrates, proves, evinces, shows, refutes, disputes, rebuts controverts or contradicts.

Port Newark Container Terminal (“PNCT”) is a marine terminal operator that operates a marine terminal in Port Newark, New Jersey pursuant to a lease agreement with PANYNJ

The term “proceeding” shall mean this proceeding before the FMC captioned above, *Maier Terminals, LLC v The Port Authority of New York and New Jersey*, FMC Dkt. No 12-02.

The term “third party” or “third parties” refers to individuals or entities that are not a party to this proceeding.

Terminal Investment Ltd. (“TIL”) is a container terminal investment company affiliated with Mediterranean Shipping Company

The words “you,” “yours” and/or “yourselves” means PANYNJ and any Commissioners, directors, the Executive Director, officers, employees, agents, attorneys, advisors, consultants, representatives, or other persons acting, or purporting to act, on PANYNJ’s behalf.

The use of the past tense shall include the present tense, and the use of the present tense shall include the past tense, so as to make the request inclusive rather than exclusive.

The singular shall include the plural and vice versa, the terms “and” or “or” shall be both conjunctive and disjunctive; and the term “including” shall mean “including without limitation.”

Unless otherwise defined, all words and phrases used in this Request For Production of Documents shall be accorded their usual meaning as defined in the Merriam-Webster online dictionary, <http://www.merriam-webster.com>.

REQUEST FOR PRODUCTION OF DOCUMENTS

In accordance with the Instructions and Definitions set out above, PANYNJ is hereby requested to identify and produce all of the following documents.

- 1 All documents pertaining to PANYNJ’s contemplated consent to a change of control or ownership of Maher after the 2007 Maher change of control to the present and any consent fee or other consideration contemplated in exchange for such consent.
2. All documents pertaining to your alleged defense “The claims for relief asserted by Complainant, in whole or in part, fail to state facts sufficient to constitute a claim for relief against the Port Authority ”
- 3 All documents pertaining to your alleged defense “The claims for relief asserted by Complainant are barred, in whole or in part, because the Port Authority’s actions were justified since it acted in accordance with the Shipping Act.”
- 4 All documents pertaining to your alleged defense “The claims for relief asserted by Complainant are barred, in whole or in part, by the applicable statute of limitations.”

- 5 All documents pertaining to your alleged defense “The claims for relief asserted by Complainant are barred, in whole or in part, by collateral estoppel.”
- 6 All documents pertaining to your defense “The claims for relief asserted by Complainant are barred, in whole or in part, based on Complainant’s lack of standing.”
- 7 All documents pertaining to your alleged defense: “The claims for relief asserted by Complainant are barred, in whole or in part, for lack of ripeness.”
8. All documents pertaining to your communications, deliberations, analyses, determinations, negotiations, practices, actions, inactions and omissions pertaining to the acts and allegations which are the subject of Counts I, VI, VIII, or XII of the Complaint.
- 9 All of your rules, regulations, policies, procedures, or practices pertaining to the allegations of Counts I, VI, VIII, or XII of the Complaint.
- 10 All documents pertaining to establishing, observing, and enforcing your rules, regulations, policies, procedures, or practices that are the subject of the allegations of Counts I, VI, VIII, or XII of the Complaint. (This request is not subject to the time limitation of 2005 to the present that is otherwise generally applicable to the requests.).
- 11 All documents pertaining to the letting or redevelopment of the marine terminal facility which is the subject of the PANYNJ lease agreement with Global (Lease No LPJ-001), including, but not limited to, communications, meetings, notes, proposals, term sheets, deliberations, concerns, issues, analyses, models,

projections, negotiations, Board recommendations, discussions, resolutions, consents, approvals, summaries, or documents related to or referenced in the lease agreement with Global (Lease No LPJ-001)

- 12 All documents pertaining to PANYNJ's alleged refusal to deal with Maher, which is the subject of the Complaint concerning the letting and/or redevelopment of the marine terminal facility subject to the PANYNJ lease agreement with Global (Lease No LPJ-001)
- 13 All documents pertaining to your rules, regulations, policies, practices, or procedures for dealing with or refusing to deal with existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global (Lease No LPJ-001)
- 14 All documents pertaining to your rules, regulations, policies, practices, or procedures related to "Qualified Transferees" and existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global (Lease No LPJ-001)
- 15 All documents pertaining to any PANYNJ practice, policy, substantive standard, or procedure for making "appropriate recommendations for Board consideration and action" or for taking any other action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests." This request

is not subject to the time limitation of 2005 to the present generally applicable to these Requests.

- 16 All documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution “Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests,” including, but not limited to, any “report and appropriate recommendations for Board consideration and action,” any documents forming the basis of any such report and recommendations, documents of analyses, deliberations, calculations, models and decisions (including decisions to approve, deny or neither approve nor deny), documents concerning negotiations with respect to any such transfer or change of ownership or control interest, and documents reflecting requirements or conditions of decisions, including but not limited to any payments or the providing of any economic consideration to PANYNJ

- a. This request is not subject to the time limitation of 2005 to the present that is otherwise generally applicable to these Requests, and for the avoidance of doubt, includes marine terminal operator leases with respect to Sealand, Maher, Maersk, Universal Maritime (UMS), Howland Hook, and PNCT prior to February 22, 2007

- 17 All documents pertaining to any PANYNJ practice, policy, substantive standard, or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or

control interests involving marine terminal operator leases with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution “Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests.”

18. All documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution “Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests,” including any reports or recommendation for consideration or action, documents forming the basis of any such report or recommendations, documents of analyses, deliberations, calculations, models and decisions (including decisions to approve, deny or neither approve nor deny), documents concerning negotiations with respect to any such transfer or change of ownership or control interest, and documents reflecting requirements or conditions of decisions, including but not limited to any payments or the providing of any economic consideration to PANYNJ and all “executed agreements and other documents necessary to effectuate a Tenant Facility Change.”

- a. For the avoidance of doubt, this request includes marine terminal operator leases with respect to PNCT, NYCT, APM, Maher, and Global after February 22, 2007

- 19 All documents pertaining to the regulations, rules, practices, policies, and procedures that you observed in establishing and/or implementing any consent or transfer fees policy (including not only cash payments, but also terminal investment requirements, security deposits, etc.).

- 20 All documents pertaining to your calculation of consent fees and other consideration for your consent to a change of ownership or control and your bases for requiring them.
- 21 All documents pertaining to your decisions not to require consent fees and other consideration for your consent to a change of ownership or control of any marine terminal and your bases or legitimate business reasons for not requiring them.
22. All documents pertaining to whether or not your actions that are the subject of Counts I, VI, VIII, or XII of the Complaint in this proceeding violate the Shipping Act.
- 23 The résumé, engagement agreement, fee arrangement, invoices, and reports, including information the expert relies upon in forming opinions, of any and all experts or consultants retained by PANYNJ pertaining to Counts I, VI, VIII, or XII of the Complaint.
- 24 All communications, including all documents pertaining to the subject matter of Counts I, VI, VIII, or XII of the Complaint not covered by the foregoing requests.

February 16, 2016

Respectfully submitted,

/s/ Lawrence I. Kiern
WINSTON & STRAWN LLP
Lawrence I. Kiern
Bryant E. Gardner
Gerald A. Morrissey III
Rand K. Brothers
Brooke F. Shapiro
1700 K Street, N.W.
Washington, D.C. 20006-3817
(202) 282-5811
lkiern@winston.com
bgardner@winston.com
gmorrissey@winston.com
rbrothers@winston.com
bfshapiro@winston.com

CERTIFICATE OF SERVICE

I hereby certify that on this 16th day of February 2016, a copy of the foregoing was served by electronic mail on the following:

Peter D Isakoff
WEIL, GOTSHAL & MANGES LLP
1300 Eye Street, NW
Suite 900
Washington, DC 20005

Richard A. Rothman
Jared R. Friedman
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, NY 10153

/s/ Brooke F. Shapiro

Brooke F Shapiro

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

MAHER TERMINALS, LLC

COMPLAINANT

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**COMPLAINANT'S REVISED FIRST SET OF INTERROGATORIES
PROPOUNDED ON THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY**

Per the Presiding Officer's January 29, 2016 Scheduling Order, Complainant, Maher Terminals, LLC ("Maher"), by undersigned counsel, hereby propounds the following Interrogatories upon Respondent, The Port Authority of New York and New Jersey ("PANYNJ"), pursuant to Rule 205 of the Federal Maritime Commission Rules of Practice and Procedure (the "Rules") PANYNJ shall answer each Interrogatory separately and fully in writing under oath in accordance with the following instructions and definitions, unless it is objected to, in which event the reasons for objection shall be stated in lieu of an answer. The answers are to be signed and verified by the person making them, and the objections signed by the attorney making them.

The answers should include all information known by PANYNJ or available to PANYNJ directly or through agents, representatives, or attorneys as of the date of verification. Answers are due March 17, 2016, unless otherwise agreed by the parties in accordance with the

Scheduling Order issued January 29, 2016, and PANYNJ must thereafter supplement such responses as and when required by the Rules, to be updated through the date of hearing.

INSTRUCTIONS

1 All Interrogatories should be verified and answered on the basis of your knowledge, including that of your representatives, agents, and, unless privileged, attorneys. Each answer should identify all persons involved or assisting in the response to that Interrogatory, including but not limited to the person from whom the information contained in each answer was obtained. If you cannot answer any Interrogatory on the basis of your personal knowledge, please answer the Interrogatory on the basis of your information and belief; all such responses, however, should indicate that the answer is based on your information and belief, rather than your personal knowledge.

2 If you cannot answer an Interrogatory after conducting a reasonable investigation, please so state and answer to the extent you can, stating what information you cannot provide and stating what efforts you have made to obtain the requested information.

3 If you contend that the answer to any Interrogatory is privileged, in whole or in part, or if you otherwise object to any part of the Interrogatory, please identify the nature of the privilege which is being claimed, if the privilege is being asserted in connection with a claim or defense governed by State law, set forth the privilege rule being invoked, and identify each person having knowledge of the factual bases on which the privilege or other objection is asserted

4 If you object to, or otherwise decline to respond to any portion of an Interrogatory, please answer that portion of the Interrogatory to which you do not object or to which you do not decline to answer. If you object to an Interrogatory on the ground that it is too

broad (i.e., that it requests information which is relevant to the subject matter of the action and information which is not), please answer the Interrogatory to the extent that it is concededly relevant. If you object to an Interrogatory on the ground that to answer the Interrogatory would constitute an undue burden, please answer the Interrogatory to the extent that it can be answered without undertaking an undue burden.

5 You are under a continuous obligation to supplement your answers to the Interrogatories under the circumstances specified in Rule 201(k)

6 Unless otherwise specified, the Interrogatories are intended to be limited to the period from 1997 to the present.

DEFINITIONS

As used herein, the following definitions apply

“AIG” shall mean American Insurance Group, Inc. and its affiliates.

“Agent” shall mean. any agent, employee, officer, director, attorney, independent contractor or any other person acting at the direction of or on behalf of another

“Agreement of Lease EP-249” or “EP-249” shall mean the agreement between PANYNJ and Maher dated as of October 1, 2000 and filed with the FMC as FMC Agreement No 201131

APM Terminals North America (“APM” or “APMT”) is the successor in interest to Maersk Container Service Company, Inc and is a marine terminal operator that operates a marine terminal in Elizabeth, New Jersey pursuant to a lease agreement with PANYNJ

A.P. Moeller-Maersk A/S (“A.P. Moeller-Maersk”) is a company incorporated in Denmark, including any of its affiliates, subsidiaries, or related companies, with which PANYNJ has done business including entering into certain consent agreements and releases pertaining to

reports and/or summaries of negotiations, proposals, "e-mail," electronic mail, text messages, voice mail or material similar to any of the foregoing, however denominated. The term "document" shall also include all copies of each document if the copies contain any additional writing or are not identical copies of the originals.

"FMC Agreement No. 201131" is also known as "Agreement of Lease EP-249" or "EP-249" and shall mean the agreement between PANYNJ and Maher dated as of October 1, 2000 and filed with the FMC.

Global Terminal & Container Services, LLC ("Global") is a marine terminal operator that operates a marine terminal at Jersey City, New Jersey pursuant to a lease agreement with PANYNJ.

"Highstar Capital L.P." shall mean the independent, owner-operated investment fund manager, based in New York, NY, and its affiliates.

The terms "identify" or "state the identity of" mean as follows.

- a. When used to refer to a non-natural person, provide the entity's full name, address of its main office or principal place of business, all addresses used by the entity, its state of incorporation, if any, phone number of its principal place of business, and phone number for each address used by the entity.
- b. When used to refer to a natural person who is not an expert witness expected to be called at hearing, provide his full name, occupation, present employer, business address and telephone number, and his home address and telephone number and a summary of the anticipated testimony from such person, if any.
- c. When used to refer to a natural person who is expected to be called as an expert witness at hearing, provide all information required of a natural person who is not

an expert witness pursuant to subsection b above, and in addition state said witness's field of expertise and qualifications as an expert.

- d. When used to refer to a "document," state the date of the document; its title, if any; specify the author and each person who participated in preparing the document; the person or persons to whom it is addressed, the person or persons who were intended to receive one or more copies of all or part of the document at or about the time it was sent or delivered to its intended recipient; and specify each person who presently has possession, custody or control of the original and/or any copies of the document.
- e. When used to refer to a "communication," state the date of the communication, the mode of communication (face-to-face discussion, telephone conversation, memorandum, letter, etc.), specify the person conveying information (the communicator), specify the person to whom the communication was directed and the persons to whom copies of the communication, if any, were sent, summarize the substance of the communication, and identify all witnesses to the communication.

"Legitimate business reason" has the meaning employed in the January 30, 2015 Initial Decision Granting Motion to Dismiss in this proceeding.

"MSC" shall mean the ocean carrier Mediterranean Shipping Company and its affiliates.

New York Container Terminal ("NYCT") is a marine terminal operator that operates a marine terminal in Staten Island, New York pursuant to a lease agreement with PANYNJ, (formerly Howland Hook)

"OOIL" shall mean Orient Overseas (International) Limited and affiliated entities.

“Person” shall mean any individual, corporation, proprietorship, partnership, trust, association, or any other entity

The words “pertain to” or “pertaining to” shall mean. relates to, refers to, contains, concerns, describes, embodies, mentions, constitutes, constituting, supports, corroborates, demonstrates, proves, evidences, shows, refutes, disputes, rebuts controverts or contradicts.

Port Newark Container Terminal (“PNCT”) is a marine terminal operator that operates a marine terminal in Port Newark, New Jersey pursuant to a lease agreement with PANYNJ

The term “proceeding” shall mean this proceeding before the FMC captioned above.

The term “third party” or “third parties” refers to individuals or entities that are not a party to this proceeding.

Terminal Investment Ltd. (“TIL”) is a container terminal investment company affiliated with Mediterranean Shipping Company

The words “you,” “yours” and/or “yourselves” mean PANYNJ and any Commissioners, directors, the Executive Director, officers, employees, agents, attorneys, advisors, representatives, or other persons acting, or purporting to act, on PANYNJ’s behalf or providing it advice.

The use of the past tense shall include the present tense, and the use of the present tense shall include the past tense, so as to make the request inclusive rather than exclusive.

The singular shall include the plural and vice versa, the terms “and” or “or” shall be both conjunctive and disjunctive; and the term “including” shall mean “including without limitation.”

Unless otherwise defined, all words and phrases used in these Interrogatories shall be accorded their usual meaning as defined in the Merriam-Webster online dictionary, <http://www.merriam-webster.com>.

INTERROGATORIES

In accordance with the Instructions and Definitions set out above, PANYNJ is hereby requested to answer the following Interrogatories.

1 Identify and describe in detail your communications pertaining to any consent fee or other consideration for a change of control or ownership of Maher contemplated after the 2007 Maher change of control to the present.

2 Identify and describe in detail your communications pertaining to the basis for calculating a consent fee or other consideration for any contemplated change of control or ownership of Maher after the 2007 Maher change of control to the present.

3 Describe in detail the basis and support for your alleged defense that “The claims for relief asserted by Complainant, in whole or in part, fail to state facts sufficient to constitute a claim for relief against the Port Authority ”

4 Describe in detail the basis for your alleged defense that “The claims for relief asserted by Complainant are barred, in whole or in part, because the Port Authority’s actions were justified since it acted in accordance with the Shipping Act.”

5 Describe in detail the basis for your alleged defense that “The claims for relief asserted by Complainant are barred, in whole or in part, by the applicable statute of limitations.”

6 Describe in detail the basis for your alleged defense that “The claims for relief asserted by Complainant are barred, in whole or in part, by collateral estoppel ”

7 Describe in detail the basis for your alleged defense that “The claims for relief asserted by Complainant are barred, in whole or in part, based on Complainant’s lack of standing.”

8 Describe in detail the basis for your alleged defense that “The claims for relief

asserted by Complainant are barred, in whole or in part, for lack of ripeness.”

9 Describe in detail each actual, proposed, or contemplated change of control consent (“change of control consent”) in the Port of New York and New Jersey since 1997 to the present, including but not limited to

- a. the date of the change of control consent;
- b. the consent fee or consideration that PANYNJ required,
- c. the basis for the consent fee or consideration, whether legitimate business reasons or otherwise;
- d. how the consent fee or consideration was calculated, and
- e. the specific sections or portions of agreements between PANYNJ and the marine terminal operator or its affiliate setting forth the terms or the change of control and consent fee or consideration provided therefor

10 To the extent that your list of described changes of control or ownership does not include any of the following changes of control or ownership, please explain why not:

- a. Those pertaining to APMT,
- b. In or around 2005 PNCT contemplated a change in control or ownership interest with respect to A.P. Møller-Maersk’s acquisition of P&O Nedlloyd Container Line;
- c. PNCT change(s) in control or ownership interest in or around 2006 or 2007 among P&O Ports, DP World, and/or AIG, Highstar Capital L.P., or their affiliates,

- d. Change in control or ownership interest resulting in Highstar Capital, L.P., TIL and/or MSC control or ownership of PNCT in or around 2010/2011,
- e. In or around 2013 PNCT contemplated a change in control or ownership interest with respect to Global Infrastructure Partners' acquisition of a 35% ownership interest in TIL,
- f. In or around 2006 or 2007 NYCT contemplated a change in control or ownership interest from OOIL to the Ontario Teachers Pension Fund,
- g. Maher change in control or ownership interest in 2007, and
- h. In May 2012, "one preliminary request for a change of control that was initially considered by the Port Authority, but which [then had] never reached the stage of formal approval or denial."

11 With respect to the PNCT change(s) in control or ownership resulting in Highstar Capital, L.P., TIL, or MSC control or ownership of PNCT in or around 2010/2011, describe in detail what consideration, specifically, was agreed in exchange for PANYNJ's consent to the change of control or ownership, what of that has been paid or provided to PANYNJ, and what if any remains to be paid or provided.

12 With respect to the PNCT change(s) in control or ownership resulting in Highstar Capital, L.P., TIL, and/or MSC control or ownership of PNCT in or around 2010/2011, describe in detail what services, benefits, terminal investments, or projects, specifically, PANYNJ provided or will provide to PNCT in exchange for the consent fee paid or agreed to be paid to PANYNJ

13 With respect to the PNCT change(s) in control and/or ownership interest resulting

in Highstar Capital, L.P., TIL or MSC control or ownership of PNCT in or around 2010/2011, identify the specific agreement provisions setting forth PANYNJ's consent to the change of control or ownership and consideration provided therefor

14 Describe in detail the communications between PANYNJ and PNCT/AIG or their affiliates leading up to the change in control or ownership interest resulting in Highstar Capital, L.P., TIL and/or MSC control or ownership of PNCT in or around 2010/2011

15 With respect to the PNCT change in control or ownership interest resulting in Highstar Capital, L.P., TIL and/or MSC control or ownership of PNCT in or around 2010/2011, describe in detail how the agreement was structured in such a way as to allow for AIG to divest its ownership or control interests within five to seven years of acquiring it, including whether AIG/PNCT thereby secured multiple change of control consents for the price of one in 2006 or 2007 with respect to an unidentified future acquirer of AIG's PNCT interests, or others.

16 Describe in detail why multiple change of control consents for the price of one were not provided to Maher

17 Describe in detail PANYNJ's formal or informal practice, policy, substantive standard, or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ before the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests," and how it differed after adoption of the Resolution if at all. Such explanation should include not only what factors PANYNJ took into consideration in approving or not approving proposed changes of control, but specifically how those factors were or were not applied.

18 Describe in detail PANYNJ's "substantive standard" for determining consent fees including, but not limited to, requesting or not requesting payments or the providing of any economic consideration to PANYNJ, after the adoption of the PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests."

19 Describe in detail how PANYNJ actually applied its "substantive standard" for assessing consent fees for each change of control or ownership of marine terminal facilities since 1997

20 Describe in detail how, specifically, PANYNJ ensured that the entity acquiring control or ownership of a marine terminal in the Port of New York and New Jersey would commit to make the "appropriate capital investments in the facility," for each change of control or ownership of marine terminal facilities since 1997

21 Describe in detail the legitimate business reasons, if any, for the specific consent fees and other consideration sought for each of the transfers or changes of ownership or control interests involving marine terminal operator leases since 1997, or if no consent fees or consideration were sought, the legitimate business reasons why not, if any

22. Describe in detail how consent fees and consideration required since 1997 have been applied (or were intended) to recover PANYNJ's specific expenditures on the port, including whether and how they were allocated, correlated, or otherwise attributed to the expenditures on the specific facility subject to the change of control fee

23 Describe in detail what terminal investments or other projects constitute the \$3.8 billion in expenditures which PANYNJ levied the consent fees to recover, and which consent fees correlate to, are attributed to, or are justified by, which specific expenditures or projects making up the \$3.8 billion in expenditures.

24 Describe in detail whether PANYNJ has charged consent fees to recover terminal investments made on terminals other than those undergoing the change of control or ownership for which the consent fee was charged.

25 Describe in detail whether PANYNJ has applied its consent fees levied since February 22, 2007 to recover services and terminal investments provided to other port users dating back to the period 1948-February 21, 2007

26 Describe in detail the principal and material facts of any formula, model, calculation or other basis that has been used to determine consent fees and consideration, how you have applied any such basis, and any determination by PANYNJ of the reasonableness under the Shipping Act of such basis or application thereof. To the extent PANYNJ contends that the answer to this Interrogatory intrudes upon or calls for the disclosure of privileged attorney-client communications, please identify and describe such communications.

27 With respect to each marine terminal change of ownership or control since PNCT's transfer of ownership or control to AIG, describe in detail how specifically PANYNJ has determined the consent fee based on the amount of PANYNJ investments "scaled in comparison to the final outcome of PNCT's transfer of control to AIG "

28 Describe in detail how, specifically, PANYNJ determined the consent fee applicable to PNCT's transfer of control to AIG which it used to determine subsequent consent fees "scaled in comparison"

29 Describe in detail what "appropriate modifications" PANYNJ made to the PNCT/AIG consent fee in order to determine other consent fees, how it determined such "appropriate modifications," and the legitimate business reasons therefor, if any

30 Identify and describe in detail each of the instances where "[s]eeking payments,

increased investment obligations, or an increased security deposit [was] meant” by PANYNJ “in instances where private parties were deriving significant capital gains from increases in the value or productivity of Port Authority controlled land and facilities, to return a portion of the Port Authority’s significant investment in the Port to the Port and to offset the need for increases in Port revenue collection.”

31 Describe in detail why the consent fee for “PNCT’s transfer of control to AIG was the first transaction that required significant payments or consideration” and why prior change of control or ownership transactions did not require significant payments or consideration.

32. Describe in detail your rules, regulations, practices, or procedures for dealing with or refusing to deal with existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g., the PANYNJ lease agreement with Global (Lease No LPJ-001), and the legitimate business reasons for such rules, regulations, practices, or procedures.

33 Describe in detail why the Qualified Transferee provision in the Global agreement was required to induce Global’s lenders to consent to the conversion of their fee simple mortgage over the land Global owned into a leasehold mortgage.

34 Describe in detail PANYNJ’s legitimate business reason or other basis, if any, for PANYNJ’s application of the Qualified Transferee provision to impose the ability to review transfers for any potential anticompetitive impacts on the region and other operators, and how the application of the Qualified Transferee provision imposes the ability to ensure such review by PANYNJ

35 Describe in detail why the Qualified Transferee provision applied only to *existing* marine terminal operators in the port and what was the legitimate business reason, or other

purpose, for applying it only to *existing* marine terminal operators at the port.

36 Describe in detail how the Qualified Transferee provision comports with PANYNJ's "practice and procedure to negotiate leases that comply with all applicable laws and regulations, including the Shipping Act." To the extent PANYNJ contends that the answer to this Interrogatory intrudes upon or calls for the disclosure of privileged attorney-client communications, please identify and describe such communications.

37 Describe in detail your policies, practices, and procedures to ensure the just and reasonable treatment of marine terminal operators in the application of your consent fee practices, the letting of facilities in the port, and the exclusion of existing marine terminal operators from opportunities to acquire or let facilities in the port. To the extent PANYNJ contends that the answer to this Interrogatory intrudes upon or calls for the disclosure of privileged attorney-client communications, please identify and describe such communications.

38 Describe in detail any principal and material facts showing that PANYNJ's practices, policies, procedures, or lack thereof, and actions or inactions that are the subject of the Complaint in this proceeding comply with the Shipping Act, including but not limited to, the principal and material facts of any justifications of the differences in treatment PANYNJ accorded to Maher relative to other the marine terminal operators as applicable to Counts I, VI, VIII, or XII of the Complaint, and the principal and material facts that any such justifications do not exceed what is necessary to achieve a valid transportation purpose justifying the differences.

February 16, 2016

Respectfully submitted,

/s/ Lawrence I. Kiern
WINSTON & STRAWN LLP
Lawrence I. Kiern
Bryant E. Gardner
Gerald A. Morrissey III
Rand K. Brothers
Brooke F. Shapiro
1700 K Street, N.W.
Washington, D.C. 20006-3817
(202) 282-5811
lkiern@winston.com
bgardner@winston.com
gmorrissey@winston.com
rbrothers@winston.com
bfshapiro@winston.com

CERTIFICATE OF SERVICE

I hereby certify that on this 16th day of February 2016, a copy of the foregoing was served by electronic mail on the following:

Peter D Isakoff
WEIL, GOTSHAL & MANGES LLP
1300 Eye Street, NW
Suite 900
Washington, DC 20005

Richard A. Rothman
Jared R. Friedman
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, NY 10153

/s/ Brooke F. Shapiro
Brooke F Shapiro

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

MAHER TERMINALS, LLC

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY'S
OBJECTIONS AND RESPONSES TO THE COMPLAINANT'S FIRST REVISED
REQUEST FOR PRODUCTION OF DOCUMENTS**

Pursuant to §§ 502.201 and 502.206 of the Federal Maritime Commission Rules of Practice and Procedure, and Rules 26 and 34 of the Federal Rules of Civil Procedure, Respondent The Port Authority of New York and New Jersey (the "Port Authority") hereby responds to Complainant's First Revised Request for Production of Documents (the "Requests") as follows.

GENERAL OBJECTIONS

1 The Port Authority objects to the definitions, instructions, and Requests to the extent that they attempt to impose obligations that exceed the scope of permissible discovery under the Federal Maritime Commission Rules of Practice and Procedure and, where applicable, the Federal Rules of Civil Procedure.

2. The Port Authority objects to the definitions, instructions, and Requests to the extent that they attempt to impose obligations that exceed the scope of discovery set forth in the Scheduling Order dated Jan. 29, 2016 (“Scheduling Order”) The Scheduling Order instructed the parties that discovery was to proceed in an “expeditious manner,” with each party limited to issuing “a revised Request that identifies prior discovery Requests that it asserts have not already been answered and that are relevant to the remaining issues.” Scheduling Order at 2.

3 The Port Authority objects to the Requests to the extent that they seek responses to Requests that are the subject of its Motion for a Protective Order, dated March 10, 2016

4 The Port Authority objects to the interrogatories to the extent that they are duplicative of discovery taken of the Port Authority in prior litigation between the Port Authority and Maher, including, but not limited to, *APM Terminals N Am., Inc. v Port Auth. of N Y & N.J.*, F.M.C. Docket 07-01, *Maier Terminals, LLC v The Port Authority of New York and New Jersey*, F.M.C. Docket 08-03, and *Maier v Port Auth. of N Y & N.J.*, No CIV 2.12-6090 KM (D.N.J).

5 The Port Authority objects to the Requests to the extent that they attempt to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in its initial discovery Requests in this matter

6 The Port Authority objects to the Requests to the extent that they seek to expand the temporal scope of discovery beyond the period set forth in Maher’s initial Requests. Unless otherwise noted, the Port Authority will produce documents from January 2005-March 2012

7 The Port Authority objects to the Requests to the extent that they go beyond what is “proportional to the needs of the case” as required by Fed. R. Civ P 26(b)(1).

8. The Port Authority objects to each instruction, definition, and document Request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege.

9 The Port Authority objects to each instruction, definition, and document Request as overbroad and unduly burdensome to the extent that it seeks documents or information that are readily or more accessible to Maher from Maher's own files, from documents or information in Maher's possession, or from documents or information that the Port Authority previously produced to Maher. Responding to such Requests would be oppressive, unduly burdensome, and unnecessarily expensive, and the burden of responding to such Requests is substantially the same or less for Maher as for the Port Authority. This objection encompasses, but is not limited to, documents and responses to document Requests previously produced by the Port Authority in the course of this litigation and the prior litigation between the Port Authority and Maher (including, but not limited to, FMC Docket No. 07-01 *APM Terminals N Am. Inc. v Port Auth. of N Y & N.J.* and FMC Docket No. 08-03 and *Maher Terminals, LLC v Port Auth. of N Y & N.J.*), No. CIV. 2:12-6090 KM (D.N.J.).

OBJECTIONS TO INSTRUCTIONS

1 The Port Authority objects to Instruction No. 2 to the extent that it requests documents subsequent to March 30, 2012, the date Complainants filed their Complaint in this matter.

2. The Port Authority objects to Instruction No. 5 to the extent that it requests documents subsequent to March 30, 2012, the date Complainants filed their Complaint in this matter.

3 The Port Authority objects to Instruction No. 8 to the extent that it is inconsistent with any subsequent agreement between the parties, including the agreement reached via e-mail on March 14, 2016 that the parties will produce all Excel files in native format so long as the native file is in the custodian's custody, possession or control.

**SPECIFIC OBJECTIONS AND RESPONSES TO MAHER'S REVISED FIRST
REQUEST FOR PRODUCTION OF DOCUMENTS**

The Port Authority incorporates by reference its Reservation of Rights and General Objections into each response to the specific document Requests below

Document Request No. 1:

All documents pertaining to PANYNJ's contemplated consent to a change of control or ownership of Maher after the 2007 Maher change of control to the present and any consent fee or other consideration contemplated in exchange for such consent.

Response to Document Request No. 1:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority also objects to this Request as beyond the proper scope of discovery as narrowed by the FMC Order to the extent that it seeks discovery about any consent fee or changes of control that have not actually taken place, for the reasons stated in the Port Authority's Motion for a Protective Order filed on March 10, 2016

Document Request No. 2:

All documents pertaining to your alleged defense: "The claims for relief asserted by Complainant, in whole or in part, fail to state facts sufficient to constitute a claim for relief against the Port Authority "

Response to Document Request No. 2:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority also objects to this Request to the extent that it seeks

Respondent's basis under the applicable law for a legal argument as to the insufficiency of Complainants' pleading, rather than facts that are reflected in the documentary record. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody, and control responsive to this Request.

Document Request No. 3:

All documents pertaining to your alleged defense: "The claims for relief asserted by Complainant are barred, in whole or in part, because the Port Authority's actions were justified since it acted in accordance with the Shipping Act."

Response to Document Request No. 3:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority also objects to this Request to the extent that it seeks documents that are already in Complainant's possession or solely in Complainant's possession, documents that are a matter of public record, and/or documents that are otherwise equally accessible to the Complainant. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody, and control responsive to this Request.

Document Request No. 4.

All documents pertaining to your alleged defense: "The claims for relief asserted by Complainant are barred, in whole or in part, by the applicable statute of limitations."

Response to Document Request No. 4.

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege. Subject to the foregoing General and Specific objections, the Port

Authority will produce non-privileged documents in its possession, custody and control responsive to this Request.

Document Request No. 5:

All documents pertaining to your alleged defense: “The claims for relief asserted by Complainant are barred, in whole or in part, by collateral estoppel.”

Response to Document Request No. 5:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege. The Port Authority also objects to this Request to the extent that it seeks documents that are already in Complainant’s possession or solely in Complainant’s possession, documents that are a matter of public record, and/or documents that are otherwise equally accessible to the Complainant. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody and control responsive to this Request.

Document Request No. 6:

All documents pertaining to your defense: “The claims for relief asserted by Complainant are barred, in whole or in part, based on Complainant’s lack of standing.”

Response to Document Request No. 6:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege. The Port Authority also objects to this Request to the extent that it seeks documents that are already in Complainant’s possession or solely in Complainant’s possession,

documents that are a matter of public record, and/or documents that are otherwise equally accessible to the Complainant. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody and control responsive to this Request.

Document Request No. 7:

All documents pertaining to your alleged defense. “The claims for relief asserted by Complainant are barred, in whole or in part, for lack of ripeness.”

Response to Document Request No. 7:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request as irrelevant because the Port Authority asserts no such defense in its Amended Answer to the Complaint.

Document Request No. 8:

All documents pertaining to your communications, deliberations, analyses, determinations, negotiations, practices, actions, inactions and omissions pertaining to the acts and allegations which are the subject of Counts I, VI, VIII, or XII of the Complaint.

Response to Document Request No. 8.

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request to the extent that it seeks documents that are already in Complainant’s possession, documents that are a matter of public record, and/or documents that are otherwise equally accessible to the Complainant. The Port Authority also objects to this Request as overbroad and vague to the extent that it seeks all documents related to Maher’s vague and bare-bones allegations in the Complaint. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 9:

All of your rules, regulations, policies, procedures, or practices pertaining to the allegations of Counts I, VI, VIII, or XII of the Complaint.

Response to Document Request No. 9:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority also objects to this Request to the extent that it seeks documents that are a matter of public record, and/or documents that are otherwise equally accessible to the Complainant. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 10:

All documents pertaining to establishing, observing, and enforcing your rules, regulations, policies, procedures, or practices that are the subject of the allegations of Counts I, VI, VIII, or XII of the Complaint. (This request is not subject to the time limitation of 2005 to the present that is otherwise generally applicable to the requests.)

Response to Document Request No. 10:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to the lack of any temporal limitation. To the extent that the Port Authority produces documents responsive to this Request, it will do so for the period from January 2005- March 2012. The Port Authority also objects to this Request because it is overly broad and burdensome insofar as it Requests “all documents pertaining to establishing, observing, and enforcing rules, regulations, policies, procedures, or practices that are subject of the allegations” in the Complaint. The Port Authority further objects to each instruction, definition, and document Request to the extent that it seeks information protected by

the attorney-client privilege, the work product doctrine, or any other applicable privilege. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody, or control responsive to this Request.

Document Request No. 11:

All documents pertaining to the letting or redevelopment of the marine terminal facility which is the subject of the PANYNJ lease agreement with Global (Lease No. LPJ-001), including, but not limited to, communications, meetings, notes, proposals, term sheets, deliberations, concerns, issues, analyses, models, projections, negotiations, Board recommendations, discussions, resolutions, consents, approvals, summaries, or documents related to or referenced in the lease agreement with Global (Lease No. LPJ-001)

Response to Document Request No. 11:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 12:

All documents pertaining to PANYNJ's alleged refusal to deal with Maher, which is the subject of the Complaint concerning the letting and/or redevelopment of the marine terminal facility subject to the PANYNJ lease agreement with Global (Lease No. LPJ-001)

Response to Document Request No. 12.

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request to the extent that it seeks information related to a purported "refusal to deal" because the Port Authority did not refuse to deal with Maher. The Port Authority also objects to this Request to the extent that it seeks documents that are already in Complainant's possession, documents that are a matter of public record, and/or documents that are otherwise equally accessible to the Complainant. Subject to

the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody, or control related to the letting and/or redevelopment of the marine terminal facility subject to the PANYNJ lease agreement with Global (Lease No LPJ-001) that are in the Port Authority's possession, custody, or control.

Document Request No. 13:

All documents pertaining to your rules, regulations, policies, practices, or procedures for dealing with or refusing to deal with existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global (Lease No. LPJ-001).

Response to Document Request No. 13:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request to the extent that it seeks information related to "refusing to deal" because the Port Authority has not refused to deal with existing maritime terminal operators, including Maher Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody, or control that are responsive to this Request.

Document Request No. 14:

All documents pertaining to your rules, regulations, policies, practices, or procedures related to "Qualified Transferees" and existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g. the PANYNJ lease agreement with Global (Lease No. LPJ-001)

Response to Document Request No. 14:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request on the grounds that it is vague and ambiguous, including its use of the term "Qualified Transferees " Subject to and the foregoing General and Specific objections, the Port Authority responds that it has no formal rule

or regulation specifically with respect to the definition of “Qualified Transferee,” a phrase which the Port Authority believes appears only in the Global lease, but that such term was negotiated between the parties as part of a negotiation that was undertaken consistent with the Port Authority’s practice and procedure to negotiate leases that comply with all applicable laws and regulations, including the Shipping Act. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 15.

All documents pertaining to any PANYNJ practice, policy, substantive standard, or procedure for making “appropriate recommendations for Board consideration and action” or for taking any other action or inaction, including, but not limited to, requesting or not requesting payments and/or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution “Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests.” This request is not subject to the time limitation of 2005 to the present generally applicable to these Requests.

Response to Document Request No. 15:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to the lack of any temporal limitation. To the extent that the Port Authority produces documents responsive to this Request, it will do so for the period from 1997-February 22, 2007. The Port Authority also objects to this Request in that it is overly broad and burdensome to the extent that it requests “any PANYNJ practice, policy, substantive standard, or procedure for making ‘appropriate recommendations for Board consideration and action’ or for taking any other action or inaction. with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ [prior to February 2007]” Subject to the foregoing General and Specific objections,

the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 16:

All documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ prior to the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests," including, but not limited to, any "report and appropriate recommendations for Board consideration and action," any documents forming the basis of any such report and recommendations, documents of analyses, deliberations, calculations, models and decisions (including decisions to approve, deny or neither approve nor deny), documents concerning negotiations with respect to any such transfer or change of ownership or control interest, and documents reflecting requirements or conditions of decisions, including but not limited to any payments or the providing of any economic consideration to PANYNJ

- a. This request is not subject to the time limitation of 2005 to the present that is otherwise generally applicable to these Requests, and for the avoidance of doubt, includes marine terminal operator leases with respect to Sealand, Maher, Maersk, Universal Maritime (UMS), Howland Hook, and PNCT prior to February 22, 2007

Response to Document Request No. 16:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to the lack of any temporal limitation. To the extent that the Port Authority produces documents responsive to this Request, it will do so for the period from 1997-February 22, 2007. The Port Authority further objects to this Request insofar as the requested documents were already produced in *Maher Terminals, LLC v The Port Authority of New York and New Jersey*, F.M.C. Docket 08-03 and *Maher v Port Auth. of N Y & N.J.*, No. CIV. 2.12-6090 KM (D.N.J.), and are therefore already in Complainant's possession. The Port Authority also objects to this Request as unduly broad and burdensome to the extent that it Requests "[a]ll documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ prior to [2007]" Subject to

the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody, or control responsive to this Request.

Document Request No. 17:

All documents pertaining to any PANYNJ practice, policy, substantive standard, or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests."

Response to Document Request No. 17.

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request in that it is overly broad and burdensome to the extent that it requests "any PANYNJ practice, policy, substantive standard, or procedure for taking any action or inaction with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ after [February 2007]" The Port Authority also objects to this Request insofar as the requested documents were already produced in *Maier Terminals, LLC v The Port Authority of New York and New Jersey*, F.M.C. Docket 08-03 and *Maier v Port Auth. of NY & N.J.*, No CIV 2.12-6090 KM (D.N.J.), and are therefore already in Complainant's possession. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 18:

All documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ after the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests," including any reports or recommendation for consideration or action, documents forming the basis of any such report or recommendations, documents of analyses, deliberations, calculations, models and decisions (including decisions to approve, deny or neither

approve nor deny), documents concerning negotiations with respect to any such transfer or change of ownership or control interest, and documents reflecting requirements or conditions of decisions, including but not limited to any payments or the providing of any economic consideration to PANYNJ and all “executed agreements and other documents necessary to effectuate a Tenant Facility Change.”

- a. For the avoidance of doubt, this request includes marine terminal operator leases with respect to PNCT, NYCT, APM, Maher, and Global after February 22, 2007

Response to Document Request No. 18:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request in that it is overly broad and burdensome to the that extent that it Requests “[a]ll documents pertaining to any transfer or change of ownership or control interest involving any marine terminal operator lease with PANYNJ after [2007]” Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 19:

All documents pertaining to the regulations, rules, practices, policies, and procedures that you observed in establishing and/or implementing any consent or transfer fees policy (including not only cash payments, but also terminal investment requirements, security deposits, etc.).

Response to Document Request No. 19:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority also objects to this Request to the extent that it seeks documents that are a matter of public record, and/or documents that are otherwise equally accessible to the Complainant. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 20:

All documents pertaining to your calculation of consent fees and other consideration for your consent to a change of ownership or control and your bases for requiring them.

Response to Document Request No. 20:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 21:

All documents pertaining to your decisions not to require consent fees and other consideration for your consent to a change of ownership or control of any marine terminal and your bases or legitimate business reasons for not requiring them.

Response to Document Request No. 21:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 22.

All documents pertaining to whether or not your actions that are the subject of Counts I, VI, VIII, or XII of the Complaint in this proceeding violate the Shipping Act.

Response to Document Request No. 22:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority also objects to this Request because it is vague, overbroad, and disproportionate to the needs of the case with regard to discovery on the two remaining claims. The Port Authority further objects to this Request to the extent that it seeks

information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Document Request No. 23:

The résumé, engagement agreement, fee arrangement, invoices, and reports, including information the expert relies upon in forming opinions, of any and all experts or consultants retained by PANYNJ pertaining to Counts I, VI, VIII, or XII of the Complaint.

Response to Document Request No. 23:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request to the extent that it seeks information protected from disclosure by Federal Rule of Civil Procedure 26(b)(3) and (4). The Port Authority also objects to this Request because it is not obligated to produce such information for non-testifying consultants. The Port Authority further objects to this Request as premature. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged, non-protected documents in its possession, custody, or control responsive to this Request in accordance with the Scheduling Order.

Document Request No. 24:

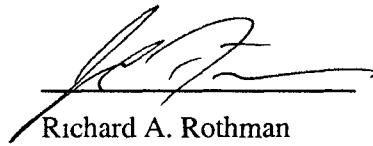
All communications, including all documents pertaining to the subject matter of Counts I, VI, VIII, or XII of the Complaint not covered by the foregoing requests.

Response to Document Request No. 24:

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request on the grounds that it is vague and overbroad in that it is a “catch-all” Request for Port Authority to interpret and determine which documents broadly and generally “pertain to the subject matter” of

Complainant's vague and bare-bones legal claims. Subject to the foregoing General and Specific objections, the Port Authority will produce non-privileged documents in its possession, custody or control responsive to this Request.

Dated. March 17, 2016

A handwritten signature in black ink, appearing to read 'Rothman', is written over a horizontal line.

Richard A. Rothman
Jared R. Friedmann
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue

Peter D. Isakoff
WEIL, GOTSHAL & MANGES LLP
1300 Eye Street, NW
Suite 900
*Attorneys for The Port Authority of
New York and New Jersey*

CERTIFICATE OF SERVICE

I hereby certify that on this 17th day of March 2016, a copy of the foregoing was served

by U S mail and electronic mail on the following:

Lawrence I Kiern
Bryant E. Gardner
Gerald A. Morrissey III
Rand Brothers
Jarrod Rainey
Winston & Strawn LLP
1700 K Street, NW
Washington, DC 20006



Alea Mitchell

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

MAHER TERMINALS, LLC

COMPLAINANT

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY'S
OBJECTIONS AND RESPONSES TO THE COMPLAINANT'S REVISED
FIRST SET OF INTERROGATORIES**

Pursuant to §§ 502.201 and 502.205 of the Federal Maritime Commission Rules of Practice and Procedure, The Port Authority of New York and New Jersey (the "PANYNJ" or "Port Authority") hereby responds and objects to Complainant Maher Terminal LLC's ("Maher") First Set of Interrogatories Propounded on the Port Authority as follows.

RESERVATION OF RIGHTS

The Port Authority's fact investigation is on-going, and the Port Authority expressly reserves the right to supplement, clarify, revise, or correct the responses herein at any time. The Port Authority reserves the right to assert additional general and/or specific objections arising from matters discovered in the course of this litigation. By making the following responses, the Port Authority does not waive, and hereby expressly reserves, its right to object to the admissibility of such responses into evidence at the trial of this action, or any other proceedings.

on any and all grounds, including, but not limited to, competency, relevancy, materiality, privilege or for any other purpose. Furthermore, the Port Authority makes the responses herein without in any manner implying or admitting that it considers the interrogatories, or the responses thereto, to be relevant or material to the subject matter of this action. Subject to and without waiving the foregoing, the Port Authority responds as follows:

GENERAL OBJECTIONS

1 The Port Authority objects to the definitions, instructions, and interrogatories to the extent that they attempt to impose obligations that exceed the scope of permissible discovery under the Federal Maritime Commission Rules of Practice and Procedure and, where applicable, the Federal Rules of Civil Procedure.

2. The Port Authority objects to the definitions, instructions, and interrogatories to the extent that they attempt to impose obligations that exceed the scope of discovery set forth in the Scheduling Order dated January 29, 2016 (“Scheduling Order”) The Scheduling Order instructed the parties that discovery was to proceed in an “expeditious manner,” with each party limited to issuing “a revised request that identifies prior discovery requests that it asserts have not already been answered and that are relevant to the remaining issues.” Scheduling Order at 2.

3 The Port Authority objects to the interrogatories to the extent that they seek responses to interrogatories that are the subject of its Motion for a Protective Order, dated March 10, 2016

4 The Port Authority objects to the interrogatories to the extent that they are duplicative of its previous interrogatories in this same matter to which the Port Authority already provided detailed responses.

5 The Port Authority objects to the interrogatories to the extent that they are duplicative of discovery taken of the Port Authority in prior litigation between the Port Authority and Maher, including, but not limited to, *APM Terminals N Am., Inc. v Port Auth. of N Y & N.J.*, F.M.C Docket 07-01, *Maier Terminals, LLC v The Port Authority of New York and New Jersey*, F.M.C Docket 08-03, and *Maier v Port Auth. of N Y & N.J.*, No CIV 2 12-6090 KM (D.N.J.).

6 The Port Authority objects to the interrogatories to the extent that they attempt to expand the substantive scope of its discovery by improperly seeking information regarding new topics not addressed in its initial discovery requests in this matter

7 The Port Authority objects to the interrogatories to the extent that they seek information beyond the principal and material facts, including to the extent that they parse the Port Authority's prior responses, phrase-by-phrase, and seek detail beyond the principal and material facts.

8 The Port Authority objects to the interrogatories to the extent that they ask it to "describe in detail" various facts. The Port Authority is only required to provide the principal and material facts. In responding to the interrogatories, the Port Authority will construe the interrogatories as calling only for production of the principal and material facts.

9 The Port Authority objects to the interrogatories to the extent that they seek to expand the temporal scope of discovery beyond the period from 1997 to 2012 set forth in Maher's initial interrogatories. In responding to the interrogatories, the Port Authority will construe the interrogatories as not calling for information concerning events occurring after March 30, 2012, the date on which the Complaint was served in this action.

10 The Port Authority objects to the interrogatories to the extent that they go beyond what is “proportional to the needs of the case” as required by Fed. R. Civ. P. 26(b)(1).

11 The Port Authority objects to the interrogatories to the extent that they seek information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege. In the event any privileged or otherwise protected information is disclosed by the Port Authority, its disclosure is inadvertent and does not constitute waiver of any privilege.

12. The Port Authority objects to the interrogatories to the extent that they seek production of information, documents, or other materials generated by or at the direction of the Port Authority’s counsel. In responding to the interrogatories, the Port Authority will construe the interrogatories as not calling for production of such information, documents, or materials.

13 The Port Authority objects to the interrogatories to the extent that they seek information that is not relevant to any claim or defense in this action and not reasonably calculated to lead to the discovery of admissible evidence.

14 The Port Authority objects to the interrogatories to the extent that they are oppressive, overbroad, and unduly burdensome

15 The Port Authority objects to the interrogatories to the extent that they are vague and ambiguous.

16 The Port Authority objects to the interrogatories to the extent that they seek information not within the Port Authority’s possession, custody, or control

17 The Port Authority objects to the interrogatories to the extent that they seek information that is publicly available or otherwise equally accessible to Maher

18 The Port Authority objects to the interrogatories to the extent that they seek information beyond the scope of the Port Authority's knowledge.

19 The Port Authority objects to the interrogatories to the extent that they call for legal conclusions or speculation.

SPECIFIC OBJECTIONS AND RESPONSES

Interrogatory No. 1 Identify and describe in detail your communications pertaining to any consent fee or other consideration for a change of control or ownership of Maher contemplated after the 2007 Maher change of control to the present.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information concerning events occurring after March 30, 2012 because such information could not furnish the basis of the claims filed in 2012. The Port Authority also objects to this interrogatory as beyond the proper scope of discovery as narrowed by the FMC Order to the extent that it seeks discovery about any consent fee or changes of control that have not actually taken place, for the reasons stated in the Port Authority's Motion for a Protective Order filed on March 10, 2016. The Port Authority further objects to this interrogatory to the extent that it calls for information subject to the attorney-client privilege and/or work product doctrine. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds that Maher has not undergone a change of control or transfer of ownership since its 2007 change of control.

Interrogatory No. 2 Identify and describe in detail your communications pertaining to the basis for calculating a consent fee or other consideration for any contemplated change of control or ownership of Maher after the 2007 Maher change of control to the present.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory for all of the same reasons set forth in its response to Interrogatory No. 1. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds that Maher has not undergone a change of control or transfer of ownership since its 2007 change of control.

Interrogatory No. 3 Describe in detail the basis and support for your alleged defense that “The claims for relief asserted by Complainant, in whole or in part, fail to state facts sufficient to constitute a claim for relief against the Port Authority.”

Response. The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks Respondent’s basis under the applicable law for a legal argument as to the insufficiency of Complainants’ pleading, rather than facts that are reflected in the documentary record. The Port Authority also objects to this interrogatory on the grounds that it is premature and unduly burdensome to require that the Port Authority provide the basis and support for its defense prior to the completion of discovery. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority refers Maher to its Motion to Dismiss Maher Terminals, LLC’s Complaint, dated April 26, 2012, which asserted the basis for this defense. The Port Authority further responds that it reserves the right to supplement this response following the discovery period.

Interrogatory No. 4 Describe in detail the basis for your alleged defense that “The

claims for relief asserted by Complainant are barred, in whole or in part, because the Port Authority's actions were justified since it acted in accordance with the Shipping Act."

Response The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory on the grounds that it is premature and unduly burdensome to require that the Port Authority provide the basis for its defense prior to the completion of discovery. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority respectfully refers the Complainant to its Amended Answer, which sets forth the principal and material facts underlying this defense. The Port Authority further responds that it reserves the right to supplement this response following the discovery period.

Interrogatory No. 5 Describe in detail the basis for your alleged defense that "The claims for relief asserted by Complainant are barred, in whole or in part, by the applicable statute of limitations."

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory on the grounds that it is premature and unduly burdensome to require that the Port Authority provide the basis for its defense prior to the completion of discovery. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority respectfully notes that Maher's change in control took place in 2007, more than four years before this action was filed. Any additional facts supporting this defense will be developed during discovery, depending on what arguments Maher raises in an attempt to explain how its claim is not barred by the four-year statute of limitations set forth for reparations actions in the Shipping Act. The Port Authority further responds that it reserves the right to supplement this response following the discovery period.

Interrogatory No. 6: Describe in detail the basis for your alleged defense that “The claims for relief asserted by Complainant are barred, in whole or in part, by collateral estoppel.”

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory on the grounds that it is premature and unduly burdensome to require that the Port Authority provide the basis for its defense prior to the completion of discovery, particularly as Maher has not made clear which transactions, if any, are relevant to the surviving claims in this action. If Maher raises the internal reorganization of APM, for example, Maher’s assertion that that this internal reorganization amounted to a change in control has already been litigated by Maher and the Port Authority and rejected. Other examples may arise. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it reserves the right to supplement this response following the discovery period.

Interrogatory No. 7 Describe in detail the basis for your alleged defense that “The claims for relief asserted by Complainant are barred, in whole or in part, based on Complainant’s lack of standing.”

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory on the grounds that it is premature and unduly burdensome to require that the Port Authority provide the basis for defense prior to the completion of discovery. Without knowing what Maher may raise in support of the surviving claims in this action, the Port Authority can only preserve the potential objection that Maher lacks standing to raise such matters, but cannot do more at this time. Subject to and without waiving, but rather expressly preserving, the foregoing objection

and its General Objections, the Port Authority responds that it reserves the right to supplement this response following the discovery period.

Interrogatory No. 8. Describe in detail the basis for your alleged defense that “The claims for relief asserted by Complainant are barred, in whole or in part, for lack of ripeness.”

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this Request as irrelevant because the Port Authority asserts no such defense in its Amended Answer to the Complaint.

Interrogatory No. 9. Describe in detail each actual, proposed, or contemplated change of control consent (“change of control consent”) in the Port of New York and New Jersey since 1997 to the present, including but not limited to

- a. the date of the change of control consent;
- b. the consent fee or consideration that PANYNJ required,
- c. the basis for the consent fee or consideration, whether legitimate business reasons or otherwise;
- d. how the consent fee or consideration was calculated, and
- e. the specific sections or portions of agreements between PANYNJ and the marine terminal operator or its affiliate setting forth the terms or the change of control and consent fee or consideration provided therefor

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory as unduly burdensome to the extent that it requires the Port Authority to “[d]escribe in detail” facts under each subpart for every such change of control event since 1997. The Port Authority also objects to this interrogatory to the extent that it seeks information concerning events occurring after March 30, 2012 because such information could not furnish the basis of the claims filed in 2012. The Port Authority further objects to this interrogatory as beyond the proper scope of discovery as narrowed by the FMC Order to the extent that it seeks discovery about any consent

fee or changes of control that have not actually taken place, for the reasons stated in the Port Authority's Motion for a Protective Order filed on March 10, 2016. The Port Authority also objects to this interrogatory to the extent that it is duplicative of previous interrogatories in this matter to which the Port Authority provided detailed responses. The Port Authority further objects to this interrogatory to the extent that it seeks information regarding new topics not addressed in Maher's initial discovery requests in this matter. The Port Authority also objects to this interrogatory to the extent that it calls for information subject to the attorney-client privilege and/or work product doctrine. The Port Authority further objects to this interrogatory to the extent that this information is publicly available or otherwise equally accessible to the Complainant. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds to each subpart as follows.

- a. the date of the change of control consent,
- b. the consent fee or consideration that PANYNJ required

Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order dated March 10, 2016, asking the Presiding Officer to excuse it from responding to Interrogatories No. 9(a) and (b). The Port Authority refers Maher to the response to Interrogatory No. 11 in its Amended and Supplemental Objections and Responses to Maher's First Set of Interrogatories. The Port Authority further responds that it has consented to the following assignment of leases and transfers of ownership

- Bay Avenue L.L.C. assigned its lease to Njind Bay Avenue LLC in 2012, and a security deposit was set at \$18,000
- 1201 Corbin L.L.C. assigned its leases, EP-254 and EP-255, to Njind Corbin Street LLC in 2012, and security deposits were set at \$4,800 and \$6,000, respectively

- Cargill Incorporated assigned its lease to Wild Flavors, Inc. in 2012, an Assignment Consent Fee was paid of \$133,792.35 and a security deposit was set at \$55,000

c the basis for the consent fee or consideration, whether legitimate business reasons or otherwise

The Port Authority further objects to Interrogatory No 9(c) to the extent that it seeks information beyond principal and material facts. The Port Authority also objects to the characterization "legitimate business reasons or otherwise." Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority refers the Complainant to the Port Authority's response to No 9 of its Objections and Responses to Complainant's First Set of Interrogatories.

d. how the consent fee or consideration was calculated

The Port Authority further objects to Interrogatory No 9(d) to the extent that it seeks information beyond principal and material facts. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority refers Maher to its response to No 10 of the Port Authority's Objections and Responses to Complainant's First Set of Interrogatories. The Port Authority further responds that it considers the specific circumstances of the requesting tenant within the context of their specific lease terms and the proposed change of control transaction, and any final arrangement is subject to negotiations between the parties. As the Port Authority explained in its response to No 9 of its Objections and Responses to Complainant's First Set of Interrogatories, the Port Authority considers such factors as the risk the proposed transaction exposes the Port Authority to and the amount of investment the Port Authority has made in the marine terminal facility. In certain

cases, the consent fees and consideration may be determined by reference to specific provisions in the tenant's lease.

- e. the specific sections or portions of agreements between PANYNJ and the marine terminal operator or its affiliate setting forth the terms or the change of control and consent fee or consideration provided therefor

Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds that marine terminal operator leases and agreements are publicly available on the Port Authority's website

Interrogatory No. 10 To the extent that your list of described changes of control or ownership does not include any of the following changes of control or ownership, please explain why not.

- a. Those pertaining to APMT,
- b. In or around 2005 PNCT contemplated a change in control or ownership interest with respect to A.P. Møller-Maersk's acquisition of P&O Nedlloyd Container Line;
- c. PNCT change(s) in control or ownership interest in or around 2006 or 2007 among P&O Ports, DP World, and/or AIG, Highstar Capital L.P., or their affiliates;
- d. Change in control or ownership interest resulting in Highstar Capital, L.P., TIL and/or MSC control or ownership of PNCT in or around 2010/2011,
- e. In or around 2013 PNCT contemplated a change in control or ownership interest with respect to Global Infrastructure Partners' acquisition of a 35% ownership interest in TIL,
- f. In or around 2006 or 2007 NYCT contemplated a change in control or ownership interest from OOIL to the Ontario Teachers Pension Fund,
- g. Maher change in control or ownership interest in 2007, and
- h. In May 2012, "one preliminary request for a change of control that was initially considered by the Port Authority, but which [then had] never reached the stage of formal approval or denial."

Response The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory as beyond the proper scope of discovery as narrowed by the FMC Order to the extent that it seeks discovery about any consent fee or changes of control that have not actually taken place, for the reasons stated in the Port Authority's Motion for a Protective Order filed on March 10, 2016. The Port Authority also objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this matter. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that APMT has not undergone a change of control. The Port Authority further responds by referring Maher to its responses to Interrogatory No. 9 of the immediate Objections and Responses, and Interrogatories Nos. 1, 5, and 11 of its Amended and Supplemental Objections and Responses to Maher's First Set of Interrogatories. The Port Authority further responds that its fact investigation is on-going, and it expressly reserves the right to supplement this response.

Interrogatory No. 11 With respect to the PNCT change(s) in control or ownership resulting in Highstar Capital, L.P., TIL, or MSC control or ownership of PNCT in or around 2010/2011, describe in detail what consideration, specifically, was agreed in exchange for PANYNJ's consent to the change of control or ownership, what of that has been paid or provided to PANYNJ, and what if any remains to be paid or provided.

Response The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. Subject to and without waiving, but rather expressly preserving, its General Objections, the Port Authority refers Maher to its response to Interrogatory No. 6 in its Amended and Supplemental Objections and Responses to Maher's First Set of Interrogatories. The Port Authority further responds that, unlike subsequent change of

control events, no one obligation of the parties under PNCT's Amended and Restated Lease Agreement was parsed out and tied to the Port Authority's consent to the changes of control.

The terms of the Amended and Restated Lease Agreement reflect the consideration and terms of the Port Authority's consent.

Interrogatory No. 12 With respect to the PNCT change(s) in control or ownership resulting in Highstar Capital, L.P., TIL, and/or MSC control or ownership of PNCT in or around 2010/2011, describe in detail what services, benefits, terminal investments, or projects, specifically, PANYNJ provided or will provide to PNCT in exchange for the consent fee paid or agreed to be paid to PANYNJ

Response. The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this matter. The Port Authority also objects to this interrogatory on the grounds that it implies that the amount of payment or economic consideration provided to the Port Authority in connection with a change of ownership or control is, or should be, related to "services, benefits, terminal investments, or projects, specifically, PANYNJ provided or will provide to PNCT in exchange for the consent fee paid or agreed to be paid to PANYNJ." Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016 asking the Presiding Officer to excuse it from responding to this request. The Port Authority further states, as has already been explained in Nos. 9 and 11 of the Port Authority's Objections and Responses to Maher's First Set of Interrogatories, that such amounts are sought to compensate the Port Authority, *inter alia*, in part for the large sums it has invested in the terminals and surrounding infrastructure—investments which contribute significantly to the asset value of the

Port's marine terminal operators—and also for risks to which the Port Authority may be subjected due to the change in control.

Interrogatory No. 13• With respect to the PNCT change(s) in control and/or ownership interest resulting in Highstar Capital, L.P., TIL or MSC control or ownership of PNCT in or around 2010/2011, identify the specific agreement provisions setting forth PANYNJ's consent to the change of control or ownership and consideration provided therefor

The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this matter. The Port Authority also objects to this interrogatory on the grounds that this information is publicly available to the Complainant. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 14• Describe in detail the communications between PANYNJ and PNCT/AIG or their affiliates leading up to the change in control or ownership interest resulting in Highstar Capital, L.P., TIL and/or MSC control or ownership of PNCT in or around 2010/2011

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory on the grounds that it is overbroad and unduly burdensome to "[d]escribe in detail" negotiations with PNCT with respect to changes of ownership, which took place with multiple affiliates across an extended period of time. The Port Authority is only required to provide principal and material facts. The Port Authority also objects as vague, ambiguous and overly broad the phrase

“leading up to the change of control or ownership” Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that the principal and material facts concerning PNCT’s changes of control and ownership interests are set forth in Interrogatory No 6 of the Port Authority’s Amended and Supplemental Responses and Objections to Complainant’s First Set of Interrogatories. The Port Authority further responds that, pursuant to Fed. R. Civ P 33(d), it expects that nonprivileged, responsive documents describing the actions taken by the Port Authority to consider and consent to the changes of control described above will be produced in connection with this proceeding.

Interrogatory No. 15• With respect to the PNCT change in control or ownership interest resulting in Highstar Capital, L.P., TIL and/or MSC control or ownership of PNCT in or around 2010/2011, describe in detail how the agreement was structured in such a way as to allow for AIG to divest its ownership or control interests within five to seven years of acquiring it, including whether AIG/PNCT thereby secured multiple change of control consents for the price of one in 2006 or 2007 with respect to an unidentified future acquirer of AIG’s PNCT interests, or others.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory on the grounds that it is overbroad and unduly burdensome to “[d]escribe in detail” negotiations with PNCT with respect to changes of ownership, which took place with multiple affiliates across an extended period of time. The Port Authority is only required to provide principal and material facts. The Port Authority also objects as vague and ambiguous the phrase “multiple change of control consents for the price of one. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that the principal and material facts concerning PNCT’s changes of control and ownership interests are set forth in Interrogatory No 6 of the Port Authority’s Amended and Supplemental Responses and Objections to Complainant’s First Set of Interrogatories. The consideration and terms of the Port

Authority's consent to these changes of control are reflected in the terms of the Amended and Restated Lease Agreement.

Interrogatory No. 16 Describe in detail why multiple change of control consents for the price of one were not provided to Maher

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this matter. The Port Authority also objects as vague and ambiguous the phrase "multiple change of control consents for the price of one" and the implication that such was given to any tenant. Subject to and without waiving, but rather expressly preserving, the foregoing objections, the Port Authority responds that the change of control provisions of each tenant's lease are negotiated by the tenant at the time of lease negotiations. To the extent that Maher did not contemplate or raise during lease negotiations the possibility of a change of control, or multiple changes of control, it was not included in its lease.

Interrogatory No. 17 Describe in detail PANYNJ's formal or informal practice, policy, substantive standard, or procedure for taking any action or inaction, including, but not limited to, requesting or not requesting payments or the providing of any economic consideration to PANYNJ, with respect to transfers or changes of ownership or control interests involving marine terminal operator leases with PANYNJ before the February 22, 2007 adoption of PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests," and how it differed after adoption of the Resolution if at all. Such explanation should include not only what factors PANYNJ took into consideration in approving or not approving proposed changes of control, but specifically how those factors were or were not applied.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it is duplicative of previous interrogatories in this matter to which the Port

Authority provided detailed responses. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds by referring Maher to No. 7 of the Port Authority's Objections and Responses to Complainant's First Set of Interrogatories.

Interrogatory No. 18. Describe in detail PANYNJ's "substantive standard" for determining consent fees including, but not limited to, requesting or not requesting payments or the providing of any economic consideration to PANYNJ, after the adoption of the PANYNJ Board Resolution "Port Facilities - Consent to Transfer of Leases and Changes of Ownership Interests."

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior responses in an attempt to manufacture additional discovery. The Port Authority also objects to this interrogatory to the extent that it is duplicative of previous interrogatories in this matter to which the Port Authority provided detailed responses. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds by referring Maher to No. 8 of the Port Authority's Objections and Responses to Complainant's First Set of Interrogatories.

Interrogatory No. 19. Describe in detail how PANYNJ actually applied its "substantive standard" for assessing consent fees for each change of control or ownership of marine terminal facilities since 1997.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior responses in an attempt to manufacture additional discovery. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 20: Describe in detail how, specifically, PANYNJ ensured that the entity acquiring control or ownership of a marine terminal in the Port of New York and New Jersey would commit to make the "appropriate capital investments in the facility," for each change of control or ownership of marine terminal facilities since 1997.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior responses in an attempt to manufacture additional discovery. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds by referring Maher to No. 9 of the Port Authority's Objections and Responses to Complainant's First Set of Interrogatories and No. 11 of the Port Authority's Amended and Supplemental Objections and Responses to Complainant's First Set of Interrogatories, which reflect that the Port Authority has negotiated with new owners for increased investment obligations as a means of ensuring they are committed to continued investment in the terminal.

Interrogatory No. 21 Describe in detail the legitimate business reasons, if any, for the specific consent fees and other consideration sought for each of the transfers or changes of ownership or control interests involving marine terminal operator leases since 1997, or if no consent fees or consideration were sought, the legitimate business reasons why not, if any.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it is duplicative of previous interrogatories in this matter to which the Port Authority provided detailed responses. The Port Authority also objects to this interrogatory as unduly burdensome to the extent that it requires the Port Authority to “[d]escribe in detail” facts regarding every change of control event since 1997. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds by referring Maher to No. 9 of the Port Authority’s Objections and Responses to Complainant’s First Set of Interrogatories. The Port Authority further responds that the Port Authority’s decision regarding whether to seek a fee or consideration obligation is driven by the specific language in the requesting tenant’s negotiated lease. A proposed transaction that does not trigger a Change of Control event as defined under a marine terminal operator’s lease, for example, may not require the consent of the Port Authority and payment of a fee or consideration obligation.

Interrogatory No. 22: Describe in detail how consent fees and consideration required since 1997 have been applied (or were intended) to recover PANYNJ’s specific expenditures on the port, including whether and how they were allocated, correlated, or otherwise attributed to the expenditures on the specific facility subject to the change of control fee.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher’s initial discovery requests in this matter. The Port Authority also objects to this interrogatory on the grounds that it implies that the consent fee or economic consideration provided to the Port Authority in connection with a change of ownership or control is directly tied to a specific expenditure on a marine terminal

facility. The Port Authority further objects to this interrogatory on the grounds that it conflates the consent fee (an obligation borne by the requesting tenant) with consideration (such as a security deposit or capital investment in the facility that is borne by the new owner) provided to the Port Authority. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds that, as explained in its response No. 9 of its Objections and Responses to Complainant's First Set of Interrogatories, the Port Authority's investments in the marine terminal facility to maintain and improve the facility is only one of the factors the Port Authority considers in the context of a change of control event. Further, the initially proposed consent fee or consideration is subject to negotiation by the requesting tenant. Thus, the issuance of a specific negotiated consent fee and/or consideration obligation is neither an effort to recoup a specific investment nor can it be correlated or otherwise attributed to a specific investment in a marine terminal facility. Although it may have been the Port Authority's intention to try to recoup its terminal-related investments, each consent fee agreement is the product of negotiations and can be, at most, only loosely tied to any particular investment or set of investments.

Interrogatory No. 23 Describe in detail what terminal investments or other projects constitute the \$3.8 billion in expenditures which PANYNJ levied the consent fees to recover, and which consent fees correlate to, are attributed to, or are justified by, which specific expenditures or projects making up the \$3.8 billion in expenditures.

Response. The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond principal and material facts by parsing the Port Authority's prior response to Interrogatory No. 9 of the of its Objections and Responses to

Complainant's First Set of Interrogatories to manufacture additional discovery. The Port Authority also objects as overly burdensome and oppressive the Complainant's attempt to seek "detail[ed]" information spanning a 64-year span—as the prior response stated that the Port Authority "has invested over \$3.8 billion in marine terminals and basic Port infrastructure since 1948." The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this matter. The Port Authority also objects to this interrogatory on the grounds that it implies that the consent fee or economic consideration provided to the Port Authority in connection with a change of ownership or control is directly correlated with a specific expenditure on a marine terminal facility. The Port Authority further objects to this interrogatory on the grounds that it conflates the consent fee (an obligation borne by the requesting tenant) with consideration (such as a security deposit or capital investment in the facility that is borne by the new owner) provided to the Port Authority. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds by referring Maher to its response to Interrogatory No. 22.

Interrogatory No. 24 Describe in detail whether PANYNJ has charged consent fees to recover terminal investments made on terminals other than those undergoing the change of control or ownership for which the consent fee was charged.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this

matter. The Port Authority also objects to this interrogatory on the grounds that it implies that the consent fee or economic consideration provided to the Port Authority in connection with a change of ownership or control is directly tied to a specific expenditure on a marine terminal facility. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 25 Describe in detail whether PANYNJ has applied its consent fees levied since February 22, 2007 to recover services and terminal investments provided to other port users dating back to the period 1948-February 21, 2007

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond principal and material facts by parsing the Port Authority's prior response to Interrogatory No. 9 of the of its Objections and Responses to Complainant's First Set of Interrogatories in an attempt to manufacture additional discovery. The Port Authority also objects as overly burdensome and oppressive the Complainant's attempt to seek "detail[ed]" information spanning a 59-year span. The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this matter. The Port Authority also objects to this interrogatory on the grounds that it implies that the amount of payment or economic consideration provided to the Port Authority in connection with a change of ownership or control is, or should be, related to "services and terminal investments." Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a

Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 26 Describe in detail the principal and material facts of any formula, model, calculation or other basis that has been used to determine consent fees and consideration, how you have applied any such basis, and any determination by PANYNJ of the reasonableness under the Shipping Act of such basis or application thereof. To the extent PANYNJ contends that the answer to this Interrogatory intrudes upon or calls for the disclosure of privileged attorney-client communications, please identify and describe such communications.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it is duplicative of previous interrogatories in this matter to which the Port Authority provided detailed responses. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds by referring Maher to No. 10 of the Port Authority's Objections and Responses to Complainant's First Set of Interrogatories. The Port Authority also responds that, pursuant to Fed. R. Civ. P. 33(d), it expects that nonprivileged documents responsive to this request will be produced in connection with this proceeding.

Interrogatory No. 27 With respect to each marine terminal change of ownership or control since PNCT's transfer of ownership or control to AIG, describe in detail how specifically PANYNJ has determined the consent fee based on the amount of PANYNJ investments "scaled in comparison to the final outcome of PNCT's transfer of control to AIG."

Response The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior response to Interrogatory No. 10 of the of its Objections and Responses to

Complainant's First Set of Interrogatories to manufacture additional discovery Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds that, pursuant to Fed. R. Civ. P. 33(d), it expects that nonprivileged documents responsive to this request will be produced in connection with this proceeding.

Interrogatory No. 28: Describe in detail how, specifically, PANYNJ determined the consent fee applicable to PNCT's transfer of control to AIG which it used to determine subsequent consent fees "scaled in comparison"

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior response to Interrogatory No. 10 of its Objections and Responses to Complainant's First Set of Interrogatories to manufacture additional discovery Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 29 Describe in detail what "appropriate modifications" PANYNJ made to the PNCT/AIG consent fee in order to determine other consent fees, how it determined such "appropriate modifications," and the legitimate business reasons therefor, if any

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior response to Interrogatory No. 10 of the of its Objections and Responses to

Complainant's First Set of Interrogatories to manufacture additional discovery The Port Authority also objects to this interrogatory on the grounds that it mischaracterizes the Port Authority's prior response, which stated that "[t]he Port Authority used the PNCT payments and consideration as a basis for subsequent transactions and made appropriate modifications based on the facts and circumstances of each tenant seeking consent." Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 30 Identify and describe in detail each of the instances where "[s]eeking payments, increased investment obligations, or an increased security deposit [was] meant" by PANYNJ "in instances where private parties were deriving significant capital gains from increases in the value or productivity of Port Authority controlled land and facilities, to return a portion of the Port Authority's significant investment in the Port to the Port and to offset the need for increases in Port revenue collection."

Response The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior response to Interrogatory No. 9 of the of its Objections and Responses to Complainant's First Set of Interrogatories to manufacture additional discovery Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016 asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 31 Describe in detail why the consent fee for "PNCT's transfer of control to AIG" was the first transaction that required significant payments or consideration and why prior change of control or ownership transactions did not require significant payments or consideration.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior response to Interrogatory No. 10 of the of its Objections and Responses to Complainant's First Set of Interrogatories to manufacture additional discovery. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 32 Describe in detail your rules, regulations, practices, or procedures for dealing with or refusing to deal with existing marine terminal operators, including Maher, with respect to the letting of facilities in the port, e.g., the PANYNJ lease agreement with Global (Lease No. LPJ-001), and the legitimate business reasons for such rules, regulations, practices, or procedures.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it is duplicative of previous interrogatories in this matter to which the Port Authority provided detailed responses. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds by referring Maher to No. 15 of the Port Authority's Objections and Responses to Complainant's First Set of Interrogatories.

Interrogatory No. 33 Describe in detail why the Qualified Transferee provision in the Global agreement was required to induce Global's lenders to consent to the conversion of their fee simple mortgage over the land Global owned into a leasehold mortgage.

Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it seeks information beyond the principal and material facts by parsing the Port Authority's prior responses. Subject to and without waiving, but rather expressly preserving, the foregoing objection and its General Objections, the Port Authority responds that the principal and material facts were already provided by the Port Authority in No. 16 of its Objection and Responses to Maher's First Set of Interrogatories.

Interrogatory No. 34 Describe in detail PANYNJ's legitimate business reason or other basis, if any, for PANYNJ's application of the Qualified Transferee provision to impose the ability to review transfers for any potential anticompetitive impacts on the region and other operators, and how the application of the Qualified Transferee provision imposes the ability to ensure such review by PANYNJ

Response The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory on the grounds that it improperly parses the Port Authority's prior response to No. 16 of its Objections and Responses to Complainant's First Set of Interrogatories, and mischaracterizes what the Port Authority said. The Port Authority also objects to this interrogatory on the grounds that it is confusingly and ambiguously worded, such that the Port Authority cannot ascertain what is being asked.

Interrogatory No. 35 Describe in detail why the Qualified Transferee provision applied only to *existing* marine terminal operators in the port and what was the legitimate business reason, or other purpose, for applying it only to *existing* marine terminal operators at the port.

Response. The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this

matter The Port Authority also objects to this interrogatory to the extent that it is duplicative of previous interrogatories in this matter to which the Port Authority provided detailed responses. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds by referring Maher to No. 16 of the Port Authority's Objections and Responses to Complainant's First Set of Interrogatories. The Port Authority also responds that the Qualified Transferee provision was a negotiated term that was offered and accepted during the give and take of the Global lease negotiations between the parties.

Interrogatory No. 36 Describe in detail how the Qualified Transferee provision comports with PANYNJ's "practice and procedure to negotiate leases that comply with all applicable laws and regulations, including the Shipping Act." To the extent PANYNJ contends that the answer to this Interrogatory intrudes upon or calls for the disclosure of privileged attorney-client communications, please identify and describe such communications.

Response The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it attempts to expand the substantive scope of discovery by improperly seeking information regarding new topics not addressed in Maher's initial discovery requests in this matter. The Port Authority also objects to this interrogatory because it calls for a legal conclusion rather than principal and material facts. The Port Authority further objects to this interrogatory to the extent that it seeks information protected by the attorney-client privilege and work product doctrine. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request.

Interrogatory No. 37. Describe in detail your policies, practices, and procedures to ensure the just and reasonable treatment of marine terminal operators in the application of your consent fee practices, the letting of facilities in the port, and the exclusion of existing marine terminal operators from opportunities to acquire or let facilities in the port. To the extent PANYNJ contends that the answer to this Interrogatory intrudes upon or calls for the disclosure of privileged attorney-client communications, please identify and describe such communications.

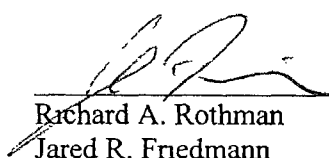
Response: The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to the implication that the Port Authority has policies, practices or procedures pertaining to the “exclusion of existing marine terminal operators from opportunities to acquire or let facilities in the port.” The Port Authority also objects to this interrogatory to the extent that it is duplicative of information sought in previous interrogatories in this matter to which the Port Authority provided detailed responses. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds by referring Maher to Nos. 14, 15, and 26 of the Port Authority’s Objections and Responses to Complainant’s First Set of Interrogatories.

Interrogatory No. 38: Describe in detail any principal and material facts showing that PANYNJ’s practices, policies, procedures, or lack thereof, and actions or inactions that are the subject of the Complaint in this proceeding comply with the Shipping Act, including but not limited to, the principal and material facts of any justifications of the differences in treatment PANYNJ accorded to Maher relative to other the marine terminal operators as applicable to Counts I, VI, VIII, or XII of the Complaint, and the principal and material facts that any such justifications do not exceed what is necessary to achieve a valid transportation purpose justifying the differences.

Response. The Port Authority incorporates each of its General Objections into this Response as if fully set forth herein. The Port Authority further objects to this interrogatory to the extent that it is duplicative of information sought in previous interrogatories in this matter to

which the Port Authority provided detailed responses. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it has filed a Motion for a Protective Order, dated March 10, 2016, asking the Presiding Officer to excuse it from responding to this request. The Port Authority further responds by referring Maher generally to its Objections and Responses to Complainant's First Set of Interrogatories, Amended and Supplemental Objections and Responses to Complainant's First Set of Interrogatories, and responses to Interrogatory Nos. 1-37 of the immediate Objections and Responses.

March 17, 2016



Richard A. Rothman

Jared R. Friedmann

WEIL, GOTSHAL & MANGES, LLP

767 Fifth Avenue

New York, NY 10153

richard.rothman@weil.com

jared.friedmann@weil.com

Peter D. Isakoff

WEIL, GOTSHAL & MANGES, LLP

1300 Eye Street, NW

Suite 900

Washington, DC 20005

peter.isakoff@weil.com

*Attorneys for the Port Authority of
New York and New Jersey*

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 12-02

MAHER TERMINALS, LLC

COMPLAINANT

v.

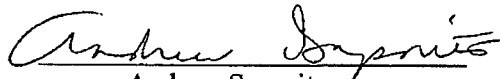
THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

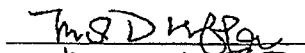
CORPORATE VERIFICATION

I, Andrew Saporito, declare as follows:

I am the Deputy Director of Port Commerce for The Port Authority of New York and New Jersey ("Port Authority"), and I have reviewed and am familiar with the contents of the Port Authority's Objections and Responses to Complainants' Revised First Set of Interrogatories (the "Responses") in the above-captioned litigation. I further declare under penalty of perjury that I believe that the matters set forth in the Responses are true and correct, but I do not have personal knowledge of all of the facts contained in the Responses, and with respect to some facts I have been informed that they are true and I base my belief as to the accuracy of the Responses on such information.


Andrew Saporito

Sworn to me on this 16th day of March 2016

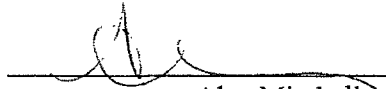

MARK D. HOPPER

MARK D. HOPPER
Notary Public, State of New York
No. 02HO04682255
Qualified in Queens County
Commission Expires March 30, 2018

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon the persons listed below in the matter indicated.

<u>Via Federal Ex and E-mail.</u> Lawrence I Kiern Bryant E Gardner Gerald A. Morrissey III Rand K. Brothers Brook F Shapiro Winston & Strawn LLP 1700 K Street, N W Washington DC 20006-3817	Dated at New York, NY this 17 day of March, 2016
--	---


Alea Mitchell

BRYANT E. GARDNER

Partner

(202) 282-5893

bgardner@winston.com

March 31, 2016

VIA EMAIL

Jared R. Friedmann
Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, New York 10153

**Re: *Maier Terminals, LLC v. The Port Authority of New York and New Jersey,*
FMC Docket No. 12-02**

Dear Jared.

Maier has received Respondent's responses to Complainant's Revised First Set of Interrogatories Propounded on the Port of New York and New Jersey and Complainant's Revised First Request for Production of Documents from the Port Authority of New York and New Jersey, served on March 17, 2016, and finds them deficient in key respects not otherwise the subject of the Port Authority's pending Motion for Protective Order. We therefore write to you with hopes of resolving some of these matters and avoiding motions practice.

The Responses to Maier's First Revised Document Requests

Freestanding "General Objections" such as those employed by the Port Authority in its responses are not a valid response to requests. Therefore, the Port Authority's listing of "General Objections" and its incorporation by reference into the specific responses, without specific explanation of how those objections apply to the particular request, is improper and only leads to confusion about what objections the Port Authority is really asserting and withholding evidence in reliance upon objection.

With respect to Document Request No. 2, PANYNJ states it objects "to the extent that it seeks Respondent's basis under applicable law for a legal argument as to the sufficiency of Complainant's pleading, rather than facts that are reflected in the documentary record." As a document request, it calls for responsive documents, not for PANYNJ's explanation of its legal argument. Although, if there are such responsive documents that are privileged, PANYNJ should admit that and provide a corresponding privilege log. We do not understand why PANYNJ states only "facts that are reflected in the documentary record" are appropriate, because the request seeks to discover the responsive documents to enter them into the record, and if PANYNJ is objecting to production of responsive documents on the basis that they are not already in the record, at this stage that is improper.

With respect to Document Request Nos. 3, 5, 6, 8, 9, 12, and 19, PANYNJ objects to producing “documents that are a matter of public record and/or documents that are equally accessible to the Complainant.” We do not understand the scope of documents to which this objection refers. Please identify what documents you are withholding on the basis of this objection.

As you are aware, Federal Rule 34, pursuant to FMC Rule 12, now provides that responses must state whether any responsive documents have been withheld pursuant to asserted objections. The Port Authority’s failure to provide this disclosure is improper

Federal Rule 34 also now further provides that the responses must specify the date by which responsive documents will be provided. The Port Authority failed to do so, and in this respect its responses are improper. While the Port Authority produced some documents on March 17, 2016, it did not indicate whether it contemplates supplemental document production and, if so, when we can expect them. We are concerned about this in light of the Port Authority’s past practice of producing voluminous documents late in the discovery process and even after the close of discovery

The Responses to Maher’s First Revised Interrogatories

Maher also has concerns regarding a number of PANYNJ’s interrogatory responses, beyond those matters which are subject to the pending motion for a protective order. Like its document responses, PANYNJ employs improper blanket “General Objections” incorporated into every answer, which make it impossible to ascertain PANYNJ’s specific objections to the interrogatories and in what instances it is withholding responsive information pursuant to such objections. Furthermore, in many instances, PANYNJ has failed to answer the question presented or referred back to prior interrogatory responses, which also failed to answer the question presented.

In its response to Interrogatory Nos. 1 and 2, PANYNJ does not provide complete answers. The interrogatories pertain not only to an actual change of control or transfer of ownership of Maher, but also to any “contemplated” change of control or transfer of ownership. We understand that you refuse to answer the questions pending a decision on your motion for a protective order. However, for the avoidance of any doubt, if that is not the reason you must supplement the answers.

In its response to Interrogatory No. 3, PANYNJ does not provide a complete answer, but instead refers Maher back to PANYNJ’s April 26, 2012 Motion to Dismiss. However, that motion does not answer the request for the basis of PANYNJ’s allegation that Maher has failed to state facts sufficient to constitute a claim for relief. The Commission has already ruled that is not the case, and found that Maher did state facts sufficient to support the remaining claims. Therefore, the objection is baseless and the Port Authority must supplement the answer.

Similarly, PANYNJ refers Maher to the Amended Answer in lieu of responding to Interrogatory No. 4. But the Amended Answer provides no response to Interrogatory No. 4, nor does PANYNJ explain how it provides a response, or what portion of the Amended Answer provides the responsive information, if any. The purported justification in the Amended Answer does not address the gravamen of the remaining claims and neither does the answer to the interrogatory. You must supplement the answer.

With respect to Interrogatory No. 5, the Port Authority provides no evidence that Maher's claims accrued more than three years before the complaint was filed. Therefore, you must supplement the answer.

The response that PANYNJ provides to Interrogatory No. 6 provides no answer. All that PANYNJ offers here is speculation of how PANYNJ might argue Maher's claims are barred by collateral estoppel *if* "for example" Maher argues that APM's "internal reorganization" amounted to a "change of control." As you know, the Commission has already rejected your argument. Your answer must provide the complete information available to the Respondent. If you have no other information, you should admit it so we can dispense with this baseless affirmative defense and streamline this proceeding.

In response to Interrogatory No. 7, calling for the factual support behind PANYNJ's allegation that the claims are barred by lack of standing, PANYNJ's only response is that PANYNJ wants to preserve the argument. That is no answer. If PANYNJ has any responsive facts in support of its allegation, it must provide those which are principal and material. If not, admit it so we can also dispense with this baseless affirmative defense.

With respect to Interrogatory No. 9, we understand PANYNJ objects because it filed a protective order so it will not have to disclose any change of control events which occurred prior to 1997, after March 30, 2012, or which were contemplated, but did not occur. Putting aside these matters, PANYNJ still has not answered the question. PANYNJ moved for protection with respect to Interrogatory No. 9(a)-(b) & (e), but not 9(c) and (d). For 9(c), PANYNJ refers Maher back to its response to Original Interrogatory No. 9, but all that PANYNJ provided there were three vague factors: (1) "new owners are committed to investment in the terminal," (2) "protect the Port Authority's investments and assets;" and (3) "capital gains." PANYNJ does not identify how or whether these vague factors applied in each of the change of control events it has identified. Nor does the Port Authority describe in detail *in each instance* how the vague factors pertain to the consent fee payments and economic consideration terms required. For 9(d), PANYNJ still refuses to explain how it arrived at the sums extracted from some of its marine terminal operators. All the PANYNJ answer does is refer back to the same three factors in Original Interrogatory No. 9 and to its response to Original Interrogatory No. 10, which disclosed PANYNJ determined consent obligations "scaled in comparison to the outcome of PNCT's transfer of control to AIG" with "appropriate modifications." PANYNJ must identify and describe in detail how, in *each* of the changes of control or ownership, the required consent fee and economic considerations terms were determined. As the Commission ruled when sustaining Maher's change of control claims, PANYNJ must justify the reasonableness of its practices and its disparate treatment of marine terminal operators, because some are required to pay millions of dollars in consent fees and other consideration to the Port Authority while others are not. Having known about its basis for disparate treatment and these claims for years, the Port Authority should have precise answers for these simple questions and it must supplement its answer.

Regarding Interrogatory No. 10, beyond the Port Authority's protective order motion, PANYNJ's response does not answer the question. The references to other interrogatory answers do not answer the question. The answer does not address the change of control involving A.P. Møller-Maersk's acquisition of P&O Container Line in or around 2005 to which the Port Authority consented later. And, the portion of the answer pertaining to APMT overlooks the fact that the question pertains to not only "changes of control," but also to changes of "ownership" which plainly occurred with respect to the consent provided.

by PANYNJ to APMT to allow it to spin off up to 50% ownership. Therefore, you must supplement the answer.

Likewise, PANYNJ also fails to answer Interrogatory No. 11, irrespective of the protective order motion. The Port Authority merely refers to *a different but overlapping* set of vague factors, this time in its response Original Interrogatory No. 6, which include: (1) “whether the new entity was suitable to control in terms of its integrity, financial capacity, security qualifications and operational ability;” and (2) “the entity would commit to make appropriate capital investments in the facility.” While PANYNJ now confesses that “no one obligation” of the tenant was correlated to the PANYNJ’s consent, this fails to answer the questions. (1) what consideration was agreed, (2) what was paid, and (3) what was not. If there was no consideration agreed, PANYNJ only need say so, if there was consideration agreed, explain what has been paid and what has not.

PANYNJ’s response to Interrogatory No. 12 objects to PANYNJ’s perception that the question implies that change of control consideration paid by tenants is or should be related to services, benefits, etc., provided by PANYNJ, but that is no answer. Nor is it sufficient for PANYNJ to point vaguely to “large sums it has invested in the terminals and surrounding infrastructure,” *“inter alia”* that PANYNJ neglects to specify, and unspecified “risks” as justifications for the 2010/2011 PNCT change of control. The interrogatory does not answer the question. You must describe in detail the: (1) “large sums invested in the terminals and surrounding infrastructure;” (2) *“inter alia;”* and (3) the purported “risks to which the Port Authority may be subjected due to the change of control.” Therefore, you must supplement the answer.

Interrogatory No. 15 asks whether PANYNJ charged for the changes of control/ownership to which it consented in 2011, in addition to the \$10+\$40 million that AIG committed with respect to the 2007 change of control event. PANYNJ’s cross-reference to PANYNJ’s response to Original Interrogatory No. 6 does not answer this question and neither does referring to the lease agreement. Therefore, you must supplement the answer.

Interrogatory Nos. 17 and 18 go to PANYNJ’s fundamental policy, practice, or procedure for levying change of control/ownership fees and consideration before and after the 2007 Board approval, respectively. Rather than answering the questions, PANYNJ refers Maher back to its prior responses to Original Interrogatory Nos. 7 and 8, which were subjects of Maher’s motion to compel. These responses were and remain deficient, for the reasons set forth in the motion to compel. PANYNJ references the two factors set forth in PANYNJ’s response to Original Interrogatory No. 6: (1) “whether the new entity was suitable to control in terms of its integrity, financial capacity, security qualifications and operational ability;” and (2) “the entity would commit to make appropriate capital investments in the facility;” stating that PANYNJ staff looked at each lease “on a case-by-case basis” applying the two factors to decide whether the change of control “would result in the same or better circumstances for the port authority.” Merely stating a review occurred which considered these two factors does not explain how the factors were actually applied in each instance. The Port Authority’s actual practice for handling each change of control consent and how it actually concluded by extracting millions from some, but nothing from others is expressly asked by the interrogatories and is central to this proceeding as the Commission has explained. The answer also fails to account for the three Original Interrogatory No. 9 factors, including capital gains extraction.

The Port Authority fails to answer Interrogatory No 20. The reference to the responses to Original Interrogatory Nos. 9 and 11 do not answer the question. According to PANYNJ, only three of the 16 consents to change of control/ownership, to which it has admitted, provided for any capital investment in the facility. Why not the others? You must supplement the answer.

Many of Maher's Global-related interrogatories also remain unanswered. Maher's Interrogatory No 33 requests that PANYNJ explain why the Qualified Transferee provision was purportedly required to induce Global's lenders to convert their fee simple mortgage into a leasehold mortgage. PANYNJ directs Maher to PANYNJ's prior response to Original Interrogatory No 16, which asked a very different question. And PANYNJ's answer to Original Interrogatory No 16 provides no answer to Interrogatory No 33. Therefore, you must supplement the answer.

Further, PANYNJ's response to Interrogatory No 34, which requests PANYNJ's purpose for using the Qualified Transferee provision to review transactions for anticompetitive impacts, likewise refers Maher back to PANYNJ's response to Original Interrogatory No 16, which provides no answer except say that the Port Authority deployed the provision excluding existing terminal operators to control "potential anticompetitive impacts." Nor does PANYNJ explain why, in response to Interrogatory No 35, the provision was crafted only to exclude *existing* terminal operators, as opposed to others who might affect the competitive environment or wellbeing of the Port. Therefore, you must supplement the answers.

In numerous instances, PANYNJ also asserts the attorney-client privilege improperly to avoid answering questions and to block discovery. PANYNJ may not use the privilege as both a sword and a shield, and by doing so it has put its purportedly privileged communications at issue and waived the privilege. See PANYNJ Response to Interrogatory Nos. 34, 35 (incorporating response to Original Interrogatory No 16 invoking the privilege), 36, 37 (incorporating response to Original Interrogatory No 26 invoking the privilege), and 38 (same), Maher's Motion to Compel Production, Dkt. 12-02 (Sept. 10, 2012).

Maher requests a meet and confer telephone conference with respect to the foregoing deficiencies with hopes of efficiently resolving the matter. We propose to accomplish this tomorrow April 1st at 4:00 p.m. Please confirm your availability for a call to discuss.

Sincerely,



Bryant E. Gardner

cc Peter D. Isakoff (via e-mail)
Richard A. Rothman (via e-mail)

**BEFORE THE
FEDERAL MARITIME COMMISSION
WASHINGTON, D C.**

DOCKET NO 12-02

MAHER TERMINALS, LLC

COMPLAINANT,

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**DECLARATION OF BRYANT E. GARDNER IN SUPPORT OF
MAHER TERMINALS LLC'S SECOND MOTION TO COMPEL DISCOVERY**

I, Bryant E. Gardner, declare under penalty of perjury that the following is true and accurate.

- 1 I am an attorney at Winston & Strawn LLP
- 2 I have personal knowledge of the following facts.
- 3 I participated in a meet and confer between Maher Terminals, LLC ("Maher"), represented by attorneys Lawrence I. Kiern and Bryant E. Gardner, of Winston & Strawn LLP, and the Port Authority of New York and New Jersey ("Port Authority"), represented by attorneys Jared Friedmann, of Weil, Gotshal & Manges LLP, on April 13, 2016
- 4 Maher conferred in good faith with the Port Authority in an effort to obtain the Port Authority's compliance without the necessity of a motion.

- 5 During the meet and confer, Maher asked if the Port Authority would supplement the responses which Maher identified as deficient in its March 31, 2016 letter, or otherwise
- 6 Maher expressly identified 2012 Interrogatory Nos. 6–11, 15–16, and 26–27 and 2012 Document Request Nos. 1–3, 6–14, and 23–24 as “still relevant and have not already been answered” for the reasons previously set forth in Maher’s 2012 motion to compel.
- 7 Maher explained its position that because its original 2012 requests concerning continuing violations were “to the present” and specified a duty to supplement pursuant to Rule 201(j) (now Rule 201(k)(1)), the Port Authority was obligated to produce current information pursuant to the Presiding Officer’s order
- 8 The Port Authority stated it would not produce any information later than March 30, 2012.
- 9 The Port Authority indicated during the meet and confer that it did not intend to supplement or cure any of its answers to discovery, with the possible exception of 2016 Interrogatory Nos. 9(c) and (d), which the Port Authority indicated it might supplement by producing additional documents at some date in the future.
- 10 The Port Authority did not offer any additional specifics in supports of its objections to Maher’s discovery requests.
- 11 At no point during the meet and confer did the Port Authority ask Maher to clarify any discovery requests that it found vague or ambiguous

Dated. May 2, 2016



Bryant E. Gardner

Gardner, Bryant

From: Kiern, Larry
Sent: 15 April, 2016 17:05
To: Friedmann, Jared
Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Kiern, Larry
Subject: RE: Maher v PA - 12-02 - Meet and Confer of April 13, 2016, Etc.

Jared – Further to our meet and confer conducted on Wednesday, April 13th, for the avoidance of any doubt we take this opportunity to memorialize a few key points.

- (1) We informed you that Maher contends that of Complainant's First Set of Interrogatories Propounded on the Port Authority of New York and New Jersey served March 30, 2012, Nos. 6-11, 15-16, and 26-27 as "still relevant and have not already been answered" within the meaning specified in the January 29, 2016 Scheduling Order and the Presiding Officer's April 12, 2016 Order on Subpoena Requests and Respondent's Motion for Protective Order From Revised Discovery Requests.
- (2) We also informed you that, pursuant to the April 12, 2016 Order, Maher's ten additional interrogatories are Nos. 9(c), 9(d), 11, 12, 21, 23, 34, 27, 28, and 29 from Complainant's Revised First Set of Interrogatories Propounded on the Port of New York and New Jersey served February 16, 2016. We understood your position to be that the Port Authority will not supplement or amend its answers to these interrogatories to cure its deficiencies. Additionally, you indicated that the Port Authority does not intend to supplement or amend its responses to Maher's document requests. For the avoidance of any doubt, Maher's position is that Nos. 1-3, 6-14, and 23-24 from Complainant's First Request for Production of Documents from the Port Authority of New York and New Jersey served March 30, 2012 are "still relevant and have not already been answered."
- (3) We explained our position that the Port Authority should supplement its discovery responses, including with respect to the pertinent time period, to the present and with a continuing obligation to supplement per Rule 201, and with respect to additional detail requested per the April 12, 2016 Order. You indicated that you disagreed with our position and would not be supplementing in these respects.
- (4) In light of the Port Authority's position that it will not supplement its answers to interrogatories or its document production with any information after March 30, 2012, etc., we explained that we must seek the assistance of the Presiding Officer.

Regards, Larry

Lawrence I Kiern

Partner

Winston & Strawn LLP
1700 K Street, N.W.
Washington, DC 20006-3817

D: +1 (202) 282-5811

M: +1 (703) 898-6260

F: +1 (202) 282-5100

Bio | VCard | Email | winston.com

**WINSTON
& STRAWN**
LLP

Please consider the environment before printing this e-mail.

From: Friedmann, Jared [<mailto:Jared.Friedmann@weil.com>]

Sent: Wednesday, April 13, 2016 10 12 PM

To: Kiern, Larry; Gardner, Bryant

Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea

Subject: Maher v PA 12-02

Further to our discussion today, based on current pace of review and barring any unexpected setbacks, I anticipate the PA completing its document production within the next 30 days. Please advise when Maher expects to complete its production.

Thanks,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

The information contained in this email message is intended only for use of the individual or entity named above. If the reader of this message is not the intended recipient, or the employee or agent responsible to deliver it to the intended recipient, you are hereby notified that any dissemination, distribution or copying of this communication is strictly prohibited. If you have received this communication in error, please immediately notify us by email, postmaster@weil.com, and destroy the original message. Thank you.

Gardner, Bryant

From: Friedmann, Jared <Jared.Friedmann@weil.com>
Sent: 18 April, 2016 17:37
To: Kiern, Larry
Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Oliver, Jennifer
Subject: RE. Maher v PA - 12-02 - Meet and Confer of April 13, 2016, Etc.

Larry,

Thank you for your email.

1. During our call last week, you advised that Maher's position is that Interrogatory Nos. 6-11, 15-16, and 26-27 from Maher's first set of interrogatories back in 2012 are "still relevant and have not already been answered." We disagree. The Port Authority previously provided the principal and material facts in response to each of those interrogatories. See Port Authority's Response to Maher's Motion to Compel, dated Sept. 25, 2012 at 33-54, 56-63, and 87-92.
2. Maher also advised as to its ten "additional" interrogatories, but our discussion was otherwise limited to those previously identified in Maher's March 31, 2016 letter (*i.e.*, Nos. 9(c), 9(d), 11, and 12). We did not discuss the other interrogatories that you identified (*i.e.*, Nos. 21, 23, 24*, 27, 28, and 29). * Your note below lists No. 34, but we believe this is a typo and that you meant 24, which is what our notes of the call reflect.

With regard to the last sentence of your second paragraph, our understanding was that Maher's revised document requests (served on March 17) were intended to supersede the document requests served on March 30, 2012. Please advise which specific requests in which set of document requests Maher is pressing. In any event, the referenced Request Nos. 1-3 and 23 in Maher's initial March 30, 2012 requests are precisely the type of requests that the Federal Maritime Commission held were "overbroad on their face." See FMC Memorandum and Order dated December 17, 2015, at 71. With respect to Request No. 24 (in Maher's initial March 30, 2012 requests), that request is premature and, as previously stated and subject to its objections, the Port Authority will produce its expert disclosures in accordance with the Scheduling Order.

3. Your position that "the Port Authority should supplement its discovery responses, including with respect to the pertinent time period, to the present" is at odds with the Presiding Officer's April 12, 2016 Order, which specifically noted that Maher's original discovery requests sought information only through 2012, then recited Maher's assertion that it "requires discovery regarding the Port Authority's alleged terminal investments. through 2016.," but then ruled "[t]emporal requests that are longer than initially requested will not be permitted." April 12 Order at 3. Your reference to Rule 201 is a *non sequitur*, and cannot expand the temporal limits set forth in the Presiding Officer's April 12 Order.
4. Because the Presiding Officer has already ruled on this issue in connection with the Port Authority's recent motion for a protective order, which specifically sought, *inter alia*, relief from having to produce discovery from after the Complaint was filed, any such motion by Maher would be an improper motion for reconsideration.

Please let me know if you would like to discuss any of these issues.

Regards,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

From. Kiern, Larry [<mailto:LKiern@winston.com>]
Sent: Friday, April 15, 2016 5:05 PM
To: Friedmann, Jared
Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Kiern, Larry
Subject: RE: Maher v PA - 12-02 - Meet and Confer of April 13, 2016, Etc.

Jared – Further to our meet and confer conducted on Wednesday, April 13th, for the avoidance of any doubt we take this opportunity to memorialize a few key points.

- (1) We informed you that Maher contends that of Complainant's First Set of Interrogatories Propounded on the Port Authority of New York and New Jersey served March 30, 2012, Nos. 6-11, 15-16, and 26-27 as "still relevant and have not already been answered" within the meaning specified in the January 29, 2016 Scheduling Order and the Presiding Officer's April 12, 2016 Order on Subpoena Requests and Respondent's Motion for Protective Order From Revised Discovery Requests
- (2) We also informed you that, pursuant to the April 12, 2016 Order, Maher's ten additional interrogatories are Nos. 9(c), 9(d), 11, 12, 21, 23, 34, 27, 28, and 29 from Complainant's Revised First Set of Interrogatories Propounded on the Port of New York and New Jersey served February 16, 2016. We understood your position to be that the Port Authority will not supplement or amend its answers to these interrogatories to cure its deficiencies. Additionally, you indicated that the Port Authority does not intend to supplement or amend its responses to Maher's document requests. For the avoidance of any doubt, Maher's position is that Nos. 1-3, 6-14, and 23-24 from Complainant's First Request for Production of Documents from the Port Authority of New York and New Jersey served March 30, 2012 are "still relevant and have not already been answered."
- (3) We explained our position that the Port Authority should supplement its discovery responses, including with respect to the pertinent time period, to the present and with a continuing obligation to supplement per Rule 201, and with respect to additional detail requested per the April 12, 2016 Order. You indicated that you disagreed with our position and would not be supplementing in these respects.
- (4) In light of the Port Authority's position that it will not supplement its answers to interrogatories or its document production with any information after March 30, 2012, etc., we explained that we must seek the assistance of the Presiding Officer

Regards, Larry

Lawrence I. Kiern

Partner

Winston & Strawn LLP
1700 K Street, N.W.
Washington, DC 20006-3817
D: +1 (202) 282-5811
M: +1 (703) 898-6260
F: +1 (202) 282-5100
Bio | VCard | Email | winston.com



Please consider the environment before printing this e-mail.

From Friedmann, Jared [<mailto:Jared.Friedmann@weil.com>]
Sent: Wednesday, April 13, 2016 10:12 PM
To: Kiern, Larry; Gardner, Bryant
Cc: Rothman, Richard, Isakoff, Peter; Mitchell, Alea
Subject: Maher v PA 12-02

Further to our discussion today, based on current pace of review and barring any unexpected setbacks, I anticipate the PA completing its document production within the next 30 days. Please advise when Maher expects to complete its production.

Thanks,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

The information contained in this email message is intended only for use of the individual or entity named above. If the reader of this message is not the intended recipient, or the employee or agent responsible to deliver it to the intended recipient, you are hereby notified that any dissemination, distribution or copying of this communication is strictly prohibited. If you have received this communication in error, please immediately notify us by email, postmaster@weil.com, and destroy the original message. Thank you.

The contents of this message may be privileged and confidential. If this message has been received in error, please delete it without reading it. Your receipt of this message is not intended to waive any applicable privilege. Please do not disseminate this message without the permission of the author. Any tax advice contained in this email was not intended to be used, and cannot be used, by you (or any other taxpayer) to avoid penalties under applicable tax laws and regulations.

The information contained in this email message is intended only for use of the individual or entity named above. If the reader of this message is not the intended recipient, or the employee or agent responsible to deliver it to the intended recipient, you are hereby notified that any dissemination, distribution or copying of this communication is strictly prohibited. If you have received this communication in error, please immediately notify us by email, postmaster@weil.com, and destroy the original message. Thank you.

Gardner, Bryant

From: Kiern, Larry
Sent: 19 April, 2016 11:32
To: Friedmann, Jared
Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea, Gardner, Bryant; Oliver, Jennifer; Kiern, Larry
Subject: RE: Maher v PA - 12-02 - Discovery Matters & Meet and Confer of April 13, 2016, Etc.

Thanks for your attached email of late yesterday. This responds to your points *seriatim*.

(1) With respect to Interrogatory Nos. 6-11, 15-16, and 26-27 from Maher's first set of interrogatories of 2012, we understand that you refuse to supplement.

(2) Regarding Maher's 2016 Interrogatories -- Nos. 21, 23, 24, 27, 28, and 29 identified per the Presiding Officer's most recent order -- Maher identified your answers as deficient for the reasons already outlined to you in our letter and discussion, i.e., improper use of general objections and failure to comply with the Presiding Officer's order regarding the temporal and additional details expansion permitted by the order, including your duty to supplement through the present, and failure to answer the questions posed

- No. 21 requests the legitimate business reasons if any, for each consent fee/consideration sought (whether or not achieved) since 1997. The Port Authority's response is to point Maher back to its response to 2012 Interrogatory No. 9, which provided three general factors but did not identify the reasons for each instance such consideration was sought. And the Port Authority's reference to unidentified leases also does not answer the question, since the Port Authority has not provided or committed to provide those documents, and the Port Authority is much more familiar with them such that it must identify the answering provisions in the leases for each such instance.

- No. 23 calls on the Port Authority to identify which expenditures are those it claims justify the change of control consent consideration, explaining which fees are justified by which expenditures. The Port Authority's reference back to its 2016 Interrogatory No. 22 response provides no answer. There, the Port Authority again references the three vague factors from its response to 2012 Interrogatory No. 9. But that does not indicate which expenditures are those that justify the extracted consideration. The 2016 Interrogatory No. 22 response indicates that the Port Authority did not and cannot correlate the consent fees it charged to any particular investments, but it fails to even identify the investments at all and it should supplement its answer to do so. Additionally, the Port Authority claims the investments are only loosely tied to the consent fees. So, are the investments impossible to correlate, or are they loosely tied, and if the latter, which investments are loosely tied to which fees and what does "loosely" tied mean?

- No. 24 asks the Port Authority if, as it claims, the consent fees are justified by investments it has made, whether the Port Authority uses consent fees levied on some operators to recover investments made in other operators' facilities or for the benefit of other operators. The Port Authority offers only objections in response and does not answer.

- The Port Authority's response to No. 27 replies only with the assertion that the Port Authority "expects" documents might be produced responsive to the request. First, the Port Authority has not committed whether such documents will be produced, and if so, when. Second, the Port Authority has failed to sufficiently identify such documents.

- The Port Authority's response to No. 28 provides no substantive response, only objections.

- The Port Authority's response to No. 29 provides no substantive response, only objections.

Per your request for us to identify the "specific requests in which set of document requests Maher is pressing," we did that in our previous email to you per the Presiding Officer's order: "For the avoidance of any doubt, Maher's position is

that Nos. 1-3, 6-14, and 23-24 from Complainant's First Request for Production of Documents from the Port Authority of New York and New Jersey served March 30, 2012 are "still relevant and have not already been answered." We disagree with your objection to the requests as overbroad

(3) As we discussed on April 13, we disagree with your interpretation of the Presiding Officer's order. Contrary to your assertion, the order did not cut off discovery at March 30, 2012 and notably you quote no language from the order stating that. Moreover, you ignore the order's plain language allowing the parties to issue new interrogatories to "expand" the scope and pursue more "details" than previously requested. We understand your position is that discovery is cut off at March 30, 2012, but that is not what the order states and your argument invites the Presiding Officer to abuse her discretion by denying Maher discovery of evidence relevant to its claims.

(4) For the foregoing reasons, we do not agree that our pursuit of the discovery plainly permitted and ordered in this proceeding via a motion to compel would be an improper motion for reconsideration.

Based upon our meet and confer conferences on these subjects and your oral and written refusals to supplement, we must seek the assistance of the Presiding Officer to obtain the evidence of the Port Authority's violations of the Shipping Act.

Regards, Larry

Lawrence I Kiern

Partner

Winston & Strawn LLP
1700 K Street, N.W.
Washington, DC 20006-3817

D: +1 (202) 282-5811

M: +1 (703) 898-6260

F: +1 (202) 282-5100

Bio | VCard | Email | winston.com

**WINSTON
& STRAWN**
LLP

Please consider the environment before printing this e-mail.

From: Friedmann, Jared [mailto:Jared.Friedmann@weil.com]

Sent: Monday, April 18, 2016 5:37 PM

To: Kiern, Larry

Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Oliver, Jennifer

Subject: RE: Maher v. PA - 12-02 - Meet and Confer of April 13, 2016, Etc.

Larry,

Thank you for your email

1. During our call last week, you advised that Maher's position is that Interrogatory Nos. 6-11, 15-16, and 26-27 from Maher's first set of interrogatories back in 2012 are "still relevant and have not already been answered." We disagree. The Port Authority previously provided the principal and material facts in response to each of those interrogatories. See Port Authority's Response to Maher's Motion to Compel, dated Sept. 25, 2012 at 33-54, 56-63, and 87-92.
2. Maher also advised as to its ten "additional" interrogatories, but our discussion was otherwise limited to those previously identified in Maher's March 31, 2016 letter (*i.e.*, Nos. 9(c), 9(d), 11, and 12). We did not discuss the other interrogatories that you identified (*i.e.*, Nos. 21, 23, 24*, 27, 28, and 29). * Your note below lists No. 34, but we believe this is a typo and that you meant 24, which is what our notes of the call reflect.

With regard to the last sentence of your second paragraph, our understanding was that Maher's revised document requests (served on March 17) were intended to supersede the document requests served on March 30, 2012. Please advise which specific requests in which set of document requests Maher is pressing. In any event, the referenced Request Nos. 1-3 and 23 in Maher's initial March 30, 2012 requests are precisely the type of requests that the Federal Maritime Commission held were "overbroad on their face." See FMC Memorandum and Order dated December 17, 2015, at 71. With respect to Request No. 24 (in Maher's initial March 30, 2012 requests), that request is premature and, as previously stated and subject to its objections, the Port Authority will produce its expert disclosures in accordance with the Scheduling Order.

- 3 Your position that "the Port Authority should supplement its discovery responses, including with respect to the pertinent time period, to the present" is at odds with the Presiding Officer's April 12, 2016 Order, which specifically noted that Maher's original discovery requests sought information only through 2012, then recited Maher's assertion that it "requires discovery regarding the Port Authority's alleged terminal investments through 2016." but then ruled "[t]emporal requests that are longer than initially requested will not be permitted." April 12 Order at 3. Your reference to Rule 201 is a *non sequitur*, and cannot expand the temporal limits set forth in the Presiding Officer's April 12 Order.
- 4 Because the Presiding Officer has already ruled on this issue in connection with the Port Authority's recent motion for a protective order, which specifically sought, *inter alia*, relief from having to produce discovery from after the Complaint was filed, any such motion by Maher would be an improper motion for reconsideration.

Please let me know if you would like to discuss any of these issues.

Regards,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

From: Kiern, Larry [<mailto:LKiern@winston.com>]
Sent: Friday, April 15, 2016 5:05 PM
To: Friedmann, Jared
Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Kiern, Larry
Subject: RE: Maher v. PA - 12-02 - Meet and Confer of April 13, 2016, Etc.

Jared – Further to our meet and confer conducted on Wednesday, April 13th, for the avoidance of any doubt we take this opportunity to memorialize a few key points.

- (1) We informed you that Maher contends that of Complainant's First Set of Interrogatories Propounded on the Port Authority of New York and New Jersey served March 30, 2012, Nos. 6-11, 15-16, and 26-27 as "still relevant and have not already been answered" within the meaning specified in the January 29, 2016 Scheduling Order.

and the Presiding Officer's April 12, 2016 Order on Subpoena Requests and Respondent's Motion for Protective Order From Revised Discovery Requests.

- (2) We also informed you that, pursuant to the April 12, 2016 Order, Maher's ten additional interrogatories are Nos. 9(c), 9(d), 11, 12, 21, 23, 34, 27, 28, and 29 from Complainant's Revised First Set of Interrogatories Propounded on the Port of New York and New Jersey served February 16, 2016. We understood your position to be that the Port Authority will not supplement or amend its answers to these interrogatories to cure its deficiencies. Additionally, you indicated that the Port Authority does not intend to supplement or amend its responses to Maher's document requests. For the avoidance of any doubt, Maher's position is that Nos. 1-3, 6-14, and 23-24 from Complainant's First Request for Production of Documents from the Port Authority of New York and New Jersey served March 30, 2012 are "still relevant and have not already been answered "
- (3) We explained our position that the Port Authority should supplement its discovery responses, including with respect to the pertinent time period, to the present and with a continuing obligation to supplement per Rule 201, and with respect to additional detail requested per the April 12, 2016 Order. You indicated that you disagreed with our position and would not be supplementing in these respects.
- (4) In light of the Port Authority's position that it will not supplement its answers to interrogatories or its document production with any information after March 30, 2012, etc., we explained that we must seek the assistance of the Presiding Officer

Regards, Larry

Lawrence I. Kiern

Partner

Winston & Strawn LLP
1700 K Street, N W
Washington, DC 20006-3817

D: +1 (202) 282-5811

M: +1 (703) 898-6260

F: +1 (202) 282-5100

Bio | VCard | Email | winston.com

**WINSTON
& STRAWN**
LLP

Please consider the environment before printing this e-mail.

From Friedmann, Jared [<mailto:Jared.Friedmann@weil.com>]

Sent: Wednesday, April 13, 2016 10 12 PM

To: Kiern, Larry; Gardner, Bryant

Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea

Subject: Maher v PA 12-02

Further to our discussion today, based on current pace of review and barring any unexpected setbacks, I anticipate the PA completing its document production within the next 30 days. Please advise when Maher expects to complete its production.

Thanks,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue

New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

The information contained in this email message is intended only for use of the individual or entity named above. If the reader of this message is not the intended recipient, or the employee or agent responsible to deliver it to the intended recipient, you are hereby notified that any dissemination, distribution or copying of this communication is strictly prohibited. If you have received this communication in error, please immediately notify us by email, postmaster@weil.com, and destroy the original message. Thank you.

The contents of this message may be privileged and confidential. If this message has been received in error, please delete it without reading it. Your receipt of this message is not intended to waive any applicable privilege. Please do not disseminate this message without the permission of the author. Any tax advice contained in this email was not intended to be used, and cannot be used, by you (or any other taxpayer) to avoid penalties under applicable tax laws and regulations.

The information contained in this email message is intended only for use of the individual or entity named above. If the reader of this message is not the intended recipient, or the employee or agent responsible to deliver it to the intended recipient, you are hereby notified that any dissemination, distribution or copying of this communication is strictly prohibited. If you have received this communication in error, please immediately notify us by email, postmaster@weil.com, and destroy the original message. Thank you.

Gardner, Bryant

From: Friedmann, Jared <Jared.Friedmann@weil.com>
Sent: 20 April, 2016 12:47
To: Kiern, Larry
Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Oliver, Jennifer
Subject: RE. Maher v PA - 12-02 - Discovery Matters & Meet and Confer of April 13, 2016, Etc.

Larry,

Further to my email below The specific issues raised in your emails below regarding Maher's 2016 Interrogatories Nos. 21, 23, 24, 27, 28, and 29, were not previously raised. Having now had an opportunity to review those issues, and in light of the Presiding Officer's order on our motion for a protective order, the PA plans to supplement our responses to some or all of those interrogatories. We anticipate providing supplemental responses next week.

Regards,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

From: Friedmann, Jared
Sent: Tuesday, April 19, 2016 4 30 PM
To: 'Kiern, Larry'
Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Oliver, Jennifer
Subject: RE. Maher v PA - 12-02 - Discovery Matters & Meet and Confer of April 13, 2016, Etc.

Larry,

Thanks for your email We will review and revert, particularly with respect to #2, which appears to include a number of issues that were not discussed during our call last week.

Regards,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

From: Kiern, Larry [<mailto:LKiern@winston.com>]

Sent: Tuesday, April 19, 2016 11 32 AM

To: Friedmann, Jared

Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Oliver, Jennifer; Kiern, Larry

Subject: RE. Maher v PA - 12-02 - Discovery Matters & Meet and Confer of April 13, 2016, Etc.

Thanks for your attached email of late yesterday. This responds to your points *seriatim*:

(1) With respect to Interrogatory Nos. 6-11, 15-16, and 26-27 from Maher's first set of interrogatories of 2012, we understand that you refuse to supplement.

(2) Regarding Maher's 2016 Interrogatories -- Nos. 21, 23, 24, 27, 28, and 29 identified per the Presiding Officer's most recent order -- Maher identified your answers as deficient for the reasons already outlined to you in our letter and discussion, i.e., improper use of general objections and failure to comply with the Presiding Officer's order regarding the temporal and additional details expansion permitted by the order, including your duty to supplement through the present, and failure to answer the questions posed

- No. 21 requests the legitimate business reasons if any, for each consent fee/consideration sought (whether or not achieved) since 1997. The Port Authority's response is to point Maher back to its response to 2012 Interrogatory No. 9, which provided three general factors but did not identify the reasons for each instance such consideration was sought. And the Port Authority's reference to unidentified leases also does not answer the question, since the Port Authority has not provided or committed to provide those documents, and the Port Authority is much more familiar with them such that it must identify the answering provisions in the leases for each such instance.

- No. 23 calls on the Port Authority to identify which expenditures are those it claims justify the change of control consent consideration, explaining which fees are justified by which expenditures. The Port Authority's reference back to its 2016 Interrogatory No. 22 response provides no answer. There, the Port Authority again references the three vague factors from its response to 2012 Interrogatory No. 9. But that does not indicate which expenditures are those that justify the extracted consideration. The 2016 Interrogatory No. 22 response indicates that the Port Authority did not and cannot correlate the consent fees it charged to any particular investments, but it fails to even identify the investments at all and it should supplement its answer to do so. Additionally, the Port Authority claims the investments are only loosely tied to the consent fees. So, are the investments impossible to correlate, or are they loosely tied, and if the latter, which investments are loosely tied to which fees and what does "loosely" tied mean?

- No. 24 asks the Port Authority if, as it claims, the consent fees are justified by investments it has made, whether the Port Authority uses consent fees levied on some operators to recover investments made in other operators' facilities or for the benefit of other operators. The Port Authority offers only objections in response and does not answer.

- The Port Authority's response to No. 27 replies only with the assertion that the Port Authority "expects" documents might be produced responsive to the request. First, the Port Authority has not committed whether such documents will be produced, and if so, when. Second, the Port Authority has failed to sufficiently identify such documents.

- The Port Authority's response to No. 28 provides no substantive response, only objections.

- The Port Authority's response to No. 29 provides no substantive response, only objections.

Per your request for us to identify the “specific requests in which set of document requests Maher is pressing,” we did that in our previous email to you per the Presiding Officer’s order: “For the avoidance of any doubt, Maher’s position is that Nos. 1-3, 6-14, and 23-24 from Complainant’s First Request for Production of Documents from the Port Authority of New York and New Jersey served March 30, 2012 are “still relevant and have not already been answered.” We disagree with your objection to the requests as overbroad

(3) As we discussed on April 13, we disagree with your interpretation of the Presiding Officer’s order. Contrary to your assertion, the order did not cut off discovery at March 30, 2012 and notably you quote no language from the order stating that. Moreover, you ignore the order’s plain language allowing the parties to issue new interrogatories to “expand” the scope and pursue more “details” than previously requested. We understand your position is that discovery is cut off at March 30, 2012, but that is not what the order states and your argument invites the Presiding Officer to abuse her discretion by denying Maher discovery of evidence relevant to its claims.

(4) For the foregoing reasons, we do not agree that our pursuit of the discovery plainly permitted and ordered in this proceeding via a motion to compel would be an improper motion for reconsideration.

Based upon our meet and confer conferences on these subjects and your oral and written refusals to supplement, we must seek the assistance of the Presiding Officer to obtain the evidence of the Port Authority’s violations of the Shipping Act.

Regards, Larry

Lawrence I Kiern

Partner

Winston & Strawn LLP
1700 K Street, N.W.
Washington, DC 20006-3817

D: +1 (202) 282-5811

M: +1 (703) 898-6260

F: +1 (202) 282-5100

Bio | VCard | Email | winston.com

**WINSTON
& STRAWN**
LLP

Please consider the environment before printing this e-mail.

From: Friedmann, Jared [<mailto:Jared.Friedmann@weil.com>]

Sent: Monday, April 18, 2016 5:37 PM

To: Kiern, Larry

Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Oliver, Jennifer

Subject: RE: Maher v. PA - 12-02 - Meet and Confer of April 13, 2016, Etc.

Larry,

Thank you for your email

1. During our call last week, you advised that Maher’s position is that Interrogatory Nos. 6-11, 15-16, and 26-27 from Maher’s first set of interrogatories back in 2012 are “still relevant and have not already been answered.” We disagree. The Port Authority previously provided the principal and material facts in response to each of those interrogatories. See Port Authority’s Response to Maher’s Motion to Compel, dated Sept. 25, 2012 at 33-54, 56-63, and 87-92.
2. Maher also advised as to its ten “additional” interrogatories, but our discussion was otherwise limited to those previously identified in Maher’s March 31, 2016 letter (i.e., Nos. 9(c), 9(d), 11, and 12). We did not discuss the

other interrogatories that you identified (*i.e.* , Nos. 21, 23, 24*, 27, 28, and 29) * Your note below lists No. 34, but we believe this is a typo and that you meant 24, which is what our notes of the call reflect.

With regard to the last sentence of your second paragraph, our understanding was that Maher's revised document requests (served on March 17) were intended to supersede the document requests served on March 30, 2012. Please advise which specific requests in which set of document requests Maher is pressing. In any event, the referenced Request Nos. 1-3 and 23 in Maher's initial March 30, 2012 requests are precisely the type of requests that the Federal Maritime Commission held were "overbroad on their face." See FMC Memorandum and Order dated December 17, 2015, at 71. With respect to Request No. 24 (in Maher's initial March 30, 2012 requests), that request is premature and, as previously stated and subject to its objections, the Port Authority will produce its expert disclosures in accordance with the Scheduling Order

- 3 Your position that "the Port Authority should supplement its discovery responses, including with respect to the pertinent time period, to the present" is at odds with the Presiding Officer's April 12, 2016 Order, which specifically noted that Maher's original discovery requests sought information only through 2012, then recited Maher's assertion that it "requires discovery regarding the Port Authority's alleged terminal investments through 2016.," but then ruled "[t]emporal requests that are longer than initially requested will not be permitted." April 12 Order at 3. Your reference to Rule 201 is a *non sequitur*, and cannot expand the temporal limits set forth in the Presiding Officer's April 12 Order
- 4 Because the Presiding Officer has already ruled on this issue in connection with the Port Authority's recent motion for a protective order, which specifically sought, *inter alia*, relief from having to produce discovery from after the Complaint was filed, any such motion by Maher would be an improper motion for reconsideration

Please let me know if you would like to discuss any of these issues.

Regards,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

From. Kiern, Larry [<mailto:LKiern@winston.com>]
Sent: Friday, April 15, 2016 5:05 PM
To: Friedmann, Jared
Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea; Gardner, Bryant; Kiern, Larry
Subject: RE: Maher v PA - 12-02 - Meet and Confer of April 13, 2016, Etc.

Jared – Further to our meet and confer conducted on Wednesday, April 13th, for the avoidance of any doubt we take this opportunity to memorialize a few key points.

- (1) We informed you that Maher contends that of Complainant's First Set of Interrogatories Propounded on the Port Authority of New York and New Jersey served March 30, 2012, Nos. 6-11, 15-16, and 26-27 as "still relevant and have not already been answered" within the meaning specified in the January 29, 2016 Scheduling Order and the Presiding Officer's April 12, 2016 Order on Subpoena Requests and Respondent's Motion for Protective Order From Revised Discovery Requests.
- (2) We also informed you that, pursuant to the April 12, 2016 Order, Maher's ten additional interrogatories are Nos. 9(c), 9(d), 11, 12, 21, 23, 34, 27, 28, and 29 from Complainant's Revised First Set of Interrogatories Propounded on the Port of New York and New Jersey served February 16, 2016. We understood your position to be that the Port Authority will not supplement or amend its answers to these interrogatories to cure its deficiencies. Additionally, you indicated that the Port Authority does not intend to supplement or amend its responses to Maher's document requests. For the avoidance of any doubt, Maher's position is that Nos. 1-3, 6-14, and 23-24 from Complainant's First Request for Production of Documents from the Port Authority of New York and New Jersey served March 30, 2012 are "still relevant and have not already been answered"
- (3) We explained our position that the Port Authority should supplement its discovery responses, including with respect to the pertinent time period, to the present and with a continuing obligation to supplement per Rule 201, and with respect to additional detail requested per the April 12, 2016 Order. You indicated that you disagreed with our position and would not be supplementing in these respects.
- (4) In light of the Port Authority's position that it will not supplement its answers to interrogatories or its document production with any information after March 30, 2012, etc., we explained that we must seek the assistance of the Presiding Officer

Regards, Larry

Lawrence I Kiern

Partner

Winston & Strawn LLP
1700 K Street, N W
Washington, DC 20006-3817

D: +1 (202) 282-5811

M: +1 (703) 898-6260

F: +1 (202) 282-5100

Bio | VCard | Email | winston.com

**WINSTON
& STRAWN**
LLP

Please consider the environment before printing this e-mail.

From: Friedmann, Jared [<mailto:Jared.Friedmann@weil.com>]

Sent: Wednesday, April 13, 2016 10:12 PM

To: Kiern, Larry; Gardner, Bryant

Cc: Rothman, Richard; Isakoff, Peter; Mitchell, Alea

Subject: Maher v PA 12-02

Further to our discussion today, based on current pace of review and barring any unexpected setbacks, I anticipate the PA completing its document production within the next 30 days. Please advise when Maher expects to complete its production.

Thanks,
Jared



Jared R. Friedmann

Weil, Gotshal & Manges LLP
767 Fifth Avenue
New York, NY 10153
jared.friedmann@weil.com
+1 212 310 8828 Direct
+1 917 951 8730 Mobile
+1 212 310 8007 Fax

The information contained in this email message is intended only for use of the individual or entity named above. If the reader of this message is not the intended recipient, or the employee or agent responsible to deliver it to the intended recipient, you are hereby notified that any dissemination, distribution or copying of this communication is strictly prohibited. If you have received this communication in error, please immediately notify us by email, postmaster@weil.com, and destroy the original message. Thank you.

The contents of this message may be privileged and confidential. If this message has been received in error please delete it without reading it. Your receipt of this message is not intended to waive any applicable privilege. Please do not disseminate this message without the permission of the author. Any tax advice contained in this email was not intended to be used, and cannot be used, by you (or any other taxpayer) to avoid penalties under applicable tax laws and regulations.

The information contained in this email message is intended only for use of the individual or entity named above. If the reader of this message is not the intended recipient, or the employee or agent responsible to deliver it to the intended recipient, you are hereby notified that any dissemination, distribution or copying of this communication is strictly prohibited. If you have received this communication in error, please immediately notify us by email, postmaster@weil.com, and destroy the original message. Thank you.

The information contained in this email message is intended only for use of the individual or entity named above. If the reader of this message is not the intended recipient, or the employee or agent responsible to deliver it to the intended recipient, you are hereby notified that any dissemination, distribution or copying of this communication is strictly prohibited. If you have received this communication in error, please immediately notify us by email, postmaster@weil.com, and destroy the original message. Thank you.

S	E	R	V	E	D
July 23, 2010					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 08-03

MAHER TERMINALS LLC

v.

PORT AUTHORITY OF NEW YORK AND NEW JERSEY

MEMORANDUM AND ORDER ON DISCOVERY MOTIONS

PART 1 – BACKGROUND

On June 3, 2008, complainant Maher Terminals, LLC (Maher) commenced this proceeding by filing a complaint with the Secretary alleging violations of the Shipping Act of 1984 (Shipping Act or Act) by respondent Port Authority of New York and New Jersey (PANYNJ) in the leasing of certain land and facilities at the Elizabeth Port Authority Marine Terminal. The parties filed several motions related to discovery. On October 9, 2008, I entered an order staying depositions until decisions were issued on the discovery motions. *Maher Terminals LLC v. Port Authority of New York and New Jersey*, FMC No. 08-03 (ALJ Oct. 9, 2008) (Order Staying Depositions Pending a Decision on Pending Discovery Motions).

On April 14, 2010, I determined that rulings on the parties' discovery motions would be facilitated by a fuller understanding of the matters at issue and the effect that remedies Maher seeks may have on the scope of discovery. Therefore, I ordered the parties to file supplemental briefs on the effect the Act's statute of limitations on Maher's claim for reparations. *Maher v. PANYNJ*, FMC No. 08-03, Order at 10-11 (ALJ Apr. 14, 2010) (Order to File Supplemental Briefs). The parties have filed their briefs. This order addresses the discovery motions.

I. FACTS.¹

PANYNJ owns the Elizabeth Port Authority Marine Terminal. APM Terminals North America, Inc. (APM or APMT), formerly known as Maersk Container Service Company, Inc (Maersk), occupies certain land and facilities at the Elizabeth Port Authority Marine Terminal for use as a marine terminal pursuant to Lease EP-248 with PANYNJ dated January 6, 2000, filed with the Commission as FMC Agreement No. 201106 on August 2, 2000. Complainant Maher occupies certain land and facilities at the Elizabeth Port Authority Marine Terminal for use as a marine terminal pursuant to Lease EP-249 with PANYNJ dated October 1, 2000, filed with the Commission as FMC Agreement No. 201131 on March 8, 2002.²

Maher alleges that PANYNJ violated sections 41106(2), 41106(3) and 41102(c) of the Shipping Act. These provisions state: "A marine terminal operator may not – (2) give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person; or (3) unreasonably refuse to deal or negotiate." 46 U.S.C. § 41106. "A marine terminal operator may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property" 46 U.S.C. § 41102(c).

Maher's Complaint states.

- A. Maher seeks a cease and desist order and reparations for injuries caused to it by PANYNJ's violations of the Shipping Act, 46 U.S.C. §§ 41106(2) and (3) and 41102(c), because PANYNJ (a) gave and continues to give an undue or unreasonable prejudice or disadvantage with respect to Maher, (b) gave and continues to give an undue or unreasonable preference or advantage with respect to APMT, (c) has and continues unreasonably to refuse to deal or negotiate with Maher, and (d) has and continues to fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property
- B. PANYNJ's agreement with APMT, EP-248, violated the foregoing provisions of the Shipping Act by granting and continuing to grant to APMT unduly and unreasonably more favorable lease terms than provided to Maher in EP-249, including but not limited to the basic annual rental rate per acre, investment requirements, throughput requirements, a first point of rest requirement for automobiles, and the security deposit requirement.

¹ There is a more extensive discussion of the facts in *Maher v PANYNJ*, FMC No. 08-03, Order at 10-11 (ALJ Apr. 14, 2010) (Order to File Supplemental Briefs).

² I take official notice of the leases pursuant to 46 C.F.R. § 502.226. They are available at http://www2.fmc.gov/agreements/mtos_npage.aspx (accessed March 8, 2010).

- C. In EP-248, PANYNJ provided and continues to provide APMT a base annual rental rate of \$19,000 per acre retroactive to 1999 and fixed for the approximately 30 year term of the agreement, which it did not provide to Maher
- D. By contrast, in EP-249, PANYNJ required and continues to require Maher to pay a base annual rental rate of \$39,750 per acre and additionally required Maher to pay a basic rent escalator of two percent per annum such that by the end of the 30 year term of the lease Maher's basic rent rises to \$70,590 per acre, or an unreasonable difference of \$51,590 per acre more than the PANYNJ charges APMT
- E. Over the approximately 30 year term of the agreements, this undue prejudice disadvantaging Maher and undue preference advantaging APMT totals million [sic] of dollars.
- F. PANYNJ also unlawfully preferred and continues to prefer APMT over Maher with respect to the investment requirements in the PANYNJ property that is the subject of the leases. PANYNJ required and continues to require Maher to invest greater sums than it required APMT to invest and PANYNJ provided and continues to provide APMT more favorable financing terms than it provided Maher, requiring Maher to repay the investment at a higher rate than PANYNJ provided APMT
- G. PANYNJ also unlawfully preferred and continues to prefer APMT over Maher with respect to the container throughput requirements and consequences thereof that are the subject of the leases. PANYNJ required and continues to require Maher to provide greater throughput guarantees and risk greater consequences than it required and continues to require of APMT
- H. PANYNJ also unlawfully preferred and continues to prefer APMT over Maher with respect to the first point of rest requirement imposed on Maher, but not required of APMT
- I. PANYNJ also unlawfully preferred and continues to prefer APMT over Maher with respect to the security deposit requirement by requiring Maher to provide a \$1.5 million deposit not required of APMT
- J. Despite Maher's request to the PANYNJ to be treated equally with APMT, the PANYNJ refused to deal with Maher and continues to refuse to deal with Maher and has required the foregoing undue and unreasonable preferences favoring APMT and prejudices disadvantaging Maher

- K. With respect to EP-248, during the year 2008 the PANYNJ negotiated with APMT to address APMT's claim that the PANYNJ violated the Shipping Act by failing to provide certain premises in a timely fashion, but at the same time the PANYNJ refused to negotiate with Maher concerning its claim that the PANYNJ violated the Shipping Act with respect to EP-249 by failing to provide certain premises to Maher in a timely fashion.
- L. There is no valid transportation purpose for the foregoing undue or unreasonable prejudices against Maher and undue or unreasonable preferences advantaging APMT or for the PANYNJ's refusal to deal with Maher
- M. If there is a valid transportation purpose, the discriminatory actions of PANYNJ exceed what is necessary to achieve the purpose.

(Complaint at 3-5) Maher alleges it has "sustained and continues to sustain injuries and damages amounting to a sum of millions of dollars." *Id.* at 5. As remedies, Maher seeks a cease and desist order and reparations for its actual injury plus interest, costs, and attorneys fees, and any other damages determined. *Id.* at 6. PANYNJ admitted some allegations, denied some allegations, neither admitted nor denied some allegations, and raised several affirmative defenses. (Answer at 1-7)

II. DISCOVERY MOTIONS.

The parties have filed the following motions relating to discovery:

Maher Terminals, LLC's Motion to Compel Production from The Port Authority of New York and New Jersey;

The Port Authority of New York and New Jersey Motion to Compel Discovery from Complainant and Maher's Motion for a Protective Order embedded in its opposition to PANYNJ's motion,

[Maher's] Motion to Quash Subpenas Issued by The Port Authority of New York and New Jersey;

[Maher's] Rule 26(b)(5)(B) Motion for Determination of Claims of Privilege and Determination of Waiver of Privilege of Certain Documents Produced to Maher by PANYNJ,

Maher Terminals, LLC's Motion to Compel Production of Evidence on Certain Backup Tapes from The Port Authority of New York and New Jersey

I will apply the Commission's Rules of Practice and Procedure controlling discovery and, where appropriate, the Federal Rules of Civil Procedure.

A. Scope of Discovery.

The Commission promulgated its discovery rules in 1984 based on the discovery rules set forth in the Federal Rules of Civil Procedure at that time. The discovery rules in the Federal Rules have been significantly revised since 1984. Major amendments occurred in 1993 resulting from the determination that "[t]he information explosion of recent decades has greatly increased both the potential cost of wide-ranging discovery and the potential for discovery to be used as an instrument for delay or oppression." Fed. R. Civ. P. 26 advisory committee notes, 1993 amendments. For instance, the 1993 amendments added a requirement that the parties make initial disclosures of persons likely to have discoverable information, a copy or the location of documents the party may use to support claims or defenses, computation of damages, and insurance agreements that could be used to satisfy a judgment. Fed. R. Civ. P. 26(a)(1). "Amendments to Rules 30, 31, and 33 place[d] presumptive limits on the number of depositions and interrogatories, subject to leave of court to pursue additional discovery." Fed. R. Civ. P. 26 advisory committee notes, 1993 amendments. Amended Rule 30(d) provided rules for making objections in depositions and restricted instructions to a deposition witness not to answer questions. Fed. R. Civ. P. 30(d). Later amendments set forth procedures for handling electronically stored information. Fed. R. Civ. P. 26(b)(2)(B), 33(d), and 34

Commission Rule 12 provides: "In proceedings under this part, *for situations which are not covered by a specific Commission rule*, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12 (emphasis added). I have applied a number of civil discovery rules and local discovery rules promulgated after the Commission promulgated its rules where I have found that the new or amended civil rule addresses a situation that is not covered by a specific Commission rule. *See, e.g., Maher v PANYNJ*, FMC No. 08-03 (ALJ Aug. 1, 2008) (requiring parties to quote each interrogatory or request in full immediately preceding the answer, response, or objection, requiring parties to provide an electronic copy in a word processing format of discovery with the hard copy of all discovery served, requiring good faith conference prior to filing motion to compel, imposing Rule 26 amendments for disclosure of information regarding expert testimony and creation of a privilege log; ordering compliance with Rule 34 procedure for responding to a request for electronically stored information, imposing Rule 30 requirements on conduct of depositions). I have not ordered parties to follow other new or amended rules where the situation is covered by a specific rule. For instance, the limitations on the number of interrogatories and depositions were promulgated with and go hand-in-hand with the initial disclosure requirements. Without an initial disclosures requirement, the limitation on interrogatories may result in an insufficient opportunity for a party to obtain the information to which it is entitled. Therefore, I have not limited the number of interrogatories as provided by Civil Rule 33

As promulgated in 1984, Commission Rule 201 provides.

Scope of examination. Persons and parties may be examined regarding any matter, not privileged, which is relevant to the subject matter involved in the proceeding, whether it relates to the claim or defense of the examining party or to the claim or defense of any other party, including the existence, description, nature, custody, condition, and location of any books, documents, or other tangible things, and the identity and location of persons having knowledge of relevant facts. It is not ground for objection that the testimony will be inadmissible at the hearing if the testimony sought appears reasonably calculated to lead to the discovery of admissible evidence.

46 C.F.R. § 502.201(h). Rule 201 was based on Civil Rule 26 as it existed in 1984

In 2000, the Supreme Court prescribed amendments to Civil Rule 26 to restrict a party's right to enquire into any matter "which is relevant to the subject matter involved in the proceeding."³ Instead, a party must seek leave of court to enquire into these areas. As it now reads, Civil Rule 26 provides:

Unless otherwise limited by court order, the scope of discovery is as follows. Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense – including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter. *For good cause, the court may order discovery of any matter relevant to the subject matter involved in the action.* Relevant information need not be admissible at the trial if the discovery appears reasonably calculated to lead to the discovery of admissible evidence. All discovery is subject to the limitations imposed by Rule 26(b)(2)(C).

Fed. R. Civ P 26(b)(1) (emphasis added).

Although the Supreme Court has altered the scope of discovery pursuant to Civil Rule 26, the Commission has not altered the scope of discovery set forth in Rule 201. Commission Rule 201(h) is a specific rule that addresses the scope of discovery in Commission cases. Therefore, the scope of discovery as provided in Commission Rule 201(h) is applied in this proceeding: "Persons and parties may be examined regarding any matter, not privileged, which is relevant to the subject matter involved in the proceeding, whether it relates to the claim or defense of the examining party or to the claim or defense of any other party "

Rule 26 before the 2000 amendments was accorded broad and liberal treatment by the courts because "wide access to relevant facts serves the integrity and fairness of the judicial process by promoting the search for truth." *Epstein v MCA, Inc.*, 54 F.3d 1422, 1423 (9th Cir 1995), *quoting Shoen v Shoen*, 5 F.3d 1289, 1292 (9th Cir 1993) "The key phrase in this definition – 'relevant to the subject matter involved in the pending action' – has been construed broadly to encompass any matter that bears on, or that reasonably could lead to other matter that could bear on, any issue that is or may be in the case." *Oppenheimer Fund, Inc. v Sanders*, 437 U.S. 340, 351 (1978), citing

Hickman v Taylor, 329 U.S. 495, 501 (1947); *Daval Steel Products v M/V Fakredine*, 951 F.2d 1357, 1367 (2d Cir 1991). Accordingly, "discovery should be allowed unless the information sought has no conceivable bearing on the case." *Jackson v Montgomery Ward & Co, Inc.*, 173 F.R.D. 524, 528 (D Nev 1997). "If the interrogatory has a reasonable possibility of leading to admissible evidence then it complies with the purposes of the Federal Rules of Civil Procedure and is proper." *Roesberg v Johns-Manville Corp*, 85 F.R.D. 292, 296 (E.D. Pa. 1980). However, the scope of discovery is not boundless and requests must be relevant and cannot be unreasonably cumulative, duplicative, or unnecessarily burdensome. *Jackson*, 173 F.R.D. at 526.

In order to fulfill discovery's purposes of providing both parties with "information essential to the proper litigation of all relevant facts, to eliminate surprise, and to promote settlement," the discovery rules mandate a liberality in the scope of discoverable material. *Jochims v Isuzu Motors, Ltd.*, 145 F.R.D. 507, 509 (S.D. Iowa 1992) (citing *In re Hawaii Corp*, 88 F.R.D. 518, 524 (D Haw 1980)); see also *Seattle Times Co v Rhinehart*, 467 U.S. 20, 34, 104 S. Ct. 2199, 81 L. Ed. 2d 17 (1984) ("Liberal discovery is provided for the sole purpose of assisting in the preparation and trial, or the settlement, of litigated disputes."); *Oppenheimer Fund, Inc. v Sanders*, 437 U.S. 340, 351, 98 S. Ct. 2380, 57 L. Ed. 2d 253 (1978); *SDI Operating Partnership, L.P. v Neuwirth*, 973 F.2d 652 (8th Cir 1992); *Lozano v Maryland Casualty Co.*, 850 F.2d 1470, 1472 (11th Cir 1988); *Gary Plastic Packaging Corp. v Merrill Lynch, Pierce, Fenner & Smith, Inc*, 756 F.2d 230, 236 (2d Cir 1985); *Miller v Pancucci*, 141 F.R.D. 292, 298 (C.D. Cal. 1992) (stating that the federal policy of discovery is a liberal one). Thus, as long as the parties request information or documents relevant to the claims at issue in the case, and such requests are tendered in good faith and are not unduly burdensome, discovery shall proceed. *M. Berenson Co., Inc. v Faneuil Hall Marketplace, Inc.*, 103 F.R.D. 635, 637 (D Mass.1984).

The party resisting production bears the burden of establishing lack of relevancy or undue burden. *Oleson v Kmart Corp.*, 175 F.R.D. 560, 565 (D Kan. 1997) ("The objecting party has the burden to substantiate its objections.") (citing *Peat, Marwick, Mitchell & Co v West*, 748 F.2d 540 (10th Cir 1984), cert dismissed, 469 U.S. 1199, 105 S. Ct. 983, 83 L. Ed. 2d 984 (1985)); accord *G-69 v Degnan*, 130 F.R.D. 326, 331 (D.N.J. 1990); *Flora v Hamilton*, 81 F.R.D. 576, 578 (M.D.N.C. 1978). The party must demonstrate to the court "that the requested documents either do not come within the broad scope of relevance defined pursuant to Fed. R. Civ. P. 26(b)(1) or else are of such marginal relevance that the potential harm occasioned by discovery would outweigh the ordinary presumption in favor of broad disclosure." *Burke v New York City Police Department*, 115 F.R.D. 220, 224 (S.D.N.Y. 1987). Further, the "mere statement by a party that the interrogatory [or request for production] was 'overly broad, burdensome, oppressive and irrelevant' is not adequate to voice a successful objection." *Josephs v Harris Corp.*, 677 F.2d 985, 992 (3d Cir 1982) (quoting *Roesberg v Johns-Manville Corp.*, 85

F.R.D. at 296-97, *see also Oleson*, 175 F.R.D. 560, 565 (“The litany of overly burdensome, oppressive, and irrelevant does not alone constitute a successful objection to a discovery request.”) (citation omitted). “On the contrary, the party resisting discovery must show specifically how each interrogatory [or request for production] is not relevant or how each question is overly broad, burdensome or oppressive.” *Id.* at 992 (quoting *Roesberg*, 85 F.R.D. at 296-97); *see also Oleson*, 175 F.R.D. 560, 565 (“The objecting party must show specifically how each discovery request is burdensome or oppressive by submitting affidavits or offering evidence revealing the nature of the burden.”); *Cipollone v Liggett Group, Inc.*, 785 F.2d 1108, 1121 (3d Cir. 1986) (holding that it is not sufficient to merely state a generalized objection, but, rather, objecting party must demonstrate that a particularized harm is likely to occur if the discovery be had by the party seeking it); *Degnan*, 130 F.R.D. at 331 (D.N.J. 1990) (same).

St. Paul Reinsurance Co., Ltd. v Commercial Financial Corp., 198 F.R.D. 508, 511-512 (N.D. Iowa 2000).

Interrogatories should not require the answering party to provide a narrative account of its case. They should not duplicate initial disclosures. The court will generally find them overly broad and unduly burdensome on their face to the extent they ask for “every fact” which supports identified allegations or defenses. Interrogatories may, however, properly ask for the “principal or material” facts which support an allegation or defense. Interrogatories “which seek underlying facts or the identities of knowledgeable persons and supporting exhibits for material allegations” may possibly survive objections that they are overly broad or unduly burdensome. Interrogatories which do not encompass every allegation, or a significant number of allegations, of the Complaint, reasonably places upon the answering party “the duty to answer them by setting forth the material or principal facts.”

Hiskett v Wal-Mart Stores, Inc., 180 F.R.D. 403, 404-405 (D. Kan. 1998) (citations omitted); *Odyssey Stevedoring of Puerto Rico, Inc. v Puerto Rico Ports Auth.*, 29 S.R.R. 1392, 1394 (ALJ 2002).

A party may answer an interrogatory by specifying records from which the answers may be obtained and by making the records available for inspection. [46 C.F.R. § 502.205(d).] But the records must be specified “in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained.”

Rainbow Pioneer # 44-18-04A v Hawaii-Nevada Inv. Corp., 711 F.2d 902, 906 (9th Cir. 1983).

B. General Objections to Discovery.

Maher and PANYNJ each preface their responses to the interrogatories and requests for production with a series of "general objections." (See, e.g., Maher Terminals, LLC's Responses to the Port Authority of New York and New Jersey's First Set of Interrogatories to Maher Terminals, LLC at 1-4, The Port Authority of New York and New Jersey's Objections and Responses to Complainant's First Request for Production of Documents 1-3). The party objecting to discovery bears the burden of showing why discovery should not be permitted.

Objections to [discovery] must be specific and by supported by a detailed explanation why the [discovery is] improper. General objections may result in waiver of the objections. Plaintiffs' catch-all objection named every conceivable ground including objections that the interrogatories are duplicative, not relevant to the subject matter of the litigation, oppressive, and overly vague. Plaintiffs' response was so broad as to be meaningless.

In re Folding Carton Antitrust Litigation, 83 F.R.D. 260, 264 (N.D. Ill. 1979).

The parties set forth specific objections to the discovery sought by the motions. I will consider these specific objections, not the general objections, when ruling on the motions.

PART 2 – MAHER'S MOTION TO COMPEL PRODUCTION FROM PANYNJ

Maher moves to compel "complete and proper responses" by PANYNJ to several interrogatories and requests for production. Maher first voices its objection to what it characterizes as PANYNJ's dumping of hundreds of thousands of non-responsive documents on Maher. Second, Maher seeks to compel fuller responses to a number of interrogatories and requests and addresses the specific items for which it seeks additional responses.

I. NON-RESPONSIVE DOCUMENTS.

Maher contends that for its August 29, 2008, discovery response.

PANYNJ delivered to Maher five hard drives containing 1.7 million pages of documents allocated under 138 separate custodians. The document production is replete with nonresponsive, irrelevant material including, for example, many thousands of personal e-mails regarding weddings, lunch dates, weekend plans, religious events, jokes, spam reports, and outlook contacts and appointments as shown in the attached samples and statistics.

(Maher Terminals, LLC's Motion to Compel Production from the Port Authority of New York and New Jersey (Maher Motion to Compel) at 4 (footnotes omitted) (filed September 25, 2008)) In its

opposition filed October 10, 2008, PANYNJ states that “[o]n October 3, . . . the Port Authority produced to Maher an ‘overlay’ file containing the information necessary for Maher to filter out non-responsive documents from the Port Authority’s production, effectively eliminating roughly 300,000 documents from the purview of this litigation.” Memorandum in Opposition to Maher Terminals, LLC’s Motion to Compel Production from the Port Authority of New York and New Jersey (PANYNJ Opp. to Maher Motion to Compel) at 21)

To ensure a complete record, on or before August 6, 2010, PANYNJ shall serve and file a Certificate of Counsel stating that it has identified for Maher all non-responsive documents produced with its August 29, 2008, production of documents and/or any subsequent production.

II. SPECIFIC MAHER INTERROGATORIES AND REQUESTS AT ISSUE.

A. Motion to Require Identification of Documents by Bates Numbers.

In each of its arguments regarding the interrogatories, Maher contends that “[a]lthough PANYNJ promises in its response to provide Bates numbers, it reneged on that promise during the September 12, 2008 telephone conference between the Parties.” (See, e.g., First Interrogatories No. 6, Maher’s Argument, *infra*.) PANYNJ’s actual response was “Bates numbers will be supplied when feasible.” (See, e.g., First Interrogatories No. 6, PANYNJ’s Answer, *infra*.)

In an earlier litigation in which these parties were involved, I stated.

With regard to several interrogatories, PANYNJ argues that “Maher must provide a response that specifies the Bates stamp number of each such document without limitation.” While a party responding to an interrogatory has the option of giving its answer by producing business records, see Fed. R. Civ. P. 33(d) (“the responding party *may* answer by: (1) specifying the records that must be reviewed”) (emphasis added), PANYNJ sets forth no authority holding that the interrogating party can *require* the responding party to answer as set forth in Rule 33(d). Accordingly, PANYNJ’s motion to compel Maher to respond to PANYNJ interrogatories by specifying “the Bates stamp number of each such document without limitation” is denied, although Maher may at its option choose to respond as permitted by Rule 33(d).

APM Terminals, Inc. v. Port Authority of New York and New Jersey, FMC No. 07-01, Memorandum at 30 (ALJ June 4, 2008) (Memorandum and Order on Motions to Compel Responses to Discovery). Just as PANYNJ did not set forth any authority requiring a party to respond by identifying records by Bates number in Docket No. 07-01, Maher does not set forth any authority requiring a party to respond by identifying records by Bates number in this proceeding. I do not interpret PANYNJ’s statement that it would provide Bates numbers “when feasible” to be an enforceable promise to provide Bates numbers. Therefore, if PANYNJ supplements its responses to the interrogatories by identifying records, it may, but is not required to, identify the records by Bates number.

B. Specific Objections.

MaHer seeks an order compelling additional responses to Interrogatories No. 6 and 7 of MaHer's first set of interrogatories, Interrogatories No. 21 and 22 of MaHer's second set of interrogatories, Requests for Production No. 1, 3, 4, 6, 7, 8, 9, 10, 12, 13, 13, and 17 from MaHer's first set of requests for production of documents, and Requests for Production No. 34, 35, 36, and 37 from MaHer's second set of requests for production of documents. PANYNJ is the party resisting production and "bears the burden of establishing lack of relevancy or undue burden," *Oleson v. Kmart Corp.*, 175 F.R.D. at 565, and "that the requested [information does] not come within the broad scope of relevance or else [is] of such marginal relevance that the potential harm occasioned by discovery would outweigh the ordinary presumption in favor of broad disclosure." *Burke v. New York City Police Department*, 115 F.R.D. at 224.

First Interrogatories No. 6 Describe in detail, the investments that PANYNJ required APMT to make in PANYNJ port facilities per EP-248, including the dollar value thereof.

PANYNJ's Answer Subject to and without waiving, but rather expressly preserving its General Objections, the Port Authority responds, pursuant to Fed. R. Civ. P. 33(d), that responsive information may be found in lease EP-248 and in the documents produced in connection with this litigation under custodians Cheryl Yetka and Rudy Israel, among other Port Authority custodians. Bates numbers will be supplied when feasible. In addition, the Complainant will have an opportunity to depose knowledgeable witnesses as to this topic, including Cheryl Yetka and Rudy Israel.

MaHer's Argument First, the response fails to provide the principal and material facts responsive to the request. Second, PANYNJ resorts to Fed. R. Civ. P. 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit MaHer to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained. Although PANYNJ promises in its response to provide Bates numbers, it reneged on that promise during the September 12, 2008 telephone conference between the Parties.

PANYNJ provides no identifying data to assist MaHer other than the custodians, but as set forth above, PANYNJ's production contains 17 million pages of documents, including a wide variety of wholly non-responsive materials, making it extremely difficult for MaHer to locate the truly responsive documents contained therein. Moreover, PANYNJ's response is inadequate because it does not even state under which custodians the responsive documents can be found. By stating that the responsive documents are found under "Cheryl Yetka, Rudy Israel, among other Port Authority custodians," PANYNJ is doing little more than directing MaHer to go root through its entire document production of 17 million pages. The Presiding Officer

has already found such a response by PANYNJ to be inadequate for it to invoke the privilege of Fed. R. Civ. P. 33(d)—and that was when PANYNJ's production was much, much smaller. Finally, even if PANYNJ had limited its response to Ms. Yelka and Mr. Israel, that would require Maher to sift through no less than 8,000 documents (approximately 24,000 pages), much of it nonresponsive chaff—and that is not even counting the files PANYNJ has categorized under the potentially applicable central department files, including, e.g., 9,404 Port Commerce Department documents (approximately 28,000 pages), and 12,567 Engineering documents (approximately 38,000 pages).

PANYNJ's response is [sic] inadequate. Therefore, PANYNJ should be required to fulfill to its original commitment to provide Bates numbers of documents responsive to the interrogatory.

Port Authority's Response. The Port Authority complied with the requirements of Fed. R. Civ. P. 33(d) by identifying the principal witnesses whose documents would provide information responsive to this interrogatory. Moreover, Maher's complaint that the Port Authority has identified the principal witnesses with responsive documents but has not provided Bates numbers for each responsive document is remarkable in its hypocrisy, and Maher should be estopped from pursuing this burdensome demand. That is because Maher has steadfastly refused to identify even the custodians with responsive documents when it invoked Fed. R. Civ. P. 33(d) and referenced unspecified documents in responding to the Port Authority's interrogatories. Thus, when the shoe was on the other foot, Maher not only took the position in the parties' September 12 meet-and-confer that FMC precedent did not require the production of Bates numbers and that consequently Maher would not provide them (see 07-01 Motion to Compel Mem. at 30 (holding that Bates numbers were not required to be listed in interrogatory responses)), but also refused, contrary to FMC precedent, see *id.* at 18-19, even to identify the principal custodians (as the Port Authority has done) or otherwise indicate where responsive documents may be found. Maher's refusal is even more egregious in light of the negligible burden it would incur to do so as compared to that which it seeks to foist upon the Port Authority given that Maher's production suspiciously consisted of only two boxes. See Loiseau Declaration at ¶ 27. Instead, Maher's responses merely (and repeatedly) referred the Port Authority to "business records produced as kept in the ordinary course of business" or "the documents produced by the parties in Dkt. No. 07-01" as supposedly sufficient under the same standard Maher applies in critiquing the Port Authority's responses. See Maher's First Interrogatory Responses, Response to Interrogatory No. 9, Maher's Second Interrogatory Responses, Response to Interrogatory Nos. 1, 2, 3, 4, 6, 7, 8, 9, 10, 12, 13, & 16. Under these circumstances, Maher's motion with respect to this issue should be summarily denied.

In any event, Maher's complaint that it would have to sift through 17 million pages of documents to find the documents belonging to the listed custodians because the Port Authority's production contained non-responsive documents is groundless for at least three reasons. First, the Port Authority has since identified non-responsive documents in its production, enabling Maher to quickly filter out the non-responsive documents. Second, the metadata provided by the Port Authority for each and every produced document included a readily searchable "Custodian" field. Third, the large number of responsive documents is directly correlated with the breadth, depth, and sheer number of document requests that Maher has served in this matter (see supra at p. 8-9).

For all these reasons, Maher's hypocritical attempt to foist this enormous burden on the Port Authority should be summarily rejected, especially because it will obtain any additional information it needs in the numerous Rule 30(b)(6) depositions that it has noticed with respect to the same issues covered by its interrogatories.

RULING: Maher argues that:

First, the response fails to provide the principal and material facts responsive to the request. Second, PANYNJ resorts to Fed. R. Civ. P. 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained.

Commission Rule 205 provides:

Option to produce business records Where the answer to an interrogatory may be derived or ascertained from the business records of the party upon whom the interrogatory has been served or from an examination, audit or inspection of such business records, or from a compilation, abstract or summary based thereon, and the burden of deriving or ascertaining the answer is substantially the same for the party serving the interrogatory as for the party served, it is a sufficient answer to such interrogatory to specify the records from which the answer may be derived or ascertained and to afford to the party serving the interrogatory reasonable opportunity to examine, audit or inspect such records and to make copies, compilations, abstracts or summaries.

46 C.F.R. § 502.205(d). Rule 205 does not require the responding party to provide the principal and material facts responsive to the request *and* identify the records from which the answer can be derived in sufficient detail to permit the interrogating party to locate and identify, as readily as the responding party, the records from which the answer may be obtained.

PANYNJ's response specifies the records from which the answer may be derived or ascertained by stating "responsive information may be found . . . in the documents produced in connection with this litigation under custodians Cheryl Yetka and Rudy Israel, *among other Port Authority custodians*" and contends that it has identified "the *principal* witnesses whose documents would provide information responsive to this interrogatory." When responding to an interrogatory by identifying the records from which the answer may be derived or ascertained, "the records must be specified 'in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained.'" *Rainbow Pioneer # 44-18-04A v Hawaii-Nevada Inv Corp.*, 711 F.2d at 906. PANYNJ's response does not tell Maher what other custodians of records may have records with information responsive to this interrogatory. Furthermore, identifying the custodian or custodians with records does not necessarily "specify the records from which the answer may be derived or ascertained." Therefore, PANYNJ's response to Maher First Interrogatory No. 6 is insufficient.

PANYNJ is ordered to supplement its answer to Maher First Interrogatory No. 6 by setting forth the material or principal facts on which it relies for its response, or, in the alternative, by identifying all custodians with records responsive to this interrogatory and specifying in sufficient detail the particular records of each custodian from which the answer to Interrogatory No. 6 may be derived or ascertained.

First Interrogatories No. 7 *Describe in detail the investments that the PANYNJ required Maher to make in PANYNJ port facilities per EP-249, including the dollar value thereof.*

PANYNJ's Answer *Subject to and without waiving, but rather expressly preserving its General Objections, the Port Authority responds, pursuant to Fed. R. Civ P 33(d), that responsive information may be found in lease EP-249 and in the documents produced in connection with this proceeding under custodians Cheryl Yetka and Rudy Israel, among other Port Authority custodians. Bates numbers will be supplied when feasible. In addition, the Complainant will have an opportunity to depose knowledgeable witnesses as to this topic, including Cheryl Yetka and Rudy Israel.*

Maher's Argument *First, the response fails to provide the principal and material facts responsive to the request. Second, PANYNJ resorts to Fed. R. Civ P 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained. Although PANYNJ promises in its response to provide Bates numbers, it reneged on that promise during the September 12, 2008 telephone conference between the Parties.*

PANYNJ provides no identifying data to assist Maher other than the custodians, but as set forth above, PANYNJ's production contains 17 million pages of documents, including a wide variety of wholly non-responsive materials, making it extremely difficult for Maher to locate the truly responsive documents contained therein. Moreover, PANYNJ's response is inadequate because it does not even state which custodians the responsive documents will be found under. By stating that the responsive documents are found under "Cheryl Yetka, Rudy Israel, among other Port Authority custodians," PANYNJ is doing nothing more than directing Maher to go dig through its entire document production of 17 million pages. The Presiding Officer has already found such a response by PANYNJ to be inadequate for it to invoke the privilege of Fed. R. Civ. P. 33(d). Finally, even if PANYNJ had limited its response to Ms. Yetka and Mr. Israel, that would require Maher to sift through no less than 8,000 documents (approximately 24,000 pages), much of it nonresponsive—and that is not even counting the files PANYNJ has categorized under the central department files, including, e.g., 9,404 Port Commerce Department documents (approximately 28,000 pages), and 12,567 Engineering documents (approximately 38,000 pages). PANYNJ should be required to fulfill to its original commitment to provide Bates numbers.

Port Authority's Response In order to avoid burdening the Presiding Officer with too much redundant argumentation, the Port Authority respectfully refers to its response to First Interrogatory No. 6 at pp. 42-44, supra. Furthermore, with respect to this particular interrogatory, the reference that the Port Authority included to EP-249 was plainly sufficient under Fed. R. Civ. P. 33(d) since the lease itself specifically sets forth the work that Maher agreed to perform.

RULING: Maher argues that:

First, the response fails to provide the principal and material facts responsive to the request. Second, PANYNJ resorts to Fed. R. Civ. P. 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained.

Commission Rule 205 provides:

Option to produce business records Where the answer to an interrogatory may be derived or ascertained from the business records of the party upon whom the interrogatory has been served or from an examination, audit or inspection of such business records, or from a compilation, abstract or summary based thereon, and the burden of deriving or ascertaining the answer is substantially the same for the party serving the interrogatory as for the party served, it is a sufficient answer to such interrogatory to specify the records from which the answer may be derived or

ascertained and to afford to the party serving the interrogatory reasonable opportunity to examine, audit or inspect such records and to make copies, compilations, abstracts or summaries.

46 C.F.R. § 502.205(d). Rule 205 does not require the responding party to provide the principal and material facts responsive to the request *and* identify the records from which the answer can be derived in sufficient detail to permit the interrogating party to locate and identify, as readily as the responding party, the records from which the answer may be obtained.

PANYNJ's response specifies the records from which the answer may be derived or ascertained by stating "responsive information may be found in the documents produced in connection with this litigation under custodians Cheryl Yotka and Rudy Israel, *among other Port Authority custodians*" and contends that it has identified "the *principal* witnesses whose documents would provide information responsive to this interrogatory." When responding to an interrogatory by identifying the records from which the answer may be derived or ascertained, "the records must be specified in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained." *Rainbow Pioneer # 44-18-04A v. Hawaii-Nevada Inv. Corp.*, 711 F.2d at 906. PANYNJ's response does not tell Maher what other custodians of records may have records with information responsive to this interrogatory. Furthermore, identifying the custodian or custodians with records does not necessarily "specify the records from which the answer may be derived or ascertained." Therefore, PANYNJ's response to Maher First Interrogatory No. 7 is insufficient.

PANYNJ is ordered to supplement its answer to Maher First Interrogatory No. 7 by setting forth the material or principal facts on which it relies for its response, or, in the alternative, by identifying all custodians with records responsive to this interrogatory and specifying in sufficient detail the particular records of each custodian from which the answer to Interrogatory No. 7 may be derived or ascertained.

Second Interrogatories No. 21 Identify agreements, communications, and other documents pertaining to payments received by PANYNJ, or other requirements imposed by PANYNJ or benefits received by PANYNJ, including investments in PANYNJ facilities, on lessees or terminal operators in connection with the sale or change of control of such lessees or terminal operators, property, or leases or other agreements, including but not limited to such payments or requirements imposed in connection with APMT, the Port Newark Container Terminal, and the Howland Hook Marine Terminal, and New York Container Terminal, Inc.

PANYNJ's Answer The Port Authority objects to Interrogatory No. 21 as overbroad, unduly burdensome, and vague. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds, pursuant to Fed. R. Civ. P. 33(d), that responsive

information may be found in the documents produced in connection with this litigation under custodians Paul Blanco, Richard Larrabee, Dennis Lombardi, and Robert Evans, among other Port Authority custodians. Bates numbers will be supplied when feasible. In addition, the Complainant will have an opportunity to depose knowledgeable witnesses as to this topic, including Richard Larrabee, Dennis Lombardi, and Robert Evans.

Maher's Argument First, PANYNJ's objection of "overbroad, unduly burdensome, and vague" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the objection to the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. Despite Maher's effort to resolve these objections, PANYNJ has provided no explanation or justification for the objections that would facilitate resolution.

Second, the response fails to provide the principal and material facts responsive to the request as required by the Presiding Officer's June 4th Order

Third, PANYNJ resorts to Fed. R. Civ P 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained. Although PANYNJ promises in its response to provide Bates numbers, it reneged on that promise during the September 12, 2008 telephone conference between the Parties.

PANYNJ provides no identifying data to assist Maher other than the custodians, but as set forth above, PANYNJ's production contains 17 million pages of documents, including a wide variety of wholly non-responsive materials, making it extremely difficult for Maher to locate the truly responsive documents contained therein. Moreover, PANYNJ's response is inadequate because it does not even state under which custodians the responsive documents will be found. By stating that the responsive documents are found under "Paul Blanco, Richard Larrabee, Dennis Lombardi, and Robert Evans, among other Port Authority custodians," PANYNJ is doing nothing more than directing Maher to go see its entire document production of 17 million pages. The Presiding Officer has already found such a response by PANYNJ to be inadequate for it to invoke the privilege of Fed. R. Civ P 33(d). Finally, and as also discussed above, the universe of documents to which PANYNJ directs Maher is vast and unorganized. Maher has no way of knowing where to search within the document production to have conducted a complete search. By contrast, PANYNJ has access to PANYNJ witnesses and staff to ascertain where to search and to help locate responsive documents they know about. Therefore, the burden of finding the responsive information really is not the same as between the

Parties. It plainly is less burdensome for PANYNJ than Maher. Therefore, PANYNJ should be required to honor its original commitment to provide Bates numbers.

Port Authority's Response. In order to avoid burdening the Presiding Officer with too much redundant argumentation, the Port Authority respectfully refers to its response to First Interrogatory No. 6 at pp. 42-44, supra. Furthermore, with respect to this particular interrogatory, the Port Authority's objection that the interrogatory was overbroad, unduly burdensome, and vague was clearly correct. Indeed, this particular interrogatory exemplifies Maher's use of interrogatories as a tool of harassment rather than as a means to obtain relevant information not otherwise obtainable through other sources. Maher's lack of good faith is perhaps best illustrated by the fact that almost none of its own interrogatory responses would comply with the requirements that Maher seeks to apply unilaterally to the Port Authority's responses. For example, Maher does not include any "affidavit or other sworn statement" accompanying its burden objections, which are pervasive in its responses and objections. Moreover, to the extent that such affidavits are nonetheless sometimes used to buttress burden claims, they should have no bearing on the Port Authority's objection on vagueness grounds, which is apparent on the face of the interrogatory

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002). PANYNJ contends that

with respect to this particular interrogatory, the Port Authority's objection that the interrogatory was overbroad, unduly burdensome, and vague was clearly correct. Indeed, this particular interrogatory exemplifies Maher's use of interrogatories as a tool of harassment rather than as a means to obtain relevant information not otherwise obtainable through other sources.

PANYNJ does not explain *how* its objection is clearly correct or how this particular interrogatory exemplifies Maher's use of interrogatories as a tool of harassment rather than as a means to obtain relevant information not otherwise obtainable through other sources. Therefore, PANYNJ's objection that the interrogatory is overbroad, unduly burdensome, and vague is overruled.

Maher argues that

First, the response fails to provide the principal and material facts responsive to the request. Second, PANYNJ resorts to Fed. R. Civ. P. 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained.

Commission Rule 205 provides:

Option to produce business records Where the answer to an interrogatory may be derived or ascertained from the business records of the party upon whom the interrogatory has been served or from an examination, audit or inspection of such business records, or from a compilation, abstract or summary based thereon, and the burden of deriving or ascertaining the answer is substantially the same for the party serving the interrogatory as for the party served, it is a sufficient answer to such interrogatory to specify the records from which the answer may be derived or ascertained and to afford to the party serving the interrogatory reasonable opportunity to examine, audit or inspect such records and to make copies, compilations, abstracts or summaries.

46 C.F.R. § 502.205(d). Rule 205 does not require the responding party to provide the principal and material facts responsive to the request *and* identify the records from which the answer can be derived in sufficient detail to permit the interrogating party to locate and identify, as readily as the responding party, the records from which the answer may be obtained.

PANYNJ's response specifies the records from which the answer may be derived or ascertained by stating "responsive information may be found . . . in the documents produced in connection with this litigation under custodians Paul Blanco, Richard Larrabee, Dennis Lombardi, and Robert Evans, *among other Port Authority custodians*." When responding to an interrogatory by identifying the records from which the answer may be derived or ascertained, "the records must be specified 'in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained.'" *Rainbow Pioneer # 44-18-04A v Hawaii-Nevada Inv. Corp.*, 711 F.2d at 906. PANYNJ's response does not tell Maher what other custodians of records may have records with information responsive to this interrogatory. Furthermore, identifying the custodian or custodians with records does not necessarily "specify the records from which the answer may be derived or ascertained." Therefore, PANYNJ's response to Maher First Interrogatory No. 21 is insufficient.

PANYNJ is ordered to supplement its answer to Maher Second Interrogatory No. 21 by setting forth the material or principal facts on which it relies for its response, or, in the alternative, by identifying all custodians with records responsive to this interrogatory and specifying in sufficient detail the particular records of each custodian from which the answer to Interrogatory No. 21 may be derived or ascertained.

Second Interrogatories No. 22. *Identify all documents and communications pertaining to parity of treatment or lack thereof regarding PANYNJ's treatment of Maher and APMT, including but not limited to Maher's requests for treatment by PANYNJ equal to that provided by PANYNJ to APMT, and PANYNJ's responses thereto*

PANYNJ's Answer *The Port Authority objects to Interrogatory No. 22 on the grounds that it is unduly burdensome to require that the Port Authority identify "all documents and communications," as to these subjects by way of interrogatory response. The Port Authority also objects to this interrogatory on the grounds that it is vague and ambiguous. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds, pursuant to Fed. R. Civ. P. 33(d), that responsive information may be found in the documents produced in connection with this litigation under custodians Dennis Lombardi, Edmond Harrison, Cheryl Yetka, and Rudy Israel, among other Port Authority custodians. Bates numbers will be supplied when feasible. In addition, the Complainant will have an opportunity to depose individuals who may be knowledgeable as to this topic.*

Maher's Argument *First, PANYNJ's objections to the request as "unduly burdensome" and "vague and ambiguous" require a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid.*

Second, the response fails to provide the principal and material facts responsive to the request as required by the Presiding Officer's June 4th Order

Third, PANYNJ resorts to Fed. R. Civ. P. 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained. Although PANYNJ promises in its response to provide Bates numbers, it reneged on that promise during the September 12, 2008 telephone conference between the Parties.

PANYNJ provides no identifying data to assist Maher other than the custodians, but as set forth above, PANYNJ's production contains 17 million pages of documents, including a wide variety of wholly non-responsive materials, making it extremely difficult for Maher to locate the truly responsive documents contained therein. Moreover, PANYNJ's response is inadequate because it does not even state under which custodians the responsive documents will be found. By stating that the responsive documents are found under "Dennis Lombardi, Edmond Harrison,

Cheryl Yetka, and Rudy Israel, among other Port Authority custodians," PANYNJ is doing nothing more than directing Maher to go see its entire document production of 17 million pages. The Presiding Officer has already found such a response by PANYNJ to be inadequate for it to invoke the privilege of Fed. R. Civ. P. 33(d). Finally, and as also discussed above, the universe of documents to which PANYNJ directs Maher is vast and unorganized. Maher has no way of knowing where to search within the document production to have conducted a complete search. By contrast, PANYNJ has access to PANYNJ witnesses and staff to ascertain where to search and to help locate responsive documents they know about. Therefore, the burden of finding the responsive information really is not the same as between the Parties. It plainly is less burdensome for PANYNJ than Maher. Therefore, PANYNJ should be required to honor its original commitment to provide Bates numbers.

Port Authority's Response In order to avoid burdening the Presiding Officer with too much redundant argumentation, the Port Authority respectfully refers to its response to Second Interrogatory No. 21 at pp. 46-47, *supra*.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D. 208, 213 (D.Kan. 2002). PANYNJ contends that "it is unduly burdensome to require that the Port Authority identify 'all documents and communications,' as to these subjects by way of interrogatory response. The Port Authority also objects to this interrogatory on the grounds that it is vague and ambiguous. PANYNJ does not explain *how* its objection is clearly correct or how this particular interrogatory exemplifies Maher's use of interrogatories as a tool of harassment rather than as a means to obtain relevant information not otherwise obtainable through other sources.

Maher argues that the response "fails to provide the principal and material facts responsive to the request" and "fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained."

First, the response fails to provide the principal and material facts responsive to the request. Second, PANYNJ resorts to Fed. R. Civ. P. 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained.

Commission Rule 205 provides:

Option to produce business records Where the answer to an interrogatory may be derived or ascertained from the business records of the party upon whom the interrogatory has been served or from an examination, audit or inspection of such business records, or from a compilation, abstract or summary based thereon, and the burden of deriving or ascertaining the answer is substantially the same for the party serving the interrogatory as for the party served, it is a sufficient answer to such interrogatory to specify the records from which the answer may be derived or ascertained and to afford to the party serving the interrogatory reasonable opportunity to examine, audit or inspect such records and to make copies, compilations, abstracts or summaries.

46 C.F.R. § 502.205(d). Rule 205 does not require the responding party to provide the principal and material facts responsive to the request *and* identify the records from which the answer can be derived in sufficient detail to permit the interrogating party to locate and identify, as readily as the responding party, the records from which the answer may be obtained.

PANYNJ's response specifies the records from which the answer may be derived or ascertained by stating "responsive information may be found . . . in the documents produced in connection with this litigation under custodians Dennis Lombardi, Edmond Harrison, Cheryl Yetka, and Rudy Israel, *among other Port Authority custodians* " When responding to an interrogatory by identifying the records from which the answer may be derived or ascertained, "the records must be specified 'in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained.'" *Rainbow Pioneer # 44-18-04A v Hawaii-Nevada Inv Corp.*, 711 F.2d at 906 PANYNJ's response does not tell Maher what other custodians of records may have records with information responsive to this interrogatory Furthermore, identifying the custodian or custodians with records does not necessarily "specify the records from which the answer may be derived or ascertained." Therefore, PANYNJ's response to Maher First Interrogatory No. 22 is insufficient.

PANYNJ is ordered to supplement its answer to Maher Second Interrogatory No. 22 by setting forth the material or principal facts on which it relies for its response, or, in the alternative, by identifying all custodians with records responsive to this interrogatory and specifying in sufficient detail the particular records of each custodian from with the answer to Interrogatory No. 22 may be derived or ascertained.

First Requests No. 1 *All documents reflecting the communications, deliberations, negotiations, and actions of the Commissioners, the board of directors, the officers, employees, agents and representatives of the PANYNJ pertaining to the acts which are the subject of the Complaint.*

PANYNJ's Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. The Port Authority further objects to this request on the grounds that it is vague and ambiguous in requesting all documents "pertaining to the acts which are the subject of the Complaint." Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Mahe's Argument. PANYNJ's objection of "overbroad and unduly burdensome" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts, as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. Additionally, the Presiding Officer has already ruled that requests for documents concerning the allegations of a complaint are proper and not overbroad and unduly burdensome.

Port Authority's Response It is standard practice in discovery responses of this nature to assert that one is producing documents notwithstanding the stated objections, so as not to waive them for the future. In fact, Maher employed this same structure throughout its objections to the Port Authority's document requests. See, e.g., Maher Terminals, LLC's Responses to the Port Authority of New York and New Jersey's First Request for Production of Documents to Maher Terminals, LLC ("Maher's First RFP Responses") In any event, although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D. 208, 213 (D Kan. 2002) PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome" and that it is "vague and ambiguous." PANYNJ does not meet its burden of showing specifically how the request is overbroad, unduly burdensome, vague, and ambiguous.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents

pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 1 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 1 by stating whether it produced any documents pursuant to this request.

First Requests No. 3 *All documents pertaining to the preparation, proposal, consideration, negotiation, and drafting of EP-248, including but not limited to the meaning of any provision of term of EP-248.*

PANYNJ's Answer *The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control.*

Maher's Argument *APMT's undue preferences, as enshrined in lease EP-248, are directly at issue in this matter. PANYNJ's objection of "overbroad and unduly burdensome" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. Moreover, The Presiding Officer has already held that an almost identical request for "All documents pertaining to the negotiation and drafting of EP-249, including but not limited to the meaning of any provision or term of EP-249" was not overbroad.*

Port Authority's Response *Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot. The Port Authority also notes that this document request is substantially duplicative of the testimony Maher seeks via two separate August 4, 2008 30(b)(6) notices, which request "the most knowledgeable person concerning the negotiation of agreement[] EP-248 (August 4, 2008 Maher Terminals, LLC Notice of Deposition of the Port Authority of New York and New Jersey, attached to the Loiseau Declaration as Ex. 22) and "the most knowledgeable person concerning the provisions of lease agreement[] EP-248." August 4, 2008 Maher Terminals, LLC Notice of Deposition of the Port Authority of New York and New Jersey, attached to the Loiseau Declaration as Ex. 23*

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D. 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome." PANYNJ does not meet its burden of showing specifically how the request is overbroad and unduly burdensome.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 3 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 3 by stating whether it produced any documents pursuant to this request.

First Requests No. 4. All documents pertaining to the preparation, proposal, consideration, negotiation and drafting of EP-249, including but not limited to the meaning of any provision or term of EP-249

PANYNJ's Answer: The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Maher's Argument: Maher's lease EP-249, which contains terms less favorable than those afforded APMT in EP-248, is directly at issue in this matter. PANYNJ's objection of "overbroad and unduly burdensome" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. Moreover, The Presiding Officer has already held that an almost identical request for "All documents pertaining to the negotiation and drafting of EP-249, including but not limited to the meaning of any provision or term of EP-249A" was not overbroad.

Port Authority's Response: Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot. The Port Authority also notes that this document request is substantially duplicative of the testimony Maher seeks via its August 4, 2008 30(b)(6) notice, which requests "the most knowledgeable person concerning the . . . negotiation of agreement[]" EP-249 (August 4, 2008 Maher Terminals, LLC Notice of Deposition of the Port Authority of New York and New Jersey, attached to the Loiseau Declaration as Ex. 22) and "the most knowledgeable person concerning the provisions of lease agreement[]" EP-249 " August 4, 2008 Maher Terminals, LLC Notice of Deposition of the Port Authority of New York and New Jersey, attached to the Loiseau Declaration as Ex. 23

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome." PANYNJ does not meet its burden of showing specifically how the request is overbroad and unduly burdensome.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 4 is insufficient. PANYNJ "notes that this document request is substantially duplicative of the testimony Maher seeks via its August 4, 2008 30(b)(6) notice," but does not cite any authority holding that a discovering party must choose between a request for production of documents and a Rule 30(b)(6) deposition when it is seeking discoverable information.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 4 by stating whether it produced any documents pursuant to this request.

First Requests No. 6. All documents in any way pertaining to meetings or communications between the PANYNJ and APMT pertaining to lease proposals.

PANYNJ's Answer: *The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.*

Maher's Argument *The Maher and APMT lease proposals are directly at issue in this matter. PANYNJ's objection of "overbroad and unduly burdensome" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid.*

Port Authority's Response. *Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.*

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome." PANYNJ does not meet its burden of showing specifically how the request is overbroad and unduly burdensome.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 6 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 6 by stating whether it produced any documents pursuant to this request.

First Requests No. 7 All documents in any way pertaining to meetings or communications concerning the reasons why PANYNJ provided APMT the terms of EP-248.

PANYNJ's Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Mahe's Argument. PANYNJ's award of the unduly preferential terms contained in lease EP-248 are [sic] directly at issue in this matter. PANYNJ's objection of "overbroad and unduly burdensome" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid.

Port Authority's Response Although the Port Authority's objections were reasonable and appropriate in light of Mahe's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Mahe's complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C v Genmar Holdings, Inc., 209 F.R.D. 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome." PANYNJ does not meet its burden of showing specifically how the request is overbroad and unduly burdensome.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Mahe whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Mahe's First Requests No. 7 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 7 by stating whether it produced any documents pursuant to this request.

First Requests No. 8 All correspondence, notes, records, memoranda, or other documents in any way pertaining to meetings or communications concerning EP-249 and allegations of the Complaint.

PANYNJ's Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. The Port Authority further objects to this request on the grounds that it is vague and ambiguous in requesting all documents "concerning . . . allegations of the Complaint." Subject to and without waiving the foregoing conclusions, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Maher's Argument PANYNJ's objection of "overbroad and unduly burdensome" and "vague and ambiguous" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. These blanket and general objections, unsupported or clarified by a memorandum of law, are not valid. There is nothing vague or ambiguous about the request for evidence concerning the complaint allegations and this is a proper request, as evidenced by the Presiding Officer's June 4th Order ruling that PANYNJ must produce all documents "pertaining to the allegations of Third Party Complainant that Maher breached EP-249" in Docket 07-01

Port Authority's Response Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly

burdensome” and that it is “vague and ambiguous.” PANYNJ does not meet its burden of showing specifically how the request is overbroad, unduly burdensome, vague, and ambiguous.

In its Answer, PANYNJ states that it “will produce non-privileged documents responsive to this request, if any, that are in the Port Authority’s possession, custody or control.” In its Response, it states that “no documents were withheld in response to this request based on the challenged objections.” PANYNJ’s answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ’s response to Maher’s First Requests No. 8 is insufficient.

PANYNJ is ordered to supplement its answer to Maher’s First Requests No. 8 by stating whether it produced any documents pursuant to this request.

First Requests No. 9: All correspondence, notes, records, memoranda, or other documents in any way pertaining to meetings or communications concerning the reasons why PANYNJ did not provide Maher the terms provided to APMT in EP-248.

PANYNJ’s Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority’s possession, custody, or control.

Maher’s Argument PANYNJ’s refusal to provide the advantageous APMT terms to Maher is directly at issue in this matter. PANYNJ’s objection of “overbroad and unduly burdensome” requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. There is nothing vague or overbroad about the request and PANYNJ must produce the responsive documents.

Port Authority’s Response. Although the Port Authority’s objections were reasonable and appropriate in light of Maher’s request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher’s complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide

sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents:

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome." PANYNJ does not meet its burden of showing specifically how the request is overbroad and unduly burdensome.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 9 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 9 by stating whether it produced any documents pursuant to this request.

First Requests No. 10 All PANYNJ rules, regulations, and practices pertaining to leases and the allegations of the Complaint.

PANYNJ's Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. The Port Authority further objects to this request on the grounds that it is vague and ambiguous in requesting all documents "pertaining to allegations of the Complaint." The Port Authority further objects to this request in that it seeks documents and information that is not relevant to any claim or defense in this action and/or likely to lead to the discovery of admissible evidence. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Maher's Argument. The Presiding Officer's June 4th Order ruling that PANYNJ be required to produce all documents "pertaining to the allegations of Third Party Complainant that Maher breached EP-249" in Docket 07-01 establishes that requests such as this, which request documents "pertaining to allegations of the Complaint" are proper and not overbroad or confusing. Moreover, PANYNJ's objection of "overbroad and unduly burdensome" or "vague and ambiguous" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and

requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid.

Port Authority's Response. Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002) PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome" and that it is "vague and ambiguous." PANYNJ does not meet its burden of showing specifically how the request is overbroad, unduly burdensome, vague, and ambiguous.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 10 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 10 by stating whether it produced any documents pursuant to this request.

First Requests No. 12. All documents pertaining to the settlement communications between PANYNJ and APMT during 2007 and 2008 regarding APMT's claims as set forth in Federal Maritime Commission ("FMC") Docket No. 07-01

PANYNJ's Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request in that it seeks documents and information that is not relevant to any claim or defense in this action and/or likely to lead to the discovery of admissible evidence. The Port Authority further objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Mahe's Argument. PANYNJ's errs in its objection that the interrogatory relates to information that is irrelevant to this proceeding. PANYNJ's utter refusal to deal with Maher meaningfully to settle its claims, while all the while engaging APMT and awarding a whole new series of undue preferences and advantages, bears directly upon the allegations in this proceeding which explicitly invoked PANYNJ's refusal to deal and undue preference in this regard.

Port Authority's Response. Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: PANYNJ has not met its burden of showing has this request is not relevant. *Roesberg*, 85 F.R.D. at 296-97

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 12 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 12 by stating whether it produced any documents pursuant to this request.

PANYNJ objects to this request "to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity." Maher challenged PANYNJ's assertion of this privilege. In its Response, PANYNJ stated that "no documents were withheld in response to this request based on the challenged objections." PANYNJ is ordered to supplement its Answer to Maher's First Requests No. 12 by stating whether it withheld any responsive documents pursuant to this Request. If so, PANYNJ is ordered to identify these documents in a privilege log. *Maher v PANYNJ*, FMC No. 08-03, Order at 5 (ALJ Aug. 1, 2008) (August 1, 2008, Discovery Order).

First Requests No. 13 All documents that PANYNJ contends support the existence of a valid transportation purpose justifying the difference in terms provided to APMT under EP-248 as compared to the terms PANYNJ provided to Maher under EP-249.

PANYNJ's Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. The Port

Authority further objects to this request on the grounds that it is vague and ambiguous, including in the use of the term "valid transportation purpose." The Port Authority further objects to this request to the extent that it calls for a legal conclusion. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Mahe's Argument. First, PANYNJ's objection of "overbroad and unduly burdensome" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. PANYNJ's objection to the term "valid transportation purpose" as "vague and ambiguous" in this Shipping Act proceeding borders upon the frivolous. Indeed, PANYNJ's letter to the Presiding Officer dated July 23, 2008, in describing discovery requests on this point as "a roadmap to the Port Authority's defense," certainly evinced an understanding of the term "valid transportation purpose."

Second, PANYNJ fails to explain how the production of responsive documents could constitute a legal conclusion. To the extent that the production of responsive documents requires the application of the law to the facts of the case, this is permissible and appropriate. Rule 205 provides

[A request] otherwise proper is not necessarily objectionable merely because an answer to the [request] involves an opinion or contention that relates to fact or the application of law to fact

The application of law to fact is also specifically authorized by Rule 33(a)(2) "An interrogatory is not objectionable merely because it asks for an opinion or contention that relates to the application of law to fact." In the same vein, the advisory committee's note to the 1970 amendment to Rule 33 explains "[R]equests for opinions or contentions that call for the application of law to fact can be most useful in sharpening the issues, which is a major purpose of discovery." To further that "major purpose," pursuant to Rule 33 parties are "required to disclose, to some extent, mental impressions, opinions, or conclusions" in response to contention interrogatories. "[T]he only kind of interrogatory that is objectionable without more as a legal conclusion is one that extends to 'legal issues unrelated to the facts of the case.'"

Port Authority's Response. Although the Port Authority's objections were reasonable and appropriate in light of Mahe's request, as stated in the response itself, no documents were withheld in response to this request based on the

challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v. Genmar Holdings, Inc., 209 F.R.D. 208, 213 (D. Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome" and that it is "vague and ambiguous." PANYNJ does not meet its burden of showing specifically how the request is overbroad, unduly burdensome, vague, and ambiguous.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 13 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 13 by stating whether it produced any documents pursuant to this request.

First Requests No. 14 All documents that PANYNJ contends support PANYNJ's contention that its actions do not exceed what is necessary to achieve a valid transportation purpose justifying the difference in terms provided to APMT under EP-248 as compared to the terms PANYNJ provided to Maher under EP-249

PANYNJ's Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. The Port Authority further objects to this request on the grounds that it is vague and ambiguous, including in the term "valid transportation purpose." The Port Authority further objects to this request to the extent that it calls for a legal conclusion. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Maher's Argument First, PANYNJ's reasons for discriminating against Maher are directly at issue in this proceeding, and PANYNJ's objection of "overbroad and unduly burdensome" requires a specific explanation, such as an affidavit or other

sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Such blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. Moreover, PANYNJ objects to this request as vague and ambiguous with regard to the term "valid transportation purpose", yet in its July 23, 2008 letter to the Presiding Officer, indicated that PANYNJ's objection to the term "valid transportation purpose" as "vague and ambiguous" in this Shipping Act proceeding is frivolous.

Second, PANYNJ fails to explain how the production of responsive documents could constitute a legal conclusion. To the extent that the production of responsive documents requires the application of the law to the facts of the case, this is permissible and appropriate. Rule 205 provides

[A request] otherwise proper is not necessarily objectionable merely because an answer to the [request] involves an opinion or contention that relates to fact or the application of law to fact

The application of law to fact is also specifically authorized by Rule 33(a)(2) "An interrogatory is not objectionable merely because it asks for an opinion or contention that relates to the application of law to fact" In the same vein, the advisory committee's note to the 1970 amendment to Rule 33 explains "[R]equests for opinions or contentions that call for the application of law to fact can be most useful in sharpening the issues, which is a major purpose of discovery." To further that "major purpose," pursuant to Rule 33 parties are "required to disclose, to some extent, mental impressions, opinions, or conclusions" in response to contention interrogatories. "[T]he only kind of interrogatory that is objectionable without more as a legal conclusion is one that extends to legal issues unrelated to the facts of the case."

Port Authority's Response Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome" and that it is "vague and ambiguous." PANYNJ does not meet its burden of showing specifically how the request is overbroad, unduly burdensome, vague, and ambiguous.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's First Requests No. 14 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's First Requests No. 14 by stating whether it produced any documents pursuant to this request.

First Requests No. 17. All communications, including all documents, between PANYNJ and APMT pertaining to the subject matter of the Complaint not covered by the foregoing requests.

PANYNJ's Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. The Port Authority further objects to this request on the grounds that it is vague and ambiguous in requesting all documents "pertaining to the subject matter of the Complaint not covered by the foregoing requests." Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Maher's Argument. PANYNJ's objection of "overbroad and unduly burdensome" requires a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. Additionally, requests for documents pertaining to the allegations in the complaint are proper, and cannot be blocked with objections of overbreadth and confusion.

Port Authority's Response Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D. 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request “on the grounds that it is overbroad and unduly burdensome” and that it is “vague and ambiguous.” PANYNJ does not meet its burden of showing specifically how the request is overbroad, unduly burdensome, vague, and ambiguous.

In its Answer, PANYNJ states that it “will produce non-privileged documents responsive to this request, if any, that are in the Port Authority’s possession, custody or control.” In its Response, it states that “no documents were withheld in response to this request based on the challenged objections.” PANYNJ’s answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ’s response to Maher’s First Requests No. 17 is insufficient.

PANYNJ is ordered to supplement its answer to Maher’s First Requests No. 17 by stating whether it produced any documents pursuant to this request.

Second Requests No. 34 All documents pertaining to payments to PANYNJ, investment commitments obtained by PANYNJ, or other conditions imposed by PANYNJ on lessees or terminal operators in connection with the sale or change of control of lessees or terminal operators, property, or other agreements, including but not limited to such requirements imposed in connection with APMT, the Port Newark Container Terminal and the Howland Hook Marine Terminal/New York Container Terminal, Inc.

PANYNJ’s Answer The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. The Port Authority further objects to this request on the grounds that it is vague and ambiguous, including in the use of the term “terminal operators.” The Port Authority further objects to this request in that it seeks documents and information that is not relevant to any claim or defense in this action and/or likely to lead to the discovery of admissible evidence. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority’s possession, custody, or control.

Maher’s Argument PANYNJ’s discrimination against Maher with respect to the change of ownership interest/control provision of EP-249 are [sic] the subject of this

proceeding. PANYNJ's objections of "overbroad and unduly burdensome" and "vague and ambiguous" require a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid.

Port Authority's Response. Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v. Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly burdensome" and that it is "vague and ambiguous." PANYNJ does not meet its burden of showing specifically how the request is overbroad, unduly burdensome, vague, and ambiguous.

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's Second Requests No. 34 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's Second Requests No. 34 by stating whether it produced any documents pursuant to this request.

Second Requests No. 35. All documents pertaining to attempts by Maher or PANYNJ to settle or resolve claims which are the subject of this proceeding.

PANYNJ's Answer. The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request in that it seeks documents and information that is not relevant to any claim or defense in this action and/or likely to lead to the discovery of admissible evidence. The Port Authority further objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or

immunity Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Maher's Argument The request goes to PANYNJ's response to the allegations of the instant Complaint and communications regarding potential settlement of such claims, and PANYNJ's refusal to deal with Maher regarding its claims, in contrast to the unduly preferential concessions it granted APMT in exchange for its claims in Docket 07-01, and is therefore wholly relevant to the matters at issue and the allegations of the Complaint.

As to PANYNJ's assertion of the attorney client privilege and work product doctrine, it has failed to identify how or why that privilege applies, or to provide any privilege log. The vague assertion of privilege, without further detail or justification, cannot stand.

Port Authority's Response Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING: PANYNJ has not met its burden of showing that this request is not relevant. *Roesberg*, 85 F.R.D. at 296-97

In its Answer, PANYNJ states that it "will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody or control." In its Response, it states that "no documents were withheld in response to this request based on the challenged objections." PANYNJ's answer and response do not tell Maher whether it produced any documents pursuant to this request. Therefore, PANYNJ's response to Maher's Second Requests No. 35 is insufficient.

PANYNJ is ordered to supplement its answer to Maher's Second Requests No. 35 by stating whether it produced any documents pursuant to this request.

PANYNJ objects to this request "to the extent that it seeks information protected by the attorney-client privilege, the work product doctrine, or any other applicable privilege or immunity." Maher challenged PANYNJ's assertion of this privilege. In its Response, PANYNJ stated that "no documents were withheld in response to this request based on the challenged objections." PANYNJ is ordered to supplement its Answer to Maher's Second Requests No. 35 by stating whether it withheld any responsive documents pursuant to this Request. If so, PANYNJ is ordered to identify these documents in a privilege log. *Maher v PANYNJ*, FMC No. 08-03, Order at 5 (ALJ Aug. 1, 2008) (August 1, 2008, Discovery Order).

Second Requests No. 36. All documents pertaining to PANYNJ's refusal to deal with Maher in connection with the resolution or settlement of the claims at issue in this proceeding or FMC Docket No. 07-01

PANYNJ's Answer. The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request in that it seeks documents and information that is not relevant to any claim or defense in this action and/or likely to lead to the discovery of admissible evidence. The Port Authority further objects to the characterization in the request regarding "PANYNJ's refusal to deal with Maher." The Port Authority further objects to this request to the extent that it seeks information protected by the attorney-client privilege, the work-product doctrine, or any other applicable privilege or immunity. Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Maher's Argument. First, PANYNJ's errs in its objection that the interrogatory relates to information that is irrelevant to this proceeding. Although the conduct at issue arises from PANYNJ's handling of settlement in Docket 07-01, PANYNJ's utter refusal to engage Maher meaningfully to settle its claims, while all the while engaging APMT and awarding a whole new series of undue preferences and advantages, bears directly upon the allegations in this proceeding.

Second, as to PANYNJ's assertion of the attorney client privilege and work product doctrine, it has failed to identify how or why that privilege applies, or to provide any privilege log. This vague assertion of privilege, without further detail or justification, cannot stand.

Port Authority's Response. Although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot.

RULING:

Maher's Complaint alleges that PANYNJ "has and continues unreasonably to refuse to deal or negotiate with Maher" (Maher Complaint ¶ IV.A.(c).) Maher's use of the phrase "PANYNJ's refusal to deal with Maher" makes Second Requests No. 36 a loaded question that assumes a legal conclusion that PANYNJ violated the Shipping Act. Maher's motion to compel additional response to Second Requests No. 36 is denied.

Second Requests No. 37. All documents pertaining to requests for PANYNJ's parity of treatment as between Maher and APMT, including but not limited to Maher's requests for treatment by PANYNJ equal or better to that provided by PANYNJ to APMT, and PANYNJ's responses thereto.

PANYNJ's Answer. The Port Authority repeats and incorporates the General Objections as if fully set forth herein. The Port Authority further objects to this request on the grounds that it is overbroad and unduly burdensome. The Port Authority further objects to this request on the grounds that it is vague and ambiguous in the use of the phrase "parity of treatment." Subject to and without waiving the foregoing objections, the Port Authority will produce non-privileged documents responsive to this request, if any, that are in the Port Authority's possession, custody, or control.

Maher's Argument. PANYNJ's failure to grant Maher's requests for the same treatment as that afforded APMT are directly at issue here. PANYNJ's objection of "overbroad and unduly burdensome" and "vague" require a specific explanation, such as an affidavit or other sworn statement from a person with knowledge of the facts as will permit the Presiding Officer and requesting party to evaluate the request. Blanket or general objections, unsupported or clarified by a memorandum of law, are not valid. PANYNJ's objection to the phrase "parity of treatment" in the context of this proceeding is frivolous. PANYNJ knows full well that Maher requested "parity" with APM and that PANYNJ ultimately refused to provide APM the same terms. Indeed, in its answers to Maher's interrogatories PANYNJ has conceded that it provided Maher disparate treatment in every respect

Port Authority's Response. The Port Authority made no such concession regarding disparate treatment in its interrogatory responses, nor does Maher cite any particular response to support its vacuous assertion to the contrary. In any event, although the Port Authority's objections were reasonable and appropriate in light of Maher's request, as stated in the response itself, no documents were withheld in response to this request based on the challenged objections. Accordingly, Maher's complaint is groundless, as well as moot

RULING: As the party resisting discovery, [PANYNJ has] the burden to show facts justifying its objection by demonstrating that the time or expense involved in responding to requested discovery is unduly burdensome. This imposes an obligation to provide sufficient detail and explanation about the nature of the burden in terms of time, money and procedure required to produce the requested documents.

Horizon Holdings, L.L.C. v Genmar Holdings, Inc., 209 F.R.D 208, 213 (D Kan. 2002). PANYNJ objects to production in response to this request "on the grounds that it is overbroad and unduly

burdensome” and that it is “vague and ambiguous.” PANYNJ does not meet its burden of showing specifically how the request is overbroad, unduly burdensome, vague, and ambiguous.

Mahe’s Complaint alleges that PANYNJ “(a) gave and continues to give an undue and unreasonable prejudice or disadvantage with respect to Maher [and] (b) gave and continues to give an undue and unreasonable preference or advantage with respect to APMT.” (Mahe Complaint ¶IV.A.) Mahe’s use of the phrase “parity of treatment” makes Second Requests No. 37 a loaded question that assumes a legal conclusion that PANYNJ violated the Shipping Act. That said, Mahe is entitled to documents “pertaining to requests for changes or amendments to Lease EP-249 and PANYNJ’s responses thereto.” PANYNJ is ordered to supplement its answer to Mahe’s Second Requests No. 37 by stating whether it produced any documents “pertaining to requests for changes or amendments to Lease EP-249 and PANYNJ’s responses thereto.”

On or before August 6, 2010, PANYNJ shall serve the supplemental responses as set forth above and shall file with the Secretary a Certificate of Compliance stating that it has served the supplemental responses.

PART 3 – PANYNJ’S MOTION TO COMPEL PRODUCTION FROM MAHER; MAHER’S MOTION FOR A PROTECTIVE ORDER

PANYNJ moves to compel additional responses by Mahe to Interrogatory No. 7 of PANYNJ’s first set of interrogatories, Interrogatories No. 2, 14, 15 16, and 17 of PANYNJ’s second set of interrogatories, Requests for Production No. 18 and 22 from PANYNJ’s first set of requests for production of documents, and Requests for Production No. 16, 19, 20, and 22 from PANYNJ’s second set of requests for production of documents. Mahe is the party resisting production and “bears the burden of establishing lack of relevancy or undue burden,” *Oleson v Kmart Corp.*, 175 F.R.D. at 565 and “that the requested [information does] not come within the broad scope of relevance . . . or else [is] of such marginal relevance that the potential harm occasioned by discovery would outweigh the ordinary presumption in favor of broad disclosure ” *Burke v New York City Police Department*, 115 F.R.D. at 224

Mahe Terminals, LLC, is a limited liability company (Complaint ¶I.A.) In 2007, the entity or entities that owned Mahe in 2000 when it entered into Lease EP-249 with PANYNJ sold Mahe to RREEF Infrastructure, part of Deutsche Asset Management’s RREEF Alternative Investments (RREEF) Each of PANYNJ’s interrogatories and requests at issue seeks:

- documents and information concerning Mahe’s financial performance and profitability, operational efficiency, and benefits obtained from PANYNJ throughout the period covered by the lease, together with the identity of third party consultants who may have performed analyses of such matters; [or]

- documents and information concerning Maher's presentation to potential buyers in 2007, including RREEF, in which it is highly probable that representations and analyses concerning Maher's terminal and long term lease, as well as its competitive position vis-à-vis other marine terminals in the Port, were conveyed.

(The Port Authority of New York and New Jersey's Motion to Compel Discovery from Complainant (PANYNJ Motion to Compel) at 18) Maher seeks to protect this information from discovery

In *Ceres Marine Terminal*, the Commission articulated the elements of proving a violation of the sections of the Act that PANYNJ violated in its dealings with Maher

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury. The complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.

Ceres Marine Terminal v. Md. Port Admin., No. 94-01, 27 S.R.R. 1251, 1270-71 (F.M.C. Oct. 10, 1997)[, *aff'd in part, rev'd in part sub nom. Maryland Port Admin. v. Federal Maritime Comm'n*, 164 F.3d 624, 1998 WL 716035 (4th Cir. Oct. 13, 1998) (Table)]

Maher contends that.

This proceeding represents a straightforward application of *Ceres*. Maher makes out its *prima facie* case by showing the disparate lease terms caused by PANYNJ's refusal to give it the APM/Maersk lease terms, and then the burden shifts to PANYNJ to demonstrate valid contemporaneously considered and expressed transportation factors justifying the discrimination. *Ceres Marine Terminal, Inc. v. Md. Port Admin.*, No. 94-01, 27 S.R.R. 1251, 1270-72 (F.M.C. Oct. 10, 1997). Thus, PANYNJ must prove valid transportation factors justifying the discrimination, and that is the only proper object of its discovery – not a rank fishing expedition into how the discrimination affected Maher's profitability

(*Id.* at 19) Maher argues that "under applicable Shipping Act precedent only PANYNJ's contemporaneous 'expressed reason' [for differences between Lease EP-248 and Lease EP-249] is relevant and 'the proper measure of damages is the difference between the rate charged and collected and the rate which would have been charged but for the unlawful preference or prejudice '" (Maher Opp. to PANYNJ Mot. to Compel at 17, *quoting Ceres*)

Maier argues that PANYNJ asserts “the untenable proposition that the Commission should consider events occurring after the discriminatory decision in evaluating whether discrimination is justified by valid transportations [*sic*] factors.” (*Id.* at 20.) By seeking this information, Maier contends that.

PANYNJ seeks improperly to expand dramatically the scope of discovery in this matter to include confidential and sensitive financial information that cannot have any bearing on the decisions in this case.

First, whether PANYNJ’s refusal to provide Maier the same terms it provided to APM is lawful turns on PANYNJ meeting its burden of proof that it *expressed* legitimate transportation factors justifying the discrimination *at the time* PANYNJ’s belated proffer of *post-hoc* rationalizations of alleged transportation factors that did not exist prior to conclusion of the Maier lease in October 2000 is not a legal basis to obtain discovery into wholly unrelated events occurring after PANYNJ imposed disparate terms on Maier. Moreover, to the extent that PANYNJ did express or even rely upon such justifications at the time of the discrimination, any such documents would be found in PANYNJ’s files, not Maier’s. Rather than look to its own documents, as it should, PANYNJ seeks license to launch not only a rank fishing expedition, but also seeks to burden unduly this proceeding under a mountain of documents, to oppress Maier and the witnesses with burdensome questioning of no relevance, and to provoke further discovery disputes that increase the cost and burden on Maier to prosecute its claims.

Second, PANYNJ misconstrues the damages alleged in the Complaint. Maier’s Complaint alleges damages for the difference between terms of its lease that are prejudicial to Maier as compared to the preferential terms in APM’s lease. Indeed, as explained in *Ceres Terminal*, the legal measure of damages in this proceeding is the financial difference between the two leases. *Id.* at 1271 n.48 Nevertheless, PANYNJ asserts that “In addition to seeking damages for the period from 2000 to date, Maier claims that as a result of certain differences in the terms of these leases, it has suffered and continues to suffer continuing competitive harm and injury relative to APMT.” But Maier makes no such “additional” damage claim. Misconstruing “competitive harm” as a separate and additional element of damages akin to lost profits or lost business, PANYNJ improperly seeks to explore years of Maier’s financial and operational information totally that is irrelevant [*sic*] to the measure of the damages provided by the Commission authority

(Maier Terminals, LLC’s Reply in Opposition to Respondent’s Motion to Compel Production from Complainant and Motion for Protective Order at 1-3 (emphasis in original). See also, *id.* at 14-15 (similar discussion).)

The Act has a three-year statute of limitations for claims for reparations. "A person may file with the Commission a sworn complaint alleging a violation of this part. If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation." 46 U.S.C. § 41301(a). *See also* 46 U.S.C. § 41305(b) ("If the complaint was filed within the period specified in section 41301(a) of this title, the Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part, plus reasonable attorney fees.").

[I]f the injury is such that it should reasonably be discovered at the time it occurs, then the plaintiff should be charged with discovery of the injury, and the limitations period should commence, at that time. But if, on the other hand, the injury is not of the sort that can readily be discovered when it occurs, then the action will accrue, and the limitations period commence, only when the plaintiff has discovered, or with due diligence should have discovered, the injury

Inlet Fish Producers, Inc. v. Sea-Land Service, Inc., 29 S.R.R. 306, 314 (FMC 2001) (quoting *Connors v. Hallmark & Son Coal Co.*, 935 F.2d 336, 342 (D.C. Cir. 1991)).

Maher filed its Complaint June 2, 2008, nearly eight years after Maher and PANYNJ signed Lease EP-249. Therefore, in the April 14 Order, I asked the parties to address the effect of the statute of limitations on the information sought in discovery. I also asked them to address the question of whether the prospective nature of a cease and desist order would require consideration of current "transportation factors." *Maher v. PANYNJ*, FMC No. 08-03, Order at 7-11 (ALJ Apr. 14, 2010) (Order to File Supplemental Briefs).

Question 1 of the April 14, 2010 Order asked.

- 1 Does Maher seek reparations for actual injury it claims resulted from acts in violation of the Shipping Act allegedly committed by PANYNJ in the period ending October 1, 2000, when Maher and PANYNJ entered into Lease EP-249? If so,
 - a. What is the legal theory that Maher contends permits an award of reparations for those acts?
 - b. What are the dates for which Maher seeks reparations?

Maher v. PANYNJ, FMC No. 08-03, Order at 10-11 (ALJ Apr. 14, 2010) (Order to File Supplemental Briefs). Maher's short answer to this question is "Yes." (Maher's Brief per the Discovery Order of April 14, 2010 at 4.) Maher further responds by stating that "Maher's reparations claims are cognizable because they (1) arise from continuing violations of the Shipping Act, (2) the 'discovery rule' establishes that the claims did not accrue until May 2008, and (3) others arose more recently within the statutory period." (*Id.* at 5.)

With regard to the “discovery rule,” Maher argues:

[T]he Commission applies the ‘discovery rule,’ so that if there was no continuing violation the limitations period only begins to run when the complainant possesses “conclusive information about such a dispute.” *Inlet Fish Prod., Inc. v Sea-Land Serv., Inc.*, 29 S.R.R. 306, 313 (F.M.C. 2001). The case illustrates that suspicion of violations and knowledge of different terms is not enough. Only when complainant had “conclusive information” that the difference constituted an undue prejudice violating the Shipping Act did the claim accrue.

(*Id.* at 6.)

Whatever doubt may have existed that the information sought by PANYNJ’s discovery fits within the broad scope of Rule 201(h), *see* Part 1, II.A, *supra*, is removed by Maher’s response to the April 14 Order. Maher claims that its “understanding of its potential claims first arose during the summer, prior to the July 3, 2007 PANYNJ consent to the sale of Maher” and that it “only uncovered ‘conclusive information’ that it had Shipping Act claims against PANYNJ following the deposition of several key witnesses in Dkt. 07-01 [in 2008].” (Maher’s Brief per the Discovery Order of April 14, 2010 at 6.) Maher also claims that “other[] [Shipping Act violations] arose more recently within the statutory period.” (*Id.* at 5) Not only is the information sought by PANYNJ’s discovery “relevant to the subject matter involved in the proceeding,” but it relates to PANYNJ’s statute of limitations defense and Maher’s claim that other violations arose more recently. Even if the financial information itself is not admissible, the discovery sought could lead to the discovery of admissible evidence about Maher’s knowledge of Lease EP-248 and how its compared to Lease EP-249 during the period from the signing of Lease EP-249 through the date Maher filed its Complaint and the other alleged violations that “arose more recently within the statutory period.”

Accordingly, PANYNJ’s discovery is reasonably calculated to lead to the discovery of admissible evidence and Maher does not meet its burden of establishing that the requested information does not come within the broad scope of relevance.

Maher moves for an order “prohibiting PANYNJ from inquiring into the above areas of dispute during depositions.” (Maher Opp. to PANYNJ Mot. Compel at 39-41) For the reasons stated above, the motion for protective order is denied.

Interrogatory No. 7 (First Set) *Identify any and all bank presentations, bank books, prospectuses, financial analyses, and investor presentations, reports, and charts created by Greenhill and/or any other investment banking firm with respect to the transaction in which RREEF acquired the stock of Maher*

Maher’s Response. *Maher objects to this request as overbroad, unduly burdensome, and seeking information not reasonably calculated to lead to the discovery of*

admissible evidence in this matter. The acquisition of Maher shares by RREEF in the summer of 2007 is immaterial to the claims and defenses in this proceeding. The PANYNJ actions that gave rise to the Shipping Act violations occurred before RREEF's acquisition of Maher shares last summer.

PANYNJ's Argument This request is reasonably calculated to lead to the discovery of admissible evidence for multiple reasons. While we obviously cannot know exactly what is in the documents that Maher has so desperately sought to withhold, the presentations to prospective purchasers would have undoubtedly contained statements candidly characterizing its premises and its long-term lease in positive terms, or may contain quantitative analysis demonstrating their great value, fully justifying the more than \$1 billion purchase price the business ultimately obtained, rather than as the unfair, discriminatory, uncompetitive albatross Maher now claims them to be. This type of evidence would not only tend to undermine the claims of discrimination, but could also reveal the new owner's recent claim of Shipping Act violation for the sham it is and certainly would also inform the Commission's discretion were it to consider re-writing any of the lease terms by way of a cease and desist order.

Second, it is highly likely that such materials contained analyses and representations concerning Maher's business, and the value and competitive advantages of Maher's lease and terminal. Maher likely explained, for example, that its terminal's particular location within the East Coast's busiest port is highly advantageous, that its physical configuration and access to truck and rail transportation give rise to particular efficiencies, how those physical characteristics compare with those of other terminals in the Port, etc. All such representations would be directly relevant to help prove that some or all of the differences between the APMT and Maher lease terms are attributable to differences in the premises leased.

Third, there was likely commentary in such materials as to Maher's competitive position in the Port (and who it viewed as its competitors) that may either support or contradict its position in this case that it is at a competitive disadvantage vis-à-vis APMT due to differing lease terms. For example, the presentations may say that Maher's location, access to ExpressRail, or linear berth space give it competitive advantages over its competitors in the Port. Or there may be statements to the effect that the APMT terminal is devoted largely to Maersk-related business and is not in competition with APMT (contrary to its litigation position in this case).

Fourth, the presentations may describe all of the efforts at the Port to improve its infrastructure and the turnaround in the Port's fortunes and position in the marketplace. This would be admissible against Maher to support PANYNJ's

point that its business strategy in entering the lease it did with APMT was successful, which certainly reinforces that its actions were reasonable and well-founded at the time.

In short, there are myriad ways that this interrogatory could lead to admissible evidence. Of course, until we see the documents, we cannot know what is in them. But, as noted above on page 20, the standard is whether the discovery request at issue is reasonably calculated to lead to the discovery of admissible evidence. And this particular interrogatory, which asks Maher to identify documents in a defined category in which statements bearing on any number of relevant matters might reasonably be expected to be found, and which otherwise could lead to other admissible evidence (whether documentary or testimonial), is clearly within the permissible scope of discovery under FMC Rule § 502.201(g).

Maher's Specific Opposition. *This request is not reasonably calculated to lead to the discovery of admissible evidence because it seeks to discover information that can have absolutely no bearing on the outcome of this proceeding as set forth in Section I, supra, and any interest in its disclosure is outweighed by the burden upon Maher and the likelihood that a foray into the detailed financials, operations, and purchases of Maher, APM, and their competitors is likely to lead to needless burden and expense and to unnecessarily complicate this proceeding as set forth in Section II above.*

For example, PANYNJ seeks sales presentation material prepared by Maher in 2007 in the hopes that Maher, in an environment in which it was attempting to paint its business in the best possible light for would-be purchasers, will undermine its claim of discrimination by showing the Maher terminal's "great value" the "value and competitive advantages of Maher's lease and terminal", and its "competitive position in the port" PANYNJ's explanation of its request establishes its irrelevancy. Maher does not dispute that its business had value and was competitive when sold in 2007, and none of that is at issue. As explained by the Commission in both Ceres and Seacon, what is at issue here is simply whether PANYNJ's refusal to grant Maher the APM terms was based upon valid transportation factors according to the circumstances at that time, "without the benefit of hindsight or a consideration of later events." Any information concerning the sale of Maher's business in 2007 is wholly irrelevant. What is relevant is PANYNJ's contemporaneously expressed reason for the refusal—that ocean carrier Maersk was a risk to leave the port and Maher was not. The evidence of this improper reason is found in the testimony of PANYNJ's own witnesses and files, and not in sales presentations Maher may have created years later in a wholly different context.

RULING: For the reasons stated above, Maher is ordered to respond to this interrogatory

Interrogatory No. 15 (Second Set) Identify all analyses of Maher's profitability, financial information, books, and records performed by RREEF

Maher's Response. Maher objects to this request as vague, overbroad, unduly burdensome, seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter

PANYNJ's Argument. Like the last interrogatory just discussed, this one is similarly calculated to lead to the discovery of admissible evidence. RREEF is the entity that acquired the Maher terminal from the Maher brothers in 2007 for over \$1 billion. Along with its financial advisers, RREEF undoubtedly carefully analyzed Maher's terminal and the lease terms to which it is subject, including Maher's competitive advantages, terminal characteristics, and profitability under its lease, as well as how Maher stacked up against other competitors in the Port, including, potentially, APMT. These analyses may well show that RREEF knows that Maher's premises and its long-term lease were particularly valuable and served as the basis for this flourishing business warranting the hefty price tag it paid for the business. Again, this would tend to undermine RREEF's current claim that the lease is either unduly discriminatory or a competitive albatross. In short, the interrogatory asks Maher to identify any such analyses performed by RREEF of which it is aware, which would facilitate PANYNJ's discovery of them and therefore is calculated to lead to the discovery of admissible evidence.

Maher's Specific Opposition. Maher agrees with PANYNJ's assessment that this request is "like the last interrogatory just discussed" and it is therefore not the proper subject of discovery for the reasons discussed in Maher specific opposition thereto. However, this material is even further removed from the realm of potentially relevant material. What calculations RREEF may have made when considering its purchase of Maher in 2007 cannot form the basis for PANYNJ's actual analysis and stated reasons for its refusal to grant Maher the requested APM deal in 2000. The information did not exist at the time PANYNJ refused to provide Maher the APM terms and PANYNJ could not have considered it. It is wholly irrelevant to this proceeding.

RULING: For the reasons stated above, Maher is ordered to respond to this interrogatory

Document Request No. 18 (First Set) All documents provided to prospective or actual purchasers of Maher (including RREEF), including bank presentations, bank books, prospectuses, financial analyses, investor presentations, reports and charts prepared by investors or investment banks, and the "Bank Book" or prospectuses prepared by Greenhill & Co., Inc.

Maher's Response. *Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter*

PANYNJ's Argument. *This document request is the cognate of Interrogatory No. 7 (First Set) discussed above at page 24, and is proper for the same reasons.*

Maher's Specific Opposition. *This discovery request is not reasonably calculated to lead to the discovery of admissible evidence for the reasons set forth above with respect to Interrogatory No. 7 (First Set)*

RULING: For the reasons stated above, Maher is ordered to respond to this request.

Document Request No. 20 (Second Set). *All documents concerning any analyses conducted or performed by RREEF of the financial, accounting and operational books and records of Maher*

Maher's Response. *Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter*

PANYNJ's Argument. *This document request is cognate of Interrogatory No. 15 (Second Set) discussed above at page 26-27, and is proper for the same reasons.*

Maher's Specific Opposition. *This discovery request is not reasonably calculated to lead to the discovery of admissible evidence for the reasons set forth above with respect to Interrogatory No. 15 (Second Set)*

RULING: For the reasons stated above, Maher is ordered to respond to this request.

Document Request No. 22 (First Set) *All documents concerning the financial condition of Maher for each year since 1997 to the present, including but not limited to financial statements and reports, income tax returns, general ledgers, income or cash flow statements, balance sheets, profit and loss statements, annual reports, periodic reports, statements of change in financial condition and forecasts, including projections of revenues, costs, earnings or profits.*

Maher's Response. *Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter*

PANYNJ's Argument Maher cannot have it both ways. It cannot assert that it has been operating at a competitive disadvantage relative to APMT, on one hand, and then argue that it need not provide discovery concerning its financial performance, on the other. PANYNJ is entitled to challenge the basis for Maher's claim of competitive disadvantage through discovery and analysis. Maher's own financial documents showing its actual performance are the most relevant evidence on this point, not Maher's unsupported conclusory allegations.

The same financial materials are also relevant in analyzing the efficiencies inherent in the premises leased by Maher and in demonstrating advantages it has reaped through PANYNJ's actions in improving roadways and other benefits proximate to Maher's terminal. This would go directly to whether there was any discrimination at all, given the obvious differences in the characteristics of Maher's and APMT's premises.

The records sought will also likely show a marked deterioration in performance by Maher after its sale to RREEF – a reflection of the heavy debt burden and/or operational changes imposed by new management – that could help explain Maher's current motivation and good faith (or lack of it) in raising issues of discrimination after many years of performing under the lease without there having been any suggestion of a complaint of undue or unreasonable discrimination, and which could then be considered by the Commission in deciding whether to exercise its discretion to enter a cease and desist order in this case.

In short, there is a host of potential admissible uses for the documents sought, depending on what we find in them. Clearly, the request is reasonably calculated to lead to the discovery of admissible evidence.

Maher's Specific Opposition. This request is not reasonably calculated to lead to the discovery of admissible evidence because it seeks to discover information that can have absolutely no bearing on the outcome of this proceeding as set forth in Section I, supra, and any interest in its disclosure is outweighed by the burden upon Maher and the likelihood that a rank fishing expedition into the detailed financials, operations, and purchases of Maher and APM, will cause needless burden and expense and to unnecessarily complicate this proceeding as set forth in Section II above.

Maher's financial performance before and after PANYNJ refused to provide Maher the APM terms simply cannot, and does not, have any bearing upon the reason PANYNJ expressed at the time for refusing Maher the APM terms. There is no suggestion that PANYNJ relied upon the requested Maher financials when it decided to deny Maher the APM terms and, in fact, Maher has not disclosed this

information to PANYNJ. Of course, as emphasized above, if we embark on the rank fishing expedition PANYNJ desires it will be necessary to conduct the same discovery with respect to APM, Maersk shipping lines, the parent, and their financial institutions and advisors. If Maher's alleged profitability, value, and financial details from November 2000 to the year 2008 can be used to justify PANYNJ's discrimination, that can only be so in comparison to the same information from the APM entities.

PANYNJ improperly seeks to expand this proceeding into a needless morass of profitability, valuation, and efficiency to derail the proceeding. PANYNJ knows full well that the proper Shipping Act analysis is simple and discrete, as described above, and does not call for the kind of detailed financial and competitiveness analysis found in antitrust litigation. See, e.g. *All Marine Moorings, Inc. v ITO Corp of Baltimore*, No. 94-10, 27 S.R.R. 539, 546 (F.M.C. May 15, 1996) (adopting initial decision and quoting Judge Kline for the maxim that "[I]t is well to bear in mind that despite the use of antitrust terminology, such as 'monopoly', the Commission is not the Department of Justice nor the Federal Trade Commission but instead an agency that applies Shipping Act standards, not those of the antitrust laws."), *aff'g* No. 94-10, 27 S.R.R. 342, 355 (A.L.J. Oct. 6, 1995) (also stating in the same analysis that "In recent years the Commission has confirmed this principle and resisted being drawn into complex antitrust analyses which the Commission was not set up to handle by Congress."), *Exclusive Tug Franchises*, No. 01-06, 2002 29 S.R.R. 751, 756 (A.L.J. Jan. 3, 2002) ("the Commission is admittedly not an antitrust court or the Federal Trade Commission").

RULING: For the reasons stated above, Maher is ordered to respond to this request.

Document Request No. 19 (Second Set) All documents concerning and/or constituting Maher's financial, accounting and operational books and records for the period from 1997 through the present

Maher's Response Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter

PANYNJ's Argument. The same justification for Document Request No. 22 (First Set) discussed above at page 28 applies to this document request as well.

Maher's Specific Opposition. This discovery request is not reasonably calculated to lead to the discovery of admissible evidence for the reasons set forth above with respect to Interrogatory No. 22 (First Set).

RULING: For the reasons stated above, Maher is ordered to respond to this request.

Interrogatory No. 16 (Second Set) Identify all documents and communications concerning the efficiency and/or profitability of the Maher terminal at Port Elizabeth, the efficiency and/or profitability of other terminals at Port Elizabeth or Port Newark, and/or the efficiency and/or profitability of terminal business models (i.e., straddle carrier model or transcontainer model) from 1997 through the present.

Maher's Response. Maher objects to this request as vague, overbroad, unduly burdensome, seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. In addition to all of the foregoing, see also Maher business records produced as kept in the ordinary course of business.

PANYNJ's Argument. This interrogatory, much like the last two requests just discussed, seeks the identification of documents in a category in which it is reasonable to expect to find admissible evidence showing, potentially, that the Maher Terminal has been particularly efficient and profitable under the terms of its lease due to its physical characteristics and configuration (which configuration was made possible by the negotiation of the APMT and Maher leases) and is not at any competitive disadvantage, or that Maher's recent lack of profitability, if any, is a consequence of massive new debt and its own management decisions, as opposed to the lease terms. Again, until we see them, we cannot anticipate all the ways in which such documents can be used in the defense of the case, but it is obvious that the interrogatory is calculated to lead to the discovery of admissible evidence. And that is the applicable standard.

Maher's Specific Opposition. This discovery request is not reasonably calculated to lead to the discovery of admissible evidence for the reasons set forth above with respect to Interrogatory No. 22 (First Set).

RULING: For the reasons stated above, Maher is ordered to respond to this interrogatory

Document Request No. 22 (Second Set) All documents concerning the efficiency and/or profitability of the Maher terminal at Port Elizabeth, including but not limited to internal and external evaluations and analyses during the period of January 1997 through the present.

Maher's Response. Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter.

PANYNJ's Argument. This document request is the cognate of Interrogatory No. 16 (Second Set) just discussed, and is proper for the same reasons.

Maher's Specific Opposition. This discovery request is not reasonably calculated to lead to the discovery of admissible evidence for the reasons set forth above with respect to Interrogatory No. 16 (Second Set).

RULING: For the reasons stated above, Maher is ordered to respond to this request.

Interrogatory No. 17 (Second Set). Identify all consultants regarding terminal efficiency and/or profitability retained by Maher during the period from 1997 through the present.

Maher's Response. Maher objects to this request as overbroad, unduly burdensome, seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher further objects to this request as seeking information subject to the attorney work product doctrine. Subject to the foregoing specific objection and the general objections and in an effort to be responsive, Maher retained the engineering consultants listed on the spreadsheet titled "Listing of Engineering Consultants" produced to PANYNJ, but they are not "consultants regarding terminal efficiency and/or profitability."

PANYNJ's Argument. This interrogatory is related to Interrogatory No. 16 (Second Set) just discussed in that it seeks the identity of third parties who may have analyzed Maher's efficiency and profitability so that PANYNJ can seek relevant information and documents in such consultants' possession, custody and control. Accordingly, the interrogatory is reasonably calculated to lead to the discovery of admissible evidence.

Maher's Specific Opposition. Subject to Maher's objections, Maher provided the responsive information requested. Maher is not aware of any other persons who might qualify as "consultants regarding terminal efficiency and/or profitability retained by Maher during the period from 1997 to the present." Maher further submits that discovery is continuing in this matter, and to the extent that it becomes aware of any further responsive, discoverable, and non-privileged information, it will produce such information.

RULING: For the reasons stated above, Maher is ordered to respond to this interrogatory

Interrogatory No. 14 (Second Set). Identify all actual and projected revenues and expenses concerning all operating agreements for the Express Rail facility for the period from 2000 through the present, including but not limited to any sharing of revenues and/or expenses with APMT

Mahe's Response. Maher objects to this request as vague, overbroad, unduly burdensome, exceeding principle and material facts seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter

PANYNJ's Argument. Information regarding the operation, revenues and expenses related to the Express Rail facility is directly relevant to the Port Authority's defense in this case that to the extent that the provisions of the APMT and Maher leases differ to some extent, that is not a reflection of any unreasonable or undue discrimination, particularly considering the entire relationship between the parties, including the opportunities and benefits that PANYNJ made available to Maher but not to APMT. See pp 12-15, *supra*. The information sought by this request will likely show the extent of Maher's control over the operations and which cargo was loaded or unloaded or given priority, as well the revenues and profits Maher generated from the operation of the facility. All of this is relevant to demonstrate that when Maher exclusively operated the Express Rail from 2000 until 2004, it was afforded a significant opportunity that was not afforded to APMT, which tends to undermine the notion of unreasonable or undue discrimination. Indeed, like much of the give and take in the complex relationships between the Port Authority and Maher and APMT, this evidence bears directly on the question whether, considering all the circumstances, Maher is the victim of any discrimination at all. Accordingly, the interrogatory is reasonably calculated to lead to the discovery of admissible evidence.

Mahe's Specific Opposition. This request is not reasonably calculated to lead to the discovery of admissible evidence because it seeks to discover information that can have absolutely no bearing on the outcome of this proceeding as set forth in Section I, *supra*, and any interest in its disclosure is outweighed by the burden upon Maher and the likelihood that a fishing expedition into the detailed operational data and financials of Maher and APM will impose undue burden and expense and unnecessarily complicate this proceeding as set forth in Section II above. Maher's operation of Express Rail from 2000 – 2004 was not the "expressed reason" for denying Maher the APM terms.

Any revenues or expenses related to the Express Rail during the period after October 2000 cannot as a matter of law be relevant to PANYNJ's decision to deny Maher the APM terms in October 2000. Additionally, as a matter of fact it could not have been considered because it did not then exist. Nor is there any evidence it was

even considered by PANYNJ in denying Maher the APM terms. Finally, any information regarding the PANYNJ decision resides with PANYNJ, not Maher or others. However, as explained above Maher's detailed operational and financial information is voluminous and exceptionally sensitive and therefore constitutes an offsetting burden that significantly outweighs any possible benefit that could be obtained.

RULING: For the reasons stated above, Maher is ordered to respond to this interrogatory

PANYNJ Document Request No. 16 (Second Set) All documents concerning any operating agreement for the Express Rail facility, including but not limited to actual and projected revenues and expenses.

Maher's Response. Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter

PANYNJ's Argument This document request is the cognate of Interrogatory No. 14 (Second Set) just discussed and is proper for the same reasons.

Maher's Specific Opposition. This discovery request is not reasonably calculated to lead to the discovery of admissible evidence for the reasons set forth above with respect to Interrogatory No. 14 (Second Set)

RULING: For the reasons stated above, Maher is ordered to respond to this request.

On or before August 6, 2010, Maher shall serve the responses as set forth above and shall file with the Secretary a Certificate of Compliance stating that it has served the responses.

attached affidavits of several persons with knowledge of the documents. PANYNJ contends that it produced the documents inadvertently, it has not waived the privilege or protection to the documents, and the Maher should be ordered to return or destroy the documents. (*Id.* at 39-49) Even if it waived the privilege to some or all of the documents, PANYNJ contends that the waiver should not extend to undisclosed communications. (*Id.* at 49-51) PANYNJ contends that resolution of the motion is controlled by Rule 502. It contends that despite Maher's arguments to the contrary, Document 1994 retains its protection.

II. CONTROLLING AUTHORITY.

As a preliminary matter, I must determine what controlling authority should apply in this controversy. On September 19, 2008, Federal Rule of Evidence 502 was added to the Rules to "apply, in the circumstances set out, to disclosure of a communication or information covered by the attorney-client privilege or work-product protection." Fed. R. Evid. 502 "The amendments made by this Act [enacting Rule 502] shall apply in all proceedings commenced after [September 19, 2008] and, insofar as is just and practicable, in all proceedings pending on [September 19, 2008]" Pub. L. No. 110-322, § 1(c), 122 Stat. 3537, 3538 (2008).

The Secretary received Maher's Complaint on June 3, 2008, and served the Complaint and Maher's initial discovery on June 11, 2008. (Letter dated June 11, 2008 from Karen V. Gregory to PANYNJ) Therefore, Maher commenced this proceeding before September 19, 2008, and it was pending on that date. When the parties could not agree on a discovery schedule, I entered a discovery order requiring the parties to serve responses to initial discovery requests by August 29, 2008. *Maher v. PANYNJ*, FMC No. 08-03, Order at 4 (ALJ Aug. 1, 2008) (August 1, 2008, Discovery Order). As noted above, on August 29, 2008, PANYNJ produced 406,000 electronic documents comprising approximately 17 million pages on several computer hard drives, including all but two of the fifty-seven documents that are the subject of Maher's motion regarding privilege and waiver. PANYNJ discovered its error on September 25, 2008, and demanded return of the documents on October 9, 2008.

In its motion, Maher summarizes the pre-Rule 502 standard governing waiver of attorney-client privilege and work product protection through inadvertent production. Maher argues that:

Whether an inadvertent disclosure of privileged communications or work product constitutes waiver has been addressed by courts across the country in three different ways: (1) the "strict accountability" approach, (2) the "never waived" approach and (3) the "middle test" approach.

The never waived approach finds that a disclosure that is merely negligent can never effect a waiver. The strict accountability approach finds that disclosure automatically constitutes a waiver regardless of the intent or inadvertence of the privilege holder. The middle test approach, often cited as the "Hydraflow Test", decides waiver by balancing five factors: (i) the reasonableness of precautions taken

to prevent disclosure; (ii) the number of documents inadvertently disclosed, (iii) the extent of the inadvertent disclosure; (iv) the promptness of rectification measures; and (v) whether “the overriding interest of justice would be served by relieving” the disclosing party of error

The two Federal Circuits where appeals in the proceeding could be taken – the DC Circuit and the Third Circuit – take different approaches. The DC Circuit adopted the strict accountability rule while the *Hydraflow* test and variations of the middle test have become the majority rule in district courts in the Third Circuit and other federal courts. The middle test is described as fairly addressing waiver in modern litigation, but treats carelessness with privileged material as an indication of waiver. It does not appear that the FMC has addressed the question of the waiver standard in published opinions.

(Maher Rule 26(b)(5)(B) Motion at 27-28 (citations and footnotes omitted).)

Maher contends that Rule 502 should not apply in this proceeding.

PANYNJ has asserted the Fed. R. Evid. 502(b) applies in this instance, but has not articulated why it would be “just and practicable” to apply 502(b) here. And as the facts demonstrate, it is not just to apply Rule 502(b) to PANYNJ’s disclosures here.

First, the document review and production undertaken by PANYNJ that is at issue in this motion took place entirely before Fed. R. Evid. 502 was enacted. The production in which the allegedly inadvertently disclosed documents were produced was delivered to Maher on August 29, 2008, before the new rule was enacted. The only reason that the new rule is at issue is because PANYNJ did not take any action to identify the allegedly inadvertently produced documents until five weeks after the documents were produced and just 18 days after the new Rule 502 was enacted. PANYNJ should not obtain the benefit of a more lenient rule governing waiver of inadvertently disclosed information after the parties should have reviewed for privilege under the then existing rules and after the disclosures had taken place. Had Congress intended Fed. R. Evid. 502 to have retroactive effect over all documents already produced in pending litigations, it could have so provided. It did not.

Second, PANYNJ was on notice during its review of the documents at issue that preexisting privilege waiver rules would apply to its August 29, 2008 document production. The parties engaged in negotiations of a protective order early in this proceeding. PANYNJ initially proposed a provision addressing inadvertent privilege waiver that would have effectively precluded waiver for inadvertently produced documents. Maher objected because of the scope of the provision and because in its view waiver was adequately addressed by existing law. Thereafter, PANYNJ removed the provision from its drafts. Moreover, when the parties were ultimately

unable to reach an agreement on a stipulated protective order, PANYNJ did not include a claw back provision in its version of the proposed protective order submitted to the Presiding Officer. Indeed, PANYNJ counsel stated that it "took measures to avoid disclosure of privileged documents" knowing that existing law applied, not a more lenient agreement regarding waiver. Thus, PANYNJ was affirmatively on notice of the applicability of existing law to its privilege review and production and according to its own representation acted accordingly, PANYNJ should be estopped from claiming otherwise now. It is simply unjust for Maher to have undertaken a rigorous privilege review in light of the applicability of the existing waiver standard, but for PANYNJ to obtain the benefit of the more lenient standard to excuse its carelessness.

Given that the strict accountability approach of the District of Columbia Circuit does not require any factor analysis and simply considers the privileged waived, Maher will analyze waiver by inadvertent disclosure pursuant to the five factor "middle test" approach.

(*Id.* at 29-31 (footnotes omitted).)

PANYNJ contends that Rule 502 should apply to this proceeding. (PANYNJ Opp. to Maher Rule 26(b)(5)(B) Motion at 18-23.) It argues that this proceeding is a "pending case" within the meaning of Rule 502; therefore, the inquiry "turns on whether it is 'just and practicable' to apply FRE 502 in the instant case." (*Id.* at 19-23.)

Maher contends that Rule 502 should not apply because PANYNJ produced the documents before the new rule was enacted and PANYNJ did not take any action to identify the documents until after the documents were produced and 18 days after the new Rule 502 was enacted. (Maher Rule 26(b)(5)(B) Motion at 27-28 (citations and footnotes omitted).)

The reason that the new Rule 502 is "at issue" is not because "PANYNJ did not take any action to identify the allegedly inadvertently produced documents until five weeks after the documents were produced and just 18 days after the new Rule 502 was enacted," but because the statute enacting the rule says "[t]he amendments made by this Act shall apply in all proceedings commenced after [September 19, 2008] and, *insofar as is just and practicable, in all proceedings pending on [September 19, 2008]*." Pub. L. No. 110-322, § 1(c), 122 Stat. 3537, 3538 (2008) (emphasis added). In cases filed before September 19, 2008, courts have applied Rule 502 in controversies over waiver for information produced before Rule 502 took effect. *See, e.g., Heriot v. Byrne*, 257 F.R.D. 645, 650-651, 654 (N.D. Ill. 2009) (complaint filed April 21, 2008, documents produced August 25, 2008, claim of inadvertent disclosure asserted October 23, 2008, motion filed November 14, 2008); *Rhoads Industries, Inc. v. Building Materials Corp. of America*, 254 F.R.D. 216, 218, 222-223 (E.D. Pa. 2008) (complaint filed in 2007, documents produced February and May 2008, privilege asserted June 5, 2008, privilege logs produced June 6, 2008, new privilege log produced June 30, 2008, with letter invoking Rule 26(b)(5)(B) seeking sequestration inadvertently

produced documents, motion to deem privilege waived filed August 19, 2008). Although Congress may not have intended Rule 502 to have retroactive effect over *all* documents already produced in pending litigations, it did intend for Rule 502 to have effect insofar as is just and practicable. Congress definitely did not *prohibit* Rule 502's application to documents produced prior to its effective date as Maher seems to contend.

Maher also argues that "PANYNJ was on notice during its review of the documents at issue that preexisting privilege waiver rules would apply to its August 29, 2008 document production." (Maher Rule 26(b)(5)(B) Motion at 30) Maher contends that the combination of its rejection of PANYNJ's proposal to include a provision addressing inadvertent privilege waiver that would have effectively precluded waiver for inadvertently produced documents, PANYNJ's failure to include a claw back provision in the protective order, and PANYNJ's counsel's statement that PANYNJ also took measures to avoid the disclosure of privileged documents given that Maher's counsel had refused to agree to a standard provision governing the inadvertent production of privileged documents should estop PANYNJ from arguing that Rule 502 applies to PANYNJ's production. (*Id.*) PANYNJ contends that "[t]here was no implicit or explicit agreement between the parties to be bound by then existing law " (Loiseau Decl. ¶ 10)

Maher does not cite any authority supporting a finding that PANYNJ's inability to convince Maher to include a provision "effectively preclud[ing] waiver for inadvertently produced documents" (equivalent to the "never waived" approach that Maher describes) in the protective order and/or failure to include a claw back provision in the protective order and/or counsels' measures to avoid the disclosure of privileged documents should estop PANYNJ from claiming Rule 502 applies in this proceeding, a rule based on the "middle ground" approach. Similarly, the fact that Maher did not seek to include a provision in the protective order establishing either the strict accountability or the pre-Rule 502 "middle test" approach does not estop Maher from arguing that Rule 502 does not apply

As Maher states, it does not appear that the Commission addressed the question of the waiver standard in published opinions prior to enactment of Rule 502. Therefore, application of Rule 502 would not conflict with any Commission precedent. Furthermore, it is not clear whether the law of the Third Circuit or the D.C. Circuit would have applied if there were no Rule 502. (Maher Rule 26(b)(5)(B) Motion at 27-28.) Accordingly, neither party could have had an expectation that either the strict accountability or the "middle test" would have been used. Rule 502 "opts for the middle ground. inadvertent disclosure of protected communications or information in connection with a federal proceeding or to a federal office or agency does not constitute a waiver if the holder took reasonable steps to prevent disclosure and also promptly took reasonable steps to rectify the error " Fed. R. Evid. 502, Explanatory Note (Revised 11/28/2007). With no clearly controlling law, if Rule 502 were not to be used in this proceeding, given Congress's elimination of the strict accountability rule, it would appear that use of the middle ground approach as articulated prior to Rule 502 rather than strict accountability would be appropriate.

PANYNJ produced the disputed documents shortly before the effective date of Rule 502. The first indication in the record that anyone realized there may be a problem came on September 25, 2008, after the effective date of Rule 502. As stated above, the courts have not hesitated to apply Rule 502 in cases filed before its effective date even when the dispute about whether waiver had occurred began before the effective date. See *Heriot v. Byrne*, *supra*; *Rhoads Industries, Inc. v. Building Materials Corp. of America*, *supra*.

I find that it would be just and practicable to apply Rule 502 in this proceeding. Therefore, I will decide the motion pursuant to Rule 502.

III. APPLICATION OF FEDERAL RULE OF EVIDENCE 502.

With regard to inadvertent disclosures, Rule 502 provides:

When made in a Federal proceeding or to a Federal office or agency, the disclosure does not operate as a waiver in a Federal or State proceeding if: (1) the disclosure is inadvertent; (2) the holder of the privilege or protection took reasonable steps to prevent disclosure; and (3) the holder promptly took reasonable steps to rectify the error, including (if applicable) following Federal Rule of Civil Procedure 26(b)(5)(B).

Fed. R. Evid. 502(b). The following test is used to apply Rule 502.

First, a court determines whether the disclosed material is privileged. If it is not, the inquiry ends. If the material is privileged, the court applies FRE 502(b). If the court concludes that disclosing party satisfied all of the elements in FRE 502(b), the privilege is not waived. If, however, the disclosing party fails to satisfy any of the FRE 502 elements, the privilege is waived.

Heriot v. Byrne, 257 F.R.D. at 655. "The three-part test [for the 502(b) elements] finds that the disclosure is not a waiver if: (1) the disclosure was inadvertent; (2) the holder of the privilege or protection took reasonable steps to prevent disclosure; and (3) the holder promptly took reasonable steps to rectify the error." *Amobi v. District of Columbia Dep't of Corrections*, 262 F.R.D. 45, 52 (D.D.C. 2009). Whether the attorney-client privilege or work product protection has been waived is a mixed question of fact and law. See *United States v. de la Jara*, 973 F.2d 746, 749 (9th Cir. 1992) (attorney-client privilege).

A. Are the Documents That PANYNJ Produced Communications or Information Covered by the Attorney-Client Privilege or Work-Product Protection?

PANYNJ contends that it inadvertently produced fifty-seven documents that are covered by attorney-client privilege, work product protection, or both. Rule 502 "makes no attempt to alter federal or state law on whether a communication or information is protected under the attorney-client

privilege or work-product immunity as an initial matter.” Fed. R. Evid. 502, explanatory note (revised 11/28/2007).

Maher contends that of the fifty-seven documents a tissue, sixteen are not privileged or protected: 1989, 1990, 1991, 1992, 1993, 1994, 1998, 2008, 2009, 2010, 2012, 2013, 2014, 2015, 2019, and 2020 (Maher Rule 26(b)(5)(B) Motion at 7-27). Since Maher does not contend otherwise, the other forty-one documents are found to be information covered by attorney-client privilege or work-product protection.

Document 1994 requires separate mention. PANYNJ claims both attorney-client privilege and work product protection for this document. Maher contends that Document 1994 was used by PANYNJ witnesses to refresh their recollections as part of preparation for depositions in FMC Docket No. 07-01 and “[a]s a document used to refresh witness recollection before testimony, Maher is entitled to the document regardless of the claimed privilege.” (*Id.* at 9, 26.) In its discussion of this document, Maher does not challenge the PANYNJ’s claim that Document 1994 is protected by attorney-client privilege and work product protection. (Maher Rule 26(b)(5)(B) Motion at 9-12, 26-27). Federal Rule of Evidence 612 governs production of a writing used by a witness to refresh recollection for the purpose of testifying. Therefore, I need not determine whether Document 1994 is privileged or protected, but must determine whether PANYNJ waived protection of Document 1994 under Rule 612 of the Federal Rules of Evidence.

1. Attorney-Client Privilege.

The attorney-client privilege “is one of the oldest recognized privileges for confidential communications.” *Swidler & Berlin v. United States*, 524 U.S. 399, 403 (1998). By assuring confidentiality, the privilege encourages clients to make “full and frank” disclosures to their attorneys, who are then better able to provide candid advice and effective representation, which, in turn, serves “broader public interests in the observance of law and administration of justice.” *Upjohn Co. v. United States*, 449 U.S. 383, 389 (1981). Whether or not the privilege exists in a particular situation is “a mixed question of law and fact.” *United States v. Gray*, 876 F.2d 1411, 1415 (9th Cir. 1989), *cert. denied*, 495 U.S. 930 (1990).

The following factors control whether a communication is protected by the attorney client privilege:

- A party asserting the attorney-client privilege has the burden of establishing the relationship and the privileged nature of the communication,
- The attorney-client privilege protects confidential disclosures made by a client to an attorney in order to obtain legal advice as well as an attorney’s advice in response to such disclosures;

- The fact that a person is a lawyer does not make all communications with that person privileged;
- Because it impedes full and free discovery of the truth, the attorney-client privilege is strictly construed,
- An eight-part test determines whether information is covered by the attorney-client privilege:
 - (1) Where legal advice of any kind is sought;
 - (2) from a professional legal adviser in his capacity as such;
 - (3) the communications relating to that purpose
 - (4) made in confidence
 - (5) by the client,
 - (6) are at his instance permanently protected
 - (7) from disclosure by himself or by the legal adviser,
 - (8) unless the protection be waived,
- The party asserting the privilege bears the burden of proving each essential element.

United States v. Ruehle, 583 F.3d 600, 606-608 (9th Cir. 2009). The attorney-client "privilege exists to protect not only the giving of professional advice to those who can act on it but also the giving of information to the lawyer to enable him to give sound and informed advice." *Upjohn Co. v. United States*, 449 U.S. at 390. The privilege includes communications involving corporate officers and agents who possess the information requested by the attorney or who will act on the legal advice. *Id.*, *Santrade, Ltd. v. General Elec. Co.*, 150 F.R.D. 539, 545 (E.D.N.C. 1993). Corporations may communicate privileged information at various levels without waiving the attorney-client privilege. *Santrade*, 150 F.R.D. at 545

Document 1998 (Exhibit 2).⁵

Document 1998 is a thread of emails written on January 22 and 23, 2008, among several PANYNJ officials discussing Docket 07-01, the APM proceeding. The email "relates the legal advice provided to [the writer] by an attorney for the Port Authority" (Affidavit of Dennis Lombardi ¶ 11). Communication of that advice among corporate levels does not waive the privilege. I find that PANYNJ has met its burden of establishing that Document 1998 is protected by attorney-client privilege.

⁵ The parties submitted more than one copy of the documents at issue to the Commission. For convenience, I will identify the documents attached as exhibits to Maher's Rule 26(b)(5)(B) motion.

Documents 2019 and 2020 (Exhibit 3).

Documents 2019 and 2020 are drafts of resolutions prepared by PANYNJ counsel ultimately presented to the PANYNJ board (apparently in a revised form) for approval. Maher contends that “the documents do not contain legal advice. Rather, they reflect the Commission’s decision to enter into the lease amendment.” (Maher Rule 26(b)(5)(B) Motion at 14) It contends that the documents are business related, not legal advice, and intended for public disclosure and therefore, they are not privileged. (*Id.*) PANYNJ argues that the documents were authored by an attorney as drafts of resolutions, not the final public version. I find that PANYNJ has met its burden of establishing that Documents 2019 and 2020 are protected by attorney-client privilege.

2. Work Product Protection.

Maher disputes PANYNJ’s assertion that Documents 1991, 1989, 1990, 1992, 1993-2008, 2009, 2010, 2012, 2013, 2014, and 2015, are protected as work product. Production of trial preparation materials is governed by Rule 26(b)(3):

(A) Documents and Tangible Things. Ordinarily, a party may not discover documents and tangible things that are prepared in anticipation of litigation or for trial by or for another party or its representative (including the other party’s attorney, consultant, surety, indemnitor, insurer, or agent). But, subject to Rule 26(b)(4), those materials may be discovered if: (i) they are otherwise discoverable under Rule 26(b)(1); and (ii) the party shows that it has substantial need for the materials to prepare its case and cannot, without undue hardship, obtain their substantial equivalent by other means.

(B) Protection Against Disclosure. If the court orders discovery of those materials, it must protect against disclosure of the mental impressions, conclusions, opinions, or legal theories of a party’s attorney or other representative concerning the litigation.

Fed. R. Civ. P. 26(b)(3). The work-product doctrine reflects the strong “public policy underlying the orderly prosecution and defense of legal claims.” *Hickman v. Taylor*, 329 U.S. 495, 510 (1947). It is distinct from and broader than the attorney-client privilege. *Id.* at 508. Documents prepared by agents as well as attorneys themselves are protected as work product: *United States v. Nobles*, 422 U.S. 225, 238-239 and n.13 (1975). “The courts have continued to provide a high degree of protection for attorneys’ litigation-preparation mental impressions.” Wright, Miller & Marcus, *Federal Practice and Procedure* § 2026 (3d ed. 2010). Production of opinion work product will only be required in “rare situations.” *Id.*

The Fourth Circuit held that the protection given an attorney’s mental impressions by the predecessor provision to Rule 26(b)(3)(B) is absolute and that “no showing of relevance, substantial need or undue hardship should justify compelled disclosure of an attorney’s mental impressions, conclusions, opinions or legal theories.” That

court has also held that the protection of opinion material applies equally to lawyers and nonlawyers. Other courts have stopped short of absolute protection while recognizing that only remarkable circumstances would overcome protection.

Id. (footnotes omitted). As I find that “remarkable circumstances” are not present that would overcome work product protection, I do not find it necessary to decide between that standard and the “absolute” standard of the Fourth Circuit.

Document 1991 (Exhibit 5).

Document 1991 (dated 2/20/08) is a draft memorandum addressing Maher – APM Terminals. Although marked “ATTORNEY CLIENT PRIVILEGED [*sic*] & CONFIDENTIAL” and bearing the initials DFB, it otherwise does not indicate the identity of the author. Document 1989 also states “COMMENTS 2-26-08.” Document 1991 discusses the then-ongoing FMC No. 07-01 proceeding and the proceeding that Maher contemplated filing that eventually became this proceeding. Maher contends that even if PANYNJ can establish work product protection, Maher has substantial need for Document 1991 that overcomes the protection. (Maher Rule 26(b)(5)(B) Motion at 16-22.)

PANYNJ states that Document 1991 was authored by Robert Evans, a non-attorney, with the assistance of others including Donald Burke, a PANYNJ attorney, in preparation and anticipation of Docket 07-01 and this proceeding. (Affidavit of Robert Evans II ¶ 3.)

Document 1991 states the authors’ litigation-preparation mental impressions about then-ongoing Docket No. 07-01 and the potential for this proceeding. PANYNJ has established that the documents are protected as opinion work product, and Maher has not established remarkable circumstances that would require their production. Document 1991 is protected as work product.

Document 1989 (Exhibit 6).

Document 1989 (dated 2/20/08) is a later version of a Document 1991. Document 1989 also states “COMMENTS 2-26-08.” PANYNJ states that Document 1989 was authored by Robert Evans, a non-attorney, and Donald Burke, a PANYNJ attorney, in preparation and anticipation of Docket 07-01 and this proceeding. (Affidavit of Robert Evans II ¶ 2.) For the reasons stated for Document 1991, Document 1989 is protected as work product.

Document 1990 (Exhibit 7).

Document 1990 is an undated “DRAFT” “ATTORNEY CLIENT PRIVILEGED [*sic*] & CONFIDENTIAL” memorandum entitled “APM & Maher Issues – Discussion paper.” It sets forth the author’s opinions about PANYNJ’s controversies with APM and Maher. Maher does not address Document 1990’s status as work product. Maher argues that Document 1990 contains a “key admission” pertaining to the alleged improper enforcement of the indemnity provision of EP-249

against Maher by PANYNJ when PANYNJ filed its third-party complaint against Maher in Docket No. 07-01. (Maher Rule 26(b)(5)(B) Motion at 22-23.)

PANYNJ states that Document 1990 was authored by Robert Evans, a non-attorney, with the assistance of others including Donald Burke, a PANYNJ attorney, in preparation and anticipation of Docket 07-01 and this proceeding. (Affidavit of Robert Evans II ¶ 2.)

Document 1990 states the authors' litigation-preparation mental impressions about then-ongoing Docket No. 07-01 and the potential for this proceeding. PANYNJ has established that Document 1990 is protected as opinion work product, and Maher has not established remarkable circumstances that would require their production. With regard to the "key admission" of a fact claimed by Maher, Maher has not established it has substantial need for the material to prepare its case. Document 1990 is protected as work product.

Documents 1992 and 1993 (Exhibit 8).

Documents 1992 and 1993 are two draft versions of PowerPoint presentations intended for "Resolution Discussions with APM." (Document 1993) Maher contends that even if PANYNJ can establish the documents are work product, it has a substantial need for the documents as proof of "collusion" between PANYNJ and APM.

PANYNJ states that Documents 1992 and 1993 are draft presentations prepared at the direction of PANYNJ attorneys to prepare for settlement discussions with APM. (Affidavit of Robert Evans II ¶ 2.) They were not provided or communicated to APM or any other outside party (Declaration of Holly E. Loiseau ¶ 18.)

Documents 1992 and 1993 identify the issues in Docket No 07-01 and state the authors' opinions about opportunities and issues for settlement and potential resolution of the controversy between PANYNJ and APM. PANYNJ has established that the documents are protected as opinion work product, and Maher has not established remarkable circumstances that would require their production. Documents 1992 and 1993 are protected as work product.

Documents 2008, 2009, 2010, 2012, 2013, 2014, and 2015 (Exhibit 9).⁶

Documents 2008, 2009, 2010, 2012, 2013, 2014, and 2015 are seven copies of what appear to be four versions a draft Third Supplemental Lease amending Lease EP-248 between PANYNJ and APM Terminals. Document 2012 also includes a letter dated May 13, 2008. from PANYNJ official R.F Israel to APM Terminals. Israel states that the letter is a draft and that he does "not recall signing this draft letter or sending this letter to its noted recipient." (Affidavit of Rudy Israel ¶ 3)

⁶ The cover page to this exhibit does not list Document 2008, but lists Document 2009 twice. Maher describes Exhibit 9 as including Document 2008. (Maher Rule 26(b)(5)(B) motion at 25 n.59) I assume that the first document in this exhibit is Document 2008.

Maheer does not explicitly address the Israel letter. Maheer recognizes that the other documents are drafts, but contends that “[w]ithout information as to the authors, recipients, and whether the drafts were shared with APM, PANYNJ cannot satisfy its burden for demonstrating the work product protection. In addition, the documents are primarily business documents, not documents prepared for the purpose of preparing litigation.” (Maheer Rule 26(b)(5)(B) Motion at 25)

PANYNJ contends that the documents are

copies of lease agreements drafted in connection with the settlement agreement [in FMC No. 07-01] and constitute protected attorney work product. . . . As the documents’ custodians affirm, these documents are non-final lease drafts, which Port Authority counsel prepared and circulated to a select number of Port Authority employees, in connection with counsels’ drafting of the settlement agreement. See Borrelli Aff. ¶ 2, Israel Aff. ¶ 2; Lombardi Aff. ¶ 14, Evans Aff. ¶ 7. These draft settlement documents are internal Port Authority documents that were not shared with APM or any other third-party (see Loiseau Decl. ¶ 18), and are therefore protected as attorney work product.

(PANYNJ Opp. to Maheer Rule 26(b)(5)(B) Motion at 39 (footnote omitted).)

Normally, a draft of a supplemental lease provision amending an existing lease would probably be considered a business document not entitled to work product protection. In this case, however, the Borrelli, Israel, Lombardi, and Evans affidavits and the Loiseau declaration establish that PANYNJ counsel drafted the Third Supplemental Leases and Israel drafted the letter in Documents 2008, 2009, 2010, 2012, 2013, 2014, and 2015 during the settlement negotiations between PANYNJ and APM in FMC Docket No. 07-01, see *APM Terminals North America, Inc. v Port Authority of New York and New Jersey*, FMC No. 07-01 (ALJ Oct. 24, 2008) (Initial Decision Granting Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice), and the drafts were not shared with APM or any other third-party. Drafts of documents created as part of settlement negotiations are protected by the work product privilege. *McCook Metals L.L.C. v Alcoa Inc.*, 192 F.R.D. 242, 263 (N.D. Ill. 2000); *Ferranti Intern., Inc. v Willard*, No. Civ. A. 02-CV-404, 2003 WL 21960716, *4 (E.D. Pa. June 25, 2003); *In re Subpoena Duces Tecum Served on Rosenman & Colin*, 3:92 CV 00301-WWE, 1996 WL 527331, at *5 (S.D.N.Y. Sept. 16, 1996). “The work product doctrine applies in a subsequent case even if the documents were prepared in a prior litigation. The two cases need not be related as long as the documents were created by the parties to subsequent litigation.” *McCook Metals L.L.C. v Alcoa Inc.*, 192 F.R.D. at 263 (citations omitted). Therefore, PANYNJ has established that Documents 2008, 2009, 2010, 2012, 2013, 2014, and 2015 are protected as work product.

B. Has PANYNJ Waived the Privilege or Protection by Producing the Documents?

Rule 502 itself does not provide any guidance on who has the burden of proving waiver. In this district, prior to the enactment of the rule, “the proponent of the

privilege . . . [had] the burden of showing that it [had] not waived attorney-client privilege . . .” I see no reason why Rule 502 can be interpreted to modify that rule and I will apply it.

Amobi v District of Columbia Dept of Corrections, 262 F.R.D. 45, 53 (D.D.C. 2009) (citations omitted).

Maher addressed the “middle ground” standards in its motion. I will apply those arguments to the analogous Rule 502 factors.

1. Was the disclosure inadvertent?

Neither party directly addresses the question of whether the production of the contested documents was “inadvertent.”

The first step of the analysis is determining whether the disclosure was inadvertent. Rule 502 does not define inadvertent disclosure. Other courts have found that Rule 502(b) provides for a more simple analysis of considering if the party intended to produce a privileged document or if the production was a mistake. This interpretation seems to be in line with one of the goals of the drafting committee: to devise a rule to protect privilege in the face of an innocent mistake.

Additionally, defining inadvertent as mistaken comports with the dictionary definition of the word. “Of persons, their dispositions, etc. Not properly attentive or observant; inattentive, negligent; heedless. Of actions, etc. Characterized by want of attention or taking notice; hence, unintentional.” *The Oxford English Dictionary* (2d ed.1989), available at OED Online, Oxford University Press, <http://dictionary.oed.com/cgi/entry/50113734> There is every reason to suppose that Congress uses this definition. Additionally, permitting “inadvertence” to be a function of, for example, the amount of information that had to be reviewed or the time taken to prevent the disclosure melds two concepts, “inadvertence” and “reasonable efforts,” that should be kept distinct. One speaks to whether the disclosure was unintended while the other speaks to what efforts were made to prevent it. I will therefore use the word “inadvertent” from Rule 502 to mean an unintended disclosure.

Amobi v District of Columbia Dept. of Corrections, 262 F.R.D. at 53 (citations omitted). See also *Coburn Group, LLC v Whitecap Advisors LLC*, 640 F. Supp. 2d 1032, 1038 (N.D. Ill. 2009) (citations omitted) (“In this court’s view, the structure of Rule 502 suggests that the analysis under subpart (b)(1) is intended to be much simpler, essentially asking whether the party intended a privileged or work-product protected document to be produced or whether the production was a mistake.”).

Maier does not contend that PANYNJ deliberately produced the contested documents for some undisclosed motive, then changed its mind and requested their return. PANYNJ's efforts to secure return of the documents discussed below supports a finding that it did not intend to produce documents revealing information that it believes should be protected or privileged. Therefore, I find that production of the disputed documents was "inadvertent" within the meaning of Rule 502(b)(1).

2. Did PANYNJ take reasonable steps to prevent disclosure?

Maier contends that PANYNJ "simply did not take its responsibility to safeguard privilege seriously and failed to implement reasonable precautions to avoid disclosing privileged and/or work product protected documents." (Maier Rule 26(b)(5)(B) Motion at 31) As stated, the burden is on PANYNJ to demonstrate that it took reasonable steps to prevent disclosure.

Maier contends that:

PANYNJ's reasons for the disclosures, expressed by counsel during the October 24, 2008 meet and confer, were that the production was large, there was not a lot of time, and that PANYNJ had conducted "multiple searches" electronically for privilege, including for the term "privileged" and for persons identified as PANYNJ's counsel, but that for unknown reason [*sic*] PANYNJ's electronic searches failed to discover the documents prior to their disclosure for Maier

(*Id.*) After receiving the letter from counsel for PANYNJ asking for return of the documents, one of Maier's counsel states that he conducted an electronic search of the documents.

- 11 Also on October 9, 2008, I compared the new tag for the 58 documents against the "reviewed" tag and determined that 51 of the 58 documents had previously been reviewed by Maier counsel.
12. The database also reported that the 58 documents comprised 320 pages and that 44 of the 58 documents were native electronic documents (and therefore contained full metadata).
- 13 During the preparation of the Rule 26(b)(5)(B) motion, I conducted a series of searches in the database against the document records tagged as inadvertently produced. Searches for "privileged" and "Confidential" identified the records for 4 of the 58 documents, including Documents 1989, 1990, 1991 and 1994. Searches for prominent PANYNJ counsel, such as "Burke" and "Berry" identified 33 of the 58. Each search took approximately 10 seconds to type and returned results virtually immediately.

(Morrissey Aff.) Maher argues that “PANYNJ either did not run *basic* searches properly, or if it did, then it failed to properly segregate the allegedly privileged documents for production.” (Maher Rule 26(b)(5)(B) Motion at 32 (emphasis in original).)

PANYNJ contends that it “produced approximately one million pages of documents within just several weeks time. . . . Extensive safeguards were implemented to identify potentially privileged documents, but a handful nonetheless were inadvertently produced. This is the precise circumstance for which FRE 502(b) was intended.” (PANYNJ Opp. to Maher Rule 26(b)(5)(B) Motion at 40.)

PANYNJ and its counsel retained Huron Consulting Group (Huron), an electronic discovery vendor, to assist in collecting, processing, reviewing, and producing the documents. PANYNJ attached an affidavit of George Marinos, a Managing Director for Huron, and a declaration of Holly E. Loiseau, a partner in Weil, Gotshal & Manges LLP (Weil Gotshal), PANYNJ’s outside counsel, setting forth the steps PANYNJ took to prevent disclosure of protected and privileged information. (Marinos Aff. ¶ 2, Loiseau Decl. ¶ 5)

PANYNJ states that during collection of the documents, custodians were questioned about the potential for privileged information in their documents so that “custodian-specific” precautions could be taken. PANYNJ and Huron created a privilege filter to apply to the documents to identify documents that might be privileged or subject to work product protection. Huron guided the selection of the eighteen legal terms and 150 other search terms used in the filters. These terms included the identities of in-house and outside counsel and law firms. (Marinos Aff. ¶¶ 3, 4, Loiseau Decl. ¶ 6.) Counsel identified some documents that were determined not to need review because the custodian did not have contact with counsel. All reviewed documents that hit one or more terms of the privilege filter were reviewed by at least one attorney for privilege. (Marinos Aff. ¶ 5; Loiseau Decl. ¶ 7.) “More than seventy Huron legal review professionals (each with a *juris doctorate* degree) assisted with the document review. All of the review professionals underwent training by Weil Gotshal attorneys and Huron document review coordinators regarding how to conduct the privilege review.” (Marinos Aff. ¶ 6.)

In addition, over ten Weil Gotshal attorneys assisted in the privilege review. The attorneys who participated in the review were instructed to err on the side of tagging documents “privileged” if there was a potential of claiming privilege, so that any potentially privileged documents would receive at least one additional level of attorney review in connection with preparing the privilege log. All documents marked privileged underwent a close review by one or more attorneys in connection with constructing the privilege log.

(Loiseau Decl. ¶ 8.) A seven member quality control team of seven review professionals and a Huron project manager conducted a second-level quality control review. The team reviewed a sampling of the documents to be produced; that is, the documents designated as responsive and not tagged as privileged in the first-level review. The team also looked for potential errors made by individual

reviewers. (Marinos Aff. ¶ 7) "Huron review professionals and employees logged over 1,600 hours performing the quality control analysis." (*Id.*) Huron professionals reviewed nearly 300,000 documents that hit the privilege filter. Over 4,000 were determined to be privileged and were not produced. More than 1,200 documents that did not hit the filter were also tagged as privileged. (Marinos Aff. ¶ 8.) PANYNJ also initially withheld all documents collected from certain custodians so they could be reviewed by Weil Gotshal attorneys prior to production. (Marinos Aff. ¶ 9.)

PANYNJ describes the errors that led to the production of the documents at issue as follows:

10. On or about October 7, 2008, Weil Gotshal brought to Huron's attention a produced document that should have been withheld as privileged. Huron immediately investigated the issue, and determined that the document (and several other documents) were inadvertently produced because a third-party processing vendor, supervised by Huron, assisting in the review committed a configuration error with regard to one "batch" of documents belonging to a particular custodian (Robert Evans) (the "Evans Batch"). Huron informed Weil Gotshal of this error on the afternoon of October 8, 2008.
11. The following is a description of the error: In order to process the collected electronic documents for review, Huron's processing vendor used iPRO, a widely-used industry accepted software application. While processing the Evans Batch, a vendor technician erroneously selected the wrong setting as part of a standard process to eliminate exact duplicate documents with the custodian's population. This improper selection cause certain documents to entirely bypass the processing-review-QC-production workflow, which was carefully designed to prevent inadvertent production of privileged documents. The documents in the Evans Batch were thus not subjected to the privilege filter or the review and QC processes at all. As a result, certain privileged documents were inadvertently produced. Under the circumstances, there was no practical or reasonable way for the error to have been detected by anyone prior to production.
12. Huron has reviewed a list of the 57 documents that Weil Gotshal has identified in the instant motion. Thirty-four of the documents were inadvertently produced on August 29, 2008 as a result of the error described in ¶ 11 above. As to the remaining 23 documents, 11 of the documents did not "hit" the privilege filter, as they do not contain any of the search terms or names used in the filter, and were therefore not reviewed prior to being produced on August 29, 2008. The remaining 12 documents "hit" the privilege filter and were reviewed by a Weil Gotshal attorney and/or Huron review professional prior to production, but the documents were not tagged as privileged due to professional error and so were inadvertently produced.

10 as part of the August 29 production, and 2 as part of a September 29 supplemental production.

(Mannos Aff)

The Advisory Committee's Explanatory Note sets forth the multiple factors that had been applied in the middle ground standard, then states:

The rule is flexible enough to accommodate any of those listed factors. Other considerations bearing on the reasonableness of a producing party's efforts include the number of documents to be reviewed and the time constraints for production. Depending on the circumstances, a party that uses advanced analytical software applications and linguistic tools in screening for privilege and work product may be found to have taken "reasonable steps" to prevent inadvertent disclosure.

Fed. R. Evid. 502, explanatory note (revised 11/28/2007).

Maher focuses its argument on the fact that PANYNJ produced privileged documents, therefore, PANYNJ must not have taken reasonable steps to prevent disclosure. If no privileged documents are produced, then the producing party took reasonable steps. If documents are produced, then the producing party did not take reasonable steps, because reasonable steps would have prevented production. Maher's argument seems to vitiate Rule 502.

The proper focus should be on the steps that producing party took to avoid disclosure, not whether those steps actually prevented disclosure. Otherwise, Rule 502 would always result in waiver of protection and privileges when documents are inadvertently produced. This clearly is not the intent of the Rule.

As set forth above, the affidavits submitted by PANYNJ support a finding that it used advanced analytical software applications and linguistic tools in screening for privilege and work product. Although those steps were not entirely successful, they were reasonable. Therefore, PANYNJ has established that it took reasonable steps to avoid disclosure within the meaning of Rule 502.

3. Did PANYNJ promptly take reasonable steps to rectify the error?

Maher contends that PANYNJ did not act promptly to protect its privilege and work product. As stated above, the burden is on PANYNJ to demonstrate that it promptly took reasonable steps to rectify the error

Maher argues that:

PANYNJ first notified Maher of its inadvertent disclosure *five weeks* after its initial document production. During that time, PANYNJ continued to extensively review its document production. Following Maher's motion to compel on September 24, 2008, PANYNJ was engaged in re-reviewing the same 17 million page production to remove non-responsive documents. PANYNJ was apparently able to conduct that review between September 24, 2008 and October 3, 2008 when PANYNJ provided Maher the list of 300,000 non-responsive documents that had nevertheless been produced. PANYNJ similarly re-reviewed the initial production for confidentiality during the same general time frame. PANYNJ also supplemented its production twice before this issue arose, on September 22, 2008 and September 26, 2008. Indeed, PANYNJ admits that "roughly half" of over \$4 million in document review costs were expended in the review activities after the initial production, including \$1 million for contract attorney review after the initial production. PANYNJ should have also identified the allegedly inadvertently produced documents during the time it was re-reviewing the same documents a second and third time, yet despite the extensive re-reviewing and additional document production, PANYNJ still did not perform a proper privilege review.

It was not until Maher first notified PANYNJ on October 8, 2008 about three potentially inadvertently disclosed documents that PANYNJ took action to notify Maher. And while PANYNJ may portray its response the following day identifying 58 allegedly inadvertently produced documents as evidence of promptness, PANYNJ's next-day response underscores the simplicity and ease of the *basic* privilege review that PANYNJ should have accomplished before its production, and again in the ensuing weeks while it repeatedly re-reviewed the same production. Moreover, the fact that PANYNJ's action was prompted by Maher further undermines the suggestion that it acted "promptly."

(Maher Rule 26(b)(5)(B) Motion at 39-40 (emphasis in original) (footnotes omitted).)

PANYNJ contends that it learned that it had produced protected and privileged documents in late September while reviewing its production in connection with deposition preparation and related tasks.⁷

More specifically, on or about September 25, 2008, Weil Gotshal discovered that approximately six documents had been inadvertently produced, at which point it immediately took steps to determine whether the production contained and duplicate documents, or any other inadvertently produced privileged documents. Multiple versions of three additional privileged documents that had been inadvertently

⁷ I do not credit Maher's apparent contention that PANYNJ's October 9 letter was prompted solely by Maher's October 8 letter.

produced were identified as a result of these efforts. Weil Gotshal also reached out to Huron to determine whether there was any processing or other issues that could have caused the inadvertent production.

(Loiseau Decl. ¶ 11) This discovery led to the review described in paragraphs 10-12 in the Marinos affidavit set forth above.

PANYNJ states that it then took the following actions:

12. On or about October 8, 2008, Weil Gotshal drafted a letter to Maher's counsel recalling the inadvertently-produced privileged document it had discovered. Just as the letter was being finalized, two events occurred. First, Huron identified a technical error on its part that had resulted in a batch of documents erroneously having been included in the production. *See* Marinos Aff. ¶¶ 10-11. Second, the Port Authority received a letter from Maher's counsel alerting it to three privileged documents they had identified in the Port Authority's production. *See* October 8, 2008 letter from G. Morrissey to H. Loiseau. All three of these documents were produced due to Huron's processing error.
13. As a result of these developments, the Port Authority immediately reviewed the newly identified documents (several of which had already been identified by Weil Gotshal, and which Weil Gotshal was already intending to recall), and sent a letter on October 9, notifying Maher about the inadvertent production of fifty-eight specified documents. *See* October 9, 2008 letter from H. Loiseau to L. Kiern. The Port Authority intentionally included on its privilege log, served on October 8, complete descriptions of those inadvertently-produced privileged documents of which it was aware at the time the privilege log was completed (a list of Port Authority counsel was sent to Maher along with the privilege log.) Detailed descriptions of all the documents now at issue were included in the Port Authority's revised privilege log, served October 20.

(Loiseau Decl.)

The Advisory Committee's Explanatory Note to Rule 502 states:

The rule does not require the producing party to engage in a post-production review to determine whether any protected communication or information has been produced by mistake. But the rule does require the producing party to follow up on any obvious indications that a protected communication or information has been produced inadvertently.

Fed. R. Evid. 502, explanatory note (revised 11/28/2007).

The first consideration is whether PANYNJ acted promptly once it learned that documents it considered to be protected or privileged had been produced. Forty-one calendar days elapsed between August 29 when PANYNJ produced all but two of the documents at issue and October 9 when it sent the letter to Maher requesting their return. PANYNJ states that on September 25, “Weil Gotshal discovered that approximately six documents had been inadvertently produced, *at which point it immediately took steps to determine* whether the production contained any duplicate documents, or any other inadvertently produced privileged documents.” (Loiseau Decl. ¶ 11 (emphasis added).)

PANYNJ states that it “identified approximately six privileged documents on or about September 25, 2008, and then immediately took steps to search the production for duplicate or additional privileged documents that may have been inadvertently produced.” (PANYNJ Opp. to Maher Rule 26(b)(5)(B) Motion) at 44, Loiseau Decl. ¶ 11) Fourteen calendar days elapsed between September 25 when PANYNJ states it discovered that it had produced the protected or privileged documents and October 9 when it first contacted Maher PANYNJ identified the other protected and privileged documents in its review between September 25 and October 8.

Prior to Rule 502, courts in [the Seventh Circuit] looked to the time between a party’s learning of the disclosure and that party’s taking action to remedy it, rather than the time that elapsed since the document was placed in the hands of the other party *See e.g. [Judson Atkinson Candies, Inc. v Latini-Hohberger Dhimantec, 529 F.3d 371, 389 (7th Cir. 2008)]* (looking to the time between the filing of the disputed document as an exhibit and the producing party’s request for return); *U.S. v Natl. Assn. of Realtors*, 242 F.R.D. 491, 495 (N.D. Ill. 2007) (no waiver where several years elapsed between production and party’s knowledge of the disclosure but the party took “virtually no time” to rectify the error). The Committee’s comment that Rule 502 does not require a post-production review supports this view that the relevant time under subpart (b)(3) is how long it took the producing party to act after it learned that the privileged or protected document had been produced.

Coburn Group v Whitecap Advisors, 640 F. Supp. 2d at 1040-1041 Therefore, I conclude that September 25 is the appropriate starting date to determine whether PANYNJ promptly took reasonable steps to rectify the error

Despite learning of the inadvertent production September 25, PANYNJ did not draft a letter to Maher requesting return until October 8, thirteen days later, and did not send the letter until October 9 (Loiseau Decl. ¶ 13) More importantly, however, Huron apparently did most of the work screening the documents prior to production as “[m]ore than seventy Huron legal review professionals assisted with the document review (Marinos Aff. ¶ 6.) Yet PANYNJ did not bring “to Huron’s attention a produced document that should have been withheld as privileged” until October 7 (Marinos Aff. at ¶ 10.) When confronted by the specter of inadvertent production of

privileged and protected documents, PANYNJ delayed twelve days before contacting the vendor that was the likely (and turned out to be the actual - *Marinos Aff.* at ¶ 11-12; *Loiseau Decl.* ¶ 12) cause of the inadvertent production of most of the documents. It was another two days before PANYNJ sent its letter to Maher asserting the privilege. (*Loiseau Decl.* ¶ 13) PANYNJ does not explain this delay

It is appropriate to look to cases decided pursuant to Rule 502 and to pre-Rule 502 cases regarding the meaning of “promptly.” See *Luna Gaming-San Diego, LLC v Dorsey & Whitney, LLP*, 2010 WL 275083, at *5 (S.D. Cal. January 13, 2010); *Coburn Group v Whitecap Advisors, supra*

PANYNJ argues that “[t]his entire series of events spanned but two weeks, well within the bounds of ‘promptness’ for investigating and addressing such a serious matter ” (PANYNJ Opp. to Maher Rule 26(b)(5)(B) Motion at 44.) PANYNJ relies on *Prescient Partners, L.P v Fieldcrest Cannon, Inc.*, No. 96 Civ 7590, 1997 WL 736726 (S.D.N.Y. Nov 26, 1997) to support its claim that “no inordinate delay occurred where counsel began a post-production review to uncover other inadvertently-produced material and sent the defendants a list of documents one month after initially becoming aware of an inadvertent disclosure.” (PANYNJ Opp. to Maher Rule 26(b)(5)(B) Motion at 44 n.75) In *Prescient Partners*, the court found that:

No inordinate delay occurred in this case because PRescient’s [*sic*] counsel wrote defendants’ counsel *the day after learning of the error* to demand return of the documents. After receiving the defendants’ final refusal to return the documents on August 22, 1997, PRescient’s counsel began a comprehensive review to uncover other inadvertently produced privileged material and sent the defendants what they believed was a comprehensive list of inadvertently produced documents eighteen days later, on September 9, 1997

Id. at *6 (emphasis added) The immediate demand for return of the documents by Prescient contrasts with PANYNJ’s fourteen day delay in seeking return of the documents from Maher In the other cases cited by PANYNJ, three business days was the longest period to elapse before the producing party contacted the receiving party to seek return of the documents. See *Rhoads Industries, Inc. v Building Materials Corp. of Am.*, 254 F.R.D. at 225-227 (Rule 502) (upon being informed of apparent production of privileged documents, immediate response of producing party stating that no privilege had been waived and this was likely a case of inadvertent production favored producing party; producing party’s three week delay in producing a privilege log of the inadvertently produced documents once it was aware of its mistake favored receiving party; “promptness” factor overall favored receiving party, but “interest of justice” precluded waiver); *Bensel v Air Line Pilots Ass’n*, 248 F.R.D. 177, 179-181 (D.N.J. 2008) (“promptly taking reasonable steps to rectify” factor found to be neutral where new counsel for producing party learned of production and asserted privilege for one document during a deposition September 19, 2006, identified other documents on a privilege log dated November 6, 2006, then waited almost one year to file motion for protective order); *U.S. Fidelity & Guaranty Co. v Braspetro Oil Services Co.*, Nos. 97 Civ 6124 (JGK)(THK),

98 Civ 3099 (JGK)(THK), 2000 WL 744369 (S.D.N.Y. June 8, 2000) (documents available for inspection from January 11-28, 2000; informing counsel of inadvertent production on January 21 followed by letter to counsel the next business day constituted prompt action to rectify the disclosure); *Zapata v. IBP, Inc.*, 175 F.R.D. 574, 577 (D. Kan. 1997) (counsel for party producing documents contacted opposing counsel the day the inadvertent disclosure was discovered, and attempted to rectify the error by requesting return); *Georgia-Pacific Corp. v. GAF Roofing Mfg. Co.*, No. 93 Civ. 5125, 1995 WL 117871, at *2 (S.D.N.Y. Mar. 20, 1995) (reacting two business days after discovery of the inadvertent disclosure was not a delay); *In re Grand Jury Investigation*, 142 F.R.D. 276 (M.D.N.C. 1992); (January 2, 1992 (Thursday) – discovered that a single privileged document had been produced; January 7 (Tuesday) (three business days later) – contacted the appropriate attorney within DOJ, identified document, advised of inadvertent disclosure, and requested return; re-reviewed documents produced and identified seventeen more privileged for a total of eighteen; January 31, DOJ advised it would not return documents; February 3, producing party filed motion for a protective order).

Other cases applying Rule 502 and pre-Rule 502 law have similarly short periods. *See e.g.*, *Kandel v. Brother Intern. Corp.*, 683 F. Supp. 2d 1076, 1085 (C.D. Cal. 2010) (Rule 502) (after discovering inadvertent production in mid-August, immediately contacting third-party consultant to run omitted searches followed by letter requesting return on August 24 determined to be prompt); *Rhoades v. Young Women's Christian Ass'n of Greater Pittsburgh*, Civil Action No. 09-261, 2009 WL 3319820, at *3 (W.D. Pa. Oct. 14, 2009) (Rule 502) (letter to receiving party demanding return of privileged documents sent five days after production found to be prompt); *Synergetics USA, Inc. v. Alcon Laboratories, Inc.*, No. 08 CIV. 3669 (DLC), 2009 WL 2016795 at *1 (S.D.N.Y. July 09, 2009) (Rule 502) (request for return three days after discovery of inadvertent production is timely); *Metso Minerals Inc. v. Powerscreen Intern. Distribution Ltd.*, No. CV-06-1446 (ADS)(ETB), 2007 WL 2667992, at *5 (E.D.N.Y. 2007) (requesting either their immediate return or certification of destruction of documents two business days later is not inordinate delay); *United States v. Rigas*, 281 F. Supp. 2d 733, 741 (S.D.N.Y. 2003) (sending letter asserting privilege on same day producing party became aware of the inadvertent production and following up the next day clearly weighs against a finding of waiver); *Aramony v. United Way of America*, 969 F. Supp. 226, 237 (S.D.N.Y. 1997) (“[A] request for the return of the privileged material within twenty-four hours of learning of the inadvertent production weighs against a loss of privilege.”); *Bank Brussels Lambert v. Credit Lyonnais (Suisse) S.A.*, 160 F.R.D. 437, 445 (S.D.N.Y. 1995) (no waiver of privilege by inadvertent production where “[a]s soon as plaintiffs’ counsel were alerted to the production [of the privileged documents], they asserted the privilege and sought the return of the documents”)

Longer delays have resulted in a determination that the privilege or protection was waived. *See e.g.*, *North American Rescue Products, Inc. v. Bound Tree Medical, LLC*, No. 2:08-CV-101, 2010 WL 1873291, at *8 (S.D. Ohio May 10, 2010) (Rule 502) (three month delay between discovery of inadvertent production and assertion of privilege was not prompt), *Preferred Care Partners Holding Corp. v. Humana, Inc.*, 258 F.R.D. 684, 699-700 (S.D. Fla. 2009) (Rule 502) (three-week lag time to assert a privilege weighed in favor in finding a waiver of privilege); *Relion, Inc. v. Hydra Fuel Cell Corp.*, No. CV06-607-HU, 2008 WL 5122828, at *3 (D. Or. Dec. 4, 2008)

(Rule 502) (four-month delay between discovery of production of privileged documents and assertion of privilege does not disprove waiver); *LaSalle Bank Nat. Ass'n v. Merrill Lynch Mortg. Lending, Inc.*, No. 04 Civ 5452 (PKL), 2007 WL 2324292, at *3-5 (S.D.N.Y. Aug. 13, 2007) (one month delay between discovery of production and assertion of privilege contributes to finding of waiver); *S.E.C. v. Cassano*, 189 F.R.D. 83, 84-86 (S.D.N.Y. 1999) (when producing party granted request by receiving party for immediate copying of one produced document out of fifty boxes without determining contents of document, "no excuse" for twelve day delay by producing party to inspect document to discover contents); *Harmony Gold U.S.A., Inc. v. FASA Corp.*, 169 F.R.D. 113, 117 (N.D. Ill. 1996) (two weeks reviewing copy of the produced documents in an attempt to determine how the inadvertent disclosure occurred before sending letter requesting the return of the documents followed by another two weeks preparing motion for protective order supports finding that "attempt to rectify the error was lax at best"); *Liz Claiborne, Inc. v. Mademoiselle Knitwear, Inc.*, No. 96 Civ 2064 (RWS), 1996 WL 668862, at *5 (S.D.N.Y. Nov. 19, 1996) ("Here, Plaintiffs' counsel discovered its disclosure of work product within twenty-four hours. Counsel immediately asserted work product privilege in objecting to deposition questions based on the Privileged Notes. However, Plaintiffs' counsel waited a month before requesting that Mademoiselle return the Privileged Notes. Plaintiffs' delay in requesting the return of the privileged documents supports a finding of waiver").

This case is similar to *Kandel v. Brother Intern. Corp.*, *supra*. The producing party in *Kandel* had also retained a consultant to assist it with the identification of privileged and protected documents. When the party learned that it had inadvertently produced protected and privileged documents, it *immediately* contacted its consultant to run omitted searches. In what appears to be a shorter period than the twelve days PANYNJ delayed before contacting its consultant, the producing party sent the receiving party a letter listing the inadvertently produced documents and asking for their return. It is also similar to *Harmony Gold* where the court determined that a two week delay before sending a letter requesting return of the documents was "lax at best." Furthermore, by November 4, 2008, it was clear to PANYNJ that the parties would not be able to reach a compromise regarding return of some, if not all, of the documents. (Loiseau Decl. ¶ 16 and Exhibit J) PANYNJ did not take the reasonable step of filing a motion seeking return of the documents, but waited to respond to the motion for determination of claims of privilege Maher filed on November 12, 2008.

Based on the foregoing, I find that PANYNJ has not established that it promptly took reasonable steps to rectify the error within the meaning of Rule 502.

4. Conclusion.

PANYNJ has established some, but not all, of the elements of Rule 502(b). Therefore, I conclude that PANYNJ waived the attorney client privilege and work product protection for the documents listed in Attachment A to this Memorandum and Order.

C. What is the extent of the waiver?

Rule 502(a) provides:

When the disclosure is made in a Federal proceeding or to a Federal office or agency and waives the attorney-client privilege or work-product protection, the waiver extends to an undisclosed communication or information in a Federal or State proceeding only if: (1) the waiver is intentional; (2) the disclosed and undisclosed communications or information concern the same subject matter; and (3) they ought in fairness to be considered together.

Fed. R. Evid. 502(a). As found above, PANYNJ's disclosure was inadvertent; that is, not intentional. Therefore, the waiver is limited to the documents produced and does not extend to undisclosed communications or information.

IV. CONCLUSION ON MAHER'S RULE 26(b)(5)(B) MOTION.

PANYNJ has established that Documents 1994, 1998, 2019, and 2020 are protected by attorney-client privilege and Documents 1989, 1990, 1991, 1992, 1993, 2008, 2009, 2010, 2012, 2013, 2014, 2015, and 1994 are protected by attorney-client privilege.

Maher commenced this proceeding on June 3, 2008, and it was pending on September 19, 2008, when Federal Rule of Civil Procedure 502 went into effect. PANYNJ produced the documents at issue on August 29, 2008. For the reasons stated above, it is just and practicable to apply Rule 502 to this dispute.

PANYNJ has established that it inadvertently produced privileged and protected documents and that it took reasonable steps to prevent disclosure. PANYNJ has not established that it promptly took reasonable steps to rectify the error once it learned of the inadvertent production. On September 25, PANYNJ identified six privileged or protected documents. It then waited twelve calendar days after determining that some documents privileged and protected documents had been inadvertently produced before it contacted its contractor to identify other inadvertently produced documents and two more days before it contacted Maher. Regardless of whether the steps PANYNJ took to rectify the error were reasonable, it did not take those steps promptly. Therefore, PANYNJ has waived attorney-client privilege and work product protection of the documents that it produced. Because the production was inadvertent, the waiver does not extend to undisclosed communications or information. Fed. R. Evid. 502(a).

Because of this ruling, it is not necessary to reach the question of whether Document 1994 should be produced as a document used to prepare a witness for deposition.

**PART 5 – MOTION TO QUASH SUBPENAS ISSUED BY THE
PORT AUTHORITY OF NEW YORK AND NEW JERSEY**

On September 30, 2008, PANYNJ requested issuance of six third-party subpoenas. On October 20, 2008, Maher filed a motion to quash the subpoenas. PANYNJ filed an opposition to the motion.

It appears that the information sought by the subpoenas substantially duplicates the information sought by PANYNJ in the interrogatories and requests for production addressed in Part 3 above. If PANYNJ receives this information through the production ordered by Part 3, it may not be necessary to require the third parties to incur the expense of producing the information. Therefore, I will defer ruling on Maher's motion to quash the subpoenas pending PANYNJ's receipt and review of the information it receives pursuant to Part 3. On or before August 20, 2010, PANYNJ shall file a notice stating whether it still seeks the information described in the subpoenas.

**PART 6 – MAHER TERMINALS, LLC'S MOTION TO COMPEL
PRODUCTION OF EVIDENCE ON CERTAIN BACKUP TAPES FROM THE
PORT AUTHORITY OF NEW YORK AND NEW JERSEY**

On November 19, 2008, Maher filed a motion to compel PANYNJ to produce information stored on a series of backup tapes containing information created before September 11, 2001. PANYNJ filed an opposition to the motion that contains what Maher characterizes as a motion to shift to Maher the costs of retrieving the information from the backup tapes if their production is ordered.

I will defer ruling on Maher's motion to compel production of the evidence on the tapes.

ORDER

Upon consideration of Maher Terminals, LLC's Motion to Compel Production from the Port Authority of New York and New Jersey and its attachments, the Memorandum in Opposition to Maher Terminals, LLC's Motion to Compel Production from the Port Authority of New York and New Jersey and its attachments, and the record herein, and for the reasons stated above, it is hereby

ORDERED that Maher Terminals, LLC's Motion to Compel Production from the Port Authority of New York and New Jersey be **GRANTED IN PART AND DENIED IN PART**. On or before August 6, 2010, respondent Port Authority of New York and New Jersey shall serve supplemental responses and the Certificate of Counsel required by Part 2.

Upon consideration of The Port Authority of New York and New Jersey's Motion to Compel Discovery from Complainant and its attachments, Maher Terminals, LLC Reply In Opposition to Respondent's Motion to Compel Production from Complainant and Motion for Protective Order and its attachments, and the record herein, and for the reasons stated above, it is hereby

ORDERED that The Port Authority of New York and New Jersey's Motion to Compel Discovery from Complainant be **GRANTED IN PART AND DENIED IN PART**. On or before August 6, 2010, complainant Maher Terminals, LLC shall serve the supplemental responses and Certificate of Counsel required by Part 3. It is

FURTHER ORDERED that Maher's Motion for Protective Order be **DENIED**.

Upon consideration of Maher Terminals, LLC's Rule 26(b)(5)(B) Motion for Determination of Claims of Privilege and Determination of Waiver of Privilege of Certain Documents Produced to Maher by PANYNJ and its attachments, the Memorandum in Opposition to Complainant's Rule 26(b)(5)(B) Motion for Determination of Claims of Privilege and Determination of Waiver of Privilege of Certain Documents and its attachments, and the record herein, and for the reasons stated above, it is hereby

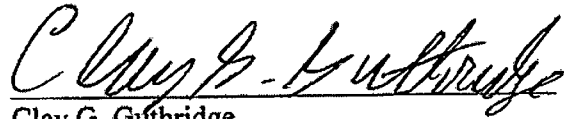
ORDERED that Maher Terminals, LLC's Rule 26(b)(5)(B) Motion for Determination of Claims of Privilege and Determination of Waiver of Privilege of Certain Documents Produced to Maher by PANYNJ be **GRANTED IN PART AND DENIED IN PART**. Respondent Port Authority of New York and New Jersey has waived attorney-client privilege and work product protection for the documents identified in Attachment A to this Memorandum and Order. Because the production was inadvertent, the waiver does not extend to undisclosed communications or information.

Upon consideration of Maher Terminals, LLC's Motion to Quash Subpenas Issued by the Port Authority of New York and New Jersey and its attachments, the Port Authority of New York and New Jersey's Opposition to Maher Terminals, LLC's Motion to Quash Subpenas Issued by the Port Authority of New York and New Jersey and its attachments, and the record herein, and for the reasons stated above, it is hereby

ORDERED that consideration of the motion be **DEFERRED**. On or before August 6, 2010, respondent Port Authority of New York and New Jersey shall serve supplemental responses and the Certificate of Counsel required by Part 5.

Upon consideration of Maher Terminals, LLC's Motion to Compel Production of Evidence on Certain Backup Tapes from the Port Authority of New York and New Jersey and its attachments, Memorandum in Opposition to Maher Terminals, LLC's Motion to Compel Production of Evidence on Certain Backup Tapes from The Port Authority of New York and New Jersey, and the record herein, it is hereby

ORDERED that consideration of the motion be **DEFERRED**.


Clay G. Guthridge
Administrative Law Judge

DOC	DESCRIPTION	AUTHOR	RECIPIENTS	CC	DATE	PRIV	BATES NUMBER	RELATED DOCS
172	Draft stipulation prepared by inside counsel in connection with litigation	Unknown			5/15/2008	WP	Inadvertently produced at 08PA01604069 [requested return of document on 10/9/08]	
191	Draft letter to opposing counsel prepared by inside counsel in connection with litigation	Burke, Donald	Richter, James		5/15/2008	AC/WP	Inadvertently produced at 08PA01604070 [requested return of document on 10/9/08]	
199	Draft letter to Maher counsel prepared by inside counsel in connection with litigation	Burke, Donald			5/16/2008	WP	Inadvertently produced at 08PA01604074 [requested return of document on 10/9/08]	
207	Draft pleading prepared by inside counsel in connection with litigation	Burke, Donald			5/17/2008	WP	Inadvertently produced at 08PA01604076 [requested return of document on 10/9/08]	
243	Draft verified complaint prepared by inside counsel in connection with litigation	Unknown			5/17/2008	WP	Inadvertently produced at 08PA01604753 [requested return of document on 10/9/08]	
246	Draft pleading prepared by inside counsel in connection with litigation	Unknown			6/5/2008	WP	Inadvertently produced at 08PA01604767 [requested return of document on 10/9/08]	08PA01765917
2008	Draft memorandum re. Maher-APM issues prepared in connection with litigation.	Unknown			2/7/2008	WP	Inadvertently produced at 08PA01442836 [requested return of document on 10/9/08]	

11001070XRI+10,616,411>2,600,100

Maher Terminals, LLC v. The Port Authority of New York and New Jersey LLC 08-03 (FMC)
Inadvertently Produced Documents
Privilege Log Entries

DOC	DESCRIPTION	AUTHOR	RECIPIENTS	CC	DATE	PRIV	BATES NUMBER	RELATED DOCS
1990	Draft memorandum re Maher APM issues prepared in connection with litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01443407 [requested return of document on 10/9/08]	
1991	Draft memorandum re Maher APM issues prepared in connection with litigation	Unknown			2/20/2008	WP	Inadvertently produced at 08PA01443052 [requested return of document on 10/9/08]	
1992	Presentation re. APM settlement discussions prepared at the request of counsel in connection with pending litigation	Unknown			3/12/2008	WP	Inadvertently produced at 08PA00377886 [requested return of document on 10/9/08]	
1993	Presentation re. APM settlement discussions prepared at the request of counsel in connection with pending litigation	Unknown			1/23/2008	WP	Inadvertently produced at 08PA00382008 [requested return of document on 10/9/08]	
1994	Memorandum from counsel re 07-01 discovery matters	Donald Burke	Richard Larrabee	J. Begley, D. Buchbinder, C. Hartwyk, C. McIntyre	7/27/2007	AC/WP	Inadvertently produced at 08PA01442865 [requested return of document on 10/9/08]	
1995	Draft chronology prepared at the request of counsel in anticipation of litigation	Robert Evans	Dennis Lennhardt, Kenneth Spain	Donald Burke	1/25/2008	AC/WP	Inadvertently produced at 08PA00382016 [requested return of document on 10/9/08]	

Maheo Terminals, LLC v. The Port Authority of New York and New Jersey LLC, 08-03 (FMC)
 Inadvertently Produced Documents
 Privilege Log Entries

DOC	DESCRIPTION	AUTHOR	RECIPIENTS	CC	DATE	PRIV	BATES NUMBER	RELATED DOCS
1996	Draft chronology prepared at the request of counsel in anticipation of litigation	Robert Evans			Undated	WP	Inadvertently produced at 08PA01435217 (requested return of document on 10/9/08)	
1997	Correspondence from counsel re. APM lease language with attached excerpt from lease.	Donald Burke	Evans, Robert; Larrabee, Richard	Hartwyk, Chris, Israel, Rudy; Kirin, Jason; Lombardi, Dennis; Saporito, Andrew; Spahn, Kenneth	1/22/2008	AC	Inadvertently produced at 08PA00382000 (requested return of document on 10/9/08)	
1998	Correspondence re. APM lease language reflecting legal advice of counsel	Evans, Robert	Saporito, Andrew	Spahn, Kenneth; Lombardi, Dennis	1/23/2008	AC	Inadvertently produced at 08PA00381997 (requested return of document on 10/9/08)	
1999	Correspondence among counsel re. 07-01 litigation	Hartwyk, Chris	Burke, Donald	Begley, James; Larrabee, Richard; Lombardi, Dennis	1/23/2008	AC	Inadvertently produced at 08PA00381995 (requested return of document on 10/9/08)	
2000	Correspondence among counsel re. 07-01 litigation	Hartwyk, Chris	Burke, Donald	Begley, James; Larrabee, Richard; Lombardi, Dennis	1/23/2008	AC	Inadvertently produced at 08PA00381999 (requested return of document on 10/9/08)	
2001	Draft Request for Admissions	Unknown			Unknown	WP	Inadvertently produced at 08PA00377927 (requested return of document on 10/9/08)	

Mohr Terminal, LLC v. The Port Authority of New York and New Jersey LLC, 08-03 (FMC)
 Inadvertently Produced Documents
 Privilege Log Entries

DOC	DESCRIPTION	AUTHOR	RECIPIENTS	CC	DATE	PRIV	BATES NUMBER	RELATED DOCS
2002	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA00377924 [requested return of document on 10/9/08]	
2003	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01443838 [requested return of document on 10/9/08]	
2004	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01442842 [requested return of document on 10/9/08]	
2005	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01442855 [requested return of document on 10/9/08]	
2006	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01442881 [requested return of document on 10/9/08]	
2007	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01442896 [requested return of document on 10/9/08]	
2008	Draft third supplemental agreement with APM selling 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01443872 [requested return of document on 10/9/08]	

Maher Terminals, LLC v. The Port Authority of New York and New Jersey LLC 08-03 (FMC)
 Inadvertently Produced Documents
 Privilege Log Entries

DOC	DESCRIPTION	AUTHOR	RECIPIENTS	CC	DATE	PRIV	BATES NUMBER	RELATED DOCS
2009	Draft third supplemental agreement with APM settling 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01443882 (requested return of document on 10/9/08)	
2010	Draft third supplemental agreement with APM settling 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01604035 (requested return of document on 10/9/08)	08PA01604031
2011	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01604045 (requested return of document on 10/9/08)	08PA01604060
2012	Draft third supplemental agreement with APM settling 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA00012963 (requested return of document on 10/9/08)	
2013	Draft third supplemental agreement with APM settling 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA00193330 (requested return of document on 10/9/08)	
2014	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01723734 (requested return of document on 10/9/08)	
2015	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA01723745 (requested return of document on 10/9/08)	

Maier Terminals, LLC v. The Port Authority of New York and New Jersey LLC, 08-03 (FMC)
Inadvertently Produced Documents
Privilege Log Entries

DOC	DESCRIPTION	AUTHOR	RECIPIENTS	CC	DATE	PRIV	BATES NUMBER	RELATED DOCS
2016	Draft pleading from 07-01 litigation	Unknown			Unknown	WP	Inadvertently produced at 08PA00377923 [requested return of document on 10/9/08]	
2017	Draft 07-01 Pleading	Unknown			1/10/2008	WP	Inadvertently produced at 08PA01435818 [requested return of document on 10/9/08]	
2018	Email to counsel re. future maintenance issues with APM, Maier and PNCT	Evans, Robert	Berry, John; Nguyen, Paul	Raczynski, Jerri; Duenig, Patricia; Israel, Rudy; Saporito, Andrew; Van Toll, Aric	2/14/2003	AC	Inadvertently produced at 08PA01436194 [requested return of document on 10/9/08]	
2019	Board proposal prepared by counsel re. Maier lease	J. Berry			6/21/2002	AC	Inadvertently produced at 08PA01437111 [requested return of document on 10/9/08]	
2020	Board proposal prepared by counsel re. Maier lease	J. Berry			10/18/2002	AC	Inadvertently produced at 08PA01437181 [requested return of document on 10/9/08]	
2021	Chronology re. Maier GOB deal reflecting legal advice of counsel	Unknown			Undated	AC	Inadvertently produced at 08PA01437223 [requested return of document on 10/9/08]	
2022	Email correspondence with counsel re. draft Maier lease (EP 250)	Scotto, Elaine	Berry, John	Evans, Robert	11/15/2002	AC	Inadvertently produced at 08PA01437504 [requested return of document on 10/9/08]	

Maher Terminals LLC v The Port Authority of New York and New Jersey LLC 08-03 (FMC)
Inadvertently Produced Documents
Privilege Log Entries

DOC	DESCRIPTION	AUTHOR	RECIPIENTS	CC	DATE	PRIV	BATES NUMBER	RELATED DOCS
2023	Email correspondence reflecting comments of counsel to Revised Lease EP-250	Scollo, Elaine	Evans, Robert	Lombardi, Dennis; Raczynski, Jerri	5/19/2003	AC	Inadvertently produced at 08PA01437508 [requested return of document on 10/9/08]	
2024	Memorandum to counsel re. Request for Revisions to EP 250	Scollo, Elaine	Berry, John		3/8/2002	AC	Inadvertently produced at 08PA01437571 [requested return of document on 10/9/08]	
2025	Email from counsel re. PA tenant insurance requirements	Berry, John	Fung, Winsan	Evans, Robert; Lombardi, Dennis; Raczynski, Jerri; Scollo, Elaine	2/10/2003	AC	Inadvertently produced at 08PA01437603 [requested return of document on 10/9/08]	
2026	Email to counsel seeking legal advice re. EP-250	Scollo, Elaine	Berry, John; Evans, Robert; Lombardi, Dennis; Raczynski, Jerri		1/3/2003	AC	Inadvertently produced at 08PA01438047 [requested return of document on 10/9/08]	
2027	Email correspondence with counsel re. Maher/GOB negotiations	Scollo, Elaine	Berry, John	Evans, Robert; Lombardi, Dennis; Raczynski, Jerri	11/6/2002	AC	Inadvertently produced at 08PA01438048 [requested return of document on 10/9/08]	
2028	Email correspondence with counsel re. Maher Right of Entry	Berry, John	Scollo, Elaine	Evans, Robert; Raczynski, Jerri	10/31/2002	AC	Inadvertently produced at 08PA01438063 [requested return of document on 10/9/08]	
2029	Email correspondence reflecting legal advice re. GOB-Maher Right of Entry	Scollo, Elaine	F. Martinez	Evans, Robert; Raczynski, Jerri	10/29/2002	AC	Inadvertently produced at 08PA01438065 [requested return of document on 10/9/08]	

Mother Terminals, LLC v. The Port Authority of New York and New Jersey LLC, 08-03 (FMC)
Inadvertently Produced Documents
Privilege Log Entries

DOC	DESCRIPTION	AUTHOR	RECIPIENTS	CC	DATE	PRIV	BATES NUMBER	RELATED DOCS
2037	Draft pleading from 07-01 litigation	unknown			5/27/2008	WP	Inadvertently produced at 08PA01442857 [requested return of document on 10/9/08]	
2038	Draft pleading from 07-01 litigation	unknown			3/5/2007	WP	Inadvertently produced at 08PA01442928 [requested return of document on 10/9/08]	
2039	Draft pleading from 07-01 litigation	unknown			3/5/2007	WP	Inadvertently produced at 08PA01442941 [requested return of document on 10/9/08]	
2040	Draft pleading from 07-01 litigation	unknown			4/21/2008	WP	Inadvertently produced at 08PA01443417 [requested return of document on 10/9/08]	

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 08-03

MAHER TERMINALS LLC

v.

PORT AUTHORITY OF NEW YORK AND NEW JERSEY

MEMORANDUM AND ORDER ON SECOND SET OF DISCOVERY MOTIONS

BACKGROUND

Since March 31, 2011, the parties have filed more than a dozen motions related to discovery. This Memorandum and Order addresses the pending discovery motions.

I. PARTIES.

Respondent Port Authority of New York and New Jersey (PANYNJ) owns Port Elizabeth, New Jersey. Complainant Maher Terminals, LLC (Maher) occupies certain land and facilities at Port Elizabeth for use as a marine terminal pursuant to Lease EP-249 with PANYNJ dated October 1, 2000, filed with the Commission as FMC Agreement No. 201131 on March 8, 2002. APM Terminals North America, Inc. (APM or APMT), formerly known as Maersk Container Service Company, Inc. (Maersk), occupies certain land and facilities at Port Elizabeth for use as a marine terminal pursuant to Lease EP-248 with PANYNJ dated January 6, 2000, filed with the Commission as FMC Agreement No. 201106 on August 2, 2000. APM is not a party in this proceeding, but was a party in a related proceeding that involved Maher and PANYNJ, *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, FMC No. 07-01 (FMC Jan. 9, 2007) (Notice of Filing of Complaint and Assignment). PANYNJ, APM, and Maher are marine terminal operators within the meaning of the Shipping Act of 1984, 46 U.S.C. § 40102(14) ("The term 'marine terminal operator' means a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49.")

Maher alleges that Lease EP-248 and Lease EP-249 differ on several provisions, including the basic annual rental rate per acre, investment requirements, throughput requirements, first point of rest requirement for automobiles, and the security deposit requirement. (Maher No. 08-03 Complaint ¶ IV.B) Maher alleges that these differences discriminate against Maher and in favor of APM in violation of the Shipping Act.

II. APM'S COMPLAINT AGAINST PANYNJ – FMC NO 07-01.

On December 29, 2006, APM commenced a Commission proceeding when it filed a Complaint alleging that PANYNJ violated the Shipping Act by failing to fulfill certain obligations owed to APM pursuant to Lease EP-248 *APM Terminals v PANYNJ*, FMC No 07-01 (FMC Jan. 9, 2007) (Notice of Filing of Complaint and Assignment) APM alleged that it did not receive an additional portion of marine terminal property (the Added Premises) by the date on which Lease EP-248 required PANYNJ to provide it. APM further alleged that the delay caused harm to APM and that the delay showed a preference for Maher in violation of the Act. PANYNJ filed an Answer to the Complaint denying liability and filed a Counter-Complaint against APM for allegedly failing to perform construction work required by Lease EP-248

Maher occupied the Added Premises and other PANYNJ property before and at the time PANYNJ and APM signed Lease EP-248 PANYNJ and Maher subsequently signed Lease EP-249 pursuant to which Maher continued to occupy the Added Premises, but the lease contained provisions that required Maher to surrender the Added Premises at a future date. This surrender would permit PANYNJ to lease the Added Premises to APM pursuant to provisions in Lease EP-248

PANYNJ filed a third-party complaint against Maher in FMC No 07-01 alleging that Maher failed to surrender the Added Premises to PANYNJ as required by Lease EP-249 Maher filed an Answer to the third-party complaint denying liability and filed a Counter-Complaint against PANYNJ alleging that PANYNJ failed to provide Maher with reasonably specified dates to vacate the Added Premises as required by Lease EP-249, and failed to make specified improvements to the other areas of the premises that PANYNJ was required to make before PANYNJ could require Maher to surrender the Added Premises.

The parties engaged in extensive discovery in FMC No 07-01 They were soon embroiled in discovery disputes and filed several motions related to discovery On June 4, 2008, I entered an Order resolving several discovery motions. *APM Terminals v PANYNJ*, FMC No. 07-01 (ALJ June 4, 2008) (Memorandum and Order on Motions to Compel Responses to Discovery)

APM and PANYNJ also engaged in settlement discussions and eventually signed a proposed Settlement Agreement and a Third Supplemental Agreement to Lease EP-248 resolving their claims in FMC No 07-01 and other matters related to Lease EP-248 In addition to resolving claims between APM and PANYNJ, the Settlement Agreement provided that PANYNJ would dismiss its third-party complaint against Maher in FMC No 07-01 and a related proceeding against Maher in

New Jersey state court. Maher was not involved in the settlement discussions and did not sign the Settlement Agreement.

APM and PANYNJ filed a motion seeking approval of the Settlement Agreement. Maher opposed the motion. On October 24, 2008, the Settlement Agreement was approved, *APM Terminals v PANYNJ*, FMC No 07-01 (ALJ Oct. 24, 2008) (Initial Decision Granting Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice), and Maher filed exceptions. 46 C.F.R. § 502.227 On April 1, 2009, the Commission denied Maher's exceptions and dismissed the proceeding between APM and PANYNJ *APM Terminals v PANYNJ*, FMC No 07-01 (FMC Apr 1, 2009) (Order Denying Exceptions and Petition for Stay). The Commission consolidated Maher's Counter-Complaint against PANYNJ in FMC No. 07-01 with this proceeding. *Id.*

III. MAHER'S COMPLAINT AGAINST PANYNJ – FMC NO. 08-03.

On June 3, 2008, before APM and PANYNJ settled their claims in FMC No. 07-01, Maher filed its Complaint in this proceeding. *Maier Terminals, LLC v Port Authority of New York and New Jersey*, FMC No 08-03 (FMC June 11, 2008) (Notice of Filing of Complaint and Assignment) In Paragraph IV of its Complaint, "Statement of Facts and Matters Complained of," Maher states:

- A. Maher seeks a cease and desist order and reparations for injuries caused to it by PANYNJ's violations of the Shipping Act, 46 U.S.C. §§ 41106(2) and (3) and 41102(c), because PANYNJ (a) gave and continues to give an undue or unreasonable prejudice or disadvantage with respect to Maher, (b) gave and continues to give an undue or unreasonable preference or advantage with respect to APMT, (c) has and continues unreasonably to refuse to deal or negotiate with Maher, and (d) has and continues to fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property
- B. PANYNJ's agreement with APMT, EP-248, violated the foregoing provisions of the Shipping Act by granting and continuing to grant to APMT unduly and unreasonably more favorable lease terms than provided to Maher in EP-249, including but not limited to the basic annual rental rate per acre, investment requirements, throughput requirements, a first point of rest requirement for automobiles, and the security deposit requirement.

(Complaint at 3)

Maier alleges that PANYNJ violated sections 41106(2), 41106(3), and 41102(c) of the Shipping Act: "A marine terminal operator may not – (2) give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person, or (3) unreasonably refuse to deal or negotiate." 46 U.S.C. § 41106 "A marine terminal operator may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property "

46 U.S.C. § 41102(c) In an earlier filing, Maher summarized the legal foundation for its claims in this proceeding, stating:

This case involves a straightforward application of *Ceres Marine Terminal v. Md. Port Admin.*, No. 94-01, 27 S.R.R. 1251, 1270-72 (F.M.C. Oct. 10, 1997). As set forth in Maher's Complaint, PANYNJ violated the Shipping Act by refusing to provide to Maher preferential lease terms provided to [Maersk/APM]. Even though Maher guaranteed more cargo, PANYNJ unlawfully preferred APM over Maher because PANYNJ viewed Maher as a mere terminal operator presenting no risk to leave the port. By contrast, PANYNJ treated APM as an ocean carrier because its parent ocean carrier, Maersk shipping lines, presented a threat to leave the port. Therefore, PANYNJ unlawfully preferred APM for the same improper reason the FMC rejected in *Ceres Terminal*.

First, whether PANYNJ's refusal to provide Maher the same terms it provided to APM is lawful turns on PANYNJ meeting its burden of proof that it *expressed* legitimate transportation factors justifying the discrimination *at the time* PANYNJ's belated proffer of *post-hoc* rationalizations of alleged transportation factors that did not exist prior to conclusion of the Maher lease in October 2000 is not a legal basis to obtain discovery into wholly unrelated events occurring after PANYNJ imposed disparate terms on Maher. Moreover, to the extent that PANYNJ did express or even rely upon such justifications at the time of the discrimination, any such documents would be found in PANYNJ's files, not Maher's.

Second, PANYNJ misconstrues the damages alleged in the Complaint. Maher's Complaint alleges damages for the difference between terms of its lease that are prejudicial to Maher as compared to the preferential terms in APM's lease. Indeed, as explained in *Ceres Terminal*, the legal measure of damages in this proceeding is the financial difference between the two leases. *Id.* at 1271 n.48. Nevertheless, PANYNJ asserts that "In addition to seeking damages for the period from 2000 to date, Maher claims that as a result of certain differences in the terms of these leases, it has suffered and continues to suffer continuing competitive harm and injury relative to APMT." But Maher makes no such "additional" damage claim.

(Maher Terminals, LLC's Reply in Opposition to Respondent's Motion to Compel Production from Complainant and Motion for Protective Order (filed October 9, 2008) at 1-3 (emphasis in original) *See also, id.* at 14-15 (similar discussion))

Maher alleges it has "sustained and continues to sustain injuries and damages amounting to a sum of millions of dollars." (Complaint at 5) As remedies, Maher seeks a cease and desist order and reparations for its actual injury plus interest, costs, and attorneys fees, and any other damages determined. (Complaint at 6.)

PANYNJ admitted some allegations, denied some allegations, and neither admitted nor denied some allegations. (Answer at 1-6.) PANYNJ also raised several affirmative defenses, including a defense that “Maher’s claims are barred by the applicable statute of limitations.” (*Id.* at 7) The parties have engaged in extensive discovery

IV. FIRST DISCOVERY DISPUTE IN FMC NO. 08-03.

Soon after Maher commenced this proceeding, Maher and PANYNJ were again embroiled in discovery disputes and filed several motions related to discovery. On July 23, 2010, I entered an Order resolving several motions and deferring two motions, *Maher v PANYNJ*, FMC No. 08-03 (ALJ July 23, 2010) (Memorandum and Order on Discovery Motions), and a second Order requiring the parties to submit a proposed schedule for the litigation of the proceeding. *Maher v PANYNJ*, FMC No. 08-03 (ALJ July 23, 2010) (Order to Submit Proposed Schedule).

V. STAY FOR SETTLEMENT DISCUSSIONS.

The parties responded to the Order to Submit Proposed Schedule with a request to extend the filing date of the proposed schedule because they were “engaged in productive settlement discussions and appear to be approaching a conclusion of such discussions.” I granted the request. *Maher v PANYNJ*, FMC No. 08-03 (ALJ Aug. 5, 2010) (Order on Joint Motion for 45-Day Extension of Discovery Order Deadlines and for a Teleconference). Over the next few months, the parties filed several more requests for extension to discuss settlement. *See Maher v PANYNJ*, FMC No. 08-03 (ALJ Aug. 5, 2010) (Order on Joint Statement of Status of Settlement Discussion and Motion for 40-Day Extension of Deadlines), *Maher v PANYNJ*, FMC No. 08-03 (ALJ Aug. 27, 2010) (Order on Joint Statement of Status of Settlement Discussion and Motion for 40-Day Extension of Deadlines), *Maher v PANYNJ*, FMC No. 08-03 (ALJ Oct. 18, 2010) (Order Granting Joint Motion for 60-day Stay of Deadlines).

On December 17, 2010, in response to another request to extend time for settlement negotiations, I required the parties to submit a joint statement setting forth additional information they believed would support their request. *Maher v PANYNJ*, FMC No. 08-03 (ALJ Dec. 17, 2010) (Order Requiring Supplemental Information). Based on the additional information, I extended the time to permit additional settlement discussions, but also required the parties to propose a litigation schedule that would go into effect if the parties did not reach settlement by a date established in the Order. *Maher v PANYNJ*, FMC No. 08-03 (ALJ Dec. 17, 2010) (Order Granting in Part and Denying in Part Joint Motion for Extension of Deadlines). Based on their proposed schedule, on January 11, 2011, I entered an Order setting forth a schedule that would go into effect on January 18, 2011, if the parties had not settled. *Maher v PANYNJ*, FMC No. 08-03 (ALJ Jan. 11, 2011) (January 11, 2011 Scheduling Order). The parties did not settle and the schedule went into effect.

VI. SECOND DISCOVERY DISPUTE IN FMC NO. 08-03.

Maher and PANYNJ were soon embroiled in additional discovery disputes. On March 31, 2011, PANYNJ filed a motion seeking a protective order with regard to two deposition topics that

Maher set forth in notices of Rule 30(b)(6) depositions served on PANYNJ (The Port Authority of New York and New Jersey's Motion for a Protective Order) The parties have followed this motion with more than a dozen¹ additional motions regarding discovery disputes. The motions, oppositions, and accompanying exhibits create a stack of reading material well over two feet high.²

Consideration of the parties' motions was further complicated by the fact that each party submitted confidential versions and public versions of most of the filings (motions, oppositions, and exhibits) The parties cited the Protective Order as the authority for requesting confidential treatment. A comparison of the public and confidential versions of some of the filings led to the conclusion that much of the information that the parties sought to protect did not appear to be covered by the protective order Therefore, the parties were ordered to review their filings and to show good cause to protect the information claimed to be confidential by demonstrating that the information is a trade secret, proprietary, or commercially sensitive, and is not publicly known. *Maher v PANYNJ*, FMC No 08-03 (ALJ June 29, 2011) (Memorandum and Order Regarding Confidential Filings) In response to the Order, PANYNJ withdrew its claims of confidentiality Maher withdrew some, but not all, of its claims. The parties submitted revised public versions of their submissions.

VII. PARTIAL SUMMARY JUDGMENT.

On February 28, 2011, PANYNJ filed a motion for summary judgment on the portions of the Complaint "based on supposed unreasonable discrimination in lease terms, on the ground that all such claims are barred by the Shipping Act's three-year statute of limitations." ([PANYNJ] Motion for Summary Judgment of Maher Terminals, LLC's Lease-Term Discrimination Claims at 1) Maher opposed the motion. On May 16, 2011, I issued an Initial Decision granting the motion in part and denying the motion in part.

Maher's claim that PANYNJ discriminated against Maher in the negotiations that resulted in Lease EP-249 and in the terms of Lease EP-249 itself accrued when Maher signed the lease October 1, 2000 Maher filed its Complaint more than three years after its claim accrued. Accordingly, Maher's claim for a reparation award based on alleged discrimination against Maher in the negotiations that resulted in Lease EP-249 and in the terms of Lease EP-249 itself must be dismissed. PANYNJ's motion to dismiss the claim seeking a cease and desist order based on

¹ The parties list eight motions in their Joint Statement filed June 15, 2011 (Joint Statement of the Port Authority of New York and New Jersey and Maher Regarding Pending Discovery Motions.) Several more motions for leave to file replies to replies are included in the "Related Filings" column in their Joint Statement.

² The motions and other papers for the July 23, 2010, discovery order only reached eighteen inches.

alleged discrimination against Maher in the negotiations that resulted in Lease EP-249 and in the terms of Lease EP-249 itself is **DENIED**

Maher v PANYNJ, FMC No. 08-03, Order at 48 (ALJ May 16, 2011) (Initial Decision Granting in Part Motion for Summary Judgment and Dismissing Claim for a Reparation Award Based on Lease-Term Discrimination Claims) Maher and PANYNJ each filed exceptions to the Initial Decision. The Initial Decision and exceptions are under review by the Commission. 46 C.F.R. § 502.227

DISCUSSION

This Memorandum and Order sets forth decisions on the pending motions related to discovery disputes.

CONTROLLING AUTHORITY

The Commission promulgated its discovery rules in 1984 based on the discovery rules set forth in the Federal Rules of Civil Procedure at that time. The discovery rules in the Federal Rules have been significantly revised since 1984. Major amendments occurred in 1993 resulting from the determination that “[t]he information explosion of recent decades has greatly increased both the potential cost of wide-ranging discovery and the potential for discovery to be used as an instrument for delay or oppression.” Fed. R. Civ. P. 26 advisory committee notes, 1993 amendments. For instance, the 1993 amendments added a requirement that the parties make initial disclosures of persons likely to have discoverable information, a copy or the location of documents the party may use to support claims or defenses, computation of damages, and insurance agreements that could be used to satisfy a judgment. Fed. R. Civ. P. 26(a)(1). “Amendments to Rules 30, 31, and 33 place[d] presumptive limits on the number of depositions and interrogatories, subject to leave of court to pursue additional discovery.” Fed. R. Civ. P. 26 advisory committee notes, 1993 amendments. Amended Rule 30(d) provided rules for making objections in depositions and restricted instructions to a deposition witness not to answer questions. Fed. R. Civ. P. 30(d). Later amendments set forth procedures for handling electronically stored information. Fed. R. Civ. P. 26(b)(2)(B), 33(d), and 34.

Commission Rule 12 provides: “In proceedings under this part, *for situations which are not covered by a specific Commission rule*, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12 (emphasis added). I have applied a number of civil discovery rules and local discovery rules promulgated after the Commission promulgated its rules where I have found that the new or amended civil rule addresses a situation that is not covered by a specific Commission rule. *See, e.g., Maher v PANYNJ*, FMC No. 08-03 (ALJ Aug. 1, 2008) (requiring parties to quote each interrogatory or request in full immediately preceding the answer, response, or objection, requiring parties to provide an electronic copy in a word processing format of discovery with the hard copy of all discovery served, requiring a good faith conference prior to filing motion to compel, imposing Rule 26 amendments for disclosure of information regarding expert testimony and creation of a privilege log;

ordering compliance with Rule 34 procedure for responding to a request for electronically stored information, imposing Rule 30 requirements on conduct of depositions). I have not ordered parties to follow other new or amended rules where the situation is covered by a specific rule.

As promulgated in 1984, Commission Rule 201 provides.

Scope of examination. Persons and parties may be examined regarding any matter, not privileged, which is relevant to the subject matter involved in the proceeding, whether it relates to the claim or defense of the examining party or to the claim or defense of any other party, including the existence, description, nature, custody, condition, and location of any books, documents, or other tangible things, and the identity and location of persons having knowledge of relevant facts. It is not ground for objection that the testimony will be inadmissible at the hearing if the testimony sought appears reasonably calculated to lead to the discovery of admissible evidence.

46 C.F.R. § 502.201(h) “‘Relevant evidence’ means evidence having any tendency to make the existence of any fact that is of consequence to the determination of the action more probable or less probable than it would be without the evidence.” Fed. R. Evid. 401

Rule 201 was based on Civil Rule 26 as it existed in 1984. In 2000, the Supreme Court amended Civil Rule 26 to restrict a party’s right to enquire into any matter “which is relevant to the subject matter involved in the proceeding.” Instead, a party must seek leave of court to enquire into these areas. As it now reads, Civil Rule 26 provides.

Unless otherwise limited by court order, the scope of discovery is as follows: Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense – including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter. *For good cause, the court may order discovery of any matter relevant to the subject matter involved in the action.* Relevant information need not be admissible at the trial if the discovery appears reasonably calculated to lead to the discovery of admissible evidence. All discovery is subject to the limitations imposed by Rule 26(b)(2)(C)

Fed. R. Civ. P. 26(b)(1) (emphasis added)

Although the Supreme Court has altered the scope of discovery pursuant to Civil Rule 26, the Commission has not altered the scope of discovery set forth in Rule 201. Commission Rule 201(h) is a specific rule that addresses the scope of discovery in Commission cases. Therefore, the scope of discovery as provided in Commission Rule 201(h) is applied in this proceeding: “Persons and parties may be examined regarding any matter, not privileged, which is relevant to the subject matter involved in the proceeding, whether it relates to the claim or defense of the examining party or to the claim or defense of any other party.”

Rule 26 before the 2000 amendments (that is, when essentially the same as Rule 201) was accorded broad and liberal treatment by the courts because “wide access to relevant facts serves the integrity and fairness of the judicial process by promoting the search for truth.” *Epstein v MCA, Inc.*, 54 F.3d 1422, 1423 (9th Cir 1995), *quoting Shoen v Shoen*, 5 F.3d 1289, 1292 (9th Cir 1993) “The key phrase in this definition – ‘relevant to the subject matter involved in the pending action’ – has been construed broadly to encompass any matter that bears on, or that reasonably could lead to other matter that could bear on, any issue that is or may be in the case.” *Oppenheimer Fund, Inc. v Sanders*, 437 U.S. 340, 351 (1978), citing *Hickman v Taylor*, 329 U.S. 495, 501 (1947), *Daval Steel Products v M/V Fakredine*, 951 F.2d 1357, 1367 (2d Cir 1991) Accordingly, “discovery should be allowed unless the information sought has no conceivable bearing on the case.” *Jackson v Montgomery Ward & Co, Inc.*, 173 F.R.D. 524, 528 (D Nev 1997) “If the interrogatory has a reasonable possibility of leading to admissible evidence then it complies with the purposes of the Federal Rules of Civil Procedure and is proper” *Roesberg v Johns-Manville Corp.*, 85 F.R.D. 292, 296 (E.D. Pa. 1980) However, the scope of discovery is not boundless and requests must be relevant and cannot be unreasonably cumulative, duplicative, or unnecessarily burdensome. *Jackson*, 173 F.R.D. at 526

In order to fulfill discovery’s purposes of providing both parties with “information essential to the proper litigation of all relevant facts, to eliminate surprise, and to promote settlement,” the discovery rules mandate a liberality in the scope of discoverable material. *Jochims v Isuzu Motors, Ltd.*, 145 F.R.D. 507, 509 (S.D. Iowa 1992) (citing *In re Hawaii Corp*, 88 F.R.D. 518, 524 (D Haw 1980)), *see also Seattle Times Co v Rhinehart*, 467 U.S. 20, 34, 104 S. Ct. 2199, 81 L. Ed. 2d 17 (1984) (“Liberal discovery is provided for the sole purpose of assisting in the preparation and trial, or the settlement, of litigated disputes.”), *Oppenheimer Fund, Inc. v Sanders*, 437 U.S. 340, 351, 98 S. Ct. 2380, 57 L. Ed. 2d 253 (1978), *SDI Operating Partnership, L.P. v Neuwirth*, 973 F.2d 652 (8th Cir 1992), *Lozano v Maryland Casualty Co*, 850 F.2d 1470, 1472 (11th Cir 1988), *Gary Plastic Packaging Corp v Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 756 F.2d 230, 236 (2d Cir 1985), *Miller v Pancucci*, 141 F.R.D. 292, 298 (C.D. Cal 1992) (stating that the federal policy of discovery is a liberal one) Thus, as long as the parties request information or documents relevant to the claims at issue in the case, and such requests are tendered in good faith and are not unduly burdensome, discovery shall proceed. *M Berenson Co, Inc. v Faneuil Hall Marketplace, Inc.*, 103 F.R.D. 635, 637 (D Mass. 1984)

The party resisting production bears the burden of establishing lack of relevancy or undue burden. *Oleson v Kmart Corp*, 175 F.R.D. 560, 565 (D Kan. 1997) (“The objecting party has the burden to substantiate its objections.”) (citing *Peat, Marwick, Mitchell & Co v West*, 748 F.2d 540 (10th Cir 1984), *cert. dismissed*, 469 U.S. 1199, 105 S. Ct. 983, 83 L. Ed. 2d 984 (1985)); *accord G-69 v Degnan*, 130 F.R.D. 326, 331 (D.N.J. 1990), *Flora v Hamilton*, 81 F.R.D. 576, 578 (M.D.N.C. 1978) The party must demonstrate to the court “that the requested documents either do not come within the broad scope of relevance defined pursuant

to Fed. R. Civ. P. 26(b)(1) or else are of such marginal relevance that the potential harm occasioned by discovery would outweigh the ordinary presumption in favor of broad disclosure.” *Burke v. New York City Police Department*, 115 F.R.D. 220, 224 (S.D.N.Y. 1987). Further, the “mere statement by a party that the interrogatory [or request for production] was ‘overly broad, burdensome, oppressive and irrelevant’ is not adequate to voice a successful objection.” *Josephs v. Harris Corp.*, 677 F.2d 985, 992 (3d Cir. 1982) (quoting *Roesberg v. Johns-Manville Corp.*, 85 F.R.D. at 296-97, see also *Oleson*, 175 F.R.D. 560, 565 (“The litany of overly burdensome, oppressive, and irrelevant does not alone constitute a successful objection to a discovery request.”) (citation omitted). “On the contrary, the party resisting discovery ‘must show specifically how each interrogatory [or request for production] is not relevant or how each question is overly broad, burdensome or oppressive.’” *Id.* at 992 (quoting *Roesberg*, 85 F.R.D. at 296-97), see also *Oleson*, 175 F.R.D. 560, 565 (“The objecting party must show specifically how each discovery request is burdensome or oppressive by submitting affidavits or offering evidence revealing the nature of the burden.”), *Cipollone v. Liggett Group, Inc.*, 785 F.2d 1108, 1121 (3d Cir. 1986) (holding that it is not sufficient to merely state a generalized objection, but, rather, objecting party must demonstrate that a particularized harm is likely to occur if the discovery be had by the party seeking it), *Degnan*, 130 F.R.D. at 331 (D.N.J. 1990) (same).

St. Paul Reinsurance Co., Ltd. v. Commercial Financial Corp., 198 F.R.D. 508, 511-512 (N.D. Iowa 2000).

DISCOVERY MOTIONS AT ISSUE

I. PORT AUTHORITY OF NEW YORK AND NEW JERSEY’S MOTION FOR A PROTECTIVE ORDER (filed March 31, 2011).

Related Submission.

- (1) Maher Terminals, LLC’s Reply in Opposition to Respondent’s Motion for a Protective Order (filed April 13, 2011)

On January 31, 2011, Maher served notice that it wanted to depose PANYNJ pursuant to Federal Rule of Civil Procedure 30(b)(6), made applicable to Commission proceedings by Commission Rule 12, 46 C.F.R. § 502.12. This rule specifies the procedure to be used for a notice or subpoena for deposition directed to an organization.

In its notice or subpoena, a party may name as the deponent a public or private corporation, a partnership, an association, a governmental agency, or other entity and must describe with reasonable particularity the matters for examination. The named organization must then designate one or more officers, directors, or managing agents, or designate other persons who consent to testify on its behalf; and it may set out the

matters on which each person designated will testify. A subpoena must advise a nonparty organization of its duty to make this designation. The persons designated must testify about information known or reasonably available to the organization. This paragraph (6) does not preclude a deposition by any other procedure allowed by these rules.

Fed. R. Civ. P. 30(b)(6). The notice set forth several topics as the matters for examination.

A. Description of Motion and Opposition.

1. PANYNJ Motion for a Protective Order.

PANYNJ seeks a protective order with regard to two deposition topics that Maher set forth in its notice of Rule 30(b)(6) deposition. (1) “Provisions of lease agreements EP-248 and EP-249 pertaining to indemnity, hold harmless, and force majeure” and (2) “Port Authority’s allegations regarding Maher’s purported violation of EP-249 and an alleged duty to indemnify Port Authority, as set forth in FMC Docket No. 07-01” (the “Topics”). (PANYNJ Mot. for Prot. Ord. at 1.) PANYNJ contends that these topics are

irrelevant to Maher’s current allegations of price-discrimination, and had been mooted by the dismissal of the Port Authority’s indemnification claim against Maher. The topics also primarily concern matters of law, not fact, as well as the Port Authority’s position on legal issues. Therefore, even if they were arguably “relevant,” the Topics would still be improper subjects for factual discovery.

(*Id.* at 10 (citation and footnote omitted).) PANYNJ argues that.

The Topics are not proper subjects for discovery. They relate solely to the Port Authority’s now dismissed request for indemnification. Maher’s claims alleging injury as a result of this indemnification claim are moot, and discovery relating to those claims is irrelevant to any issue in this action. The Topics are further improper in that they (i) seek testimony regarding the Port Authority’s allegations in a prior lawsuit, which is either set out in legal briefing or is privileged, and (ii) seek extrinsic evidence concerning contractual provisions that are not ambiguous. Therefore, even if the Topics were arguably relevant to a remaining issue from the 07-01 Litigation, they would still be improper subjects for factual discovery, and, in any event, the burdens associated with these requests far outweigh any conceivable value they might have, particularly given that the parties are working under a tight deadline to complete vast discovery that is relevant to the significant issues in the pending case. Good cause therefore exists to issue a protective order.

(*Id.* at 11-12 (footnotes omitted).)

2. Maher Opposition.

Maier contends that the information is relevant to the claims in its counterclaim in FMC No. 07-01 and to its Complaint in FMC No 08-03. Maier contends that PANYNJ's dismissal of its third-party complaint in FMC No. 07-01 did not moot Maier's counterclaim. "[D]ismissal of PANYNJ's third-party complaint did not resolve all potential harm Maier may face in the future with respect to PANYNJ's interpretation and implementation of the generally-applicable indemnity provision in section 15 of EP-249," (Maier Terminals, LLC's Reply in Opposition to Respondent's Motion for a Protective Order at 32), and suggests that PANYNJ is "conflating Maier's defenses to PANYNJ's complaint with Maier's claims against PANYNJ in its Counter-Complaint." (*Id.* at 33)

B. Ruling on PANYNJ Motion for a Protective Order.

PANYNJ contends that Maier's counterclaim in FMC No 07-01 is now moot because PANYNJ dismissed its third-party complaint against Maier. While the dismissal *may* have mooted the counterclaim, *see Maier v PANYNJ*, FMC No 08-03, Memorandum at 12 (ALJ Apr 14, 2010) (Order to File Supplemental Briefs) (parties directed to file supplemental briefs addressing the question. "Since PANYNJ has dismissed with prejudice its third-party complaint against Maier alleging that Maier, are the claims in Maier's counter-complaint moot?"), the counterclaim is currently pending as part of this proceeding. Since it is part of this proceeding, PANYNJ may be examined regarding any matter, not privileged, which is relevant to the Maier's FMC No. 07-01 counterclaim and appears reasonably calculated to lead to the discovery of admissible evidence. PANYNJ's Motion for a Protective Order filed March 31, 2011, barring Maier from deposing PANYNJ regarding (1) "Provisions of lease agreements EP-248 and EP-249 pertaining to indemnity, hold harmless, and force majeure" and (2) "Port Authority's allegations regarding Maier's purported violation of EP-249 and an alleged duty to indemnify Port Authority, as set forth in FMC Docket No. 07-01" is **DENIED**. Maier should be permitted to inquire in these areas in a Rule 30(b)(6) deposition if it so chooses. The deposition must take place on a date within thirty-five days of the date of this Order and at a time and place determined by the parties.

II. THE PORT OF NEW YORK AND NEW JERSEY'S MOTION TO ENFORCE THE JULY 23, 2010 DISCOVERY ORDER AND TO COMPEL THE PRODUCTION OF DOCUMENTS AND DEPOSITIONS OF CERTAIN WITNESSES (filed April 22, 2011) (PANYNJ Apr 22, 2011, Mot. to Enforce and Compel).

Related Filing:

- (1) Maier Terminals, LLC's Reply in Opposition to [PANYNJ's] Motion to Compel Production of Documents and Depositions (filed May 9, 2011) (Maier Opp. to PANYNJ Apr 22, 2011, Mot. to Enforce and Compel)

A. Description of Motion and Opposition.

In the first Order addressing discovery motions, *inter alia*, I ordered Maher to respond to the following discovery requests:

Document Request No. 22 (First Set) *All documents concerning the financial condition of Maher for each year since 1997 to the present, including but not limited to financial statements and reports, income tax returns, general ledgers, income or cash flow statements, balance sheets, profit and loss statements, annual reports, periodic reports, statements of change in financial condition and forecasts, including projections of revenues, costs, earnings or profits.*

Maher's Response. *Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter*

*

*

*

RULING For the reasons stated above, Maher is ordered to respond to this request.

Document Request No. 19 (Second Set) *All documents concerning and/or constituting Maher's financial, accounting and operational books and records for the period from 1997 through the present.*

Maher's Response. *Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter*

*

*

*

RULING: For the reasons stated above, Maher is ordered to respond to this request.

Interrogatory No 16 (Second Set) *Identify all documents and communications concerning the efficiency and/or profitability of the Maher terminal at Port Elizabeth, the efficiency and/or profitability of other terminals at Port Elizabeth or Port Newark, and/or the efficiency and/or profitability of terminal business models (i.e., straddle carrier model or transcontainer model) from 1997 through the present.*

Mahe's Response Maher objects to this request as vague, overbroad, unduly burdensome, seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. In addition to all of the foregoing, see also Maher business records produced as kept in the ordinary course of business.

* * *

RULING For the reasons stated above, Maher is ordered to respond to this interrogatory

Document Request No. 22 (Second Set) All documents concerning the efficiency and/or profitability of the Maher terminal at Port Elizabeth, including but not limited to internal and external evaluations and analyses during the period of January 1997 through the present.

Mahe's Response. Maher objects to this Request as overbroad, unduly burdensome, and seeking the production of documents not relevant and not reasonably calculated to lead to the discovery of admissible evidence in this matter

* * *

RULING For the reasons stated above, Maher is ordered to respond to this request.

Interrogatory No. 17 (Second Set) Identify all consultants regarding terminal efficiency and/or profitability retained by Maher during the period from 1997 through the present.

Mahe's Response. Maher objects to this request as overbroad, unduly burdensome, seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher further objects to this request as seeking information subject to the attorney work product doctrine. Subject to the foregoing specific objection and the general objections and in an effort to be responsive, Maher retained the engineering consultants listed on the spreadsheet titled "Listing of Engineering Consultants" produced to PANYNJ, but they are not "consultants regarding terminal efficiency and/or profitability "

*

*

*

RULING For the reasons stated above, Maher is ordered to respond to this request.

Maher v PANYNJ, FMC No 08-03, Memorandum at 51-54 (ALJ July 23, 2010) (Memorandum and Order on Discovery Motions) (italics in original) I stayed the requirement to respond to permit the parties to engage in settlement discussions. When the discussions failed to produce a settlement, I ordered Maher to respond to the discovery by January 18, 2011 *Maher v PANYNJ*, FMC No 08-03, Order at 4 (ALJ Dec. 17, 2010) (Order Granting in Part and Denying in Part Joint Motion for Extension of Deadlines)

Maher served its supplemental responses on January 18, 2011 In response to Interrogatory No. 16 (Second Set), Maher stated.

Subject to and without waiving, but rather expressly preserving its specific objections, Maher has produced pursuant to Rule 205(d) responsive, non-privileged documents in its possession, custody, or control and has complied with, and will continue to comply with, its discovery obligations pursuant to the Rules, the Federal Rules of Civil Procedure, and the Order, including by supplementing its responses as necessary The custodians of documents responsive to Interrogatory No 16 (Second Set) are [ninety-six custodians listed]

(PANYNJ Apr 22, 2011, Mot. to Enforce and Compel, Levine Dec., Ex. H (Maher's Supplemental Responses to the Port Authority's First and Second Set of Interrogatories to Maher at 5-6)) As Maher characterizes it, Maher

produced 1,527,372 pages of documents to PANYNJ on January 18, 2011, under both Maher and RREEF custodians.

As part of its document production Maher produced the Empire Report, a draft of the Empire Report, and related documents in its January 18 document production. In fact, it produced over 12,000 pages of documents directly related to the Empire Report, including documents specifically listed in the Report as having been relied on by Empire, and no less than four different copies of the Empire Report.

(Maher Opp. to PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 5-6) "RREEF" is RREEF America, LLC, an affiliate of Deutsche Bank Americas Holding Corp. (Deutsche Bank or DBA). "RREEF's role in [Deutsche Bank's] purchase of Maher [Terminals] was to act as investment advisor and manager for the funds intended to hold the Maher assets." ([RREEF] Motion to Quash Subpoena Issued by [PANYNJ] (filed April 21, 2011) at 2.) The "Empire Report," is a valuation of Maher completed by Empire Valuation Consultants, LLC (Empire) on January 29, 2008, after the

Maher brothers sold Maher Terminals. (Maher Opp to PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 2.)

1. PANYNJ's Motion to Enforce and Compel.

On April 22, 2011, PANYNJ filed its Motion to Enforce and Compel. PANYNJ seeks an order

(i) compelling the production of documents responsive to, among other requests, Port Authority Document Requests No. 19 (Second Set), 22 (First Set) and 22 (Second Set) concerning the Empire Report, including documents described in letters to Maher's counsel dated March 24, 25 and 31, (ii) granting the Port Authority leave to depose witnesses named in the Empire Report, [and] (iii) if Maher fails to comply with (i) and (ii), precluding Maher from presenting evidence regarding the Empire Report or otherwise contesting facts pertaining to its creation, meaning, and adoption by Maher and/or RREEF

(PANYNJ Mot. to Enforce and Compel at 1-2. *See also id.* at 33-35 (setting forth disputed requests))

PANYNJ states that:

On January 18, 2011, Maher supplemented its discovery responses, including with respect to interrogatories asking Maher to identify (a) all documents and communications from 1997 through the present concerning, among other things, the profitability of Maher's terminal and other terminals at the Port; and (b) consultants regarding, among other things, terminal profitability retained from 1997 through the present. In response to these and other interrogatories, Maher failed to disclose the Empire Report or Empire Valuation Consultants, LLC.

With no indication that the Empire Report existed in its interrogatory responses, Maher effectively buried the Empire Report among more than a million pages of documents produced between January and March 2011. Maher also withheld all but a small fraction of responsive documents pertaining to, for example, the work performed in connection with, and communications about, the Empire Report. In a host of recent filings (including most recently in RREEF's motion to quash filed last night), Maher has argued the Empire Report and related documents described in the Letters concern accounting issues – yet Maher was ordered to produce them under that rubric as well. In fact, Maher produced nothing from the files of six of the ten Maher and RREEF management personnel cited in the Empire Report, only a handful of documents from the remaining four personnel and no more than thirty responsive emails from the thirteen key witnesses during the period that the Empire Report was prepared (July 2007 to January 2008)

In March, the Port Authority located the Empire Report amid Maher's more than one million page production and immediately demanded that Maher promptly supplement its production and agree to produce witnesses named in the report before the end of the April 29, 2011 deposition period (unless extended by party agreement). For weeks, the Port Authority was dissuaded from seeking relief from the Presiding Officer because Maher led it to believe that motion practice could be avoided because, although Maher insisted it would not produce documents until April 29, it appeared willing to agree to depositions in early May just after the production of Empire-related documents. In its responses to Port Authority filings and in correspondence, however, Maher recently revealed its true intentions – Maher, Empire and RREEF (all of which are represented by Maher's counsel) will not willingly provide the documents or agree to any depositions, if and when the Port Authority obtains them.

Maher, however, should be doing exactly the opposite to comply with its crystal clear obligations under the Discovery Order and discovery rules. In January, Maher should have identified the Empire Report and Empire Valuation Consultants LLC in response to interrogatories and produced all documents related to the Empire Report in accordance with the Discovery Order, which overruled Maher's relevance and undue burden objections. Even aside from the Discovery Order, Maher has no basis to withhold documents in January or now based on relevance or undue burden. Indeed, the relevance of these documents is simply unquestionable, particularly given the Empire Report's subject matter (a valuation of the lease rights at issue, and comparison of them to other leases at the Port) and explosive admissions. Moreover, the burden of producing the documents described in the Letters is negligible because the documents in question pertain to a discrete project and time period and primarily involve only three Empire employees and ten Maher and RREEF personnel.

As soon as the Port Authority notified Maher in late March of its failure to comply with its obligations, Maher should have promptly supplemented its production in time to allow the depositions to proceed prior to the end of the discovery period in April or at least agreed to depositions in May after it produced the documents. Instead, Maher has not produced a single document described in the Letters, denies that it has any obligation to do so under prior requests or the Discovery Order and is refusing to agree to depositions in May, which have been delayed because of Maher's discovery failures and abuses. Maher should not be permitted to flout the Presiding Officer's Discovery Order and the discovery rules in a gambit to avoid damaging evidence. Accordingly, Maher should produce the documents described in the Letters and the depositions should proceed thereafter, or if it refuses to comply, then Maher should be precluded from introducing evidence regarding the Empire Report, or otherwise contesting its significance.

(PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 4-6 (citations to exhibits omitted))

PANYNJ contends that Maher's responses were "woefully incomplete." (PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 14)

For example, in responding to Interrogatory 16, Maher did not disclose the Empire Report and instead listed all of Maher's ninety-six custodians – who collectively accounted for all of Maher's 1.5 million page production. Maher therefore provided no indication that the Empire Report existed, or any other information to locate documents concerning profitability such as the Empire Report among the more than million pages it produced through its 96 custodians. Further, in response to Interrogatory 17, Maher identified only PB Consult, Inc. It did not mention Empire Valuation Consultants, LLC, even though (as noted above), Empire's report is replete with analyses of terminal profitability rendered as part of a valuation of Maher's lease rights under EP-249

(*Id.* (footnotes and citations to exhibits omitted)) Later in its motion, PANYNJ contends:

In its response, however, Maher did not simply identify the Empire Report; instead, it identified all ninety-six of its custodians associated with more than one million pages of documents. As the Presiding Officer noted in the Discovery Order, "[a] party may answer an interrogatory by specifying the records from which the answers may be obtained and by making the records available for inspection." But the records must be specified "*in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained*" Referring the Port Authority to all ninety-six of Maher's custodians and the 1.5 million pages associated with them, without so much as disclosing the Empire Report or literally any other information whatsoever, is plainly impermissible. Further, Maher has not yet supplemented its materially inadequate response to Interrogatory 16 (Second Set) served on January 18, 2011

(*Id.* at 22-23 (citations to exhibits omitted) (emphasis in original)) PANYNJ states that "[i]n spite of Maher's discovery failings, the Port Authority located the Empire Report in late March." (*Id.* at 16)

2. Maher's opposition to PANYNJ's motion to compel.

Maher served its opposition to PANYNJ's motion to compel on May 9, 2011 With regard to the alleged inadequacy of Maher's response to Interrogatory 16 (Second Set), Maher responds:

PANYNJ also alleges that Maher's interrogatory response to PANYNJ Interrogatory 16 (Second Set) was deficient because Maher exercised its right to produce business records consistent with Rule 205(d) and FRCP 33(d) and identify the respective custodians as required by the July 23 Order However, PANYNJ's criticism is pure hypocrisy because PANYNJ has routinely produced business records in response to Maher's interrogatories under Rule 205(d) and FRCP 33(d)

PANYNJ complains that Maher's response to this interrogatory was also somehow improper because it identified many custodians under which the responsive documents resided. However, Respondent has only itself to blame, because its request for "all documents" regarding "efficiency" or "profitability" over a ten-year period implicated many custodians. PANYNJ's belated criticism of Maher also rings hollow because it failed to raise its complaint more than two months after the January 18, 2011 document production. PANYNJ was expressly on notice of the number of custodians identified in Maher's January 18 interrogatory answer, but raised no complaint for over two months. Moreover, in this modern age of computer searching of document productions, it could have easily searched the listed custodians for information it sought by searching for key terms, e.g. "valuation." However, apparently PANYNJ did not use the technology at its disposal to search the custodians identified by Maher. PANYNJ's failure to employ routine methods of document review is not Maher's fault.

(Maher Opp to PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 15-16.)

B. Ruling on PANYNJ's Motion to Compel.

The core of PANYNJ's motion is a claim that it should be permitted to conduct additional discovery (*i.e.*, compelling additional production of documents responsive to Port Authority Document Requests No 19 (Second Set), 22 (First Set), and 22 (Second Set) concerning the Empire Report and leave to depose witnesses named in the Empire Report) because Maher did not identify the Empire Report in response to Interrogatory No 16 (Second Set). PANYNJ contends that production of the documents without more did not comply with Commission Rule 205(d) and the July 23, 2010, discovery order. By the time PANYNJ uncovered the Empire Report, the fast-approaching conclusion of the discovery period did not permit the additional discovery that it contends it needs. Maher, on the other hand, contends that responding to Interrogatory No 16 (Second Set) by producing the records complied with the requirements of Rule 205(d) and Federal Rule of Civil Procedure 33(d).

Commission Rule 205(d) provides:

Where the answer to an interrogatory may be derived or ascertained from the business records of the party upon whom the interrogatory has been served or from an examination, audit or inspection of such business records, or from a compilation, abstract or summary based thereon, and the burden of deriving or ascertaining the answer is substantially the same for the party serving the interrogatory as for the party served, it is a sufficient answer to such interrogatory to specify the records from which the answer may be derived or ascertained and to afford to the party serving the interrogatory reasonable opportunity to examine, audit or inspect such records and to make copies, compilations, abstracts or summaries.

46 C.F.R. § 502.205(d). Federal Rule of Civil Procedure 33(d) similarly provides:

If the answer to an interrogatory may be determined by examining, auditing, compiling, abstracting, or summarizing a party's business records (including electronically stored information), and if the burden of deriving or ascertaining the answer will be substantially the same for either party, the responding party may answer by

(1) specifying the records that must be reviewed, in sufficient detail to enable the interrogating party to locate and identify them as readily as the responding party could, and

(2) giving the interrogating party a reasonable opportunity to examine and audit the records and to make copies, compilations, abstracts, or summaries.

Fed. R. Civ P 33(d)

The Order requiring Maher to answer Interrogatory No. 16 set forth the scope of discovery and case law on which the Order was based. *Maher v PANYNJ*, FMC No 08-03, Memorandum at 5-8 (ALJ July 23, 2010) (Memorandum and Order on Discovery Motions) This included case law on responding to interrogatories by referring to documents.

A party may answer an interrogatory by specifying records from which the answers may be obtained and by making the records available for inspection. [46 C.F.R. § 502.205(d)] But the records must be specified "in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained."

Rainbow Pioneer # 44-18-04A v Hawaii-Nevada Inv Corp., 711 F.2d 902, 906 (9th Cir 1983).

Id. at 8.

This authority was used in ruling on Maher's motion to compel PANYNJ to respond to Maher's First Interrogatory No 6.

First Interrogatories No. 6 *Describe in detail, the investments that PANYNJ required APMT to make in PANYNJ port facilities per EP-248, including the dollar value thereof*

PANYNJ's Answer *Subject to and without waiving, but rather expressly preserving its General Objections, the Port Authority responds, pursuant to Fed. R. Civ P 33(d), that responsive information may be found in lease EP-248 and in the documents produced in connection with this litigation under custodians Cheryl Yetka and Rudy Israel, among other Port Authority custodians Bates numbers will be*

supplied when feasible. In addition, the Complainant will have an opportunity to depose knowledgeable witnesses as to this topic, including Cheryl Yetka and Rudy Israel.

Maher v PANYNJ, FMC No 08-03, Memorandum at 11 (ALJ July 23, 2010) (Memorandum and Order on Discovery Motions) (italics in original Order) In its motion to compel a response to First Interrogatories No. 6, Maher argued.

Maher's Argument. *First, the response fails to provide the principal and material facts responsive to the request. Second, PANYNJ resorts to Fed. R. Civ P 33(d), but fails to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained. Although PANYNJ promises in its response to provide Bates numbers, it reneged on that promise during the September 12, 2008 telephone conference between the Parties*

PANYNJ provides no identifying data to assist Maher other than the custodians, but as set forth above, PANYNJ's production contains 17 million pages of documents, including a wide variety of wholly non-responsive materials, making it extremely difficult for Maher to locate the truly responsive documents contained therein. Moreover, PANYNJ's response is inadequate because it does not even state under which custodians the responsive documents can be found. By stating that the responsive documents are found under "Cheryl Yetka, Rudy Israel, among other Port Authority custodians," PANYNJ is doing little more than directing Maher to go root through its entire document production of 17 million pages. The Presiding Officer has already found such a response by PANYNJ to be inadequate for it to invoke the privilege of Fed. R. Civ P 33(d) – and that was when PANYNJ's production was much, much smaller. Finally, even if PANYNJ had limited its response to Ms. Yetka and Mr. Israel, that would require Maher to sift through no less than 8,000 documents (approximately 24,000 pages), much of it nonresponsive chaff – and that is not even counting the files PANYNJ has categorized under the potentially applicable central department files, including, e.g., 9,404 Port Commerce Department documents (approximately 28,000 pages), and 12,567 Engineering documents (approximately 38,000 pages)

PANYNJ's response is [sic] inadequate. Therefore, PANYNJ should be required to fulfill its original commitment to provide Bates numbers of documents responsive to the interrogatory

Port Authority's Response. *The Port Authority complied with the requirements of Fed. R. Civ P 33(d) by identifying the principal witnesses whose documents would provide information responsive to this interrogatory. Moreover, Maher's complaint that the Port Authority has identified the principal witnesses with responsive documents but has not provided Bates numbers for each responsive document is*

remarkable in its hypocrisy, and Maher should be estopped from pursuing this burdensome demand. That is because Maher has steadfastly refused to identify even the custodians with responsive documents when it invoked Fed. R. Civ P 33(d) and referenced unspecified documents in responding to the Port Authority's interrogatories. Thus, when the shoe was on the other foot, Maher not only took the position in the parties' September 12 meet-and-confer that FMC precedent did not require the production of Bates numbers and that consequently Maher would not provide them (see 07-01 Motion to Compel Mem. at 30 (holding that Bates numbers were not required to be listed in interrogatory responses)), but also refused, contrary to FMC precedent, see id. at 18-19, even to identify the principal custodians (as the Port Authority has done) or otherwise indicate where responsive documents may be found. Maher's refusal is even more egregious in light of the negligible burden it would incur to do so as compared to that which it seeks to foist upon the Port Authority given that Maher's production suspiciously consisted of only two boxes. See Loiseau Declaration at ¶ 27. Instead, Maher's responses merely (and repeatedly) referred the Port Authority to "business records produced as kept in the ordinary course of business" or "the documents produced by the parties in Dkt. No 07-01" as supposedly sufficient under the same standard Maher applies in critiquing the Port Authority's responses. See Maher's First Interrogatory Responses, Response to Interrogatory No 9, Maher's Second Interrogatory Responses, Response to Interrogatory Nos. 1, 2, 3, 4, 6, 7, 8, 9, 10, 12, 13, & 16. Under these circumstances, Maher's motion with respect to this issue should be summarily denied.

In any event, Maher's complaint that it would have to sift through 17 million pages of documents to find the documents belonging to the listed custodians because the Port Authority's production contained non-responsive documents is groundless for at least three reasons. First, the Port Authority has since identified non-responsive documents in its production, enabling Maher to quickly filter out the non-responsive documents. Second, the metadata provided by the Port Authority for each and every produced document included a readily searchable "Custodian" field. Third, the large number of responsive documents is directly correlated with the breadth, depth, and sheer number of document requests that Maher has served in this matter (see supra at p 8-9)

For all these reasons, Maher's hypocritical attempt to foist this enormous burden on the Port Authority should be summarily rejected, especially because it will obtain any additional information it needs in the numerous Rule 30(b)(6) depositions that it has noticed with respect to the same issues covered by its interrogatories

Id. at 11-13 (copying Maher's motion to compel and PANYNJ's opposition) (italics in original Order).

I found PANYNJ's response to First Interrogatories No. 6 to be insufficient and ordered it to respond further

PANYNJ's response specifies the records from which the answer may be derived or ascertained by stating "responsive information may be found in the documents produced in connection with this litigation under custodians Cheryl Yetka and Rudy Israel, *among other Port Authority custodians*" and contends that it has identified "the *principal* witnesses whose documents would provide information responsive to this interrogatory." When responding to an interrogatory by identifying the records from which the answer may be derived or ascertained, "the records must be specified 'in sufficient detail to permit the interrogating party to locate and identify, as readily as the party served, the records from which the answer may be obtained.'" *Rainbow Pioneer # 44-18-04A v Hawaii-Nevada Inv Corp*, 711 F.2d at 906 PANYNJ's response does not tell Maher what other custodians of records may have records with information responsive to this interrogatory. Furthermore, identifying the custodian or custodians with records does not necessarily "specify the records from which the answer may be derived or ascertained." Therefore, PANYNJ's response to Maher First Interrogatory No. 6 is insufficient.

PANYNJ is ordered to supplement its answer to Maher First Interrogatory No. 6 by setting forth the material or principal facts on which it relies for its response, or, in the alternative, by identifying all custodians with records responsive to this interrogatory and specifying in sufficient detail the particular records of each custodian from which the answer to Interrogatory No. 6 may be derived or ascertained.

Id. at 13-14 (emphasis in original)

Mahe received the benefit of the July 23, 2010, Order based in part on Maher's argument that PANYNJ "fail[ed] to identify the records from which the answer can be derived in sufficient detail to permit Maher to locate and identify, as readily as PANYNJ, the records from which the answer may be obtained" and "provide[d] no identifying data to assist Maher other than the custodians, but as set forth above, PANYNJ's production contains 1.7 million pages of documents." Nevertheless, five months later, Maher responded to PANYNJ's Interrogatory No. 16 with a similar response. *Compare* Maher's Supplemental Response to the Port Authority's Interrogatory No. 16 (Second Set)

Subject to and without waiving, but rather expressly preserving its specific objections, Maher has produced pursuant to Rule 205(d) responsive, non-privileged documents in its possession, custody, or control and has complied with, and will continue to comply with, its discovery obligations pursuant to the Rules, the Federal Rules of Civil Procedure, and the Order, including by supplementing its responses as necessary. The custodians of documents responsive to Interrogatory No. 16 (Second Set) are [ninety-six custodians listed]

with PANYNJ's response to Maher First Interrogatories No. 6 that had been found to be insufficient:

Subject to and without waiving, but rather expressly preserving its General Objections, the Port Authority responds, pursuant to Fed. R. Civ. P. 33(d), that responsive information may be found in lease EP-248 and in the documents produced in connection with this litigation under custodians Cheryl Yetka and Rudy Israel, among other Port Authority custodians. Bates numbers will be supplied when feasible. In addition, the Complainant will have an opportunity to depose knowledgeable witnesses as to this topic, including Cheryl Yetka and Rudy Israel.

Therefore, Maher's response to PANYNJ's Interrogatory No. 16 is insufficient for the same reason PANYNJ's response to Maher First Interrogatories No. 6 was insufficient.

Furthermore, Interrogatory No. 16 should not have been answered by referring to documents. A well-respected federal procedure treatise on application of the federal rules has identified four prerequisites for use of the Federal Rule 33(d)/Commission Rule 205(d) option. "The first is that the responding party must affirm that the information sought by the interrogatory in fact is available in the specified records." 8B Wright and Miller, *Federal Practice and Procedure* § 2178, at 90 (2008). Maher said the answer could be found in the documents and PANYNJ eventually found the Empire Report in the records that Maher produced, therefore, the first prerequisite is met.

"The second prerequisite is that the *responding* party be able to demonstrate that answering the interrogatory in the traditional manner would impose a burden on it." *Id.* at 93 (emphasis added). See *Sabel v. Mead Johnson and Co.*, 110 F.R.D. 553, 556 (D. Mass. 1986) ("The next prerequisite for invoking the Rule 33(d) option is that there be a burden on the interrogated party if it were required to answer the interrogatories in the traditional manner. This prerequisite, although not explicitly contained in the Rule, is implicit in its provisions.") "All discovery requests are a burden on the party who must respond thereto. Unless the task of producing or answering is unusual, undue or extraordinary, the general rule requires the entity answering or producing the documents to bear that burden." *Continental Illinois Nat. Bank & Trust Co. of Chicago v. Caton*, 136 F.R.D. 682, 684-685 (D. Kan. 1991). Interrogatory No. 16 asked Maher to "[i]dentify all documents and communications." Maher knew that the Empire Report existed. With regard to the Empire Report, a sufficient answer to Interrogatory 16 would be: "The report completed by Empire Valuation Consultants, LLC on January 29, 2008" and specifying in sufficient detail the particular records of each custodian from which the answer to Interrogatory No. 16 may be derived or ascertained. (See Maher Opp. to PANYNJ Apr. 22, 2011, Mot. to Enforce and Compel at 2.) Answering Interrogatory No. 16 in the traditional manner would not have imposed a burden on Maher.

The third prerequisite appears on the face of the rule – that the burden of compiling the information be substantially the same for the inquiring and the responding parties. This means, at a minimum, that the responding party is representing that it would have to glean the information from the designated records, if another more convenient method for obtaining the information exists that method

should be used instead. For example, when the responding party has already culled the requested information from its records, as part of its trial preparation or for other reasons, that may indicate that it would be substantially more burdensome for the inquiring party to compile the information. Moreover, the rule requires a determination that the effort necessary for the interrogating party to obtain the information from these records would not be substantially greater than the burden on the responding party to do the same thing. The effort need not be precisely equal, and the inquiring party cannot deprive its opponent of the Rule 33(d) option by the simple expedient of pointing out that any party is likely to be more at ease with its own records. Instead, the courts may balance several factors, including costs of research, nature of the records, and the familiarity of the interrogating party with the records. As to some sorts of materials or records, however, familiarity may make such a difference as to be determinative.

8B Wright and Miller, *Federal Practice and Procedure* § 2178, at 94-97 (2008) (footnotes omitted) Maher knew of the Empire Report and, furthermore, had “already culled the requested information from its records” when it answered Interrogatory No 16. PANYNJ, on the other hand, did not know of the Empire Report’s existence. As Maher recognizes, PANYNJ had to search the 1,527,372 pages of documents Maher produced to find the Empire Report itself and identify the 12,000 pages (less than one percent of the total production) of documents directly related to the Empire Report. (Maher Opp. to PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 16) While computer searches make this burden lighter than it would be to search the documents without computer assistance, the burden on PANYNJ greatly exceeded any burden on Maher that would have been imposed by answering the interrogatory in the traditional manner

Finally, the responding party must specify which records contain the information sought by the interrogatory. As the Advisory Committee explained in connection with the 1980 amendment, parties “have occasionally responded by directing the interrogating party to a mass of business records or by offering to make all of their records available.” The directive now contained in Rule 33(d)(1) was added in 1980 to address this problem. In some instances, responding parties have provided, or been required to provide, detailed roadmaps. Less precise designations have also been found adequate for some purposes. But it is clear that a simple offer to produce unspecified responsive materials is not sufficient designation to satisfy the rule.

8B Wright and Miller, *Federal Practice and Procedure* § 2178, at 98-99 (2008) (footnotes omitted). Maher said the answer could be found in the 1,527,372 pages in the custody of ninety-six custodians, but did not designate where in that 1,527,372 pages PANYNJ could find the (partial) answer to Interrogatory No 16. The Empire Report and the 12,000 pages directly related to it. Furthermore, it did not identify which of the ninety-six listed custodians had custody of the Empire Report and the related documents. PANYNJ’s response to Maher Interrogatory No 6 that was found to be insufficient in the July 23, 2010, Order at least identified two custodians who had responsive documents.

As the court stated in *Budget Rent-A-Car of Mo , Inc. v Hertz Corp* , 55 F.R.D 354 (W.D Mo 1972), a case on which Maher relies in another motion currently before me, (*see* Maher Motion to Enforce the Presiding Officer's Discovery Orders and to Compel Interrogatory Responses (filed May 25, 2011) at 9)·

While this provision is designed to relieve the interrogated party from 'burdensome or expensive research into his own business records in order to give an answer,' it does not allow that party to 'impose on an interrogating party a mass of records as to which research is feasible only for one familiar with the records.' 4A Moore, Federal Practice and Procedure, Advisory Committee Note of 1970 to Amended Rule 33, ¶33 01[6], p. 33-13 (1971 ed.) Rule 33 cannot, therefore, be used as a procedural device for avoiding the duty to give information by shifting the obligation to find out whether information is ascertainable from the records which have been tendered. *In Re Master Key*, 53 F.R.D 87 (D Conn. 1971); *Thomason v Leiter*, 52 F.R.D 290 (M.D Ala. 1971) And, to properly invoke the provisions of Rule 33(c),³ the interrogated party must 'specify the records from which the answer may be derived or ascertained,' in addition to giving the interrogating party a reasonable opportunity to examine and copy the records. (emphasis added) Thus, a broad statement that the information sought is ascertainable generally from documents and that those documents are available for inspection is not a sufficient answer under Rule 33(c) Rather, the interrogated party must state specifically and precisely identify which documents will provide the information to be elicited.

Budget Rent-A-Car of Mo , Inc. v Hertz Corp , 55 F.R.D at 357

I conclude that Maher knew that the Empire Valuation Report completed on January 29, 2008, was at least part of the answer to Interrogatory No 16 (Second Set) when it served its response to the interrogatory; therefore, answering the interrogatory in the traditional manner would not have imposed a burden on Maher Even if there were some slight burden on Maher, the burden was greater on PANYNJ (the party serving the interrogatory) to derive or ascertain that the Empire Report was a response to Interrogatory No. 16 from the 1,527,372 pages that Maher produced, then to identify the 12,000 of the 1,527,372 pages of documents directly related to the Empire Report, than the burden on Maher (the party served) to answer the interrogatory in the traditional manner Maher did not specify where in the records PANYNJ could find the Empire Report or the 12,000 pages directly related to it. Therefore, Maher's response to Interrogatory No. 16 (Second Set) was not justified by Commission Rule 205(d) and Federal Rule of Civil Procedure 33(d) and not justified by the standards set forth in the July 23, 2010, discovery order⁴

³ Now Rule 33(d)

⁴ In contrast, if Interrogatory 16 had asked Maher to set forth "the efficiency and/or profitability of the Maher terminal at Port Elizabeth, the efficiency and/or profitability of other terminals at Port Elizabeth or Port Newark, and/or the efficiency and/or profitability of terminal

If Maher had identified the Empire Report in its January 18, 2011, response as it should have, PANYNJ clearly would have had time to depose persons knowledgeable about the Report before the close of discovery on April 29, 2011, without having to negotiate with Maher about whether the depositions should be scheduled or extending the discovery deadline. *See Maher v PANYNJ*, FMC No. 08-03, Order at 6 (ALJ Dec. 17, 2010) (January 11, 2011 Scheduling Order) (fact depositions conducted from March 7, 2011, to April 29, 2011). PANYNJ should be permitted to take these depositions if it so chooses. Therefore, PANYNJ's motion for leave to depose witnesses named in the Empire Report is **GRANTED**. The depositions must take place on a date within thirty-five days of the date of this Order and at a time and place determined by the parties.

PANYNJ also seeks an order compelling the production of documents responsive to, among other requests, Port Authority Document Requests No. 19 (Second Set), 22 (First Set), and 22 (Second Set) concerning the Empire Report, including documents described in letters to Maher's counsel dated March 24, 25, and 31. According to Maher, "PANYNJ filed its Motion to Compel on April 22, 2011, and on April 29, 2011, Maher timely served its responses to PANYNJ's Fourth Requests, including 139,555 pages of documents, and 24 pages of interrogatory responses." (Maher Opp. to PANYNJ Apr. 22, 2011, Mot. to Enforce and Compel at 8.) Within fourteen days of the date of this Order, Maher must supplement its responses to Document Requests No. 19 (Second Set), 22 (First Set), and 22 (Second Set) by producing any responsive documents not yet produced, and by identifying the custodians, names, and locations of the responsive documents in a manner consistent with the July 23, 2010, discovery order.

III. EMPIRE VALUATION CONSULTANTS, LLC'S MOTION TO QUASH SUBPOENA ISSUED BY THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY (filed April 11, 2011) (Empire Mot. to Quash).

Related Filings.

- (1) Letter dated April 18, 2011, from PANYNJ to Judge Guthridge regarding Empire's Motion to Quash Subpoena (treated as motion for enlargement of time to respond to Empire motions – *see Maher v PANYNJ*, FMC No. 08-03 (ALJ Apr. 18, 2011) (Order Shortening Time for [Maher] and [Empire] to Reply to Motion of [PANYNJ] for an Extension of Time to File Opposition to [Empire's] Motion to Quash Subpoena))

business models (i.e., straddle carrier model or transcontainer model) from 1997 through the present," a response that "the answer may be derived or ascertained from the Empire Report and the burden of deriving or ascertaining the answer is substantially the same for PANYNJ as for Maher" coupled with production of the Empire Report and its related documents and stating where in the 1,527,372 pages they could be found would probably be appropriate under Rule 205(d)

- (2) [PANYNJ's] Opposition to [Empire's] Motion to Quash the Subpoena Issued by [PANYNJ] (filed April 21, 2011) (PANYNJ Opp to Empire Mot. to Quash)
- (3) [Empire's] Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to the Motion to Quash its Subpoena (filed April 26, 2011) (Empire Mot. to Reply to PANYNJ Opp. to Empire Mot. to Quash)
- (4) [Maher's] Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to the Motion to Quash its Subpoena (filed April 26, 2011) (Maher Mot. to Reply to PANYNJ Opp to Empire Mot. to Quash)
- (5) [PANYNJ's] Joint Opposition to [Maher's] and [Empire's] Motions for Leave to File Replies and Replies to the [PANYNJ's] Opposition to the Motion to Quash its Subpoena (filed May 5, 2011) (PANYNJ Opp to Empire and Maher Mots. to Reply to PANYNJ Opp to Empire Mot. to Quash)

On March 30, 2011, PANYNJ served a subpoena on Empire Valuation Consultants. The subpoena seeks Empire's deposition testimony pursuant to Rule 30(b)(6) and seeks production of documents from Empire. The subpoena sought production of documents no later than April 7, 2011, and deposition testimony on April 13, 2011

On Monday, April 11, 2011, Empire, represented by Maher's counsel, served on PANYNJ a 28-page motion to quash the subpoena with attachments. *See* 46 C.F.R. § 502.132(c) ("If served in connection with the taking of a deposition, the person to whom the subpoena is directed may move to quash or modify the subpoena within ten (10) days after service of the subpoena, and a reply to such motion shall be served within five (5) days thereafter") Maher's counsel served the motion on PANYNJ (and filed it with the Commission) by United States mail. The Secretary received the motion on April 14, 2011. On April 15, 2011, counsel for PANYNJ sent a letter to the undersigned stating that despite the parties' practice of serving motions and other documents by email, counsel for Maher had served Empire's motion by regular mail. Consequently, counsel for PANYNJ did not receive its copy of Empire's motion until late in the day on Thursday, April 14, 2011. Pursuant to Commission Rules, PANYNJ's response to the motion would be due Monday, April 18, 2011. I treated PANYNJ's letter as a motion to enlarge time to respond to Empire's motion and issued an order requiring Maher and Empire to respond to PANYNJ's motion for enlargement by April 21, 2011. *Maher v PANYNJ*, FMC No. 08-03 (ALJ Apr 18, 2011) (Order Shortening Time for [Maher] and [Empire] to Reply to Motion of [PANYNJ] for an Extension of Time to File Opposition to [Empire's] Motion to Quash Subpoena)

On April 21, 2011, PANYNJ served and filed a 24-page opposition to the motion accompanied by exhibits. On April 26, 2011, Empire served and filed a 10-page motion for leave to reply and reply to PANYNJ's opposition, and Maher served and filed a 15-page motion for leave to reply and reply to PANYNJ's opposition. On May 5, 2011, PANYNJ filed its 20-page opposition to Maher's and Empire's motions for leave to file replies.

A. Description of Motions and Oppositions.

1. Empire Motion to Quash.

Empire describes itself as

a third-party financial consultant that completed an analysis of [Maher] in 2008, following the sale of Maher to RREEF in July 2007, for the purpose of allocating the previously negotiated purchase price paid for the Maher business in order to develop a new corporate balance sheet, as required by certain accounting regulations. Empire performs allocations like this for a large number of different clients every year in a wide variety of industries. Empire's analysis is a straightforward application of financial accounting principles, and Empire has no specialized knowledge or expertise in port, terminal, or marine operations.

(Empire Mot. to Quash at 1-2 (citation to exhibit omitted).) Empire claims that the eleven document requests in the subpoena are identical to requests made to Maher and RREEF (*Id.* at 3)

Empire argues that several "technical" defects invalidate the subpoena. Empire contends that the subpoena was served on March 30, 2011, requiring production of documents on April 7 and appearance for a deposition on April 13, therefore, service did not satisfy the mandatory 20-day requirement imposed by Rule 132. (Empire Mot. to Quash at 3) Empire claims additional conflicts caused by the dates for compliance set forth in the subpoena.

The timing of the deposition scheduled by the subpoena poses an undue burden on Empire that outweighs any benefit that PANYNJ could gain by the information obtained. As a financial consulting firm, Empire's most demanding time of year is tax season coinciding with the end of the fiscal quarter at the end of April. The subpoena would give Empire only a week to find all its documents, including many e-mails among thousands sent or received since 2008, review them, and decide which are responsive to PANYNJ's eleven different requests, and then prepare a witness to testify for a full day regarding even the most trivial details surrounding an allocation that was one among many it performed in 2008

(*Id.* at 8) Empire claims that the dates established by the subpoena also conflict with a major religious holiday (*Id.* at 9) The subpoena demands the deposition of Empire's corporate designee under FRCP 30(b)(6) on the same day that Maher has already scheduled the deposition of a key PANYNJ witness, Robert Evans. (*Id.* at 4-5) Empire contends that the subpoena is invalid because PANYNJ failed to complete and file the affidavit of service required by Commission Rule 134, arguing that "PANYNJ failed to fill out the Return of Service form at all, instead submitting the subpoena to the Commission with a blank form attached and without any sort of separate affidavit of service. The subpoena violates the Rule, is invalid, and should be quashed." (*Id.* at 5)

Empire also contends that:

PANYNJ represented to the Presiding Officer in its February 11, 2011 Filing Notice Regarding Third Party Subpoenas that, following review of Maher's January 18, 2011 document production, "in order to avoid delaying this proceeding, it will not pursue third party subpoenas to obtain additional documents" from the previously subpoenaed third parties. However, now it has reversed itself and seeks to delay further the discovery proceedings by subpoenaing yet another non-party purportedly based upon a single document included in Maher's January 18, 2011 production. Empire, a distant third party, should not be required to bear such an undue burden for PANYNJ's inattention and failure to pursue diligently its discovery requests in accordance with the Presiding Officer's schedule.

(*Id.* at 10)

With regard to the information sought by the subpoena, Empire contends that Federal Rule of Civil Procedure 45 provides the legal standard to be used when considering a motion to quash a Commission subpoena. "On timely motion, the issuing court must quash or modify a subpoena that: (iv) subjects a person to undue burden." Fed. R. Civ P 45(c)(3)(A)

FRCP 45(c)(3)(A) requires "the issuing court [to] quash or modify a subpoena that: (iv) subjects a person to undue burden." Whether an undue burden exists is determined by "weigh[ing] the burden to the subpoenaed party against the value of the information to the serving party[,] and, in particular, requires the court to consider 'such factors as relevance, the need of the party for the documents, the breadth of the document request, the time period covered by it, the particularity with which the documents are described and the burden imposed.'" *Moon v SCP Pool Corp*, 232 F.R.D 633, 637 (C.D Cal. 2005) (*quoting Travelers Indem. Co v Metro Life Ins Co*, 228 F.R.D 111, 113 (D Conn. 2005)) Additionally, a FRCP 30(b)(6) subpoena is particularly likely to impose an undue burden if it fails to provide adequate notice, given the requirements for extensive witness preparation under the Rule. *See Gulfstream Realty v Philips Elec.*, No. CIV 06-1165 JB/DJS, 2007 WL 5704041, **7-8 (D.N.M. Oct. 24, 2007)

PANYNJ faces a high burden with this subpoena because the FRCP "affords nonparties special protection against the time and expense of complying with subpoenas." *Exxon Shipping Co v U.S. Dep't of Interior*, 34 F.3d 774, 779 (9th Cir 1994) When applied to third parties, discovery should be limited to protect them from harassment, inconvenience, or disclosure of confidential documents. *Dart Indus. Co v Westwood Chem. Co*, 649 F.2d 646, 649 (9th Cir 1980) Underlying this protection is the understanding that "the word 'non party' serves as a constant reminder of the reasons for the limitations that characterize 'third party' discovery " *Id.*, *see also Guy Chem. Co, Inc. v Romaco AG*, 243 F.R.D 310, 313 (N.D Ind. 2007) ("The most crucial factor to this Court is the fact that ABRO is a non-party Non-party status is a significant factor to be considered in determining whether the burden imposed by a subpoena is undue."), *cf In re Subpoenas of the Fed. Mar*

Comm'n Issued to Jose Diaz/Tioga Fruit Terminal, Inc. & Chilean Line, Inc., 28 S.R.R. 90, 92 (E.D. Pa. 1997) (where an action to enforce an FMC subpoena is brought by a person who is a party to an action before the FMC, rather than by the FMC itself, "the relevance and the purpose for which the information is sought must be carefully scrutinized.")

When applying this higher burden for non-parties, courts are reluctant to permit subpoenas where, as here, the information sought is duplicative of information asked of the parties themselves through discovery. *See, e.g., Haber v ASN 50th St.*, [272 F.R.D. 377, 382 (S.D.N.Y. 2011)] (quashing a subpoena to a non-party in part because "it is duplicative of [plaintiff's] document requests" to the defendant)

(Empire Mot. to Quash at 6-7)

Empire argues that the subpoena should be quashed because:

These burdens imposed on third-party Empire by the subpoena are unjustified given any potential benefit the subpoena might provide to PANYNJ because of PANYNJ's total failure to show it has been unable to obtain the documents and testimony from Maher. The document requests and proposed deposition of Empire's FRCP 30(b)(6) designee plainly seek information duplicative of that which PANYNJ might gain from the FRCP 30(b)(6) deposition notices issued to Maher and RREEF, Ex. 7 & 8, Fourth Interrogatories and Fourth Document Requests (the "discovery requests"), Ex. 3 & 4, just served on Maher on March 29, 2011, and various letter requests issued by PANYNJ, Ex. 5 & 6. As illustrated in further detail in the next section of this motion, the third-party subpoena to Empire duplicates deposition notices and other discovery requests issued to Maher that PANYNJ has not even reviewed yet because it procrastinated until such a late date in the discovery schedule to serve them, producing a self-inflicted crisis for which it has only itself to blame.

(*Id.* at 9)

Empire contends that the specific document requests are burdensome because each overlaps with document requests submitted to Maher and RREEF

For the reasons set forth herein and *supra* Sections I through III, this subpoena request should be quashed. Maher, Deutsche Bank, and RREEF have already produced, or to the extent that other nonprivileged documents comply with the discovery requests, have been requested to produce all available drafts of the Empire Report, which were given to Maher by Empire. Additionally, PANYNJ has noticed the testimony of both Maher and RREEF corporate designees under FRCP 30(b)(6) to testify regarding Maher's relationship with Empire, thereby requesting knowledgeable witnesses on the subject.

As set forth more specifically in the table below, this request overlaps with and is duplicative of requests that PANYNJ has already served upon Maher which Maher has not yet answered, and it should be required to do so before seeking burdensome discovery from Empire, an independent third party. Therefore, as a practical matter, to the extent the subpoena may request relevant documents, they have been produced or are being produced, and thus this request is overly burdensome, duplicative, unnecessary, and should be quashed.

(*Id.* at 11-12 (objection to Document Request No. 1) (citation to exhibit omitted)) Empire incorporates this objection as its response to the other ten document requests. Empire also prepared a chart purporting to show how the document requests to Empire purportedly duplicate the document requests to Maher and to RREEF (*Id.* at 17-23). The subpoena sets forth four deposition topics on which PANYNJ wishes to inquire. Empire also prepared a chart purporting to show how the deposition topics in the Empire subpoena purportedly duplicate the deposition topics in the Maher and RREEF subpoenas. (*Id.* at 23-26.)

2. PANYNJ Opposition to Empire Motion to Quash Subpoena.

In its recitation of the relevant facts, PANYNJ states that counsel for PANYNJ contacted Empire's senior managing director regarding service of the Empire subpoena and subpoenas for three Empire employees whom it intended to depose in their individual capacities. PANYNJ claims that the senior managing director told counsel to send the subpoenas to one of the three individuals being deposed who was described as the partner in charge of the Maher engagement. The subpoenas were then delivered to that manager's assistant.

Richard Rothman, counsel to the Port Authority, contacted Empire's Senior Managing Director William A. Lockwood and informed him that the Port Authority intended to serve subpoenas on Empire and on Mr. Shayne, Mr. Brace and Mr. Eidman in their individual capacities. Mr. Rothman also told Mr. Lockwood that the Port Authority would work with Empire to find mutually convenient dates for the production of documents and scheduling of depositions and to minimize any burden. Mr. Rothman asked Mr. Lockwood if he would accept service of the subpoenas. In response, Mr. Lockwood directed Mr. Rothman to send the subpoenas to Mr. Shayne, who Mr. Lockwood described as the partner in charge of the Maher engagement. The subpoenas, along with a cover letter describing Mr. Lockwood's instructions, were served by process server at Mr. Shayne's office. Upon delivery, the process service was met by Mr. Shayne's assistant, who accepted service.

(PANYNJ Opp. to Empire Mot. to Quash at 6-7)

Addressing Empire's procedural arguments about service and timing, with regard to the time provided between service of the subpoena and the requested date for production of documents and deposition date, PANYNJ states that it informed Empire that it would provide additional time to comply. PANYNJ also argues that Rule 132(c) permits the presiding officer to issue a subpoena

providing less than twenty days notice. Given the impending close of discovery, it was appropriate to permit service less than twenty days in advance of the deposition. (*Id.* at 11) PANYNJ argues that Empire, which is not a party, has no basis to object that another deposition that it will not attend is scheduled for the same day (*Id.*) PANYNJ argues that it is not possible to submit an affidavit of service of the subpoena before the subpoena has been signed by the presiding officer and served on the deponent. (*Id.* at 12.)

PANYNJ contends that Empire should not be treated as a “nonparty” for the purposes of discovery

Empire is in no position to claim that it should be treated as a neutral bystander. See *Xstrata Canada Corp v Advanced Recycling Tech., Inc*, No 08-CV-1366(LEK/DRH), 2010 WL 4609302, at *3 (N.D.N.Y. Nov 5, 2010) (finding no undue burden where party seeking discovery demonstrated that the non-parties subject to the subpoenas were “substantially intertwined” with the opposing party and were not unrelated third-parties), *JZ Buckingham Invs LLC v U.S.*, 78 Fed. Cl. 15, 26 (Fed. Cl. 2007) (finding no basis to quash subpoena served on third party law firm when firm “was not a complete stranger to the litigation and was in fact a major player in the transaction at stake”). In this case, Empire is Maher’s paid consultant, has accepted Maher’s counsel and has adopted virtually identical, partisan and adversarial positions as Maher to evade discovery pertaining to the Empire Report. Accordingly, Empire’s status as a non-party should not shield Empire from legitimate discovery

(PANYNJ Opp to Empire Mot. to Quash at 8-9) PANYNJ contends “[e]ven if Empire were a disinterested third party . . ., it still has the burden of showing with specific facts, not mere conclusions, that compliance imposes a significant burden that is outweighed by the benefit of the information sought,” (*id.* at 9) and argues that Empire has not established facts that the document requests, which pertain to one discrete project performed within the last few years by a small group of employees, would be burdensome. With regard to the claim that Empire based its report on documents obtained from Maher and therefore those documents can be obtained from Maher and RREEF, copies obtained from Maher or RREEF would not have Empire’s comments or notes, and may not have Maher notes on drafts returned to Empire.

[T]here are no legitimate grounds to refuse to provide clearly relevant – if not critical – documents described above that concern, but are not contained in, the report, and a 30(b)(6) witness to authenticate and explain the Empire Report and documents related to it, to identify specific personnel described in the Empire Report as “Maher and RREEF management,” and to provide further evidence that Maher’s discrimination claims should be dismissed. Because the burden on Empire is slight and the discovery sought under the subpoena is critically important to this proceeding, the Presiding Officer should deny Empire’s Motion To Quash. Otherwise, Maher’s continuing refusal to provide Empire-related discovery, including through Empire, should preclude Maher from disputing the contents of the

Empire Report or that it is an admission that Maher's claims against the Port Authority are without merit.

(PANYNJ Opp to Empire Mot. to Quash at 16)

With regard to the specific document requests, PANYNJ contends.

Empire wrongly asserts that Request No. 1 should be quashed because documents responsive to Request No. 1 either have been or will be produced pursuant to document requests to Maher, and the Port Authority has requested the depositions of 30(b)(6) witnesses from Maher and RREEF who will testify to the relationship between Empire and Maher. *See* Motion to Quash, Meade Decl. Exh. E, at 11-12. As explained above, Empire likely has drafts with its comments or markups, and Maher may not have all drafts provided to Empire that contain Maher or RREEF's comments. Nor has Empire shown that Maher actually has each of the drafts that Empire provided to Maher in 2007 or 2008, or that Maher will produce them. Perhaps most importantly, these documents are obviously relevant and the burden of collecting drafts of the Empire Report and providing them to the Port Authority is negligible. Accordingly, Empire should comply with this document request. In addition, a Maher witness cannot possibly testify about Empire's internal discussions concerning the drafts or comments (or the lack of objections or comments) from Maher and RREEF.

(PANYNJ Opp to Empire Mot. to Quash at 16-17 (argument regarding Document Request No. 1))

PANYNJ contends that the specific deposition topics are not duplicative of other depositions. PANYNJ argues.

Empire asserts that Deposition Topic 1 is duplicative of the Port Authority's Deposition Notices to Maher and RREEF concerning the Empire Report, and is therefore unnecessary and unduly burdensome. *See id.* at 16. Empire cites no authority, because none exists, for the proposition that a deposition of one organization somehow justifies denying a corporate deposition of an entirely different organization. Moreover, the personal knowledge and perspective of Empire witnesses necessarily differs from the personal knowledge of Maher and RREEF witnesses, and the Port Authority is clearly entitled to take a 30(b)(6) deposition on Empire concerning its report.

(PANYNJ Opp. to Empire Mot. to Quash at 23 (addressing Deposition Topic No. 1)) PANYNJ incorporates this same argument in its response on the other deposition topics.

3. Empire Motion for Leave to Reply and Reply.

Commission Rule 74 provides: "Except as provided under subpart V of this part, a reply to a reply is not permitted." 46 C.F.R. § 502.74(a)(1).⁵ On April 26, 2011, Empire filed a motion for leave to reply and reply to PANYNJ's opposition, arguing that under Commission rules 10 and 147, "[p]residing officers have found it appropriate to permit a reply where, as here, the party in opposition raises new matters for the first time in its opposition or if a more complete record would be beneficial." (Empire Mot. to Reply to PANYNJ Opp. to Empire Mot. to Quash at 2.)

Empire contends that contrary to PANYNJ's claim, no one from Empire agreed to accept service of the subpoena.

PANYNJ incorrectly suggests that Mr Lockwood of Empire agreed that Empire would cooperate in accepting service of the PANYNJ subpoena. Mr Lockwood never agreed to accept service. Rather, when contacted by PANYNJ's lawyers, he simply told them that they would need to address the matter with his colleague, Mr Shayne, because Mr Lockwood was not involved in the Maher transaction. PANYNJ lawyers misrepresent their communication with Mr Lockwood to make it appear that Mr Lockwood agreed to accept service for Empire by directing PANYNJ's lawyer to Mr Shayne. That is false.

From the start, Empire has been clear with counsel for PANYNJ that it is has no desire to be dragged into the fray between PANYNJ and Maher in this proceeding. Shortly after learning of the subpoena and retaining counsel, Empire informed PANYNJ's counsel that it considered the subpoenas defective, and would stand on its rights, because it is Empire's position that PANYNJ should first be required to exhaust its discovery from the Parties before oppressing third-party Empire. Contrary to PANYNJ's assertions, Empire did not at any time "accept service." Nor does PANYNJ present any evidence substantiating that suggestion.

Empire's position has always been, and remains, that PANYNJ should be required to exhaust discovery from Maher and if absolutely necessary to seek less burdensome discovery from Empire before compelling not one but four Empire witnesses to attend depositions on short notice. PANYNJ should first seek the required information from Maher and then ultimately through document requests or targeted written interrogatories if absolutely necessary

(*Id.* at 3 (citations to exhibits omitted))

⁵ Subpart V sets forth Commission rules governing the implementation of the Equal Access to Justice Act in Commission proceedings.

Empire denies that it is “substantially intertwined” with Maher and therefore should be treated as if it were a party rather than receiving consideration as a nonparty

Empire was a third-party contractor consultant hired by Port Elizabeth Holdings, LLC to perform a purchase price allocation of Maher for tax purposes in 2007. Its engagement was limited and it has no ongoing relationship with either Port Elizabeth Holdings, LLC or Maher. It is not affiliated with Maher, has no overlapping management with Maher, no common economic interest with Maher, and was not even retained by Maher.

(*Id.* at 4) Empire distinguishes its relationship with Maher from those of the deponents in *Xstrata* and *Buckingham*, the cases on which PANYNJ relies, and contends that PANYNJ has not addressed the higher standard for discovery from nonparties.

Empire also argues that PANYNJ misrepresents the contents of the Empire Report, contending that APM Terminal is not one of the terminals to which Maher Terminal was compared in the report; therefore, the Empire Report is not relevant to Maher’s claims or PANYNJ’s defenses. (*Id.* at 9-10)

4. Maher Motion for Leave to Reply and Reply.

On April 26, 2011, Maher filed a motion for leave to reply and reply to PANYNJ’s Opposition. Maher argues that it has a right to reply “to set the record straight following false statements and *ad hominem* attacks contained within PANYNJ’s opposition regarding Maher’s actions in discovery and the alleged significance of the Empire Report.” (Maher Mot. to Reply to PANYNJ Opp. to Empire Mot. to Quash at 1) Maher contends that:

PANYNJ’s reply is laden with numerous inaccuracies and mischaracterizations of Maher’s conduct in discovery in this case. Even though the subpoena was to Empire, and Empire was the party that moved to quash it, PANYNJ directed its opposition to Empire’s motion at Maher. Thereby, PANYNJ grossly misrepresented the facts, portraying Maher as acting in bad faith when in reality Maher has consistently complied with its discovery obligations.

(*Id.* at 2.) Maher argues that Commission rules 10 and 147 permit the presiding officer to allow a reply in this circumstance. (*Id.* at 2-3)

Maher contends that PANYNJ’s “motion” falsely accuses Maher of serving deficient discovery responses, stating that it

must file this reply to PANYNJ's motion [*sic*]⁶ because of the numerous false and gratuitous swipes PANYNJ takes at Maher in PANYNJ's Opposition to Empire's Motion to Quash. PANYNJ's opposition goes far out of its way to wage a campaign of vilification against Maher before the Presiding Officer. Sadly, the PANYNJ motion [*sic*] typifies PANYNJ's penchant for *ad hominem* attacks.

Repeatedly throughout PANYNJ's Opposition to Empire's Motion to Quash the PANYNJ Subpoena, PANYNJ engaged in unwarranted and blatantly false attacks against Maher and its counsel, criticizing Maher for various abuses of discovery regarding the Empire Report and underlying documents.

(*Id.* at 3) Maher then summarizes its view of the appropriateness of its discovery responses. (*Id.* at 3-8)

Maher contends "[t]hroughout its Motion [*sic*], PANYNJ affirmatively misrepresents the Empire Report's express content and relevance." (*Id.* at 8) Maher contends that PANYNJ did not ask the Maher witnesses whom it deposed about the Empire Report when it had the chance.

PANYNJ has repeatedly complained that Maher has refused to produce witnesses and information relevant to the Empire Report, yet when Maher provided one of the witnesses specifically mentioned in the Report as a party that Empire relied upon, PANYNJ failed to rigorously examine him on the topic. PANYNJ did the same with Brian Maher, only asking him a short series of superficial questions about the Report. Maher should not be required to compensate for PANYNJ's failure to question deponents and should not be wrongfully accused of bad faith when PANYNJ does not even pursue the evidence with the witnesses provided for deposition.

(*Id.* at 10 (citations to discovery omitted))

Maher contends that contrary to PANYNJ's assertion, Empire did not consider APM's lease with PANYNJ when it prepared the Empire Report, and that even if it had, Maher's value in 2007 when the Empire Report was prepared is not relevant to Maher's value in 2000 when it signed its lease with PANYNJ. (*Id.* at 8-14) Maher contends that the "subpoena should be quashed and failing that a decision on quashing it should be postponed until after the production of documents by Maher in response to PANYNJ's new discovery requests and to the testimony of Messrs. Murphy and Kerr formerly of RREEF " (*Id.* at 14)

⁶ PANYNJ's filing is an opposition to Empire's motion, not a motion.

5. PANYNJ's opposition to Maher and Empire's motions for leave to reply.

PANYNJ argues that neither Maher nor Empire has a right to file a reply to PANYNJ's opposition.

Not only is Maher prohibited from doing so under Commission Rule 132(a) because the subpoenas were served on Empire, not Maher, but replies are not permitted with very few exceptions that obviously do not apply here. Indeed, both Maher and Empire's motions concern issues that Empire originally raised in Empire's Motion to Quash the Subpoena Issued by [PANYNJ], and they merely respond to arguments raised in the Port Authority's Opposition Brief, which is plainly improper. Accordingly, Maher and Empire's motions should be stricken.

(PANYNJ Opp. to Empire and Maher Mots. to Reply to PANYNJ Opp. to Empire Mot. to Quash at 1-2.)

With regard to the merits, PANYNJ states.

In any other case, there would not have been any dispute regarding the subpoenas issued to Empire. The discovery sought by the Port Authority is plainly relevant to critical issues in this case, the burden is minimal, and there has certainly been no showing to the contrary. Moreover, it is now undisputed that the Port Authority offered, multiple times, to work with Empire to alleviate any burden. Unfortunately, however, Maher has once again fostered a needless dispute – now with three briefs and four declarations in an intense scorched earth attempt to stonewall important discovery and delay the proceedings, just as it did in 2008.

In doing so, Maher and Empire have turned the law on its head – including by contradicting the legal standards governing discovery set forth in one of Maher's own briefs filed within the past month. Moreover, their papers are laden with misrepresentations – perhaps most importantly, that the discovery from Empire is unnecessary because, it is said, the Port Authority could have gotten the information it seeks about Empire's work from witnesses who have been deposed and who supposedly were not adequately questioned regarding the Empire Report.

In fact, all the witnesses questioned after the Report was discovered – including Brian Maher, Scott Schley, Michael Davis, and Jeff Murphy – were questioned and all claimed lack of knowledge regarding the Empire Report and/or the critical admissions contained within it. In fact, contrary to Maher's argument that more rigorous questioning could have obviated the need for Empire depositions, Maher's counsel acknowledged on the record that key Maher witnesses lacked personal knowledge and objected to further questioning by the Port Authority on that basis at the same depositions Maher now cites (albeit with glaring omissions). For

example, at the deposition of Brian Maher, counsel for Maher and Empire made the following statement on the record.

Objection. Also, Counsel, I just want to put on the record, *I'm objecting to all of the questions that you're asking the witness about this document [the Empire Report], because he's testified he's not familiar with it.* And so I have a standing objection to all these questions.

Similarly, at the deposition of Mr Schley – who counsel now claims could have been questioned further regarding the Empire Report – the same counsel stated on the record.

It's clear to us, from the examination today and from reviewing these documents, that Mr Schley is not the right witness to be examining documents with respect to the Empire valuation, therefore, we don't think that there's any proper reason to assert that his deposition should remain open, with all respect.

In short, the representations made in Maher's brief to the effect that the discovery of Empire is unnecessary because it supposedly could have been obtained from Maher's witnesses are patently false and, indeed, outrageous.

(*Id.* at 2-3 (emphasis in original) (citations to exhibits omitted))

B. Rulings on Empire Motion to Quash and related motions.

I grant PANYNJ's motion to enlarge time to reply and Maher's and Empire's motions for leave to reply and consider the arguments raised in the replies and PANYNJ's opposition.

Empire raises procedural and substantive grounds in support of its motion to quash the subpoena.

1 Procedural grounds.

Empire's "technical grounds" articulated in its motion to quash are procedural in nature. With regard to the date scheduled for the deposition and the number of days between service and the date scheduled for the deposition, Empire argues.

The PANYNJ subpoena fails to provide enough notice to Empire before the deposition, and thus it is invalid and must be quashed. FMC Rule 132(c) provides that for a subpoena "served in connection with the taking of a deposition pursuant to § 502.203 the party who has requested the subpoena shall arrange that it be served at least twenty (20) days prior to the date specified in the subpoena therewith

” 46 C.F.R. § 502.132(c), see also FRCP 45(c)(3)(A)(i) (“[T]he issuing court *must* quash or modify a subpoena that: (i) fails to allow a reasonable time to comply”) (emphasis added)

(Empire Motion to Quash at 3-4) Empire omitted the provision of Rule 132(c) that allows the presiding officer to permit service less than twenty days in advance of the deposition from its quotation of the rule and ignores the provision in FRCP 45 that permits the judge to modify a subpoena, including modification of the date for production or deposition. *See Alexander v F.B.I.*, 186 F.R.D 12, 21 (D.D.C. 1998)

Empire also argues.

Additionally, a FRCP 30(b)(6) subpoena is particularly likely to impose an undue burden if it fails to provide adequate notice, given the requirements for extensive witness preparation under the Rule. *See Gulfstream Realty v Philips Elec.*, No. CIV 06-1165 JB/DJS, 2007 WL 5704041, **7-8 (D.N.M. Oct. 24, 2007)

(Empire Motion to Quash at 6)

As a practical matter, the third-party subpoena provided Empire only six business days to comply, which is grossly unreasonable under normal circumstances, and is simply impossible during tax season and quarter-end. Consequently, because of the heavy workload for Empire’s employees through at least the end of April, compliance with the subpoena presents a very heavy burden on Empire, and the time provided for response is wholly unreasonable.

(*Id.* at 8)

The passage of time has mooted any problems caused by the fact that the subpoena was not served twenty days in advance of the deposition date, the conflict with the 2011 tax season, and the conflict of a major religious holiday impacting Empire’s ability to prepare. I note that in *Gulfstream Realty*, one of the cases on which Empire relies, the court permitted a Rule 30(b)(6) deposition of a party after the close of discovery *Gulfstream Realty v Philips Elec.*, 2007 WL 5704041, **8-10. I question whether Empire has standing to argue that the subpoena should be quashed because its deposition conflicts with another deposition in the case. As a nonparty, Empire does not need to attend the other deposition, so Empire has no conflict. Assuming that it does have standing, the conflict with another deposition could be resolved by setting a new date. Therefore, the motion to quash on the grounds that the subpoena was not served twenty days or more before the date of the deposition and the scheduled date conflicts with the tax season, a major religious holiday, and another deposition in this proceeding is **DENIED**

With regard to Empire’s claim that PANYNJ purportedly failed to complete and file the affidavit of service required by Commission Rule 134, I take official notice that PANYNJ filed the affidavit of service on April 14, 2011. A Commission subpoena must be signed by the presiding

officer before it is served. 46 C.F.R. § 502.131 Empire apparently contends that the subpoena should be quashed because PANYNJ did not serve the subpoena *before* it was signed, then file the affidavit of service of the unsigned subpoena when it submitted the subpoena for signature by the presiding officer Empire's argument that the subpoena should be quashed because PANYNJ did not file the affidavit of service when submitting the subpoena to the Commission for endorsement is without merit.

Certain background facts are necessary with regard to the representation to the presiding officer that Empire claims is a promise by PANYNJ not take discovery from any third parties. On September 30, 2008, PANYNJ requested issuance of six third-party subpoenas. Empire was not one of the third parties. On October 20, 2008, Maher filed a motion to quash the subpoenas. PANYNJ filed an opposition to the motion. In the first discovery dispute, I found that:

It appears that the information sought by the [subpoenas] substantially duplicates the information sought by PANYNJ in the interrogatories and requests for production addressed in Part 3 above. If PANYNJ receives this information through the production ordered by Part 3, it may not be necessary to require the third parties to incur the expense of producing the information. Therefore, I will defer ruling on Maher's motion to quash the [subpoenas] pending PANYNJ's receipt and review of the information it receives pursuant to Part 3 On or before August 20, 2010, PANYNJ shall file a notice stating whether it still seeks the information described in the [subpoenas]

Maher v PANYNJ, FMC No 08-03, Memorandum at 82 (ALJ July 23, 2010) (Memorandum and Order on Discovery Motions) After the stays granted to permit the parties to discuss settlement, PANYNJ filed the notice on February 11, 2011

[PANYNJ] hereby submits this notice regarding the third party subpoenas issued by the Port Authority requesting production of documents by RREEF America, LLC, Grant Thornton, and Greenhill & Co., Inc (collectively the "Subpoenaed Parties").

On January 18, 2011, [Maher] produced documents in response to certain document requests. Upon review of the documents produced, the Port Authority has determined that, in order to avoid delaying this proceeding, it will not pursue the third party subpoenas to obtain additional documents from the Subpoenaed Parties. The Port Authority reserves the right to request additional documents from Maher, Deutsche Bank ., or the Subpoenaed Parties if deposition testimony reveals the existence of material and non-duplicative documents that have not been produced.

(Filing Notice Regarding Third Party Subpoenas.)

Empire contends that by issuing a subpoena to Empire, PANYNJ is reversing the position PANYNJ took in its Filing Notice. (Empire Motion to Quash at 10) It is not clear to me that Empire, "a distant third party," has standing to make this argument. To the extent PANYNJ's Filing

Notice may be an enforceable promise, the promise runs to Maher, not Empire. With regard to the claimed promise itself, PANYNJ promised not to seek additional documents from RREEF America, LLC, Grant Thornton, and Greenhill & Co., Inc. PANYNJ did not promise that it would not seek documents from other third parties, including Empire, an entity about which PANYNJ apparently knew nothing until it found the Empire Report in March 2011. Therefore, assuming Empire has standing to base an argument on the Filing Notice, the argument is without merit. Empire's motion to quash the subpoena based on the claim that PANYNJ's Filing Notice constituted a promise not to obtain additional discovery from third parties is **DENIED**.

Empire did not raise any objection to service of the subpoena in its motion to quash. (*See* Empire Mot. to Quash at 2 (“On March 30, 2011, PANYNJ, through a private process server, served an office assistant at Empire’s New York City office with a subpoena”), at 3 n.2 (“Empire has properly filed this Motion 12 days after being served with the subpoena.”)) In its reply to PANYNJ’s opposition, Empire seems to argue that PANYNJ did not serve the subpoena properly (*See* Empire Motion to Reply at 3 (“Contrary to PANYNJ’s assertions, Empire did not at any time ‘accept service.’ Nor does PANYNJ present any evidence substantiating that suggestion.”).) Empire has waived this ground to quash the subpoena by not raising it in its motion to quash.

Even if Empire had properly claimed that the subpoena should be quashed for improper service, “[i]n recent years a growing number of cases have departed from the view that personal service is required and alternatively have found service of a subpoena under Rule 45 proper absent personal service.” 9A Wright and Miller, *Federal Practice and Procedure* § 2454, pp. 299-300 (2008). FRCP 45 states that “[s]erving a subpoena requires delivering a copy to the named person.” Fed. R. Civ. P. 45(b)(1).

The term “delivering” is not defined in the Federal Rules of Civil Procedure. “When a word is not defined by statute, [courts] normally construe it in accord with its ordinary or natural meaning.” As for the ordinary or natural meaning of “deliver,” the American Heritage Dictionary [(3d ed. 1992)] defines “deliver” as, among other things, “[t]o bring or transport to the proper place or recipient; distribute.” “Transport” is defined as “[t]o carry from one place to another; convey.” And, “convey” is defined as, among other things, “[t]o take or carry from one place to another; transport” and “[t]o communicate or make known, impart.” With these definitions in mind, the Court finds that the common meaning of “delivering,” thus, does not foreclose sending via FedEx or certified mail. The language of Rule 45(b) neither strictly requires personal service nor prohibits alternative means of service. Though it may be somewhat awkward under its dictionary definitions, “delivering,” in the sense of “transporting” from one place to another or “conveying” information, could in common usage encompass sending whatever is to be delivered via FedEx or certified mail. Put simply, it is reasonable, common usage to say, in the sense of delivering a document to another, “I will deliver it to you via FedEx or certified mail.” This reading, however, is not compelled by Rule 45(b)’s text to the exclusion of other readings, just as its text does not compel reading “deliver” to mean only personal service. For those reasons, the statute does not speak with clarity to the

issue of what constitutes a proper method of “delivery,” and thus, the text, in itself, does not end the Court’s inquiry

Bland v Fairfax County, Va., 275 F.R.D 466, 469 (E.D Va. 2011) (citations omitted) The court in *Bland* found that service of subpoenas for trial on nonparty witnesses by Federal Express complies with FRCP 45 *Id.* at 471-472.

In another case, a process server

attempted to serve the subpoena [for deposition] on [a nonparty deponent], but [the deponent] was out of state. [The deponent’s] wife advised the process server of that fact, and the process server asked [the deponent’s wife] if she would accept service on behalf of her husband. She responded that she was not authorized to accept service and would not do so. Thereafter, the process server left the subpoena outside of the [deponent’s] home.

E.A. Renfroe & Co v Moran, Civ Ac. No. 08-CV-00733-REB-MJW, 2008 WL 1806200, at *1 (D Colo Apr 21, 2008) The deponent moved to quash service of the subpoena, and the court addressed the question of “whether service of a subpoena on a non-party individual pursuant to Rule 45(b) must be accomplished by personal, hand-to-hand service under the facts and circumstances of this case. *Id.* at *3 The court relied in part on the seminal case on the due process requirements of service. *Id.*

An elementary and fundamental requirement of due process in any proceeding which is to be accorded finality is notice reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections. The notice must be of such nature as reasonably to convey the required information, and it must afford a reasonable time for those interested to make their appearance.

Mullane v Central Hanover Bank & Trust Co, 339 U S 306, 314 (1950) (citations omitted) *See also Henderson v United States*, 517 U.S. 654, 672 (1996) (“[T]he core function of service is to supply notice of the pendency of a legal action, in a manner and at a time that affords the defendant a fair opportunity to answer the complaint and present defenses and objections.”)

The court in *Renfroe* concluded.

The obvious purpose of Rule 45(b) is to mandate effective notice to the subpoenaed party, rather than “slavishly adhere to one particular type of service.” Thus, it is clear from the protections provided in Rule 45 that when a non-party receives actual notice, as petitioner did in this case, that party can protect itself from being compelled to give deposition testimony simply by filing a motion to quash as petitioner has done in this case. The courts that have upheld service by alternative means have uniformly held that what is mandated is that service be made in a manner

which reasonably insures actual receipt of the subpoena by the witness. Whether a potential deponent in the position of the petitioner was served “hand-to-hand” becomes a moot point from a practical perspective.

E.A. Renfroe & Co v Moran, 2008 WL 1806200, at *5 (citations omitted).

Indeed, the Commission itself has successfully advocated this position for its rule governing service of subpoenas in Commission proceedings. Commission Rule 134 governing service of subpoenas provides “In making service, the original subpoena shall be exhibited to the person served, shall be read to him or her if he or she is unable to read, and a copy thereof shall be left with him or her” 46 C.F.R. § 502.134 (2010). In 1965, the wording of what the court identifies as Commission Rule 9(c) governing service of Commission subpoenas was substantially identical “In making service the original subpoena shall be exhibited to the person served, shall be read to him if he is unable to read, and a copy thereof shall be left with him.” 46 C.F.R. § 502.133 (1965).

A Commission hearing examiner granted the application for a number of subpoenas filed by a private party in a proceeding before the Commission. The recipients of the subpoenas refused to comply, and the Commission and the private party petitioned the district court to enforce the subpoenas. The recipients argued that “the Commission’s application to enforce the subpoenas should be denied because [the subpoenas] were not served in accordance with administrative rules.” *Ludlow Corp v DeSmedt*, 249 F Supp. 496, 498 (S.D.N.Y. 1966). In granting the Commission’s petition to enforce the subpoenas, the court held.

Respondents contend that seventeen of the subpoenas here involved were served improperly because they were exhibited and delivered to employees of the respondents. *We do not agree that Rule 9(c) requires nothing less than personal service upon the officers of the carriers named as defendants in this action.* The Rule does not direct that the person served must be the person named in the subpoena. Moreover, respondents do not question the authority of the employees served. We conclude that the manner of service was in full compliance with Rule 9(c) of the Commission.

Id. (emphasis added).

In this proceeding, PANYNJ served the subpoena in a manner reasonably calculated to apprise Empire of the deposition. Empire received the subpoena and had actual notice of the deposition, and not only had a fair opportunity to present objections, but exercised that option. Therefore, even if Empire properly raised this argument, I would not quash the subpoena based on the manner it was delivered to (and received by) Empire.

2. Substantive grounds.

The subpoena of Empire seeks Rule 30(b)(6) testimony and documents. The analysis is somewhat different for the two

a. Document requests of Empire.⁷

“A party or attorney responsible for issuing and serving a subpoena must take reasonable steps to avoid imposing undue burden or expense on a person subject to the subpoena.” Fed. R. Civ P 45(c)(1), *cited in Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi River*, FMC No 01-06 (ALJ Jan. 4, 2002) (Motion to Reconsider Rulings Concerning Two Depositions of Messrs. Holt and Beech Denied) (“it is proper to consider the burden on [nonparties]”) *See also* Fed. R. Civ P 45(c)(3)(A) (“On timely motion, the issuing court must quash or modify a subpoena that: (iv) subjects a person to undue burden.”)

Although discovery is by definition invasive, parties to a law suit must accept its travails as a natural concomitant of modern civil litigation. Non-parties have a different set of expectations. Accordingly, concern for the unwanted burden thrust upon non-parties is a factor entitled to special weight in evaluating the balance of competing needs.

Cusumano v Microsoft Corp, 162 F.3d 708, 717 (1st Cir 1998), *citing Haworth, Inc. v Herman Miller, Inc.*, 998 F.2d 975, 978 (Fed. Cir 1993), *Dart Indus. Co v Westwood Chem. Co*, 649 F.2d 646, 649 (9th Cir 1980), *Addamax Corp v Open Software Found., Inc.*, 148 F.R.D 462, 468 (D Mass.1993) *See also Heidelberg Americas, Inc. v Tokyo Kikai Seisakusho, Ltd.*, 333 F.3d 38, 41-42 (1st Cir 2003)

PANYNJ’s argument that because of alleged close connections between Empire and Maher, Empire should not get the benefit of treatment as a nonparty, is not persuasive. Empire performed its analysis and prepared the Empire Report as an independent third party. It was not substantially intertwined in either the negotiation of Lease EP-249 or the sale of Maher. I find that it is entitled to the “different set of expectations” of a nonparty.

Empire relies on several cases to support its contention that third parties should be protected from subpoenas for documents when the information can be obtained from another source. *Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Miss. River*, 30 S.R.R. 381, 381 (ALJ 2004), *Mannington Mills, Inc. v Armstrong World Ind.*, 206 F.R.D 525, 529 (D Del. 2002) (cited by 9 James W Moore et al., *Moore’s Federal Practice* § 45.50[3]), *Moon v SCP Pool Corp*, 232 F.R.D 633, 635, 637 (C.D Cal. 2005), *Guy Chem. Co, Inc. v Romaco AG*, 243 F.R.D 310, 311-313 (N.D Ind. 2007), *In re Subpoenas of the Fed. Mar Comm’n Issued to Jose Diaz/Tioga Fruit Terminal, Inc. & Chilean Line, Inc.*, 28 S.R.R. 90, 92 (E.D Pa. 1997), *Haber v ASN 50th St.*, 272 F.R.D 377, 382 (S.D.N Y 2011). These cases stand for the proposition that when a party seeks

⁷ Set out in italicized text are: PANYNJ’s Request for Documents and Deposition Topics; Empire’s argument set forth in its motion to quash addressing why it should not be required to produce the document or be deposed on the deposition topic; and PANYNJ’s opposition to Empire’s argument. Most citations to exhibits accompanying the memoranda have been omitted.

documents from a nonparty that are also available from another source, it is appropriate to protect the third party from unduly burdensome production.

As set forth below, I find that in the circumstances presented, most of the document requests addressed to Empire go beyond what should be expected by a nonparty. I do find that three document requests (No. 8, No. 9, and No. 10) seek documents that are not likely found in possession of anyone but Empire. Therefore, Empire is ordered to respond to these three document requests.

Document Request No. 1. *All drafts of the [Empire] Report, as defined in the accompanying subpoena.*

Empire's Argument. *For the reasons set forth herein and supra Sections I through III, this subpoena request should be quashed. Maher, Deutsche Bank Americas Holding Corp ("DBA"), and RREEF have already produced, or to the extent that other nonprivileged documents comply with the discovery requests, have been requested to produce all available drafts of the Empire Report, which were given to Maher by Empire. Additionally, PANYNJ has noticed the testimony of both Maher and RREEF corporate designees under FRCP 30(b)(6) to testify regarding Maher's relationship with Empire, thereby requesting knowledgeable witnesses on the subject.*

As set forth more specifically in the table below, this request overlaps with and is duplicative of requests that PANYNJ has already served upon Maher which Maher has not yet answered, and it should be required to do so before seeking burdensome discovery from Empire, an independent third party. Therefore, as a practical matter, to the extent the subpoena may request relevant documents, they have been produced or are being produced, and thus this request is overly burdensome, duplicative, unnecessary, and should be quashed.

PANYNJ's Opposition. *Empire wrongly asserts that Request No. 1 should be quashed because documents responsive to Request No. 1 either have been or will be produced pursuant to document requests to Maher, and the Port Authority has requested the depositions of 30(b)(6) witnesses from Maher and RREEF who will testify to the relationship between Empire and Maher. As explained above, Empire likely has drafts with its comments or markups, and Maher may not have all drafts provided to Empire that contain Maher or RREEF's comments. Nor has Empire shown that Maher actually has each of the drafts that Empire provided to Maher in 2007 or 2008, or that Maher will produce them. Perhaps most importantly, these documents are obviously relevant and the burden of collecting drafts of the Empire Report and providing them to the Port Authority is negligible. Accordingly, Empire should comply with this document request. In addition, a Maher witness cannot possibly testify about Empire's internal discussions concerning the drafts or comments (or the lack of objections or comments) from Maher and RREEF.*

RULING:

PANYNJ has the final version of the Empire Report, and drafts of the Empire Report apparently have been produced by Maher and RREEF. Nonparty Empire should not be required to produce more copies of documents already produced. Although there may be some versions of drafts in Empire's files that have not been produced, the burden on nonparty Empire of producing documents because it is possible that some versions of drafts have not been produced is not justified. Therefore, Empire's motion to quash the subpoena with regard to Document Request No. 1 is **GRANTED**.

Document Request No. 2. Documents sufficient to show (a) a description of the work performed in connection with the [Empire] Report and the personnel who engaged in that work; (b) the invoices sent by, and fees paid to, Empire in connection with the [Empire] Report, and (c) retention or engagement letters reflecting the agreed upon scope of work with respect to the [Empire] Report.

Empire's Argument. Empire objects that this request is irrelevant, overbroad, and unduly burdensome, as it implicates information regarding Maher's retention of Empire and sensitive financial information regarding the fees charged Maher by Empire that is not relevant to Empire's allocation work or any elements of any PANYNJ claim or defense in this case. Additionally, to the extent it might be relevant at all, the requested information is included in the report itself, which plainly sets forth the scope of work and Empire personnel who worked on the report. And in all events, the financial information regarding fees and retention is also likely to be present in Maher's files regarding its retention of Empire and is therefore objectionable for those grounds set forth above and in response to Request No. 1.

PANYNJ's Opposition. Empire asserts that Document Request No. 2 should be quashed because it is irrelevant, overbroad and unduly burdensome, that the documents implicate "sensitive" information regarding Empire's fees, and that the scope of employment and the individuals who drafted the report are evident from the Report itself. The documents sought are plainly relevant and can be easily provided. For example, the retention letter, which Maher has not produced, will establish the intended purpose of the Empire Report, and documents sufficient show the extent of the work performed and amounts paid for it will provide useful information about why the Empire Report is important, reliable and binding on Maher. With regard to Empire's confidential information, the Protective Order, stipulated to by the Parties and entered by the Commission on September 15, 2008, provides ample protections to third parties, who merely need to designate their documents as confidential for them to be treated as covered by the Order. See Protective Order dated Sept. 15, 2008, attached to the Meade Decl. as Ex. J, at 17 ("Third-parties who are requested to produce documents or things or provide testimony in this action may avail themselves of the provisions of this Protective Order by endorsing it, and becoming a Party thereto, and may designate and produce documents, things,

or testimony containing Confidential Information in accordance with its provisions without further action by the Commission.”)

RULING

To the extent the requested information may be within the scope of discovery, it is sufficiently covered in the Empire Report itself or can be obtained in deposition. Therefore, Empire’s motion to quash the subpoena with regard to Document Request No 2 is **GRANTED**

Document Request No 3 Documents related to Lease No. EP-249 between the Port Authority and Maher Terminals, LLC (“Maher U.S. Lease”) or the lease arrangements of other terminal operators at Port Elizabeth.

Empire’s Argument. Empire objects to this specific request on the same grounds as set forth above in response to Document Request No 1 Such documents should be in the possession of PANYNJ or Maher, and any access to such documents by Empire would likely have been through Maher

PANYNJ’s Opposition. Empire asserts that Request No 3 is duplicative of requests issued to Maher, that a Maher or RREEF 30(b)(6) witness will testify to the relationship between Maher and Empire, and that Empire’s access to the documents would “likely have been through Maher ” In the first instance, only Empire can provide the documents pertaining to the leases that it considered, including because. (a) Maher does not have copies of documents with Empire’s comments or mark ups, and (b) some of the documents Empire obtained during the project admittedly were not provided by Maher, and Maher does not know which documents Empire considered. In addition, Empire has not demonstrated that Maher maintained (much less has produced) an inventory or list of the documents it provided to Empire. In addition, only Empire can produce a witness with personal knowledge of the information considered by Empire, the importance of that information to Empire and discussions about these documents within Empire.

RULING

On April 29, 2011, Maher served responses to PANYNJ’s Fourth Requests, including documents that relate to the Empire Report. (Maher Opp to PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 8) Although Empire may have some documents in its files that have not been produced by Maher and RREEF, the burden on a nonparty Empire of producing additional copies of documents that have already been produced outweighs the potential benefit that would result from ordering production. Therefore, Empire’s motion to quash the subpoena with regard to Document Request No 3 is **GRANTED**

Document Request No. 4 Documents related to the consideration, analysis and/or valuation of the Maher U.S. Lease and/or Maher's "Lease Rights and Customer Relationships" (as that phrase is used in the [Empire] Report)

Empire's Argument. Empire objects to this specific request on the same grounds as set forth above in response to Document Request No. 1. Furthermore, Empire's allocation analysis is already contained in the Empire Report, report drafts provided to Maher, and underlying referenced documents that Empire relied upon would have come from Maher, and should be obtainable from Maher.

PANYNJ's Opposition. Empire again wrongly asserts that Request No. 4 is duplicative of requests issued to Maher, that a Maher 30(b)(6) witness will testify to the relationship between Maher and Empire, that Empire's analysis is contained in the Empire Report, and all documents "should be obtainable from Maher." Its objections to this request – which goes to the heart of this case – are baseless. Empire, not Maher, will have Empire's internal documents concerning this critical topic, including internal memoranda and communications with other Empire personnel and notes of conversations or meetings with Maher and RREEF management. Maher also has only produced a small fraction of the likely communications between Empire and Maher concerning these topics, either because it no longer has them or is refusing to produce them. Further, these documents and many other categories of documents discussed above also would not be reflected in the Empire Report. And here again, the testimony of the Empire witnesses who prepared the report – including those who interviewed members of Maher's management and RREEF – will be critical and certainly not duplicative of what Maher's witnesses will say. To the contrary, here as elsewhere, the Empire documents and testimony will be extremely valuable for purposes of questioning Maher's witnesses.

RULING:

On April 29, 2011, Maher served responses to PANYNJ's Fourth Requests, including documents that relate to the Empire Report. (Maher Opp. to PANYNJ Apr. 22, 2011, Mot. to Enforce and Compel at 8.) Although Empire may have some documents in its files that have not been produced by Maher or RREEF, the burden on a nonparty Empire of producing additional copies of documents that have already been produced outweighs the potential benefit that would result from ordering production. Therefore, Empire's motion to quash the subpoena with regard to Document Request No. 4 is **GRANTED**.

Document Request No. 5 Documents related to the consideration, analysis and determination concerning whether the Maher U.S. Lease was a below or above market lease arrangement, and any comparison to or analysis of lease arrangements of other terminal operators at Port Elizabeth with respect to that determination, including Lease No. EP-248 between the Port Authority of New York and New Jersey

(“Port Authority”) and Maersk Container Service Company, Inc./Sea-Land (“Maersk”)

Empire’s Argument. Empire objects to this specific request on the same grounds as set forth above in response to Document Request No 1. Furthermore, any such documents that Empire possesses on this topic would have come from Maher, and should be obtainable from Maher.

PANYNJ’s Opposition. Maher raises the same groundless objections to this request as it did to Request No 4, which should be rejected for the same reasons stated above. Indeed, among the multiple reasons why these documents are critical is that, according to the Empire Report, Empire, Maher and RREEF concluded that Maher’s lease terms were justified and not too high based on the unique transportation qualities and attributes of Maher’s lease. Empire alone has its internal documents concerning this subject, which may provide further evidence that Maher’s claims in this proceeding should be dismissed as a matter of law. Moreover, Empire’s claim that it did not perform any independent analysis of Maher’s business, aside from being contradicted by the Empire Report, would, to the extent true, only increase the importance of permitting discovery of Empire’s internal and other documents, including with regard to Empire’s reliance on the views of Maher and RREEF’s management that the marginal difference between the Maher and Maersk lease terms were fully justified by the transportation factors cited in the Empire Report.

RULING:

On April 29, 2011, Maher served responses to PANYNJ’s Fourth Requests, including documents that relate to the Empire Report. (Maher Opp to PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 8.) Although Empire may have some documents in its files that have not been produced by Maher or RREEF, the burden on a nonparty Empire of producing additional copies of documents that have already been produced outweighs the potential benefit that would result from ordering production. Therefore, Empire’s motion to quash the subpoena with regard to Document Request No 5 is **GRANTED**.

Document Request No. 6. All documents reflecting or relating to communications between Empire and Maher, RREEF Infrastructure Investments, or any third party, relating to (i) the [Empire] Report, (ii) the Maher U.S. Lease and/or Maher’s Lease Rights and Customer Relationships, and (iii) other lease arrangements at Port Elizabeth.

Empire’s Argument. Empire objects to this specific request on the same grounds as set forth above in response to Document Request No 1. Furthermore, any such communications with Maher and RREEF are likely obtainable from Maher, and PANYNJ’s insistence upon burdening Empire with such requests before it has sought the discovery from Maher is inappropriate and unduly burdensome.

PANYNJ's Opposition. Empire asserts that Request No 6 is duplicative of requests issued to Maher, that a Maher 30(b)(6) witness will testify to the relationship between Maher and Empire, that Empire's allocation analysis is in the Empire Report, and that "any such communications are likely obtainable from Maher." See *id.* at 13. Empire – not Maher or RREEF – has exclusive access to its internal documents concerning these discrete, but important, topics. Moreover, even as to any communications that may have been in Maher's files, its production to date provides no assurance that Maher has these documents or will in any event produce them. Given the negligible burden of producing these important documents and Maher's conduct in discovery to date, Empire should be required to respond to this discovery request in full.

RULING:

On April 29, 2011, Maher served responses to PANYNJ's Fourth Requests, including documents that relate to the Empire Report. (Maher Opp. to PANYNJ Apr. 22, 2011, Mot. to Enforce and Compel at 8.) Although Empire may have some documents in its files that have not been produced by Maher or RREEF, the burden on a nonparty Empire of producing additional copies of documents that have already been produced outweighs the potential benefit that would result from ordering production. Therefore, Empire's motion to quash the subpoena with regard to Document Request No. 6 is **GRANTED**.

Document Request No. 7. Documents relating to, or forming the basis for, the statements on pages 14-15 of the [Empire] Report that "Management and RREEF attributed the differences in basic rental amount (and per acre amount) to Maher's favorable infrastructure attributes, including (i) depth of channel, (3) length of berth, (3) size of yard, and (4) intermodal access. Management and RREEF believe that the higher basic rental amount, and per acre rental amount paid and to be paid by Maher U.S. reflects the superior nature of the Maher property, the additional flexibility in yard usage, and its infrastructure. RREEF and management believe that going forward, the maximum capacity constraints placed on other terminal operators within Port Elizabeth by their infrastructure that are not applicable to Maher U.S. outweigh the marginally higher basic rental amount."

Empire's Argument. Empire objects to this specific request on the same grounds as set forth above in response to Document Request No. 1. Furthermore, the documents relied upon to create the Empire Report are listed clearly in the Report, and any such documents that Empire possesses on this topic would have come from Maher and therefore should be obtainable from Maher.

PANYNJ's Opposition. Empire wrongly asserts that Request No. 7 is duplicative of requests issued to Maher, that a Maher 30(b)(6) witness will testify to the relationship between Maher and Empire, and that documents and sources upon which Empire relied are listed in the Report and are obtainable from Maher. See

id. at 14 *In the first instance, Empire is in sole possession of its internal documents about these critical admissions and only an Empire witness can speak completely and competently to those documents. Further, Empire may have communications from Maher and RREEF – which can be produced easily – related to these case dispositive admissions that have not been produced in spite of discovery requests issued two years ago and the Presiding Officer's Discovery Order compelling their production. Moreover, here, as elsewhere, the Empire documents will be critical to questioning Maher witnesses regarding this subject, which goes to the very heart of this case.*

RULING:

On April 29, 2011, Maher served responses to PANYNJ's Fourth Requests, including documents that relate to the Empire Report. (Maher Opp. to PANYNJ Apr 22, 2011, Mot. to Enforce and Compel at 8) Although Empire may have some documents in its files that have not been produced by Maher or RREEF, the burden on a nonparty Empire of producing additional copies of documents that have already been produced outweighs the potential benefit that would result from ordering production. Therefore, Empire's motion to quash the subpoena with regard to Document Request No 7 is **GRANTED**

Document Request No. 8 *Any questionnaires that Empire provided to Maher or RREEF personnel, as well as any responses provided by Maher or RREEF personnel (or any third party acting on their behalf*

Empire's Argument. *Empire objects to this specific request on the same grounds as set forth above in response to Document Request No 1 Furthermore, any such questionnaires that Empire possesses on this topic would have been sent to Maher or RREEF, and should first be sought from them before unduly burdening Empire.*

PANYNJ's Opposition. *Empire asserts that Request No 8 is duplicative of requests issued to Maher, that a Maher 30(b)(6) witness will testify to the relationship between Maher and Empire, and that documents and sources upon which Empire relied are listed in the Report and is obtainable from Maher To the contrary, the Empire Report does not disclose anything other than the fact that Empire issued questionnaires to Maher and RREEF, which they returned to Empire. Maher has not produced completed questionnaires, and the burden of producing them is insignificant. Therefore, Empire should produce them.*

RULING:

If Empire provided questionnaires to Maher and RREEF personnel and Maher and RREEF retained copies, the questionnaires and the responses should have been produced by Maher If Maher and RREEF did not retain copies, then the only source presumably would be Empire. Empire

is ordered to produce any questionnaires and the responses of Maher and RREEF personnel that Maher did not produce in response to PANYNJ's discovery requests.

Document Request No. 9 All notes, memoranda or tapes reflecting or relating to interviews that Empire conducted of Maher or RREEF personnel (including any third party acting on their behalf)

Empire's Argument. Empire objects to this specific request on the same grounds as set forth above in response to Document Request No 1 PANYNJ should be required to depose the Maher witnesses it has noticed regarding any such meetings or interviews and, at all events, the most salient points are likely reflected in the Empire Report and referenced documents which have already been produced or may be produced by Maher

PANYNJ's Opposition. Empire asserts that Request No 9 is duplicative of requests issued to Maher, that a Maher 30(b)(6) witness will testify to the relationship between Maher and Empire, and that documents and sources upon which Empire relied are listed in the Report and is obtainable from Maher See id. The objection is specious. First, only Empire will have Empire's internal notes, memoranda and tapes of interviews and meetings with Maher, RREEF and third parties Second, only an Empire witness can speak to Empire's impressions, observations and analyses of the meetings Moreover, the information contained in these documents could constitute critical party admissions and, like the other documents requested from Empire, will obviously be valuable for purposes of questioning Maher's witnesses

RULING

It is not likely that Empire provided Maher or RREEF with copies of notes, memoranda, or tapes reflecting or relating to interviews that Empire conducted of Maher or RREEF personnel while gathering information and preparing the Empire Report. Document Request No 9 seeks information that is relevant to the issues in this proceeding or appears reasonably calculated to lead to the discovery of admissible evidence. Therefore, Empire's motion to quash the subpoena with regard to Document Request No 1 is **DENIED** Empire is ordered to identify all notes, memoranda, or tapes reflecting or relating to interviews that Empire conducted of Maher or RREEF personnel. Empire is ordered to produce copies of any notes, memoranda, or tapes reflecting or relating to interviews that Empire conducted of Maher or RREEF

Document Request No. 10 All internal communications or analyses reflecting or relating to Empire's comments, criticisms, or critiques of the [Empire] Report.

Empire's Argument. Empire objects to this specific request on the same grounds as set forth above in response to Document Request No 1 Empire objects that this request is irrelevant, overbroad, and unduly burdensome because it requests alleged

internal Empire comments not included in any Empire Report draft or in the final Empire Report itself. Additionally, given that this allocation report was one among many performed by Empire in 2008, it is unlikely there is anything of significance in the way of peripheral commentary not included in the report itself.

PANYNJ's Opposition. *Empire asserts that Request No. 10 is duplicative of requests issued to Maher, that a Maher 30(b)(6) witness will testify to the relationship between Maher and Empire, and objects to the request as "irrelevant, overbroad, and unduly burdensome." By definition, Empire's internal communications and communications are only in Empire's custody. In terms of burden, Empire has not and cannot cite any facts to support its conclusory allegation of burden, which should be summarily rejected. Here, as elsewhere, any responsive documents relate to one discrete project done over a discrete period of time by a handful of Empire employees. Accordingly, the documents implicated by this request are likely few in number and can be easily located.*

RULING:

It is not likely that Empire provided Maher or RREEF with internal communications or analyses reflecting or relating to Empire's comments, criticisms, or critiques of the Empire Report. Document Request No. 10 seeks information that is relevant to the issues in this proceeding or appear reasonably calculated to lead to the discovery of admissible evidence. Therefore, Empire's motion to quash the subpoena with regard to Document Request No. 10 is **GRANTED**. Empire is ordered to identify all internal communications or analyses reflecting or relating to Empire's comments, criticisms, or critiques of the Empire Report. Empire is ordered to produce copies of any internal communications or analyses reflecting or relating to Empire's comments, criticisms, or critiques of the Empire Report.

Document Request No. 11. *Documents sufficient to show any third parties to whom the [Empire] Report was provided.*

Empire's Argument. *Empire objects to this specific request on the same grounds as set forth above in response to Document Request No. 1. This request is overbroad, as it implicates information about parties with whom Empire shared the information that is not relevant to Empire's allocation analysis for Maher or any elements of any PANYNJ claim or defense in this case. Additionally, Empire would not have shared the Empire Report with third parties beyond its client, Port Elizabeth Holdings, LLC, and it would have been for Port Elizabeth Holdings, LLC to share the report as it saw fit.*

PANYNJ's Opposition. *Empire asserts that Request No. 11 is duplicative of requests issued to Maher, that a Maher 30(b)(6) witness will testify to the relationship between Maher and Empire, and is overbroad. Contrary to Empire's assertion that the request is overbroad because it "implicates information about third parties with*

whom Empire shared the information," the subsequent uses of the Report would be relevant to, among other things, its adoption by Maher and RREEF. Furthermore, if Empire did not "share the Empire Report with third parties beyond its client [and] Port Elizabeth Holdings, LLC," then this request imposes no burden on Empire.

RULING

Identity of third parties to whom Empire distributed the report, if any, does not appear to be reasonably calculated to lead to the discovery of admissible evidence. Therefore, Empire's motion to quash the subpoena with regard to Document Request No. 11 is **GRANTED**.

Empire's motion to quash PANYNJ's subpoena *duces tecum* signed on March 30, 2011, is **GRANTED IN PART** and **DENIED IN PART**. Empire is ordered to respond to Requests for Documents No. 8, No. 9, and No. 10 within fourteen days of the date of this Order. With regard to Requests for Documents No. 1 through 7 and Request for Documents No. 11, the subpoena is quashed.

b. Rule 30(b)(6) deposition of Empire.

"[T]he party seeking to quash a subpoena bears a heavy burden of proof." *Irons v. Karceski*, 74 F.3d 1262, 1264 (D.C. Cir. 1995) (affirming denial of nonparty's motion to quash subpoena for deposition).

We begin with the proposition that plaintiffs have no burden to show that the deponents have any relevant knowledge. "An order barring a litigant from taking a deposition is most extraordinary relief. It is the party seeking such an order that bears the burden of proving that the proposed deponent has nothing to contribute."

In re Garlock, 463 F. Supp. 2d 478, 481 (S.D.N.Y. 2006), quoting *Speedmark v. Federated Dep't. Stores, Inc.*, 176 F.R.D. 116, 118 (S.D.N.Y. 1997).

PANYNJ wants to depose Empire pursuant to Federal Rule of Civil Procedure 30(b)(6). The subpoena identifies four deposition topics.

Deposition Topic No. 1 The analysis, dated January 29, 2008, of Empire Valuation Consultants, LLC, to allocate the fair value of the purchased intangible assets and goodwill of Maher Terminals Holding Corp. as of July 3, 2007, including any drafts (the "[Empire] Report"), including: (a) the work performed, and fees earned, by Empire; (b) the facts, data and information considered or relied on to prepare the [Empire] Report; (c) the valuation methods utilized and conclusions reached, and (d) communications between Empire and Maher, RREEF, or any third party acting on their behalf, relating to the [Empire] Report.

Deposition Topic No. 2. The communications concerning, or facts, materials and information provided to or obtained by Empire about, Lease No. EP-249 between [PANYNJ] and Maher Terminals, LLC (“Maher U.S. Lease”), or the lease arrangements of other terminal operators at Port Elizabeth, including Lease No. EP-248 between the Port Authority and Maersk Container Service Company, Inc./Sea-Land (“Maersk”)

Deposition Topic No. 3 The consideration, analysis and/or valuation of the Maher U S Lease and/or Maher’s “Lease Rights and Customer Relationships” (as that phrase is used in the [Empire] Report) *See e.g* , Appraisal at pp 13, 47

Deposition Topic No. 4 The consideration, analysis and determination concerning whether the Maher U S. Lease was a below or above market lease arrangement, and any comparison to or analysis of lease arrangements of other terminal operators at Port Elizabeth with respect to that determination, including Lease No EP-248.

Subpoena of Empire Valuation Consultants, LLC, signed March 30, 2011, Exhibit A. Empire states the same objection for each topic:

For the reasons set forth herein and supra Sections I through III, this subpoena request should be quashed. PANYNJ, through its Deposition Notice of Maher Terminals, LLC of March 24, 2011 (“Maher Deposition Notice”), Ex. 7, and Deposition Notice of RREEF America LLC of March 25, 2011 (“RREEF Deposition Notice”), Ex. 8, has already noticed the testimony of corporate designees, one of which is from an actual party to the case, to testify about the same matters that are listed in the subpoena. The depositions of Maher’s 30(b)(6) witnesses should allow PANYNJ appropriate and knowledgeable witnesses on this subject. Therefore, as a practical matter, PANYNJ should seek this testimony from Maher without also deposing a witness (let alone *four witnesses*) from Empire, a non party to this case, and so the subpoena is duplicative, unnecessary, unduly burdensome and should be quashed.

(Empire Motion to Quash at 16 (argument on Deposition Topic No 1) (emphasis in original))

Empire contends that a Rule 30(b)(6) deposition would impose a heavy burden on it because PANYNJ has access to the information from the depositions of Maher witnesses and the documents produced by Maher. “The proposed deposition of Empire’s FRCP 30(b)(6) designee plainly seek information duplicative of that which PANYNJ might gain from the FRCP 30(b)(6) deposition notices issued to Maher and RREEF ” (Empire Mot. to Quash at 9) Empire argues that this duplication is demonstrated by the similarity of deposition topics in the Empire, Maher, and RREEF subpoenas. (*Id.* at 23-26) Empire also contends that the subpoena should be quashed as moot because PANYNJ has received RREEF documents from Maher and has deposed a former RREEF official in his personal capacity

Maheer echoes these arguments. In Maher's Reply to PANYNJ's Opposition, Maher states.

Maheer has also produced and confirmed that it will cooperate in producing many witnesses with knowledge regarding the Empire Report. For example, Maher cooperated with PANYNJ in producing third-party witnesses who have already testified specifically about the Report: Maher's former General Counsel Scott Schley and Maher's former Treasurer Mike Davis who worked with Empire on the Report. Additionally, Maher produced other witnesses who PANYNJ failed to question about the Empire Report: (1) Maher's CEO John Buckley, (2) Maher's former CEO Brian Maher, and (3) Maher's former CFO Randy Mosca. Maher has also cooperated with PANYNJ in providing former RREEF management personnel with information about the Report: (1) Jeff Murphy who is scheduled to testify on April 28, 2011, and (2) David Kerr who has indicated his willingness to be deposed and from whom we are awaiting a date to confirm. Therefore, PANYNJ's false complaints to the effect that Maher is "doing everything possible to stonewall and evade Empire-related discovery" could not be further from the truth. PANYNJ's false and vituperative broadside leveled against Maher seeks to mask PANYNJ's own inattention and procrastination

(Maher Mot. to Reply to PANYNJ Opp to Empire Mot. to Quash at 7-8)

Apparently, none of the persons identified by Maher worked for Empire. An entity that receives a Rule 30(b)(6) subpoena may "designate other persons who consent to testify on its behalf;" therefore, one or more of these persons could be designated to testify for Empire, but none has been so designated. During their depositions, they could not have testified about information known or reasonably available to *Empire* about the deposition topics. What is known by Maher, RREEF, and the seven persons is not necessarily what is known by Empire.

Despite Empire's representation, there has been a showing that at least two of the persons identified by Maher (Scott Schley and Brian Maher) could not provide information about the Empire Report. During his deposition, counsel for PANYNJ questioned Brian Maher about the Empire Report. Counsel for complainant Maher stated.

Objection. Also, Counsel, I just want to put on the record, I'm objecting to all of the questions that you're asking the witness about [the Empire Report], because he's testified he's not familiar with it. And so I have a standing objection to all these questions.

(Brian Maher Dep Tr at 63, dated Apr 6, 2011) When counsel for PANYNJ questioned Maher's former General Counsel Scott Schley about the Empire Report, counsel for Maher stated.

It's clear to us, from the examination today and from reviewing these documents, that Mr Schley is not the right witness to be examining documents with

respect to the Empire valuation, therefore, we don't think that there's any proper reason to assert that his deposition should remain open, with all respect.

(Schley Dep. Tr at 230, dated Mar 24, 2011) If Scott Schley and Brian Maher were not the proper witnesses to depose about the Empire Report on March 24, 2011, and April 6, 2011, when PANYNJ took their depositions, it does not seem that they could have been the proper witnesses to depose about the Empire Report on April 26, 2011, when Maher filed its reply to PANYNJ's opposition to Empire's motion to quash.

Acquisition of information about the Empire Report from other sources, whether through deposition or documents, does not obviate the need for a Rule 30(b)(6) deposition of Empire.

Courts have soundly rejected [the] argument that prior deposition testimony from individual fact witnesses relieves a corporation from designating a corporate spokesperson in response to a Rule 30(b)(6) notice of deposition. *See, e.g., Foster-Miller, Inc. v Babcock & Wilcox Canada*, 210 F.3d 1, 17 (1st Cir 2000) (imposing sanctions and fees for refusing to produce 30(b)(6) witnesses because the issuing party "had in early stages of the case already deposed the employees"), *Commodity Futures Trading Comm. v Midland Rare Coin Exch. Inc.*, Case No. 97-7422-CIV, 1999 U.S. Dist. LEXIS 16939, *9-10 (S.D. Fla. July 28, 1999) (Rule 30 allows deposition of witness in her individual capacity and in corporate capacity because the depositions serve distinct purposes, impose different obligations and involve different ramifications)

Smith v General Mills, Inc., No. C2 04-705, 2009 WL 2525462, at *5 (S.D. Ohio Aug. 13, 2009)

The fact that four Universal employees were deposed does not relieve Universal of its obligations under Rule 30(b)(6). Providing plaintiff with discoverable information through non-30(b)(6) depositions and document production does not excuse Universal's failure to prepare its corporate designee for the 30(b)(6) deposition. *Int'l Assoc. of Machinists & Aerospace Workers v Werner-Masuda*, 390 F. Supp. 2d 479, 489 (D. Md. 2005) (imposing sanctions). The mere fact that a corporation produces all of its documents relating to an allegation does not release it of its responsibility to produce competent witnesses. *In re Vitamins Antitrust Litigation*, 217 F.R.D. 229, 233 (D.D.C. 2002)

Spicer v Universal Forest Products, Eastern Div., Inc., Civil Action No. 7-07cv462, 2008 WL 4455854, at *6 (W.D. Va. Oct. 1, 2008).

Most of the cases on which Empire relies for their contention that third parties should be protected from subpoenas when the information can be obtained from another source (*Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Miss. River*, 30 S.R.R. 381, 381 (ALJ 2004), *Mannington Mills, Inc. v Armstrong World Ind.*, 206 F.R.D. 525, 529 (D. Del. 2002), *Guy Chem. Co., Inc. v Romaco AG*, 243 F.R.D. 310, 311-313 (N.D. Ind. 2007), *In re Subpoenas of the*

Fed. Mar Comm'n Issued to Jose Diaz/Tioga Fruit Terminal, Inc. & Chilean Line, Inc., 28 S.R.R. 90, 92 (E.D. Pa. 1997), *Haber v ASN 50th St.*, 272 F.R.D. 377, 382 (S.D.N.Y. 2011)) involved subpoenas issued to third parties that would require production of documents, not testimony. As discussed and applied above, these cases stand for the proposition that when a party seeks documents that are available from another source, the third party should be protected from burdensome production responsibilities. They do not support an argument that because documents and other information were obtained from other sources, a subpoena for deposition of a third party should be quashed.

One case cited by Empire involved an appeal from the district court's denial of a motion for an order compelling responses to discovery and dismissal of the complaint against five federal administrative agencies and their employees.

In summary, the district court erred in holding that [the Federal Housekeeping Statute, 5 U.S.C. § 301] authorizes federal agencies to refuse to comply with proper discovery requests. Section 301 does not create an independent privilege to withhold government information or shield federal employees from valid subpoenas. Rather, district courts should apply the federal rules of discovery when deciding on discovery requests made against government agencies, whether or not the United States is a party to the underlying action. Under the balancing test authorized by the rules, courts can ensure that the unique interests of the government are adequately considered. Thus, we remand for the court to exercise its discretion on Exxon's discovery requests.

Exxon Shipping Co v U.S. Dep't of Interior, 34 F.3d 774, 779 (9th Cir. 1994). Of course, the Federal Housekeeping Statute is not applicable to Empire. Even if it were, as the Ninth Circuit held, it would not supply a reason to quash the subpoena for Empire's Rule 30(b)(6) deposition.

One case involved a situation where the discovering party seeking documents had signed a release with the subpoenaed party that provided "[the discovering party] releases and discharges [the subpoenaed party] of any rights it has or may hereafter have by reason of a conspiracy alleged by [the discovering party]." On appeal, the majority held this release included a release of the right to seek discovery from that party. *Dart Indus. Co. v Westwood Chem. Co.*, 649 F.2d 646, 649 (9th Cir. 1980). PANYNJ has not signed a release with Empire waiving PANYNJ's right to take discovery.

PANYNJ's Rule 30(b)(6) subpoena of Empire seeks testimony, not documents. Empire does not cite any case holding that a subpoena for the *deposition* of a nonparty should be quashed because the party issuing the subpoena has obtained related information (either documentary or testimonial) from other sources. There is no basis for finding that their testimony about the development of the Report would duplicate the information in the documents already produced.

Neither the documents produced by Maher and RREEF nor the deposition testimony of Maher and its employees provides the information that could be obtained through a deposition of Empire. Empire's motion to quash PANYNJ's subpoena for Rule 30(b)(6) deposition of Empire

signed on March 30, 2011, is **DENIED**. On a date within thirty-five days of the date of this Order and at a time and place determined by the parties and Empire, Empire is ordered to appear for a deposition pursuant to Federal Rule of Civil Procedure 30(b)(6) on the deposition topics stated in the subpoena.

IV. RREEF AMERICA L.L.C.'S MOTION TO QUASH SUBPOENA ISSUED BY THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY (filed April 21, 2011) (RREEF Mot. to Quash).

Related Filings:

- (1) The [PANYNJ's] Opposition to [RREEF's] Motion to Quash the Subpoena Issued by [PANYNJ] (filed April 28, 2011) (PANYNJ Opp. to RREEF Mot. to Quash)
- (2) [RREEF's] Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to the Motion to Quash its Subpoena (filed May 9, 2011) (RREEF First Mot. to Reply)
- (3) [PANYNJ's] Joint Opposition to [RREEF's] Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to the Motion to Quash its Subpoena and Motion to Strike [Maher's] Reply in Opposition to Respondent's Motion to Extend Fact Discovery (filed May 13, 2011) (PANYNJ Opp. to RREEF First Mot. to Reply)
- (4) [RREEF's] Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to [RREEF's] Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to the Motion to Quash its Subpoena and Motion to Strike Maher Terminals, LLC's Reply in Opposition to Respondent's Motion to Extend Fact Discovery (filed May 19, 2011) (RREEF Second Mot. to Reply)
- (5) [PANYNJ's] Opposition to [RREEF's] Motion for Leave to File Reply and Reply to [PANYNJ's] Joint Opposition to [RREEF's] Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to the Motion to Quash its Subpoena and Motion to Strike [Maher's] Reply in Opposition to Respondent's Motion to Extend Fact Discovery (filed May 27, 2011) (PANYNJ Opp. to RREEF Second Mot. to Reply). [Also discussed in Discussion Part VIII, *infra*.]

On April 11, 2011, PANYNJ purportedly served a subpoena for a Rule 30(b)(6) deposition on RREEF. Exhibit A to the subpoena lists ten topics to be covered in the deposition. The subpoena required RREEF to appear on April 29, 2011. The subpoena does not ask RREEF to produce documents.

On April 21, 2011, RREEF, represented by Maher's counsel, served on PANYNJ a 24-page motion with attachments seeking to quash the subpoena. PANYNJ served its opposition to the motion on April 28, 2011. On May 9, 2011, RREEF filed a motion for leave to reply and its reply

to PANYNJ's opposition, opposed by PANYNJ on May 13, 2011. On May 19, 2011, RREEF filed a motion for leave to reply and its reply to PANYNJ's opposition to RREEF's motion for leave to reply, opposed by PANYNJ on May 27, 2011.

A. Description of Motions and Oppositions.

1. RREEF Motion to Quash.

RREEF describes itself as.

an affiliate of Deutsche Bank Americas Holding Corp ("DBA") [and] a third party to this proceeding. RREEF had no dealings with Maher until the end of 2006, when DBA became interested in acquiring the Maher terminals. RREEF's role in DBA's purchase of Maher was to act as investment advisor and manager for the funds intended to hold the Maher assets.

Since the purchase of Maher by DBA in 2007, Maher's ownership and management structure has changed such that RREEF is no longer involved with the management or operation of Maher, nor does RREEF have any ownership stake in Maher. Additionally, none of the RREEF employees who was directly involved with the Maher Purchase or the subjects set forth in PANYNJ's subpoena served upon RREEF, namely Sonia Axter, Jeff Murphy, or David Kerr, remains employed by RREEF.

(RREEF Mot. to Quash at 1-2 (citations to exhibits omitted))

RREEF contends that by seeking to conduct a Rule 30(b)(6) deposition of RREEF, PANYNJ is reneging on a certification that it would not to seek documents from RREEF.

On October 1, 2008, PANYNJ issued [a] subpoena[] to RREEF. Following a lengthy discovery dispute, on July 23, 2010, the Presiding Officer ordered that the RREEF, Deutsche Bank, and other third party subpoenas issued by PANYNJ be withheld pending review of discovery served upon Maher because such requests "substantially duplicate[] the information sought by PANYNJ in the interrogatories and requests" served upon Maher. The Presiding Officer further required that PANYNJ certify by February 11, 2011, whether it still required the subpoenas after having an opportunity to review the documents that Maher produced pursuant to the same order on January 18, 2011.

Having had adequate opportunity to review Maher's production, which included the allocation report issued by Empire Valuation Consultants (the "Empire Report") central to its new discovery requests, PANYNJ on February 11, 2011 certified. "in order to avoid delaying this proceeding, *it will not pursue* third party subpoenas to obtain additional documents" from various parties, *including*

RREEF Despite this certification and waiver of further third party discovery, PANYNJ now seeks during the last week of fact depositions to renege on its certification, obtain another subpoena from RREEF requiring it to testify on a wide range of long-known subject areas, and to obtain broad new RREEF document production through Maher with its Fourth Requests.

(*Id.* at 2-3 (emphasis in original) (citations to exhibits omitted))

RREEF states that the subpoena was served on April 11 requiring appearance for deposition on April 29 “Therefore, it does not satisfy the mandatory 20-day requirement imposed by Rule 132 and must be quashed.” (*Id.* at 4)

RREEF contends that it was not properly served with the subpoena.

The subpoena was served upon a Deutsche Bank employee at 60 Wall Street, addressed to RREEF at 280 Park Avenue, and RREEF’s offices are at 345 Park Avenue in New York City FRCP 45(b)(1), states that “[s]erving a subpoena requires delivering a copy *to the named person* ,” as well as FRC Rule 134, which provides that “In making service, the original subpoena shall be exhibited *to the person served*, shall be read to him or her if he or she is unable to read, and a copy thereof shall be left with him or her ” 46 C.F.R. § 502.134 (emphasis added). Since the subpoena was not exhibited to an RREEF employee nor was it delivered to RREEF’s offices, there has been no service and the subpoena must be quashed.

(*Id.* at 5 (emphasis in original) (citations to exhibits omitted))

With regard to the information sought, RREEF contends that it is not a party to this proceeding and that its nonparty status should factor into consideration of the burden that responding to the subpoena would place on RREEF

When applying this higher burden for non-parties, the courts have been reluctant to permit subpoenas where, as here, the information sought is duplicative of information likely to be obtainable from the parties through the normal discovery process. *See, e.g., Haber v ASN 50th St.*, [272 F.R.D. 377, 382 (S.D.N.Y. 2011)] (quashing a subpoena to a non-party in part because “it is duplicative of [plaintiff’s] document requests” to the defendant)

(*Id.* at 7)

RREEF contends that the deposition topics listed in the subpoena are similar or identical to other PANYNJ discovery requests.

To the extent that there were RREEF employees with knowledge of the topics set forth in the subpoena, they have since departed. Since PANYNJ has already

requested this information from party witnesses and former employees of RREEF who have agreed to cooperate, as well as related documents, and the burden upon RREEF is great, RREEF submits that the subpoena's burden outweighs any benefit for PANYNJ, and should be quashed.

The burden on RREEF, who is not a party to this case, in complying with this subpoena would be unreasonably heavy because RREEF is not in Maher's chain of ownership and none of the key persons that dealt with Maher remains with RREEF. Thus, RREEF will have to train a witness from scratch, based upon remaining documents or statements of former employees, if it can secure them. Since PANYNJ has pending requests for the documents and deposition of former employees, it can sooner and more efficiently obtain this information just as easily without compelling further burdensome testimony from third party RREEF.

(*Id.* at 8-9 (citations to exhibits omitted)) PANYNJ should be able to get the information it seeks from RREEF from Maher and the two former RREEF employees who have agreed to testify (*Id.*) RREEF then sets forth specific objections to each deposition topic.

RREEF relies on the same cases as *Empire: Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Miss. River*, 30 S.R.R. 381, 381 (ALJ 2004), *Mannington Mills, Inc. v Armstrong World Ind.*, 206 F.R.D. 525, 529 (D. Del. 2002), *Moon v SCP Pool Corp.*, 232 F.R.D. 633, 635, 637 (C.D. Cal. 2005), *Guy Chem. Co., Inc. v Romaco AG*, 243 F.R.D. 310, 311-313 (N.D. Ind. 2007), *In re Subpoenas of the Fed. Mar. Comm'n Issued to Jose Diaz/Tioga Fruit Terminal, Inc. & Chilean Line, Inc.*, 28 S.R.R. 90, 92 (E.D. Pa. 1997), *Haber v ASN 50th St.*, 272 F.R.D. 377, 382 (S.D.N.Y. 2011), *Exxon Shipping Co v U.S. Dep't of Interior*, 34 F.3d 774, 779 (9th Cir. 1994), *Dart Indus. Co v Westwood Chem. Co.*, 649 F.2d 646, 649 (9th Cir. 1980). (*Compare* RREEF Mot. to Quash at 6-8 with *Empire* Mot. to Quash at 5-8)

2. PANYNJ opposition to RREEF motion to quash.

PANYNJ argues that RREEF's claims of "technical" defects lack merit. With regard to the claim that PANYNJ did not serve the subpoena twenty days in advance of the deposition date, PANYNJ argues that Rule 132(c) gives the presiding officer the power to shorten the time. With regard to the manner of service, PANYNJ contends.

On April 11, a process server attempted to serve the subpoena on RREEF at its corporate offices located at 345 Park Avenue in New York City. Upon entering the building, the process server was informed by security that subpoenas for RREEF were not accepted at that location, and was directed to deliver it to Deutsche Bank's legal department, located at 60 Wall Street in lower Manhattan. As directed, the subpoenas were served on RREEF at Deutsche Bank's legal department later that same day.

(PANYNJ Opp. to RREEF Mot. to Quash at 4-5 (citations to exhibits omitted)) “RREEF plainly cannot refuse to accept a subpoena at one location, direct that a subpoena be served upon its affiliate at a different address, and then seek to quash the subpoena on the basis that the subpoena was delivered to the wrong entity at the wrong address.” (*Id.* at 7)

Responding to RREEF’s argument that RREEF no longer employs any of the persons who dealt with Maher, PANYNJ contends that one of the former employees who dealt with Maher could be designated as RREEF’s Rule 30(b)(6) witness. (*Id.* at 8) *See* Fed. R. Civ P 30(b)(6) (an “organization must then designate one or more officers, directors, or managing agents, or designate *other persons* who consent to testify on its behalf” (emphasis added)).

With regard to the claim that PANYNJ is reneging on a certification not to seek discovery from RREEF and that the discovery from RREEF duplicates other discovery sought from Maher, PANYNJ argues:

Because Maher produced documents in RREEF’s custody, and the Port Authority believed that further document production from RREEF would have been largely duplicative, the Port Authority agreed not to pursue the document subpoena on RREEF. The Port Authority, however, has never agreed not to pursue a deposition from RREEF (or any other third party), nor does RREEF cite any law establishing that the withdrawal of a document subpoena effects such a waiver

(*Id.* at 9-10) Challenging RREEF’s reliance on *Haber v ASN 50th St.*, PANYNJ contends that the *Haber* court quashed a subpoena for *documents* because it duplicated prior document requests to which that defendant had already provided responses. (PANYNJ Opp. to RREEF Mot. to Quash at 9 n.9) *See Haber v ASN 50th St.*, 272 F.R.D. at 382. PANYNJ’s subpoena to RREEF seeks deposition testimony, not documents, therefore, *Haber* is inapposite. PANYNJ sets forth responses to RREEF’s specific objections to the deposition topics.

3. RREEF’s first motion to reply and reply to PANYNJ opposition.

RREEF argues that it should be permitted to file a reply to PANYNJ’s opposition to RREEF’s motion to quash

in the interests of an accurate and complete factual record to assist the Presiding Officer and the Commission in making correct decisions and to avoid the necessity of additional litigation, and specifically to highlight for the Presiding Officer that, since filing the Motion to Quash, former RREEF Director Jeffrey B Murphy testified at length under examination by PANYNJ’s counsel, for approximately two hours, spanning approximately 50 pages of transcript, regarding the subpoena’s requested deposition topics on April 28, 2011. Although Mr. Murphy appeared for deposition and was questioned for almost six hours, he was only questioned about the alleged “smoking gun” Empire Report for about two hours.

Additionally, on April 29, 2011, [Maher] included in its production responsive documents from RREEF custodians regarding the Empire Report completed by Empire on or about January 29, 2008. RREEF appears here, pursuant to Commission Rule 21(c), for the limited purpose of clarifying the record and for no other purpose, issue, or matter. Since PANYNJ has now received the RREEF documents and testimony by former RREEF Director Jeff Murphy, both the subpoena directed at RREEF and PANYNJ's Opposition to RREEF's Motion to Quash are now moot.

(RREEF First Mot. to Reply at 1-2 (citations to exhibits omitted))

RREEF contends that PANYNJ's subpoena is now moot because

PANYNJ has now obtained the discovery regarding the deposition topics listed in the subpoena, and further inquiry into the same topics would be duplicative and unduly burdensome. There is no need to burden third party RREEF with the weighty task of preparing a 30(b)(6) witness for deposition, particularly here, where all RREEF employees with knowledge of the subpoena's topics have left the company and one of its most knowledgeable former employees has already testified.

(*Id.* at 3)

RREEF contends that without the consent of Maher (consent that is not forthcoming), April 29, 2011, was the last date for depositions permitted by the Procedural Order controlling this proceeding.

To the extent PANYNJ argues that it still does not have ample information on the subpoena's topics, RREEF should not be punished for PANYNJ's own lack of diligence in discovery. An abundance of witnesses were made available by Maher to testify on Empire-related subjects. PANYNJ, however, failed to question sufficiently these previously produced witnesses about Empire topics, including John Buckley (Maher CEO), Randy Mosca (former Maher CFO), Scott Schley (former Maher General Counsel), and Mike Davis (former Maher Treasurer). Mr. Mosca, Mr. Schley, and Mr. Davis are all named in the Empire Report. Despite this opportunity, PANYNJ only deposed Mr. Davis for about thirty minutes regarding the Empire Report, despite the fact that he had assisted Empire in preparing the Report. PANYNJ was equally uninterested with former Maher Chairman Brian Maher, only asking him a short series of superficial questions about the Report and the underlying issues about the terminal's characteristics.

(*Id.* at 5-6 (citations to exhibits omitted))

RREEF contends that the Empire Report is not relevant because it does not compare the Maher terminal to the APM terminal.

RREEF did not consider APM to be Maher's competitor, since APM was thought to be committed principally to serving the shipping line of its parent, Maersk, and was not considered at the time as an independent terminal in competition with Maher for unaffiliated cargo. As Mr. Murphy testified, "the general approach with APM, in terms of our competitive analysis, was that they were in a different category because they were a wholly-owned subsidiary of a shipping line, and at that time were only calling services from their parent company, Maersk."

(*Id.* at 9 (citations to exhibits omitted))

4. PANYNJ opposition to RREEF's first motion to reply.

PANYNJ opposes RREEF's motion for leave to file a reply, contending that "reply briefs are forbidden under FMC Rules absent extraordinary circumstances not present here. Indeed, RREEF's proposed reply merely addresses arguments raised in its original motion, which is forbidden under FMC Rules, as discussed in detail in the Port Authority's Joint Opposition." (PANYNJ Opp. to RREEF First Mot. to Reply at 3 (footnotes omitted))

PANYNJ contends that Maher and RREEF

obstructed this proper and timely discovery and therefore cannot legitimately claim that the deposition period (which can be extended by agreement of the parties) has run. Moreover, Maher's only argument as to why it cannot agree to the depositions – that they would prejudice its ability to prepare an expert report – has no merit. Maher contends, for example, that it would be unable to include in its May 27 expert report new evidence from the Empire depositions; yet, Maher doesn't need this discovery for its expert report based on its contention that the Empire Report is irrelevant to this proceeding. Even assuming that Maher requires evidence pertaining to the Empire Report (which is doubtful), then Maher, which has had control over the relevant documents and witnesses for years, can readily access the information without waiting for the depositions to occur.

(*Id.* at 4 (citations to exhibits omitted)) With regard to RREEF's contention that the deposition of RREEF former director Murphy should moot the need for a Rule 30(b)(6) deposition of RREEF itself, PANYNJ contends that Murphy could not recall specifics of conversations with Empire and "claimed lack of knowledge or memory in material respects regarding the Empire Report, including about how Empire actually performed its work or what Empire actually did." (*Id.* at 5-6 (citations to exhibits omitted)) With regard to the burden that RREEF claims would be placed on it by being required to prepare a witness or witnesses to testify in a Rule 30(b)(6) deposition, PANYNJ contends that

a key witness, Jed Brawley, is still employed by RREEF. Mr. Brawley is the custodian of a large number of documents relevant to the topics in the 30(b)(6) notice and Mr. Murphy testified that Mr. Brawley was extensively involved with Empire's

project. See Murphy Dep Tr at 134 12-134.21, 137.23-138 9 (testifying that Mr Brawley was involved in the team that dealt with Empire during the creation of the purchase price allocation and may have supplied information to Empire) Indeed, Mr Brawley is already aware of critical issues and can easily testify about them, including key conversations and communications between RREEF and Empire. Further, the events in question occurred recently as opposed to more than a decade ago, and, therefore, a witness can be easily prepared, including based on numerous documents in RREEF's possession. Thus, RREEF's undue burden arguments should be rejected.

(*Id.* at 6)

With regard to the argument that the production of Empire documents after the deposition period negates the need to conduct a deposition of RREEF, PANYNJ contends that

Document discovery is distinct from – and is no substitute for – deposition discovery *Compare* FMC Rule 203, with FMC Rule 206 Rather than diminish the need for a deposition, the documents withheld by Maher until after the deposition period show that one should occur, including because the Port Authority should be entitled to question a RREEF corporate representative about these improperly withheld documents.

(*Id.* at 6-7)

5. RREEF's second motion for leave to reply and reply.

RREEF contends that it needs to file a reply to PANYNJ's opposition to its first motion for leave to file a reply and reply "in the interests of justice only to correct a discrete factual error contained in PANYNJ's [opposition to RREEF's first motion for leave to reply and reply] which, if not corrected, could mislead the Presiding Officer and result in an erroneous decision with respect to RREEF's Motion to Quash." (RREEF Second Mot. to Reply at 2)

In PANYNJ's Opposition, PANYNJ asserts, with no support cited, that "Jed Brawley[] is still employed by RREEF," contrary to RREEF's previous statement in its Motion to Quash that Jed Brawley, along with all other RREEF employees who were instrumental in the acquisition of Maher Terminals, LLC ("Maher"), is no longer employed by RREEF However, this assertion is untrue. Jed Brawley is not an employee of RREEF

(RREEF Second Mot. to Reply at 3 (citation to exhibit omitted))

6. PANYNJ's opposition to RREEF's second motion to reply

PANYNJ argues that:

In its latest motion for a reply, RREEF states that Jed Brawley is not specifically employed by RREEF America LLC and incorrectly implies that this matters when it plainly does not for several reasons. First, according to publicly available information, Mr Brawley is a current employee of RREEF Infrastructure and Deutsche Asset Management, which are affiliates of RREEF America LLC. RREEF has never denied these facts in correspondence or in its various motions.

Second, RREEF has made no showing that Mr Brawley is unable to serve as its corporate representative in a 30(b)(6) deposition or that such a deposition would be unduly burdensome. To the contrary, the Port Authority has offered – and remains willing – to conduct the deposition in London (which is where Mr Brawley likely resides) Further, a witness does not have to be employed by an entity to act as its 30(b)(6) designee. *See, e.g., Wachovia Sec., LLC v Nola, LLC*, 248 FRD 544, 547 (2008) (an entity can designate a non-employee as its 30(b)(6) witness)

Third, RREEF has not refuted all of the other independent reasons to deny its motion to quash the subpoena. Accordingly, RREEF's motion for leave to file a reply is improper under FMC Rule 74(a)(1) and controlling precedent for the reasons described in the Port Authority's previous filings, to which the Port Authority refers and incorporates herein by reference.

(PANYNJ Opp to RREEF Second Mot. to Reply at 2-3 (footnotes omitted))

B. Rulings on RREEF Motion to Quash and related motions.

I grant the motions for leave to reply filed by RREEF and consider the information and arguments raised in the replies and PANYNJ's oppositions. RREEF filed its motion to quash on April 21, 2011 Murphy's deposition took place April 28, 2011 The information from that deposition could not have been included in the motion to quash filed one week earlier The second motion for leave to reply and its opposition clarify the relationship of Brawley to RREEF

RREEF raises procedural and substantive grounds in support of its motion to quash the subpoena.

1. Procedural grounds.

RREEF contends that by subpoenaing RREEF for a Rule 30(b)(6) deposition, PANYNJ is reneging on its February 11, 2011, certification that "in order to avoid delaying this proceeding, it will not pursue third party subpoenas to obtain additional *documents*" (emphasis added) from various parties, including RREEF It is not clear to me that RREEF, a third party to this proceeding, has standing to make this argument. To the extent PANYNJ's Filing Notice may be an enforceable promise, the promise runs to Maher, not RREEF Furthermore, PANYNJ's subpoena does not seek additional documents from RREEF, but deposition testimony from RREEF Therefore, assuming RREEF has standing to base an argument on the Filing Notice, the argument is without merit.

RREEF's motion to quash the subpoena based on the claim that PANYNJ's Filing Notice constituted a promise not to obtain additional discovery from RREEF is **DENIED**

RREEF contends that the subpoena was not served more than 20 days before the date scheduled for the deposition, therefore, the subpoena must be quashed. As set forth above, Discussion Part II, part of the problem with timing was caused by Maher's insufficient response to PANYNJ Interrogatory No 16 (Second Set). The presiding officer is permitted to modify a subpoena, including the date on which the deposition will take place, and may permit a deposition after the close of discovery. See *Gulfstream Realty v Philips Elec.*, 2007 WL 5704041, **8-10. RREEF's motion to quash based on the date of service of the subpoena is **DENIED**

RREEF contends that the subpoena should be quashed because it was served on an employee of RREEF's affiliate Deutsche Bank at Deutsche Bank's office, not on RREEF at its office. In its opposition to the motion, PANYNJ contends that it served the subpoena where persons in RREEF's office told PANYNJ to serve it. RREEF does not dispute this claim in its reply to PANYNJ's opposition.

There is no need to resolve the dispute about whether RREEF did or did not authorize PANYNJ to serve the subpoena on the person at Deutsche Bank who received it. PANYNJ served the subpoena in a manner reasonably calculated to apprise RREEF of the deposition. RREEF received the subpoena and had actual notice of the deposition, and not only had a fair opportunity to present objections, but exercised that option. See Discussion Part III.B 1, *supra* (discussing service of subpoenas). RREEF's motion to quash based on a claim of improper service of the subpoena is **DENIED**

2. Substantive grounds.

"[T]he party seeking to quash a subpoena bears a heavy burden of proof." *Irons v Karceski*, 74 F.3d 1262, 1264 (D.C. Cir. 1995) (affirming denial of nonparty's motion to quash subpoena for deposition)

We begin with the proposition that plaintiffs have no burden to show that the deponents have any relevant knowledge. "An order barring a litigant from taking a deposition is most extraordinary relief. It is the party seeking such an order that bears the burden of proving that the proposed deponent has nothing to contribute."

In re Garlock, 463 F. Supp. 2d 478, 481 (S.D.N.Y. 2006), quoting *Speadmark v Federated Dep't. Stores, Inc.*, 176 F.R.D. 116, 118 (S.D.N.Y. 1997)

RREEF contends that the subpoena should be quashed as moot because PANYNJ has received RREEF documents from Maher and has deposed a former RREEF official in his personal capacity. RREEF contends that a deposition would impose a heavy burden on it in part because PANYNJ has access to the information from the depositions of Maher witnesses and the documents produced by Maher. Acquisition of information from other sources does not obviate the need for

a Rule 30(b)(6) deposition of RREEF. Receipt of the documents does not serve the same purpose as a deposition under Rule 30(b)(6). See *Smith v. General Mills, Inc.*, No. C2 04-705, 2009 WL 2525462, at *5 (S.D. Ohio Aug. 13, 2009) and *Spicer v. Universal Forest Products, Eastern Div., Inc.*, Civil Action No. 7-07cv462, 2008 WL 4455854, at *6 (W.D. Va. Oct. 1, 2008) in Discussion Part III.B.2.b *supra*. RREEF's motion to quash based on the grounds that PANYNJ has received documents related to the Empire Report and deposed a former RREEF employee in his personal capacity is **DENIED**.

RREEF raises specific objections to the deposition topics set forth in the subpoena.

Deposition Topic No. 1 RREEF's decision to acquire Maher Terminals Holding Corp

RREEF Objection. For the reasons set forth herein and *supra* Sections I through III, this subpoena should be quashed. Maher, DBA, and RREEF have already produced, or have been requested to produce, an extraordinarily broad swathe of documents describing in great detail RREEF's decision to purchase Maher and Maher's subsequent financial performance. Maher produced millions of pages of responsive documents on January 18, 2011, pursuant to the Presiding Officer's July 10, 2010 Order. Of these, 1,182,944 pages of documents were actually produced from under the custody of RREEF, and marked accordingly with RREEF custodian information. Declaration of A.G. Smith, Ex. 11. PANYNJ has now issued broad new supplemental requests to Maher in its Fourth Requests filed March 30, 2011, including for additional RREEF documents, and has commitments from two knowledgeable RREEF former employees to testify. Ex. 4 & 5.

PANYNJ was fully aware at the time of the reasons for acquiring Maher, including meeting with DBA and RREEF personnel and reviewing the transaction's data room, and PANYNJ expressly provided its consent to the change in ownership to DBA at the time of the acquisition. Therefore, the burden upon PANYNJ of obtaining the information sought is no more burdensome for PANYNJ than it is for third party RREEF and should properly remain with PANYNJ, not RREEF.

Additionally, this request is objectionable and the subpoena should be quashed because it is erroneous. As disclosed in discovery, RREEF did not purchase Maher Terminals Holding Corp. Maher Terminals Holding Corp. sold Maher Terminals USA to DBA. See Maher Purchase Agreement, Ex. 17, at DB0000005-06, Deposition of Scott Schley (Mar. 24, 2011), Ex. 18 at 158.

PANYNJ's Opposition. This objection relies on the "extraordinarily broad swathe of documents" previously produced by Maher, Deutsche Bank and RREEF, and thus provides no basis to quash a deposition subpoena. Moreover, the "commitment[]" of two knowledgeable RREEF former employees to testify" has no effect on the Port Authority's right to a Rule 30(b)(6) deposition (which, as Maher's counsel knows

well, differs from Rule 30(b)(1) testimony) Finally, RREEF's contention that the request should be quashed because it is factually "erroneous" is absurd and should be rejected.

RULING

As discussed above, production by a party of even "an extraordinarily broad swathe of documents" does not satisfy the need for a Rule 30(b)(6) deposition of a third party with discoverable information. RREEF contends that the topic is "erroneous" because Deutsche Bank, not RREEF, purchased Maher Terminals. Counsel for Maher also represent RREEF and Empire on their motions to quash the subpoenas. In Empire's motion to quash, drafted by the same attorneys who represent Maher and RREEF, Empire states: "Empire is a third-party financial consultant that completed an analysis of Complainant Maher Terminals, LLC ('Maher') in 2008, following the sale of Maher to *RREEF America, LLC* ('RREEF') in July 2007 " (Empire Motion to Quash at 1 (emphasis added).) This statement raises some doubt as to the accuracy of RREEF's claim that Deutsche Bank, not RREEF, purchased Maher RREEF's objection is **OVERRULED**

Deposition Topic No. 2 RREEF's consideration of risks and benefits (including competitive advantages) relevant to its decision to acquire Maher Terminals Holding Corp

RREEF Objection. RREEF objects to this specific topic on the same grounds as set forth above in response to Deposition Topic No. 1

PANYNJ's Opposition. RREEF raises the same objections as it raised in connection with Topic No 1 and they should be rejected for the same reasons as stated above. See id.

RULING

For the reasons set forth in the Ruling on RREEF's objection to Deposition Topic No 1, RREEF's objection is **OVERRULED**

Deposition Topic No. 3 RREEF's consideration of the terms of Lease No EP-249, between the Port Authority of New York and New Jersey (the "Port Authority") and Maher Terminals LLC ("Maher") in determining whether to acquire Maher Terminals Holding Corp

RREEF Objection. RREEF objects to this specific topic on the same grounds as set forth above in response to Deposition Topic No 1

PANYNJ's Opposition. RREEF raises the same objections as it raised in connection with Topic No 1 and they should be rejected for the same reasons as stated above. See id.

RULING

For the reasons set forth in the Ruling on RREEF's objection to Deposition Topic No. 1, RREEF's objection is **OVERRULED**

Deposition Topic No. 4 *The [Empire] report, dated January 29, 2008, by Empire Valuation Consultants, LLC ("Empire"), which contains, among other things, an allocation of the fair value of the purchased intangible assets and goodwill of Maher Terminals Holding Corp as of July 3, 2007 (the "[Empire] Report")*

RREEF Objection. *RREEF objects to this specific topic on the same grounds as set forth above in response to Deposition Topic No. 1*

PANYNJ's Opposition. *RREEF raises the same objections as it raised in connection with Topic No 1 and they should be rejected for the same reasons as stated above. See id.*

RULING

For the reasons set forth in the Ruling on RREEF's objection to Deposition Topic No. 1, RREEF's objection is **OVERRULED**

Deposition Topic No. 5 *The actual and intended uses for the [Empire] Report.*

RREEF Objection. *RREEF objects to this specific topic on the same grounds as set forth above in response to Deposition Topics No 1 & 4 Former Maher General Counsel, Scott Schley, has already testified on this subject specifically explaining the purpose of the report, etc. Additionally, Maher witnesses, third-party witnesses, e.g. Scott Schley and Mike Davis, and the former RREEF employee witnesses whose depositions have been noticed and confirmed should be able to provide this information, to the extent it is not already made obvious by the Empire Report itself, which states that it will be used "in allocating the purchase price paid for the identifiable intangible assets and goodwill of Maher" and "to meet financial reporting requirements under Statement of Financial Accounting Standard No 141 "*

PANYNJ's Opposition. *RREEF raises the same objections as it raised in connection with Topic No 1 and they should be rejected for the same reasons as stated above. See id. RREEF also asserts that Maher's former general counsel, Scott Schley, has already testified on this issue, and that the testimony of Mike Davis (Maher's former Treasurer) and "former RREEF employee witnesses" should be able to provide this information. This argument provides no basis to deny a Rule 30(b)(6) deposition. As an initial matter, neither Mr Schley nor Mr Davis, both of whom are former Maher employees, provided any testimony as to RREEF's actual and intended uses*

for the Empire Report. Even if they had, however, RREEF cannot deny the Port Authority a Rule 30(b)(6) deposition based on the testimony of Maher's witnesses.

RULING

The testimony of Schley and Davis in their personal capacities does not constitute testimony for RREEF. For the reasons set forth in the Ruling on RREEF's objection to Deposition Topic No. 1, RREEF's objection is **OVERRULED**.

Deposition Topic No. 6 *Materials and information provided to Empire by RREEF, or by any third party on behalf of RREEF, in connection with the [Empire] Report.*

RREEF Objection. *RREEF objects to this specific topic on the same grounds as set forth above in response to Deposition Topics No. 1 & 4. As set forth expressly in the Empire Report itself, the documents relied upon by Empire are overwhelmingly Maher-provided and RREEF-provided documents which have previously been produced to PANYNJ in this proceeding. Maher's document production of January 18, 2011 produced the Empire Report, multiple copies of drafts of the report, and the reference materials cited in the report.*

Additionally, with respect to the new supplemental discovery requests served on Maher by PANYNJ on March 28, 2011, which call for the production of RREEF documents, Maher, a party to this litigation, is the party most likely to have any additional newly requested material and information provided to Empire related to the report, but PANYNJ has not yet obtained this information from Maher in the normal course of discovery because of its failure to file timely requests. See Empire Report, Ex. 20, at 3-5 (listing sources of information relied upon which are primarily Maher-source documents).

PANYNJ's Opposition. *RREEF raises the same objections as it raised in connection with Topic No. 1, including prior and pending document productions, and they should be rejected for the same reasons as stated above. See id. The Port Authority is seeking the basis for statements attributed to RREEF in the Empire Report, including with respect to the rental rates in EP-249, and RREEF's belief that various factors justified those rates. See Empire Report, Meade Dec., Ex. A at DB1168568-69. The Port Authority thus is plainly entitled to question a RREEF representative about the "materials and information" that RREEF provided to Empire in connection with the Empire Report.*

RULING

For the reasons set forth in the Ruling on RREEF's objection to Deposition Topic No. 1, RREEF's objection is **OVERRULED**.

Deposition Topic No. 7 Communications between RREEF (or any agent or representative of RREEF) and Empire relating to (i) the [Empire] Report, (ii) Lease No EP-248 between the Port Authority and Maersk Container Service Company, Inc./ Sea-Land ("Maersk"), or (iii) Lease No EP-249 between the Port Authority and Maher Terminals LLC.

RREEF Objection. RREEF objects to this specific topic on the same grounds as set forth above in response to Deposition Topics No 1 & 4. If these documents existed, PANYNJ is likely to obtain these documents pursuant to its Fourth Requests to Maher, and should be required to pursue them before burdening RREEF with this exercise.

However, the Empire Report does not make any comparison to EP-248. To the contrary, the only other terminals expressly referred to in the Empire Report are (1) PNCT Container Terminal, (2) Howland Hook Container Terminal, Inc., (3) Red Hook Container Terminal, and (4) Global Marine Terminal. See Empire Report, Ex. 20, at 9. The report's reference to "publicly available agreements for other terminal operators in Port Elizabeth," therefore does not include EP-248, the lease of APM Terminals. *Id.* at 14. Therefore, PANYNJ's overwrought frenzy about the report as a supposed "smoking gun" is wholly misplaced, and its belated issuance of sweeping new discovery is totally unwarranted.

PANYNJ's Opposition. RREEF raises the same objections as it raised in connection with Topic No 1, including pending document productions, and they should be rejected for the same reasons as stated above. See *id.* The Port Authority is seeking the basis for statements attributed to RREEF in the Empire Report, including with respect to the rental rates in EP-249, and RREEF's belief that various factors justified those rates. See Empire Report, Meade Dec., Ex. A at DB1168568-69. The Port Authority thus is plainly entitled to question a RREEF representative about communications it had with Empire.

RULING

For the reasons set forth in the Ruling on RREEF's objection to Deposition Topic No 1, RREEF's objection is **OVERRULED**.

Deposition Topic No. 8. Communications between RREEF and Maher relating to (i) the [Empire] Report, (ii) Lease No EP-248, or (iii) Lease No EP-249

RREEF Objection. RREEF objects to this specific topic on the same grounds as set forth above in response to Deposition Topics No 1, 4, and 7. Especially since these documents, if they existed, are communications with Maher, PANYNJ is likely to obtain these documents and communications pursuant to its Fourth Requests to

(Shayne/Eidman/Brace Motion to Quash at 4)

Shayne, Eidman, and Brace contend.

All three subpoenas are also of no effect because they were served on the final day of fact deposition discovery, as prescribed by the Presiding Officer in his January 11, 2011, Scheduling Order (“Scheduling Order”), and call for subpoenas almost a full month after the close of depositions of fact witnesses. In an attempt to avoid “delay[ing] the proceeding further,” the Presiding Officer in the Scheduling Order imposed on the parties a rigorous schedule, which included limiting depositions to the period between March 7 and April 29, 2011, absent an agreement between the parties to conduct depositions outside of this period. PANYNJ has not provided any evidence that Maher agreed to these depositions as required by the Scheduling Order and we understand that no such agreement has been provided. Therefore, PANYNJ’s attempt to schedule depositions in late May, more than three weeks after the close of fact depositions without Maher’s agreement, conflicts with the Scheduling Order and the Presiding Officer’s goal of avoiding delays in this case, and so the subpoenas should be quashed.

(*Id.* at 4-5)

Shayne, Eidman, and Brace argue that the depositions would place an undue burden on them, and that as nonparties, they are entitled to increase protection. Repeating two arguments raised by RREEF, they contend.

When applying this higher burden for non-parties, courts are reluctant to permit subpoenas where, as here, the information sought is duplicative of information asked of the parties themselves through discovery *See, e.g., Haber v ASN 50th St.*, [272 F.R.D. 377, 382 (S.D.N.Y. 2011)] (quashing a subpoena to a non party in part because “it is duplicative of [plaintiff’s] document requests^[9] to the defendant).

(Shayne/Eidman/Brace Motion to Quash at 7) They also contend.

PANYNJ represented to the Presiding Officer in its February 11, 2011 Filing Notice Regarding Third Party Subpoenas that, following review of Maher’s January 18, 2011 document production, “in order to avoid delaying this proceeding, it will not pursue third party subpoenas to obtain additional documents” from the previously subpoenaed third parties. However, now it has reversed itself and seeks to delay further the discovery proceedings by subpoenaing three more third-party witnesses purportedly based upon a single document included in Maher’s January 18, 2011 production.

(*Id.* at 8)

Shayne, Eidman, and Brace contend that they work on hundreds of corporate analyses every year and Shayne and Brace attached declarations stating that they recall very little about the Empire Report, completed three years earlier. They contend that PANYNJ “failed to show that it has been unable to obtain the testimony and relevant information from Maher. Because Empire [*sic*] is a distant third party to this case, PANYNJ should first attempt to obtain all relevant information from Maher, who is a party.” (*Id.* at 9). On April 29, 2011, Maher produced nearly 140,000 pages of Maher and RREEF documents (in addition to the 12,300 already produced), most of which relate to the Empire Report or matters discussed in the Report. PANYNJ has deposed witnesses from Maher and Empire.

PANYNJ’s deposition of three more non-party individuals, in addition to the Empire 30(b)(6) witness, in connection with the Report is duplicative and unduly burdensome of discovery it has already obtained or failed to obtain because of its own neglect, and thus any benefit it may receive from these depositions is minimal and certainly not enough to justify burdening the Third Party Recipients, who have little knowledge on the topics at issue and who should not be burdened unnecessarily. Of course, this is especially true because in this instance PANYNJ failed to take advantage of witnesses provided earlier during fact deposition discovery.

Because the burden the subpoena imposes on the Third Party Recipients, non-parties to this proceeding, far outweighs any benefit PANYNJ might gain from subpoenaing them for the same information that it already received from Maher through the discovery requests and depositions, and information PANYNJ failed to seek from witnesses previously provided, the subpoenas should be quashed.

(*Id.* at 11)

2. PANYNJ Opposition to Shayne/Eidman/Brace Motion to Quash.

PANYNJ contends that Mark Shayne

dispatched his office assistant to accept service. In the first instance, it is undisputed that Mr. Shayne has twice authorized his assistant to deny a process server the opportunity to effect personal in-hand service of a subpoena, and to accept service of a subpoena on his behalf. He should not now be heard to deny that a subpoena he clearly received on the day of service is somehow invalid.

(PANYNJ Opp. to Shayne/Eidman/Brace Motion to Quash at 5 (footnote omitted)) Repeating arguments made in its opposition to the RREEF motion to quash, PANYNJ contends that the service of the subpoena was reasonably calculated to give Shayne, Eidman, and Brace notice of the deposition and an opportunity to raise objections. (*Id.* at 5-8)

PANYNJ argues that the close relationship between the persons it wants to depose (Shayne, Eidman, and Brace) and Maher, demonstrated by the fact that Maher's attorneys are representing Shayne, Eidman, and Brace on their motion, means that Shayne, Eidman, and Brace should not be treated as strangers to the litigation. (*Id.* at 9) PANYNJ contends that the notification to the undersigned that it would not be pursuing documents from the three parties named in the Filing Notice was not a waiver of its right to depose third parties with discoverable information. (*Id.* at 10-11)

PANYNJ contends that Shayne, Eidman, and Brace have

made no showing that the depositions noticed for May would subject them to any significant burden, much less the "undue" burden necessary to quash the subpoenas. In fact, the only evidence of a supposed burden is one sentence from Mark Shayne and Scott Brace's declarations stating that they presently "recall very little" about the January 2008 Empire Report. If third party witnesses could avoid their depositions by submitting a declaration with a conclusory allegation that they do not remember very much about the matters in dispute, then there would never be third party discovery. In fact, their position is frivolous – both Mr. Brace and Mr. Shayne signed the January 2008 Empire Report, which contains statements that go to the heart of this proceeding, and they have made no cognizable showing that submitting to a deposition would impose any burden within the meaning of the law.

Aside from being legally irrelevant, the showing that the Empire Witnesses do not recall much about the Empire Report is woefully deficient. Indeed, no showing of any kind has been made that the primary author and third signatory of the Empire Report, David Eidman, has any difficulty recalling the facts concerning the Empire Report. Instead, the declarations of Scott Brace and Mark Shayne pertain only to what they – not Mr. Eidman – presently recall. And, even as to Mr. Brace and Shayne, their declarations are silent regarding whether, before submitting the declarations, they tried to refresh their recollections by, for example, reviewing key documents. Moreover, they do not deny having some memory of the Empire Report, or deny that they do recall whether Empire valued Maher's lease rights and compared them to Maersk's lease, and if not, why not. Indeed, none of the Empire witnesses deny that in valuing Maher's lease rights they compared them to Maersk's lease and concluded – based, as the Report states, on input from Maher's management and RREEF – that any differences were justified based on the superior transportation characteristics of the terminal created by Maher's lease with the Port Authority. This omission is telling and makes it even more essential to conduct depositions of the Empire Witnesses, including to prevent Maher from making further untested and unsupportable claims about the alleged significance of the Empire Report.

The remainder of the undue burden arguments made by the Empire Witnesses, who are represented by Empire's counsel, repeat precisely the same

arguments that the Port Authority long since refuted in detail in response to Empire's Motion to Quash and Empire's Motion for Leave to Reply and Reply to the Port Authority's Opposition to the Motion to Quash

(*Id.* at 11-13) PANYNJ contends that any delay in serving the subpoenas resulted because Maher "buried the Empire Report and related documents in violation of the Discovery Order" and, "[a]fter nearly two weeks of representations to the contrary, Maher refused to produce several key witnesses to testify about the Empire Report, or to re-open a small number of depositions occurring before Maher produced nearly all of its Empire documents." (*Id.* at 15-16.) "Accordingly, the Empire Witnesses have not shown, as they must to quash the subpoenas, that the discovery sought from them can be or has been obtained from other sources, that the depositions will impose an undue burden or that they seek irrelevant evidence." (*Id.* at 16)

B. Ruling on Shayne/Eidman/Brace Motion to Quash.

1. Procedural grounds.

Shayne contends that service of the motion upon him did not comply with Commission Rule 134 PANYNJ states that it delivered the subpoena as instructed by Shayne. There is no need to resolve any dispute about whether Shayne did or did not authorize his assistant to accept service of the subpoena. PANYNJ served the subpoena in a manner reasonably calculated to apprise Shayne of the deposition. Shayne received the subpoena and had actual notice of the deposition, and not only had a fair opportunity to present objections, but exercised that option. *See* Discussion Part III.B 1, *supra* (discussing service of subpoenas) Shayne's motion to quash based on a claim of improper service of the subpoena is **DENIED**

Shayne, Eidman, and Brace contend that their subpoenas "are also of no effect because they were served on the final day of fact deposition discovery, as prescribed by the Presiding Officer in his January 11, 2011, Scheduling Order . . . , and call for [depositions] almost a full *month* after the close of depositions of fact witnesses." (Shayne/Eidman/Brace Motion to Quash at 4-5 (emphasis in original)) I question whether a nonparty to the litigation moving to quash a subpoena has standing to argue that the date set for the deposition is after the close of fact depositions as established in a scheduling order that is not applicable to the nonparty, but will assume without deciding that Shayne, Eidman, and Brace are permitted to raise this argument. For the reasons stated in Discussion Part II.B, *supra*, Maher's insufficient response to Interrogatory No. 16 (Second Set) was the initial cause in PANYNJ not discovering the Empire Report until over a month had passed after its production by Maher The presiding officer is permitted to modify a subpoena, including the date on which the deposition will take place, and may permit a deposition after the close of discovery *See Gulfstream Realty v Philips Elec.*, 2007 WL 5704041, **8-10 Shayne, Eidman, and Brace's motion to quash based on the date of service of their subpoenas and the dates scheduled for deposition is **DENIED**

Shayne, Eidman, and Brace contend that by subpoenaing them for depositions, PANYNJ is reversing the position taken in its February 11, 2011, Filing Notice that "in order to avoid delaying

this proceeding, it will not pursue third party subpoenas to obtain additional documents' from the previously subpoenaed third parties." It is not clear to me that Shayne, Eidman, and Brace, "distant third parties," have standing to make this argument. To the extent PANYNJ's Filing Notice may be an enforceable promise, the promise runs to Maher, not Shayne, Eidman, and Brace. PANYNJ promised not to seek additional documents from RREEF America, LLC, Grant Thornton, and Greenhill & Co., Inc. PANYNJ did not promise that it would not seek documents from other third parties, including Shayne, Eidman, and Brace. Furthermore, PANYNJ's subpoena does not seek "additional documents" from Shayne, Eidman, and Brace, but deposition testimony from Shayne, Eidman, and Brace. Therefore, assuming Shayne, Eidman, and Brace have standing to base an argument on the Filing Notice, the argument is without merit. Shayne, Eidman, and Brace's motion to quash the subpoena for deposition based on the claim that PANYNJ's Filing Notice constituted a promise not to obtain additional discovery from third parties is **DENIED**

2. Substantive grounds.

"[T]he party seeking to quash a subpoena bears a heavy burden of proof." *Irons v Karceski*, 74 F.3d 1262, 1264 (D.C. Cir. 1995) (affirming denial of nonparty's motion to quash subpoena for deposition)

We begin with the proposition that plaintiffs have no burden to show that the deponents have any relevant knowledge. "An order barring a litigant from taking a deposition is most extraordinary relief. It is the party seeking such an order that bears the burden of proving that the proposed deponent has nothing to contribute."

In re Garlock, 463 F. Supp. 2d 478, 481 (S.D.N.Y. 2006), quoting *Speadmark v Federated Dep't. Stores, Inc.*, 176 F.R.D. 116, 118 (S.D.N.Y. 1997).

Shayne, Eidman, and Brace contend that a deposition would impose a heavy burden on them in part because PANYNJ has access to the information from the depositions of Maher witnesses and the documents produced by Maher. Shayne, Eidman, and Brace rely on the same cases on which Empire and RREEF relied (*Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Miss. River*, 30 S.R.R. 381, 381 (ALJ 2004), *Mannington Mills, Inc. v Armstrong World Ind.*, 206 F.R.D. 525, 529 (D. Del. 2002), *Moon v SCP Pool Corp.*, 232 F.R.D. 633, 635, 637 (C.D. Cal. 2005), *Pennington v G.H. Herrmann Funeral Home, Inc.*, No. 1:09-cv-00390-RLY-JMS, 2010 WL 148242, *1 (S.D. Ind. Jan. 8, 2010), *Guy Chem. Co., Inc. v Romaco AG*, 243 F.R.D. 310, 311-313 (N.D. Ind. 2007), *In re Subpoenas of the Fed. Mar. Comm'n Issued to Jose Diaz/Tioga Fruit Terminal, Inc. & Chilean Line, Inc.*, 28 S.R.R. 90, 92 (E.D. Pa. 1997), *Haber v ASN 50th St.*, 272 F.R.D. 377, 382 (S.D.N.Y. 2011)) for their contention that third parties should be protected from subpoenas when the information can be obtained from another source. As discussed above, these cases involved subpoenas issued to third parties that would require *production of documents*, not testimony. They stand for the proposition that when a party seeks documents that are available from another source, the third party should be protected. Shayne, Eidman, and Brace also rely on *Exxon Shipping Co. v U.S. Dep't of Interior*, *supra*, the case remanded for the court to exercise its discretion for discovery sought from the United States, and *Dart Indus. Co. v Westwood Chem. Co.*,

supra, the case where the court found the party issuing the subpoena had released its right to obtain discovery from the subpoenaed party. As discussed above, Discussion Part III.B.2.b, neither case supports their argument that the subpoenas for deposition should be quashed.

Shayne, Eidman, and Brace add *Medical Components, Inc. v. Classic Medical, Inc.*, 210 F.R.D. 175, 180 n.9 (M.D.N.C. 2002) to the cases cited by Empire and RREEF (Shayne/Eidman/Brace Motion to Quash at 9-10.) *Medical Components* is another case in which the discovering party issued a subpoena for documents, not for a deposition.

As support for their motion, Shayne, Eidman, and Brace cite “*Faculy [sic] Wizard Software, Inc. v. Se. Tech. Serv., L.L.C.*, 2009 WL 4388220 (N.D. Ill. Sept. 4, 2009) (‘To protect third-parties from undue burden, courts routinely quash subpoenas seeking documents that could be obtained from a party in discovery in the underlying litigation.’)” (Shayne/Eidman/Brace Motion to Quash at 9-10.) As the quotation indicates, *Facility Wizard* (not *Faculy Wizard*) also concerned a motion to quash subpoenas served on third parties seeking documents, not deposition testimony. The Westlaw document Shayne, Eidman, and Brace cite and quote is not an opinion of the court, but a “Memorandum in Support of Facility Wizard Software’s Motion for Protective Order” prepared and filed by counsel for plaintiff Facility Wizard. Counsel’s carelessness in citing this memorandum of counsel as if it were an opinion of the court is troubling.

PANYNJ’s subpoenas of Shayne, Eidman, and Brace seek testimony, not documents. Shayne, Eidman, and Brace do not cite any case holding that a subpoena for the deposition of a nonparty should be quashed because the party issuing the subpoena has obtained related information (either documentary or testimonial) from other sources. There is no basis for finding that their testimony about the development of the Report would duplicate the information in the documents already produced.

Shayne, Eidman, and Brace have not established that appearing for depositions would impose heavy burdens on them, therefore, their motion to quash the subpoenas is **DENIED**. On a date within thirty-five days of this Order and at a time and place determined by the parties and Shayne, Eidman, and Brace, Shayne, Eidman, and Brace are ordered to appear for their depositions.

VI. LORRAINE SOOS MOTION TO QUASH SUBPOENA ISSUED BY THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY (Soos Motion to Quash) (filed May 16, 2011).

Related Filings

- (1) [PANYNJ’s] Opposition to Lorraine Soos’s Motion to Quash the Subpoena Issued by [PANYNJ] (filed May 23, 2011) (PANYNJ Opp to Soos Motion to Quash).

- (2) Lorraine Soos Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to Lorraine Soos's Motion to Quash the Subpoena Issued by [PANYNJ] (filed June 9, 2011) (Soos motion to reply and reply to PANYNJ opposition.
- (3) PANYNJ Opposition to Loraine Soos's Motion for Leave to File to Reply and Reply to [PANYNJ's] Opposition to Lorraine Soos's Motion to Quash its Subpoena (filed June 24, 2011) (PANYNJ Opp. to Soos's Motion for Leave to Reply)

On May 6, 2011, PANYNJ served a subpoena for deposition on Lorraine Soos. Soos is not a party to this proceeding. Soos was employed as Vice President-Controller of Maher during the period when Empire prepared the Empire Report. (Soos Motion to Quash at 2.) On May 16, 2011, Soos, represented by Maher's counsel, served on PANYNJ a 13-page motion to quash the subpoenas with attachments. PANYNJ served its opposition to the motion on May 23, 2011. On June 8, 2011, Soos served a Motion for Leave to Reply and Reply to the PANYNJ's opposition. On June 22, 2011, PANYNJ served an opposition to Soos's Motion for Leave to Reply and Reply

A. Description of Motions and Oppositions.

1. Soos Motion to Quash.

Soos, who left her Maher employment in March, 2009, contends that she has little recollection of her work on the preparation of the Empire Report. She states that her work "was limited to the gathering and transmission of information between Maher and Empire to facilitate the completion of Empire's allocation analysis of Maher [S]he was not involved in any of the analysis Empire performed nor did she assist with or otherwise contribute to the actual drafting of the Allocation." (Soos Motion to Quash at 2 (citations to exhibits omitted)) Soos says that she currently works as the Director of Finance and Accounting for another company and is in graduate school studying Elementary Education. (*Id.* at 2-3)

Soos repeats a number of arguments raised in the other motions to quash subpoenas requested by PANYNJ. Soos contends that:

The subpoena is invalid because it was served an entire week after the final day of fact deposition discovery, April 29, 2011, as prescribed by the Presiding Officer in his January 11, 2011 Scheduling Order , and it calls for the deposition of Ms. Soos over a month after the close of depositions of fact witnesses. To avoid "delay[ing] the proceeding further," the Presiding Officer in the Scheduling Order imposed on the parties a rigorous schedule, which included limiting depositions to the period between March 7 and April 29, 2011, absent an agreement between the parties to conduct depositions outside of this period. Maher has not agreed to this deposition, and therefore the subpoena contradicts the Scheduling Order such that it should be quashed.

(Soos Motion to Quash at 3-4) Soos makes the same contention about PANYNJ's February 11, 2011 Filing Notice Regarding Third Party Subpoenas as Shayne, Eidman, and Brace.

PANYNJ represented to the Presiding Officer in its February 11, 2011 Filing Notice Regarding Third Party Subpoenas that, following review of Maher's January 18, 2011 document production, "in order to avoid delaying this proceeding, it will not pursue third party subpoenas to obtain additional documents" from the previously subpoenaed third parties. However, now it has reversed itself and seeks to delay further the discovery proceedings by subpoenaing three more third-party witnesses purportedly based upon a single document included in Maher's January 18, 2011 production.

(*Id.* at 8)

Soos's memorandum in support of her motion is substantially identical to the memorandum filed by Shayne, Eidman, and Brace and relies on the same cases. (Soos Motion to Quash at 4-6) Soos contends that PANYNJ waived its right to seek third party discovery (Soos Motion to Quash at 6-7, *compare* Shayne/Eidman/Brace Motion to Quash at 8) Soos contends that since PANYNJ has obtained extensive discovery regarding the Empire Allocation and that Soos was not involved with the Empire Report except to gather and transmit documents, she is engaged in other work and graduate studies, and PANYNJ has obtained information from other sources, forcing her to testify at a deposition would constitute an undue burden. (Soos Motion to Quash at 8-11, *compare* Shayne/Eidman/Brace Motion to Quash at 10-11)

2. PANYNJ Opposition to Soos Motion to Quash.

PANYNJ contends that it

served a deposition notice for Ms. Soos on Maher's counsel (consistent with the practice between the parties) on March 24, 2011 and noticed the deposition for April 14, 2011, both well before the end of the fact deposition period. Throughout April, Maher's counsel represented that it was working to obtain Ms. Soos's cooperation and would agree to hold the deposition after Maher produced its Empire-related documents on April 29

Maher waited until May 2, 2011 – the first business day after the deposition period ended – to inform the Port Authority that it would no longer agree to the deposition of Ms. Soos after the deposition period. If Maher had made its intentions clear when the Port Authority served the Soos deposition notice in March, the Port Authority could have and would have issued the subpoena weeks earlier. Therefore, the delay is due solely to the actions of Soos and Maher, through their counsel, and they should not be permitted to manufacture an objection based on them.

(PANYNJ Opp to Soos Motion to Quash at 4-5 (citations to exhibits and case omitted))

PANYNJ contends that Soos has not established that the discovery sought is unduly burdensome or duplicative of discovery actually obtained from another source. (*Id.* at 5-6.) With regard to any burden imposed by the location or timing of a deposition, PANYNJ would accommodate Soos's schedule. In response to Soos's claim that she was not substantively involved in the development of the Report, PANYNJ cites deposition testimony suggesting close involvement throughout the period during which the report was developed. (*Id.* at 7-9)

3. Soos motion to reply and reply to PANYNJ opposition.

Soos contends that PANYNJ misstates facts regarding Soos's involvement in the creation of the Empire Report. Soos contends that she was not responsible for selecting Empire, that Port Elizabeth Holdings, LLC, not Maher, entered into the agreement with Empire, and that Soos did not have the authority to select and retain Empire. (Soos Reply at 2-3) Soos contends that PANYNJ rejected Soos's offers to provide any information that she has without the a deposition. "PANYNJ cannot therefore be heard to claim it offered to be reasonable and accommodating when it rejected out of hand Ms. Soos's offer to find middle ground." (*Id.* at 4) Soos contends that PANYNJ misrepresents the significance of the Empire Report and argues that it is irrelevant to this proceeding. (*Id.* at 4-10)

4. PANYNJ Opposition to Soos's Reply.

PANYNJ argues that Soos has not established a right to reply pursuant to Commission Rule 74 PANYNJ recites deposition testimony that suggests Soos was involved in the selection of Empire. (PANYNJ Opp to Soos's Motion for Leave to Reply at 2-5) PANYNJ argues that the purported accommodations offered by Soos did not include a deposition. (*Id.* at 5)

B. Ruling on Soos Motion to Quash.

1 Procedural grounds.

Soos contends that her subpoena should be quashed "because it was served an entire week *after* the final day of fact deposition discovery and it calls for the deposition of Ms. Soos over a month after the close of depositions of fact witnesses." (Soos Motion to Quash at 3) I question whether a nonparty to the litigation moving to quash a subpoena has standing to argue that the date set for the deposition is after the close of fact depositions as established in a scheduling order that is not applicable to the nonparty, but will assume without deciding that Soos is permitted to raise this argument. For the reasons stated in Discussion Part II.B, *supra*, Maher's insufficient response to Interrogatory No 16 (Second Set) was the initial cause in PANYNJ not discovering the Empire Report until over a month had passed after its production by Maher For the reasons stated in Discussion Part III.B, *supra*, Soos's motion to quash based on the date of service of their subpoenas is **DENIED**

Soos contends that by subpoenaing her for a deposition, PANYNJ is reversing the position taken in its February 11, 2011, Filing Notice that "'in order to avoid delaying this proceeding, it will

not pursue third party subpoenas to obtain additional documents' from the previously subpoenaed third parties." It is not clear to me that Soos, a third party, has standing to make this argument. To the extent PANYNJ's Filing Notice may be an enforceable promise, the promise runs to Maher, not Soos. PANYNJ promised not to seek additional documents from RREEF America, LLC, Grant Thornton, and Greenhill & Co., Inc. PANYNJ did not promise that it would not seek documents from other third parties, including Soos. Furthermore, PANYNJ's subpoena does not seek "additional documents" from Soos, but deposition testimony from Soos. Therefore, assuming Soos has standing to base an argument on the Filing Notice, the argument is without merit. Soos's motion to quash the subpoena based on the claim that PANYNJ's Filing Notice constituted a promise not to obtain additional discovery from third parties is **DENIED**

2. Substantive grounds.

"[T]he party seeking to quash a subpoena bears a heavy burden of proof." *Irons v Karceski*, 74 F.3d 1262, 1264 (D.C. Cir. 1995) (affirming denial of nonparty's motion to quash subpoena for deposition).

We begin with the proposition that plaintiffs have no burden to show that the deponents have any relevant knowledge. "An order barring a litigant from taking a deposition is most extraordinary relief. It is the party seeking such an order that bears the burden of proving that the proposed deponent has nothing to contribute."

In re Garlock, 463 F. Supp. 2d 478, 481 (S.D.N.Y. 2006), quoting *Speadmark v Federated Dep't. Stores, Inc.*, 176 F.R.D. 116, 118 (S.D.N.Y. 1997)

Soos contends that a deposition would impose a heavy burden on her in part because PANYNJ has access to the information from the depositions of Maher witnesses and the documents produced by Maher. Soos relies on the same cases on which Empire, RREEF, and Shayne, Eidman, and Brace rely (See Soos Motion to Quash at 5-7, compare Shayne/Eidman/Brace Motion to Quash at 5-7). As did Shayne, Eidman, and Brace, Soos also relies on *Medical Components, Inc. v Classic Medical, Inc.*, 210 F.R.D. 175, 180 n.9 (M.D.N.C. 2002), and *Faculty [sic] Wizard Software, Inc. v Se. Tech. Serv., L.L.C.*, 2009 WL 4388220 (N.D. Ill. Sept. 4, 2009).

For the reasons stated in Discussion Part V.B.2 above, Soos has not established that appearing for depositions would impose heavy burdens on her; therefore, her motion to quash the subpoenas is **DENIED**. On a date within thirty-five days of the date of this Order and at a time and place determined by the parties and Soos, Soos is ordered to appear for a deposition. Given the fact that she no longer works for Maher, unless Soos consents to another location, the deposition must be held in a place no more than fifteen miles from her home.

VII. MAHER MOTION TO ENFORCE THE PRESIDING OFFICER'S DISCOVERY ORDERS AND TO COMPEL INTERROGATORY RESPONSES (filed May 25, 2011) (Maher Motion to Enforce).

Related Filing:

- (1) [PANYNJ's] Opposition to Maher's Motion to Enforce the Presiding Officer's Discovery Orders and to Compel Interrogatory Responses filed (June 9, 2011) (PANYNJ Opp to Maher Motion to Enforce).

Maher contends that throughout the discovery period, it has sought information about the existence of any PANYNJ analysis showing that differences between Maher's lease terms and Maersk/APM's lease terms are justified by differences in the terminals. Maher's Motion to Enforce is based on the following sequence of interrogatories and responses. (Maher Motion to Enforce at 3-4)

Maher Interrogatory No. 1 of Maher's First Set of Interrogatories asked. "Describe in detail PANYNJ's basis for providing the basic rental term of \$19,000 per acre to APMT in EP-248 " (Maher Motion to Enforce, Ex. A, PANYNJ's Responses to Maher's First Set of Interrogatories at 4) Interrogatory No. 2 of Maher's First Set of Interrogatories asked. "Describe in detail PANYNJ's basis for providing the basic rental term of \$39,750 per acre to Maher in EP-249 " (*Id.* at 18) In its fourteen-page response to Interrogatory No. 1, PANYNJ stated

The differences in per acre rental rates and escalation terms are fully justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space – all of which were superior on the Maher parcel – as well as the need to retain Maersk as a critical piece in the Port redevelopment strategy. In addition, the Port Authority exclusively negotiated with Maher for the lease of its terminal, and granted initial operating rights for the ExpressRail terminal to Maher, incurred substantial costs and sacrificed income for Maher's benefit and also gave Maher a lower rental rate than it reached with [Port Newark Container Terminal (PNCT)] following the auction for the marine terminal at Port Newark.

(*Id.* at 16) PANYNJ adopted this as its response to Interrogatory No. 2. (*Id.* at 18.)

Maher followed this with Interrogatory Number 33 of Maher's Third Set of Interrogatories. Maher requested that PANYNJ

Describe in detail and identify any analyses performed by PANYNJ prior to November 2000 showing that "The differences in per acre rental rates and escalation terms are fully justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space" as stated

on page 16 of PANYNJ's response to Interrogatory 1 of Maher's First Interrogatories.

(Maher Motion to Enforce, Ex. C, Maher's Third Set of Interrogatories at 13 (9/8/08)) I note that neither Maher Interrogatory No 1 nor Interrogatory No. 2 of the First Set asked PANYNJ to "identify any analyses performed by PANYNJ prior to November 2000 " PANYNJ responded.

The Port Authority objects to Interrogatory No. 33 on the grounds that it mischaracterizes the Port Authority's response to Interrogatory No. 1 through misleading selective quotation. Subject to and without waiving, but rather expressly preserving, the foregoing objections and its General Objections, the Port Authority responds that it considered various differences between the terminal properties during the time period of the lease negotiations with Maher but no formal, written analyses were created prior to November 2000

(Maher Motion to Enforce, Ex. D, Maher's Third Set of Interrogatories at 37)

Maher then served its Sixth Set of Interrogatories, including Interrogatory Number 22.

In response to Maher's Interrogatories 33, 36, 38, 42, and 46 of Maher's Third Set of Interrogatories concerning in part "analyses performed by PANYNJ prior to November 2000" PANYNJ responded that "no formal, written analyses were created prior to November 2000 " Identify, describe in detail, and provide the principal and material facts showing any "formal, written analyses" concerning the referenced interrogatories prepared at any time.

(Maher Motion to Enforce, Ex. E, Maher's Sixth Set of Interrogatories at 13) PANYNJ responded.

Subject to and without waiving, but rather expressly preserving, its General Objections, the Port Authority responds that no formal, written analyses were done with respect to the referenced topics in Interrogatories No. 36, No 38, No. 42, and No 46 of Maher's Third Interrogatories. With respect to the topic referenced in Interrogatory No 33 of Maher's Third Interrogatories, the Port Authority responds, pursuant to Fed. R. Civ P 33(d), that responsive information has been produced or will be produced in connection with this litigation under custodians Cheryl Yetka, Charles McClafferty and/or possibly others. In addition, the Complainant will have an opportunity to depose knowledgeable witnesses as to this topic, including Cheryl Yetka. The Port Authority is not aware of any other formal, written analyses referenced in the interrogatory

(Maher Motion to Enforce, Ex B, PANYNJ's Objections and Responses to Maher's Sixth Set of Interrogatories at 28)

Maher describes a series of letters between counsel, then states. “Finally, on April 27, 2009, PANYNJ identified four documents as ‘responsive to Interrogatory Number 22’ The four documents are spreadsheets that merely compare the financial terms of the four Port Elizabeth leases (Maher, Maersk-APM, P&O, and Howland Hook)” (Maher Motion to Enforce at 5 (references to exhibits omitted)) During their depositions, Maher asked PANYNJ Rule 30(b)(6) designees Lillian Borrone, Cheryl Yetka, and Rudy Israel, and PANYNJ employee Ed Harrison about any formal, written analyses. “[T]hey all testified that they did not know of such an analysis.” (Maher Motion to Enforce at 6)

A. Description of Motion and Opposition.

1. Maher Motion to Enforce.

Maher moves for an order

compelling [PANYNJ] (1) to correct a prior discovery response on the grounds that its failure to do so would be “in substance a knowing concealment” under FMC Rule 201(j)(2), or (2) to identify documents responsive to Interrogatory Number 22 of Maher’s Sixth Set of Interrogatories regarding alleged comparative analyses justifying differences in lease terms imposed on PANYNJ tenants, having repeatedly refused to cure its violation of the Presiding Officer’s June 4, 2008 and July 23, 2010 orders regarding the specification of records and the identification of custodians with responsive documents when tendering business records in response to an interrogatory

(Maher Motion to Enforce at 1)

Maher argues.

In other words, Maher requested that PANYNJ identify any “formal written analyses” showing that “[t]he differences in per acre rental rates and escalation terms are fully justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space” that it prepared “*at any time*”

PANYNJ did not respond by saying it never prepared such an analysis, as it had with regard to the period preceding November 2000 Instead, PANYNJ responded that “responsive information has been produced or will be produced in connection with this litigation under custodians Cheryl Yetka, Charles McClafferty *and/or possibly others*,” indicating that such an analysis exists. Ex. B, PANYNJ’s Responses to Maher’s Sixth Set of Interrogatories at 28 (11/13/08) (emphasis added).

The documents that PANYNJ produced in this litigation, including those documents under custodians Cheryl Yetka and Charles McClafferty, do not include

any formal, written analysis showing that the differences in Maher and Maersk-APM's lease terms are justified by differences in the terminals, *i.e.*, transportation-related factors.

(Maher Motion to Enforce at 4-5 (emphasis in original))

The four documents [identified on April 27, 2009] are spreadsheets that merely compare the financial terms of the four Port Elizabeth leases (Maher, Maersk-APM, P&O, and Howland Hook) However, they include no comparison of the four Port Elizabeth terminals, much less a comparison showing that differences in the lease terms are in any way justified by differences in the terminals. The documents include no discussion of terminal configuration, access to trucking and rail, or linear berth space that would support PANYNJ's contentions in response to Interrogatory 22

More recent discovery provides further confirmation that PANYNJ never conducted a comparative analysis of the terminals justifying the lease rate term differences, much less a formal, written analysis comparing the Maher and Maersk-APM terminals (or any terminals) with respect to size, configuration, access to trucking and rail, or linear berth space that would justify the differences in Maher and Maersk-APM's lease terms.

(*Id.* at 5-6 (footnote omitted) (references to exhibits omitted))

Maher argues that PANYNJ witnesses testified that they did not know of a formal, written analysis.

Moreover, corporate designee Cheryl Yetka testified that, if such a formal, written analysis had been conducted, she would have known about it, but she did not. And former PANYNJ Deputy Executive Director Ron Shiftan testified that no such analysis had ever been performed because PANYNJ felt no obligation "to justify anything." When former PANYNJ CFO Charles McClafferty was presented at deposition with the four documents identified by PANYNJ as responsive to Interrogatory Number 22, *he contradicted PANYNJ's previous representation and testified under oath* that the documents *did not* provide evidence "that the differences in per-acre rental rates and escalation terms are fully justified by the differences in the terminals including, but not limited to, size, configuration, access to trucking and rail, and linear berth space."

Maher has repeatedly requested that PANYNJ correct its misleading and deficient discovery response. PANYNJ has refused to do so and, furthermore, has refused to meet and confer on the issue despite Maher's repeated requests. In the face of PANYNJ's obstinate refusal to fulfill its discovery obligations in accordance with the rules and the discovery orders in this proceeding, as well as its refusal to

meet and confer, Maher has no other option but to file this motion. *See* Ex. U, Letter from Holly Loiseau to Lawrence Kiern (5/3/11) (claiming that parties' exchange of letters "satisf[ies] any meet and confer obligations.").

(*Id.* at 6-8 (emphasis in original) (footnotes and some citations to exhibits omitted))

Maher argues that:

Whether a comparative analysis showing that differences in Maher and Maersk-APM's lease terms are justified by differences in the terminals was ever performed goes to the core issue in this proceeding: Did PANYNJ charge Maher a higher rent, as PANYNJ contends, because the transportation-related qualities of Maher's terminal made it more valuable? PANYNJ must answer Maher's interrogatory clearly and unequivocally, not hide behind an evasive reference to unidentified custodians.

PANYNJ's response to Interrogatory Number 22 suggests without actually stating that a formal, written analysis comparing the terminals exists among the documents produced in this proceeding under the custodians Cheryl Yetka and Charles McClafferty "*and/or possibly others*"

(*Id.* at 8 (emphasis in original)) Maher argues that:

PANYNJ must amend its Interrogatory response because its failure to do so "is in substance a knowing concealment." Under FMC Rule 201(j)(2), "[a] party is under a duty seasonably to amend a prior [discovery] response if the party obtains information upon the basis of which (i) the party knows that the response was incorrect when made, or (ii) the party knows that the response though correct when made is no longer true and the circumstances are such that a failure to amend the response is in substance a knowing concealment." PANYNJ knows whether a formal, written analysis showing that differences in Maher and Maersk-APM's lease terms are justified by differences in the terminals exists and, if it exists, where it is located. The sworn testimony of PANYNJ's corporate designees and other knowledgeable witnesses demonstrates that no such comparative analysis exists or was ever performed. Under these circumstances, PANYNJ's failure to identify such an analysis, or to state that such an analysis does not exist, constitutes a knowing concealment of evidence relevant to a key issue in this proceeding – whether differences in Maher and Maersk-APM's lease terms were not justified by transportation factors and thus were unlawful under the Shipping Act.

(*Id.* at 8-9) As relief for PANYNJ's alleged "desperate attempt to conceal its complete failure to perform any analysis which might justify its discrimination" (*id.* at 10)

Maher requests that PANYNJ be compelled within ten (10) days of the Presiding Officer's Order (1) to identify by bates number any formal, written analysis showing that "[t]he differences in per acre rental rates and escalation terms are fully justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space," or (2) to acknowledge that it never conducted such an analysis. If PANYNJ fails to comply with (1) or (2), Maher requests that an adverse inference be established that PANYNJ never prepared such an analysis, and that PANYNJ be precluded from presenting any evidence demonstrating that it did prepare such an analysis.

(*Id.* at 10-11)

2. PANYNJ Opposition to Maher Motion to Enforce.

PANYNJ argues:

[T]here is no basis for Maher's Motion because the Port Authority's interrogatory response and other discovery provided by the Port Authority have fully satisfied its discovery obligations under the Presiding Officer's Orders, the [Commission] Rules, and the Federal Rules of Civil Procedure. First Maher propounded Interrogatory Number 33, which sought any analyses performed prior to November 2000 showing that the "differences in per acre rental rates and escalation terms are fully justified by the differences in the terminals." *See infra* p. 3 The Port Authority gave a direct and accurate response to Request No 33, saying there were no such formal written analyses. Not satisfied with the Port Authority's response to Interrogatory No. 33, Maher served Interrogatory Request No. 22, an entirely ambiguous and broader request, seeking *any* analyses *concerning* Interrogatory number 33, prepared at *any* time. *See infra*, pp 3-4 The Port Authority reasonably interpreted Request No 22 and responded accurately to the request by not only informing Maher where it could find documents responsive to the interrogatory, but by identifying the key witness, Cheryl Yetka, who Maher could question on this topic at her deposition. The Port Authority's supplemental response to Request No 22 went even further by identifying Bates Numbers of documents responsive to this request. Maher subsequently had the opportunity to depose multiple Port Authority witnesses regarding the response to Interrogatory No. 22, and despite Maher's attempts to contort and conflate their testimony, none of those witnesses contradicted the Port Authority's interrogatory response or testified that the identified documents were not responsive. Moreover, Maher never questioned Ms. Yetka as to the documents identified as responsive to Request No 22 when it took her deposition. Thus, it is clear from the discovery responses as well as the deposition testimony cited in its Motion to Enforce that Maher has received full and accurate responses as to Interrogatory Request No 22 through the discovery process, and the fact that the Port Authority and the Presiding Officer have been burdened with this motion is nothing short of mystifying.

Maher's motion appears to be an attempt to force the Port Authority to provide a specific response to Interrogatory No. 22 that would neatly fit with its theory of the case, even though the Port Authority has fully and accurately responded to the Interrogatory. While Maher will be free to argue its legal theory – which the Port Authority believes is groundless – at the appropriate time, the only question now is whether the Port Authority has met its discovery obligations, and it clearly has done so. The Port Authority has provided Maher with discovery multiple times in multiple forms, to answer Maher's Interrogatory Request No. 22, an interrogatory requesting any analysis concerning a broad subject area.

(PANYNJ Opp. to Maher Motion to Enforce at 2-3 (emphasis in original))

B. Ruling on Maher Motion to Enforce.

Based on this record, I *do not find* that PANYNJ knowingly concealed evidence of the existence or non-existence of a "formal, written analysis" in its responses to Maher Interrogatory No. 1 of Maher's First Set of Interrogatories, Interrogatory Number 33 of Maher's Third Set of Interrogatories, Interrogatory Number 22 of Maher's Sixth Set of Interrogatories, and the deposition testimony of its Rule 30(b)(6) witnesses. Nevertheless, the record does leave some ambiguity. Therefore, I order PANYNJ to respond to the following interrogatory:

Identify any formal written analyses performed by PANYNJ at any time showing that the differences between Lease EP-248 and Lease EP-249 in per acre rental rates and escalation terms are justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space.

For PANYNJ's response to this interrogatory:

1. The four spreadsheets identified by PANYNJ on April 27, 2009, are deemed NOT to be responsive to the interrogatory.
2. If PANYNJ did not at any time create a formal written analysis showing that the differences between Lease EP-248 and Lease EP-249 in per acre rental rates and escalation terms are justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space, PANYNJ must respond. "PANYNJ did not at any time create a formal written analysis showing that the differences between Lease EP-248 and Lease EP-249 in per acre rental rates and escalation terms are justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space."
3. If PANYNJ did create a formal written analysis showing that the differences between Lease EP-248 and Lease EP-249 in per acre rental rates and escalation terms are justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space, and PANYNJ has already produced the formal

written analysis, PANYNJ must respond by identifying the formal written analysis by title and date and identify by bates number the pages in its documents already produced at which the formal written analysis can be found.

- 4 If PANYNJ did create a formal written analysis showing that the differences between Lease EP-248 and Lease EP-249 in per acre rental rates and escalation terms are justified by the differences in the terminals, including but not limited to size, configuration, access to trucking and rail, and linear berth space, and PANYNJ has not already produced the formal written analysis, PANYNJ must respond by identifying the formal written analysis by title and date and producing the formal written analysis with its response.
- 5 Within fourteen days of the date of this Order, PANYNJ must serve its response to this interrogatory on Maher PANYNJ is ordered to file its response to this interrogatory with the Secretary, but PANYNJ must not file the formal written analysis itself (if any) with the Secretary

VIII. THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY'S PURPORTED MOTION TO EXTEND FACT DEPOSITIONS EMBEDDED IN RESPONDENT'S SUPPLEMENTAL RULE 201 REPORT FILED APRIL 22, 2011.

Related Filings.

- (1) [Maher's] Reply in Opposition to Respondent's Motion to Extend Fact Depositions (filed May 9, 2011) (Maher Opp to Respondent's Mot. to Extend Fact Depositions)
- (2) [PANYNJ's] Joint Opposition to [RREEF's] Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to the Motion to Quash its Subpoena and Motion to Strike [Maher's] Reply in Opposition to Respondent's Motion to Extend Fact Discovery (filed May 13, 2011) (PANYNJ Opp to RREEF First Mot. to Reply) [Also addressed in Discussion Part IV, *supra*.]

A. Description of Motions and Oppositions.

1. PANYNJ's purported Motion to Extend Fact Depositions.

On April 14, 2011, Maher filed a Supplemental Rule 201 Report. On April 22, 2011, PANYNJ filed Respondent's Supplemental Rule 201 Report. PANYNJ's Report states that Maher's Report "contained blatant mischaracterizations about what has transpired between the parties concerning discovery" (Respondent's Supplemental Rule 201 Report dated April 22, 2011 at 1-4) The Report concludes.

Mahe's Supplemental Report, like its original report, painted a grossly distorted picture of what has transpired in this proceeding. The reality is that Maher continues to generate discovery disputes out of minor issues that, in any normal case, would be resolved by counsel upon compromise and agreement. At the same time, Maher has embarked on a scorched earth campaign to evade and/or delay important discovery concerning the Empire Report which appears to completely undermine its case.

As the April 29[,2011,] deadline for depositions of fact witnesses looms, it is clear that the parties will be unlikely to meet this deadline given the number of depositions that still need to occur. Thus, the Port Authority submits that the deadline be extended to permit the Port Authority to take the depositions of Empire-related witnesses no earlier than ten days after Maher has certified its production of Empire-related documents to Your Honor. The Port Authority would suggest a four to six week extension of the entire case management schedule to accommodate the additional deposition discovery period. The Port Authority stands ready to discuss any such extension with Your Honor and Maher at Your Honor's convenience.

(*Id.* at 4-5 (footnote omitted))

2. Maher's Opposition to PANYNJ's purported Motion to Extend Fact Depositions.

Mahe construes PANYNJ's Supplemental Rule 201 Report as a motion to extend fact depositions.

On April 22, 2011 PANYNJ filed a Supplemental Rule 201 Report with the FMC. The Commission's Rules require that the litigants in this proceeding submit these periodic reports as a means of tracking their progress under the established discovery schedule. PANYNJ improperly utilizes its most recently submitted report as a disguised motion to extend the April 29, 2011 deadline for depositing [*sic*] fact witnesses without Maher's consent or, alternatively, to extend the entire case management schedule.

(Mahe Opp. to Respondent's Mot. to Extend Fact Depositions at 1-2.) Maher continues:

PANYNJ's motion marks yet another effort by PANYNJ to prolong this proceeding, this time to allow PANYNJ to cure its own inattention and procrastination for failing to conduct discovery pursuant to the Scheduling Order and to launch another wild goose chase for irrelevant information. Maher hereby opposes PANYNJ's motion and respectfully submits that this matter should proceed according to the January 11, 2011 Scheduling Order.

(*Id.* at 2.) Maher contends that extending the deposition schedule would prejudice Maher and argues that PANYNJ has not demonstrated good cause that would justify an extension. (*Id.* at 2-8.)

3. PANYNJ's Motion to Strike Maher's Opposition to Respondent's Motion to Extend Fact Discovery.

PANYNJ incorporated a motion to strike Maher's opposition into PANYNJ's opposition to RREEF's motion for leave to reply and reply to PANYNJ's opposition to RREEF's motion to quash subpoena. PANYNJ contends that Maher's "Opposition to Respondent's Motion to Extend Fact Depositions" "opposes a motion that the Port Authority simply did not file." (PANYNJ Opp. to RREEF First Mot. to Reply at 1)

B. Ruling on PANYNJ's purported Motion to Extend Fact Depositions.

To the extent that PANYNJ's Supplemental Rule 201 Report filed April 22, 2011, can be construed as a motion to extend fact depositions, given the rulings on the other pending discovery motions, the motion is moot. The motion to strike the opposition to the motion is also moot. Therefore, both motions are dismissed.

IX. MAHER MOTION TO COMPEL (filed July 26, 2011) (Maher Motion to Compel No. 2).

Related Filing:

- (1) [PANYNJ's] Opposition to the Motion to Compel (filed August 10, 2011) (PANYNJ Opp. to Maher Motion to Compel No. 2)

On June 16, 2011, Maher served Complainant's Tenth Request for Production of Documents on PANYNJ. The Tenth Request sought five categories of documents:

Document Request No. 1 All documents pertaining to any meeting or communication between or among PANYNJ, the PANYNJ Board of Commissioners, [Port Newark Container Terminal (PNCT)], and/or [Mediterranean Shipping Company (MSC)] regarding the PNCT Restructured Lease Agreement.

Document Request No. 2 All documents pertaining to any deliberations of the PANYNJ Board of Commissioners regarding the PNCT Restructured Lease Agreement.

Document Request No. 3 All documents pertaining to any negotiations between or among PANYNJ, PNCT, and/or MSC regarding the cargo guarantees provided by PNCT and/or MSC under the PNCT Restructured Lease Agreement.

Document Request No. 4 All documents pertaining to PANYNJ's internal deliberations or analyses justifying the lease terms in the PNCT Restructured Lease Agreement.

Document Request No. 5 All documents pertaining to PANYNJ's internal deliberations or analyses comparing the lease terms in the PNCT Restructured Lease Agreement with the lease terms of other PANYNJ MTOs, including, but not limited to, Maher and APM.

(Maher Motion to Compel No. 2, Exhibit H at 2-6) PANYNJ provided the same core response to each request:

The Port Authority objects to this request on the grounds that it is untimely: the April 29, 2011 deadline to complete fact discovery set by A.L.J. Guthridge's January 11, 2011 Scheduling Order in case No. 08-03 has passed. Moreover, the Port Authority objects to this request to the extent it seeks documents and information protected by the attorney-client privilege and the work product doctrine. The Port Authority further objects to this request to the extent it seeks documents and information that are not relevant to any claim or defense in this action and not reasonably calculated to lead to the discovery of admissible evidence.

(*Id.* at 3-4 (Response to Request No. 3)) PANYNJ added the following sentence to the responses to requests No. 1 and 2: "The Port Authority also objects to this request on the grounds that it is overly broad." PANYNJ added the following sentence to the responses to requests No. 4 and 5: "The Port Authority also objects to this request on the grounds that it is overly broad and vague."

On June 14, 2011, Maher served its Eleventh Set of Interrogatories on PANYNJ. The set consists of one interrogatory: "Identify by Bates number the portion(s) of the CPIP that Christopher O. Ward testified about concerning Maersk during his deposition testimony of May 13, 2011, on pages 165-173 of the transcript."⁸ (*Id.*, Exhibit R at 4) PANYNJ responded.

The Port Authority objects to Interrogatory No. 1 on the basis that it is untimely: the April 29, 2011 deadline to complete fact discovery set by A.L.J. Guthridge's January 11, 2011 Scheduling Order in case No. 08-03 has passed. The Port Authority further objects to Interrogatory No. 1 on the grounds that it is vague, cumulative, and unduly burdensome to the extent that it calls for the Port Authority to produce information and materials that have already been produced or provided in discovery and to the

⁸ In its Motion, Maher defines CPIP as "Container Port Improvement Plan." (Maher Motion to Compel No. 2 at 2.) In the definitions accompanying the interrogatory, Maher defines CPIP as "Comprehensive Port Improvement Plan." (*Id.*, Exhibit R at 3) In Ward's deposition, Ward is asked about "the comprehensive port improvement plan, the CPIP " (*Id.*, Exhibit F at 168)

extent it calls for the Port Authority to perform analysis and interpretation that Maher is capable of performing and should perform itself.

(*Id.*, Exhibit Q at 2.)

A. Description of Motion and Opposition.

1. Maher Motion to Compel No. 2.

Maher Motion to Compel No. 2 seeks an order compelling PANYNJ

to respond properly to previous Maher discovery requests and/or to provide full and complete responses to Maher's Tenth Request for Production of Documents and Eleventh Set of Interrogatories filed more recently. In brief, the document requests seek evidence about PANYNJ's new marine terminal lease agreement with [PNCT], featuring a "Port Guarantee" provided by PNCT's ocean-carrier affiliate, [MSC].⁹ The sole interrogatory simply asks PANYNJ to identify that portion of a key PANYNJ strategic port development document, the "Container Port Improvement Plan" ("CPIP"), which PANYNJ's Executive Director Chris Ward testified supports PANYNJ's theory of the case that ocean-carrier Maersk is unique insofar as its ability to attract cargo through its "Port Guarantee." Because the discovery requests comply with the Rules, are timely, and seek discrete, relevant information, Maher respectfully requests that its motion be granted.

(Maher Motion to Compel No. 2 at 1-2.)

Maher contends that:

Evidence uncovered in discovery has confirmed that PANYNJ's discrimination against Maher as an independent marine terminal operator and its undue preferences favoring ocean-carrier affiliated terminals is now institutionalized.

In response to Maher's claim that PANYNJ unlawfully preferred Maersk-APMT, PANYNJ has argued that the lease terms are not discriminatory because the Maersk-APMT lease includes a "Port Guarantee" "that neither Maher nor any other port tenant could provide." PANYNJ's 30(b)(6) witness Lillian Borrone testified at deposition that, although PANYNJ does impose on Maher a significantly higher base rent than it does on Maersk-APMT, the "Port Guarantee" imposed on Maersk-APMT is a "significant difference" that justifies what would otherwise be discriminatory lease terms. She testified that the "Port Guarantee" is

⁹ In its opposition filed on August 10, 2011, PANYNJ states that the PNCT lease "is not yet effective." (PANYNJ Opp. to Maher Motion to Compel No. 2 at 6.)

“unique for terminal operators who [are] carriers,” and because Maher is not a carrier, PANYNJ did not offer the terms of the “Port Guarantee” to Maher. PANYNJ Executive Director Chris Ward, PANYNJ’s second-to-last fact witness who only appeared and testified on May 13, 2011, also testified that the Maersk-APMT “Port Guarantee” justifies the differences between the leases. Even though Maher guarantees a larger volume of cargo to the port than Maersk-APMT, Mr. Ward testified that the Maersk-APMT “Port Guarantee” is a qualitatively different kind of guarantee. According to Mr. Ward, the Maersk-APMT guarantee of Maersk cargo has a “multiplier effect” because other shippers want to route their cargo to the same port where Maersk – the largest carrier in the world – routes its cargo. According to Mr. Ward, Maersk is unique in this respect:

Q: Okay. So, let me ask you this question, Mr. Ward. Then, why wouldn’t that apply equally as well to Mediterranean Shipping Corporation, which was the number two shipping company in the world behind Maersk, and which was calling at Maher’s terminal?

A. Just the difference in the way MSC, the amount of cargo that it handles that’s solely MSC cargo versus Maersk cargo, they tend to carry far more of their own cargo than Maersk.

When asked to identify evidence substantiating his testimony, Ward specified the CPIP, although under further questioning he could not identify where in the CPIP it purportedly stated what he testified.

(*Id.* at 5-7)

Maher states that throughout discovery, it has sought information about lease agreements with port guarantees. Maher argues that because of PANYNJ’s new agreement with Port Newark Container Terminal announced on June 14, 2011, that features a “Port Guarantee”

PANYNJ’s responses to [discovery requests seeking information about port guarantees] are no longer complete or accurate, and its earlier responses are misleading because they do not indicate that PANYNJ has concluded with PNCT a new marine terminal lease agreement that incorporates a “Port Guarantee” by PNCT’s ocean carrier affiliate MSC. Thus, PANYNJ is under a duty to seasonably amend its prior responses because it has obtained information upon the basis of which it “knows that the response though correct when made is no longer true and the circumstances are such that a failure to amend the response is in substance a knowing concealment.”

(*Id.* at 9-10)

Maher claims that it asked PANYNJ to supplement its earlier discovery responses, but PANYNJ has refused. Maher concludes.

The omission of documents related to the newly concluded PNCT-MSC deal, which could not have been previously produced by PANYNJ – since its last document production was on April 14, 2011 – is a knowing concealment. Moreover, after having initially promised to produce a full and final copy of the PNCT Lease at the meet and confer, by its letter of July 22, 2011, PANYNJ reneged on that promise and refused to produce the PNCT Lease or the MSC “Port Guarantee” agreement. PANYNJ has failed to fulfill its discovery obligations and obstinately conceals damaging evidence (1) contradicting its defense that Maersk is unique justifying PANYNJ’s undue preference to Maersk-APMT, and (2) establishing PANYNJ present and ongoing Shipping Act violations for failure to establish, observe, and enforce just and reasonable regulations and practices. Accordingly, under Rule 201(j), PANYNJ must amend its discovery responses forthwith.

(*Id.* at 11)

Maher argues that the January 10, 2011, Scheduling Order does not set April 29, 2011, as the deadline for fact discovery, but only a deadline for fact depositions. (*Id.* at 11-13) Maher contends that PANYNJ’s claim of privilege is insufficient as it did not prepare a privilege log. (*Id.* at 13-14) Maher contends that PANYNJ has not met its burden of demonstrating that the discovery is vague and overbroad. (*Id.* at 14-15)

2. PANYNJ Opposition to Maher Motion to Compel No. 2.

PANYNJ argues that Maher served its Tenth Request for Production of Documents and Eleventh Set of Interrogatories after the close of discovery. In its responses to the Tenth Requests and Eleventh Interrogatories, PANYNJ objected on the ground that “the April 29, 2011 deadline to complete fact discovery set by A.L.J. Guthridge’s January 11, 2011 Scheduling Order” had passed.

Maher served the discovery requests at issue on June 14 and June 16, over three years from the beginning of fact discovery, over five months from the date of the January 11 Order, and over a month and a half after the explicit fact deposition cut-off date in that Order. As recognized in the scheduling orders issued in this proceeding, in the ordinary course of discovery, document requests, interrogatories and responses to such written discovery requests precede depositions. The only reason the original schedule in this matter was disrupted was because Maher refused to produce key documents which Your Honor ultimately ordered Maher to produce in July 2010. Maher would have the Presiding Officer rule that there is no cut-off deadline for written fact discovery requests. Under Maher’s theory, a party in a lease term discrimination case would be able to issue discovery requests up until trial – *including regarding unrelated leases executed more than a decade after the leases*

that are the subject of the case. This approach defies both reason and common sense and should be decisively rejected.

(PANYNJ Opp to Maher Motion to Compel No. 2 at 10 (emphasis in original)) PANYNJ contrasts Maher's position on responses to Maher's discovery with Maher's position on PANYNJ's discovery (*Id.* at 10-12.)

PANYNJ argues that discovery rules do not require it to supplement its earlier discovery responses by producing regarding the PNCT lease. "Maher points to previous document requests seeking documents relating to port guarantees, but fails to explain why the Port Authority's failure to supplement such document productions with recent PNCT Lease-related documents renders those productions inaccurate or a 'knowing concealment.'" (*Id.* at 13 (footnote omitted)) PANYNJ argues that the discovery seeks information that is not relevant to this proceeding. (*Id.* at 14-18) PANYNJ argues that given the number of documents sought, the discovery is unduly burdensome. (*Id.* at 18-21)

B. Ruling on Maher Motion to Compel No. 2.

1. Procedural arguments.

As noted in Background Part IV, based on the parties' proposal, on January 11, 2011, I entered an Order setting forth a schedule that would go into effect on January 18, 2011, if the parties had not settled. *Maher v PANYNJ*, FMC No 08-03 (ALJ Jan. 11, 2011) (January 11, 2011 Scheduling Order) The parties did not settle and the schedule went into effect.

PANYNJ argues that the January 11, 2011, Order closed all factual discovery as of April 29, 2011, and required that all written discovery be served no later than thirty days prior to April 29. Maher argues that the Order does not set a fact discovery deadline, but set a deadline for fact depositions only.

The dates in the January 11, 2011, Order were set based on the proposed schedule submitted by the parties. *Id.* The parties did not suggest a date for the close of factual discovery. Although I did not anticipate that factual discovery would continue beyond April 29, 2011, Maher's contention that the Order does not explicitly establish a close of factual discovery is not unfounded. Therefore, I will not deny Maher's Motion to Compel No. 2 based on a ruling that Maher served the discovery in June 2011 after discovery closed.

To avoid any future problem, I make it clear now that factual discovery in this proceeding is closed. **Other than depositions and responses permitted or required by this Order, the parties may not serve any interrogatories, serve any requests for production of documents, serve any requests for admission, or notice any fact depositions.**

2. Substantive arguments.

a. Supplemental responses to previous discovery requests and responses to Tenth Request for Production of Documents.

Maher moves for an order requiring PANYNJ to produce documents relating to the negotiations, internal deliberations, and meetings of the PANYNJ board that resulted in the restructured lease with PNCT announced by PANYNJ on June 14, 2011. Maher contends that PANYNJ should be ordered to produce this information either as supplemental responses to Maher's earlier discovery or as responses to Maher's Tenth Request for Production of Documents served on June 14, 2011. PANYNJ opposes the motion for a number of reasons, only one of which I will address.

Maher's Complaint alleges that PANYNJ discriminates against Maher and in favor of Maersk/APM because Lease EP-248 between PANYNJ and Maersk/APM dated January 6, 2000, grants more favorable terms to Maersk/APM than Lease EP-249 between PANYNJ and Maher dated October 1, 2000, grants to Maher. Commission Rule 201 provides the scope of discovery in Commission proceedings: Any matter "which is relevant to the subject matter involved in the proceeding, whether it relates to the claim or defense of the examining party or to the claim or defense of any other party." 46 C.F.R. § 502.201(h). "'Relevant evidence' means evidence having any tendency to make the existence of any fact that is of consequence to the determination of the action more probable or less probable than it would be without the evidence." Fed. R. Evid. 401

I find that the information regarding the negotiations between PANYNJ and PNCT that resulted in the announcement of the new lease on June 14, 2011, is not relevant to this proceeding. This information would not have a tendency to make it more or less probable that the allegedly different provisions in the two leases signed in 2000 – the basic annual rental rate per acre, investment requirements, throughput requirements, first point of rest requirement for automobiles, and the security deposit requirement (*see* Complaint ¶ IV.B) – are discriminatory. Therefore, Maher's motion to compel PANYNJ to supplement its earlier discovery responses or respond to Maher's Tenth Request for Production of Documents is **DENIED**.

b. Eleventh Set of Interrogatories.

Maher deposed Christopher O. Ward, identified by Maher as the Executive Director of PANYNJ (Maher Motion to Compel No. 2 at 2.) It appears that Ward was being deposed for his own knowledge, not as a Rule 30(b)(6) witness for PANYNJ.

During his deposition, Ward was asked about his testimony that there is a qualitative difference between container volume guarantees by a large carrier such as Maersk and a marine terminal operator such as Maher because with "Maersk bringing a lion's share of their own cargo has a draw of pulling other cargo into the harbor, besides direct Maersk cargo. So, it has a multiplier effect of bringing even additional cargo into the facility." (Maher Motion to Compel No. 2, Exhibit F at 167.) The following exchange took place:

Q [Maher counsel] Can you point to any specific evidence which substantiates that testimony?

A [Ward] The comprehensive port improvement plan detailed how discretionary cargo on large vessels tends to accumulate given a market-dominant position.

Q Okay

A And you can capture additional cargo when carriers, such as Maersk, makes a commitment to bring a number of their volume, there are other shippers who then want to put their containers, where they otherwise might not have if Maersk hadn't made that commitment.

Q And so, you refer to the comprehensive port improvement plan, the CPIP; is that correct?

A. Correct.

(*Id.* at 167-168) The questioning later returned to this subject.

Q And is it your testimony that the evidence substantiating your testimony is in the CPIP report?

A Yeah.

Q Okay And it's your testimony that that report demonstrates that the power of Maersk to bring – to attract discretionary cargo is materially greater than other carriers calling at other terminals, is that correct?

A Yeah, it's a reasonable conclusion from the CPIP analysis.

Q And can you testify any more specifically about where you can – we can find that information in the CPIP analysis?

A Well, it's not that long, so it's in the CPIP study

Q Okay And that's what you relied upon at the time?

A Yes.

(*Id.* at 171-172.)

Maher contends that Ward was unable to specify precisely where in the CPIP Ward found the information.

A response [to the interrogatory] would involve PANYNJ specifically answering a question that Maher already asked of Ward at deposition, but to which Mr Ward did not respond with specific information. Moreover, Maher has already attempted to identify the portion of the CPIP about which Mr Ward purportedly testified at his deposition, but has been unable to do so – leading Maher to conclude that Mr Ward was mistaken. Maher previously explained this to PANYNJ in writing as the reason why it was propounding the new interrogatory PANYNJ must either specifically identify the portion of the CPIP to which Mr Ward referred in his testimony or correct his testimony This is simple.

(Maher Motion to Compel No. 2 at 19-20)

I do not find Maher's questions or Ward's testimony to be as unambiguous as Maher apparently does and do not find that it supports Maher's contention that Ward was unable to specify where in the CPIP one could find the information supporting his contention, or that "Mr Ward was mistaken," or that Ward's testimony must be corrected. Ward said that his conclusion is "a reasonable conclusion from the CPIP analysis." When asked specifically about "where we can find that information in the CPIP analysis," he responded, "it's not that long, so it's [the information] in the CPIP study "

A PANYNJ response to this interrogatory would not "involve PANYNJ specifically answering a question that Maher already asked of Ward at deposition, but to which Mr Ward did not respond with specific information." Ward was not asked the question that Maher wants PANYNJ to answer "What page or pages in the CPIP study?" Ward was not asked any question that would support Maher's contention that "under further questioning [Ward] could not identify where in the CPIP it purportedly stated what he testified." (Maher Motion to Compel at 7) Maher does not cite to any portion of the transcript where Ward was asked any more questions to clarify whether his testimony that Maersk had a materially greater power to attract discretionary cargo was based on information on a specific page or pages in the CPIP or on information "in the CPIP study" generally

In the experience of the undersigned, if a deposition witness is asked on which page or pages of a document the witness is relying (a question not asked of Ward), but the witness is unable to find the page at that time, the deponent would be asked. "Mr X, rather than take the time to look now, after this deposition, will you please find the page or pages in the document on which you rely and tell your lawyer so your lawyer can pass that information on to me?" Mr X would then respond. "Sure." Mr X's lawyer would then say "I will get that information to you."

In this proceeding, events have proven that nothing in discovery could work that simply and easily Instead, a month after Ward's deposition, Maher served its Eleventh Set of Interrogatories (one interrogatory asking the question set forth above). A month after that, PANYNJ served its objections. Two weeks later, Maher filed its motion to compel a response to the interrogatory, and two weeks after that, PANYNJ filed its opposition. Now it is left to me to determine whether

PANYNJ should be ordered to respond to the interrogatory asking the question that Maher did not ask Ward.

As stated above, I do not find that Maher's contentions are supported by Ward's testimony. Nevertheless, Ward is the Executive Director of PANYNJ and under its control (or perhaps PANYNJ is under Ward's control). It would not be a significant burden on either PANYNJ or Ward to require PANYNJ to respond to the interrogatory. It may clarify the situation for Maher, and would clarify the situation for me. Therefore, PANYNJ is ordered to respond to Maher's Eleventh Set of Interrogatories as set forth below:

If Ward relied on information on a particular page or pages of the CPIP for his testimony concerning Maersk on pages 165-173 of the transcript of his deposition testimony of May 13, 2011, PANYNJ must identify the page or pages by bates number.

If Ward relied on the information in the CPIP generally, not information on a particular page or pages of the CPIP, PANYNJ should respond accordingly.

PANYNJ must serve its response on Maher *and file its response with the Secretary* within fourteen days of the date of this Memorandum and Order.

O R D E R

Upon consideration of the pending motions identified above, the oppositions, the exhibits filed with the papers, and the record herein, and for the reasons set forth above, it is hereby

ORDERED that:

- I. Port Authority of New York and New Jersey's Motion for a Protective Order (filed March 31, 2011) be **DENIED**. On a date within thirty-five days of the date of this Order and at a time and place determined by the parties, PANYNJ is ordered to appear for a deposition pursuant to Federal Rule of Civil Procedure 30(b)(6) on (1) "Provisions of lease agreements EP-248 and EP-249 pertaining to indemnity, hold harmless, and force majeure" and (2) "Port Authority's allegations regarding Maher's purported violation of EP-249 and an alleged duty to indemnify Port Authority, as set forth in FMC Docket No. 07-01."
- II. The Port of New York and New Jersey's Motion to Enforce the July 23, 2010 Discovery Order and to Compel the Production of Documents and Depositions of Certain Witnesses (filed April 22, 2011) be **GRANTED** as set forth in Discussion Part II.
- III. 1 The Port Authority of New York and New Jersey's Motion for Enlargement of Time to Respond to Empire Valuation Consultants, LLC's Motion to Quash Subpoena Issued by the Port Authority of New York and New Jersey (filed April 18, 2011) be

GRANTED *nunc pro tunc*. The time for PANYNJ to respond is enlarged to April 21, 2011

2. Empire Valuation Consultants, LLC's Motion for Leave to Reply and Reply to the Port Authority of New York and New Jersey's Opposition to the Motion to Quash its Subpoena (filed April 26, 2011) be **GRANTED**

3 Maher Terminals, LLC's Motion for Leave to Reply and Reply to the Port Authority of New York and New Jersey's Opposition to the Motion to Quash its Subpoena (filed April 26, 2011) be **GRANTED**

4 Empire Valuation Consultants, LLC's Motion to Quash Subpoena Issued by the Port Authority of New York and New Jersey (filed April 11, 2011) be **GRANTED IN PART** and **DENIED IN PART** Empire is ordered to respond to Requests for Production of Documents No 9 and 10 within fourteen days of the date of this Order On a date within thirty-five days of the date of this Order and at a time and place determined by the parties and Empire, Empire is ordered to appear for a deposition pursuant to Federal Rule of Civil Procedure 30(b)(6) on the deposition topics stated in the subpoena signed on March 30, 2011 In other respects, the motion to quash is **GRANTED**

IV 1 RREEF America L.L.C.'s Motion for Leave to Reply and Reply to the Port Authority of New York and New Jersey's Opposition to the Motion to Quash its Subpoena (filed May 9, 2011) be **GRANTED**

2 RREEF America L.L.C.'s Motion for Leave to Reply and Reply to the Port Authority of New York and New Jersey's Opposition to RREEF America L.L.C.'s Motion for Leave to Reply and Reply to the Port Authority of New York and New Jersey's Opposition to the Motion to Quash its Subpoena (filed May 19, 2011) be **GRANTED**

3 RREEF America L.L.C.'s Motion to Quash Subpoena Issued by the Port Authority of New York and New Jersey (filed April 21, 2011) be **DENIED** On a date within thirty-five days of the date of this Order and at a time and place determined by the parties and RREEF, RREEF is ordered to appear for a deposition pursuant to Federal Rule of Civil Procedure 30(b)(6) on the deposition topics stated in the subpoena signed on March 30, 2011

V Mark Shayne, David Eidman, and Scott Brace Motion to Quash Subpoenas Issued by the Port Authority of New York and New Jersey (filed May 9, 2011) be **DENIED** On a date within thirty-five days of the date of this Order and at a time and place determined by the parties and Mark Shayne, David Eidman, and Scott Brace, Mark Shayne, David Eidman, and Scott Brace are ordered to appear for depositions.

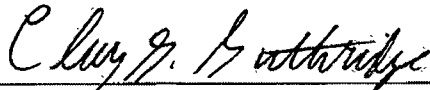
- VI. 1 Lorraine Soos Motion for Leave to Reply and Reply to [PANYNJ's] Opposition to Lorraine Soos's Motion to Quash the Subpoena Issued by [PANYNJ] (filed June 8, 2011) be **GRANTED**
2. Lorraine Soos's Motion to Quash the Subpoena Issued by [PANYNJ] (filed May 23, 2011) be **DENIED** On a date within thirty-five days of the date of this Order and at a time and place determined by the parties and Lorraine Soos, Lorraine Soos is ordered to appear for a deposition. Unless Lorraine Soos consents to another location, the deposition must take place within fifteen miles of her home.
- VII. Maher Motion to Enforce the Presiding Officer's Discovery Orders and to Compel Interrogatory Responses (filed May 25, 2011) be **DENIED** It is
- FURTHER ORDERED** that within fourteen days of the date of this Order, the Port Authority of New York and New Jersey respond to the interrogatory set forth in Discussion Part VII above.
- VIII. PANYNJ's purported Motion to Extend Fact Discovery (*see* Respondent's Supplemental Rule 201 Report dated April 22, 2011 *and* Maher Terminals LLC's Reply in Opposition to Respondent's Motion to Extend Fact Depositions (filed May 9, 2011)) and PANYNJ's Motion to Strike Maher's Opposition to Respondent's Motion to Extend Fact Discovery (filed May 13, 2011) be **DISMISSED AS MOOT**
- IX. Maher Motion to Compel (No. 2 filed July 26, 2011) be **GRANTED IN PART AND DENIED IN PART** It is

FURTHER ORDERED that within fourteen days of the date of this Order, PANYNJ respond to the interrogatory set forth in Discussion Part IX. In all other respects, the motion is **DENIED**

It is **FURTHER ORDERED** that factual discovery in this proceeding be **CLOSED** Other than depositions and responses permitted or required by this Order, the parties may not serve any interrogatories, serve any requests for production of documents, serve any requests for admission, or notice any fact depositions.

The parties have already filed their briefs and other papers addressing the merits. The additional discovery permitted by this Order may require the parties to file supplemental briefs and papers. Therefore, it is

FURTHER ORDERED that within thirty-five days of the date of this Order, the parties submit a joint statement proposing any additional briefing or submission of evidence necessitated by the additional discovery


Clay G. Guthridge
Administrative Law Judge

**BEFORE THE
FEDERAL MARITIME COMMISSION
WASHINGTON, D C.**

DOCKET NO. 12-02

MAHER TERMINALS, LLC

COMPLAINANT,

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**DECLARATION OF RAND K. BROTHERS IN SUPPORT OF
MAHER TERMINALS LLC'S SECOND MOTION TO COMPEL DISCOVERY**

I, Rand K. Brothers, declare under penalty of perjury that the following is true and accurate

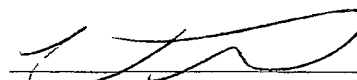
- 1 I am an attorney at Winston & Strawn, LLP, a firm representing Complainant Maher Terminals, LLC ("Maher") in this proceeding before the Federal Maritime Commission (Dkt. 12-02)
2. Upon information and belief, the Port Authority of New York and New Jersey ("Port Authority") has produced approximately 13,493 documents in the Dkt. 08-03 and 12-02 proceedings under the following four custodians:
 - Steve Borrelli
 - Dennis Lombardi
 - Richard Larrabee
 - Linda Handel

3 Additionally, upon information and belief, the Port Authority has produced approximately 16,416 documents in the Dkt. 08-03 and 12-02 proceedings under the following six custodians.

- Dennis Lombardi
- Richard Larrabee
- Patricia Duemig
- Steve Borrelli
- Andrew Saporito
- Jason Kırım

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Dated. April 28, 2016


Rand K. Brothers

**BEFORE THE
FEDERAL MARITIME COMMISSION
WASHINGTON, D C.**

DOCKET NO 12-02

MAHER TERMINALS, LLC

COMPLAINANT,

v

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**MAHER TERMINALS, LLC'S AMENDED AND SUPPLEMENTAL RESPONSES
TO THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY'S
FIRST SET OF INTERROGATORIES TO MAHER TERMINALS, LLC**

Complainant Maher Terminals, LLC ("Maher" or "Complainant"), by and through undersigned counsel, submits its Amended and Supplemental Responses to Respondent Port Authority of New York and New Jersey's ("PANYNJ" or "Respondent") First Set of Interrogatories (the "Interrogatories") Maher herein amends and supplements its responses to Interrogatories 1, 2, 4, 5, 11, 12, 18, 23, 24, 27, 33, and 34, and responds as follows.

Specific Objections

- 1 Complainant objects to the Interrogatories and the Instructions to the extent they impose obligations beyond those required by the Federal Maritime Commission Rules of Practice and Procedure (the "Rules"), and to the extent applicable, the Federal Rules of Civil Procedure, Complainant will comply with the Rules and the Federal Rules of Civil Procedure in responding to the Interrogatories.

2. Complainant objects to the Interrogatories to the extent they seek information that constitutes privileged attorney-client communications, attorney work product, or information that is otherwise protected from production under applicable privileges, laws, or rules. In the event that such information is produced in response to the Interrogatories, such production is inadvertent and shall not constitute a waiver of any privilege, doctrine, or other ground for protecting such documents from production.
- 3 Complainant objects to the Interrogatories to the extent the information sought is more easily obtained from PANYNJ's own files than from Maher or is in the sole possession of third parties.
- 4 Complainant objects to the Interrogatories to the extent they purport to require Complainant to respond on behalf of other persons, including third parties.
- 5 To the extent that any Interrogatory is unspecified or not limited in time to the period of the events at issue in this proceeding, Complainant objects to such Interrogatory on the grounds that (1) it exceeds the scope of permissible discovery; (2) it improperly attempts to impose upon Complainant an unreasonable burden and expense; and (3) it is neither relevant nor reasonably calculated to lead to the production of admissible evidence
- 6 To the extent the Interrogatories require Complainant to disclose irrelevant details of its relationship with persons or entities other than parties to the proceeding and/or other entities involved in the matters at issue in this proceeding, Complainant objects on the basis that such Interrogatories are overly broad and burdensome and neither relevant nor reasonably calculated to lead to the discovery of admissible evidence

- 7 Complainant objects to the Interrogatories to the extent they seek Complainant's contentions while discovery is ongoing, as relevant facts may be in the possession of third parties or Respondent.
- 8 Complainant objects to the Interrogatories to the extent they are overbroad, vague, unduly burdensome, not reasonably calculated to lead to the discovery of admissible evidence, or otherwise unrelated to any claim or defense of any party to this matter
- 9 Complainant objects to PANYNJ's definitions of "You," "RREEF," "Maher," and "Deutsche Bank" as vague and ambiguous, and Maher therefore cannot ascertain their meaning. Under PANYNJ's purported definitions, it is impossible to ascertain the scope of the Interrogatories, except that they are overbroad and unduly burdensome. For purposes of these responses, Complainant understands "Maher" to mean "Maher Terminals, LLC," "RREEF" to mean "RREEF America L.L.C.," and "Deutsche Bank" to mean "Deutsche Bank Americas Holding Corp." Additionally, Respondent fails to define the terms "direct and indirect parents, affiliates, subsidiaries, predecessors, successors, divisions," with respect to the foregoing entities and Maher objects to these terms as vague and ambiguous, and therefore Maher cannot ascertain their definitions or the scope of the Interrogatories, except that they are overbroad and unduly burdensome.
- 10 Complainant objects to PANYNJ's definitions of "Global," "NYCT," "OOCL," and "OOIL" as vague and ambiguous, and Maher therefore cannot ascertain their meaning. Under PANYNJ's purported definitions, it is impossible to ascertain the scope of the Interrogatories, except that they are overbroad and unduly burdensome. For purposes of these responses, Complainant understands "Global" to mean "Global Terminal & Container Services, LLC," "NYCT" to mean "New York Container Terminal, Inc.,"

“OOCL” to mean “Orient Overseas Container Line Limited,” and “OOIL” to mean “Orient Overseas (International) Limited.” Additionally, Respondent fails to define the terms “direct and indirect parents, affiliates, subsidiaries, predecessors, successors, divisions,” with respect to the foregoing entities and Maher objects to these terms as vague and ambiguous, and therefore Maher cannot ascertain their definitions or the scope of the Interrogatories, except that they are overbroad and unduly burdensome.

- 11 Complainant objects to PANYNJ’s definitions of “MSC” and “PNCT” as vague and ambiguous, and Maher therefore cannot ascertain their meaning. Under PANYNJ’s purported definitions, it is impossible to ascertain the scope of the Interrogatories, except that they are overbroad and unduly burdensome. For purposes of these responses, Complainant understands “MSC” to mean “Mediterranean Shipping Company S.A.” and “PNCT” to mean “Port Newark Container Terminal LLC.” Additionally, Respondent fails to define the terms “direct and indirect parents, affiliates, subsidiaries, predecessors, successors, divisions,” with respect to the foregoing entities and Maher objects to these terms as vague and ambiguous, and therefore Maher cannot ascertain their definitions or the scope of the Interrogatories, except that they are overbroad and unduly burdensome.
- 12 Complainant objects to the Interrogatories to the extent they call for more than the principal and material facts.
- 13 Complainant has not yet completed its investigation of the facts relating to this matter. Consequently, all of the responses contained herein are based only upon such information and documentation as is currently available to Complainant. It is anticipated that further investigation, research, and analysis will supply additional facts, add meaning to known facts, and perhaps establish entirely new factual conclusions, all of which may in turn

lead to substantial additions or changes to these responses. Accordingly, Complainant reserves the right to supplement and/or amend these responses up to the date of hearing, as its investigation continues. Complainant will comply with the Rules in responding to the Interrogatories.

- 14 Furthermore, on May 7, 2012, PANYNJ admitted that it failed to comply with its discovery obligations by refusing to produce documents, as required by the Rules, in response to Maher's First Request for Production of Documents, served on PANYNJ on April 6, 2012, and also failed to answer properly Maher's First Set of Interrogatories. These PANYNJ failures prevent Maher from responding fully to PANYNJ's discovery requests, and Maher expressly reserves the right to supplement, clarify, revise, or correct its discovery responses.
- 15 Complainant objects to the Interrogatories as unduly burdensome to the extent they request specific and comprehensive details concerning years of dealings between Complainant, including its multiple officials and employees, and various parties including parties unrelated to any aspect of this proceeding. Complainant is continuing its investigation into the matters at issue in this action. Respondent will have ample opportunity to review documents and depose witnesses with relevant knowledge.
- 16 Complainant objects to the Interrogatories to the extent they seek to impose obligations, standards, or criteria in excess of those imposed by the Shipping Act of 1984, as amended, and other applicable laws.
- 17 Complainant objects to the Interrogatories as unreasonably cumulative and duplicative.

- 18 Maher objects to the Interrogatories pursuant to Rule 205(d) to the extent that it has produced business records pursuant to the requests of PANYNJ and the burden of PANYNJ of ascertaining the answer is substantially the same.
- 19 These specific objections are incorporated by reference into each and every response below to the extent applicable and without the necessity to restate them below

SUPPLEMENTAL RESPONSES TO FIRST INTERROGATORIES

Interrogatory No. 1

Identify the principal and material facts that Maher contends support each allegation in the Complaint, including but not limited to the dates on which Maher first became aware of such facts.

Response. Maher objects to the Interrogatory to the extent it requires a broad narrative of Maher's claims and calls for more than a concise statement of principal and material facts and as overbroad, unduly burdensome, cumulative, and duplicative of PANYNJ Interrogatories 2 and 4-32. Maher objects to the Interrogatory to the extent that it requests information in the possession of PANYNJ or solely in the possession of third parties. Maher objects to this Interrogatory insofar as it seeks Maher's contentions while discovery is ongoing. Maher objects to the Interrogatory as seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter insofar as it seeks information regarding the date of Maher's awareness of each fact of each allegation, which dates have no bearing on this proceeding in light of PANYNJ's failure to answer the Complaint and assert an affirmative defense of statute of limitations, the ongoing nature of the violations and because the Shipping Act provides no waiver or estoppel defense, and the lack of any potential statute of limitations defense as to the cease and desist remedy under the Shipping Act. Maher objects to the Interrogatory's use of the term "Maher," as the definition given to the term by

PANYNJ is vague and ambiguous, and therefore Maher cannot ascertain its meaning as used by PANYNJ. PANYNJ has not complied with its discovery obligations by refusing to produce any documents, contrary to its obligation to do so, by its own admission no later than May 7, 2012, and PANYNJ has failed to answer properly and fully Maher's interrogatories, and therefore Maher reserves its right to supplement and/or amend this response as appropriate.

Subject to Maher's specific objections, the principal and material facts regarding Maher's allegations of PANYNJ's Shipping Act violations are set forth in Maher's Complaint, alleging that: PANYNJ violated and continues to violate the Shipping Act by imposing unduly and unreasonably prejudicial requirements on Maher and providing undue preferences to other port users and failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. Such unlawful conduct includes PANYNJ's establishment, observation, and enforcement of its regulations, policies, and practices with respect to its consenting to transfers or changes of control and demanding (or failing to demand) consideration in exchange for that consent including with respect to Maersk-APM, NYCT, PNCT, and Maher, as well as such other consents disclosed by PANYNJ in its response to Maher's Interrogatory Number 6, that unduly prejudices Maher and/or unduly prefers other port users, and PANYNJ continues to establish, observe, or enforce this unreasonable and unjust regulation, policy, or practice that continues to harm Maher and constitutes an ongoing violation of the Shipping Act. Additionally, PANYNJ unreasonably refused to deal or negotiate, and continues to unreasonably refuse to deal or negotiate, with Maher with respect to its consent to transfers or changes of control, including, but not limited to, PANYNJ's requirements for economic consideration. Maher became aware of its change of control provision in EP-249 when the lease was signed, Maher became aware of the change of

control provision in the PNCT lease (LPN-264) and in the Global lease (LPJ-001) in 2011 Maher became aware of the other instances of PANYNJ's consent fee policy disclosed in PANYNJ's response to Maher's Interrogatory Number 6 when PANYNJ served such response on Maher on May 7, 2012.

PANYNJ also violated and continues to violate the Shipping Act by failing to establish, observe, or enforce just and reasonable regulations, policies, and practices regarding its unduly preferential treatment favoring ocean carriers and ocean-carrier-affiliated terminals and unduly prejudicial treatment of Maher, providing preferences and incentives in 2009-2011, extending through the present and into the future, to PNCT and its affiliated ocean carrier MSC relating to its marine terminal lease, and unlawfully failed to provide comparable preferences and incentives to Maher. Maher became aware of these facts in 2011.

PANYNJ also failed and continues to fail to establish, observe, and enforce just and reasonable regulations, policies, and practices relating to leasing marine terminals, including but not limited to requiring marine terminal operators to waive or release potential Shipping Act claims, pay unreasonable sums in liquidated damages as penalty for seeking the protection of the Federal Maritime Commission, and imposing lease rate renewal and/or extension terms that establish future lease rates unreasonably related to the cost of the services provided. PANYNJ required such unreasonable marine terminal operator lease terms in the Global (all three of the aforementioned terms) and PNCT (the waiver of claims and liquidated damages provisions, but not the Right of Last Offer provision) leases in 2010 and 2011, respectively, and also insisted that Maher agree to the same terms. Maher became aware of the terms in the Global lease in January 2011, when PANYNJ provided Maher with the Global lease; it became aware of the PNCT lease in June 2011 and requested a copy of the PNCT lease documents from PANYNJ at

that time, but PANYNJ refused to provide them to Maher. Maher also became aware of PANYNJ's attempted impositions of such terms on Maher in 2010. (Maher was aware in 2007 that PANYNJ insisted on a general release from Maher in conjunction with the transfer of control/ownership, but ultimately withdrew the demand.)

PANYNJ also failed and continues to fail to establish, observe, and enforce just and reasonable regulations, policies, and practices relating to its practice of unreasonably excluding Maher and other existing tenants in the Port of New York and New Jersey from consideration as a lessee, operator, or "Qualified Transferee" of the marine terminal that is the subject of the Global lease. PANYNJ also unreasonably refused to deal or negotiate with Maher with regard to the leasing and operation of this marine terminal property. Maher became aware of these facts along with the Global lease in January 2011.

After April 1, 2009, PANYNJ afforded Maersk-APM unduly preferential treatment compared to the unduly prejudicial treatment provided to Maher and failed and continues to fail to establish, observe, and enforce just and reasonable regulations, policies, and practices relating to its granting undue preferences to Maersk-APM by allowing Maersk-APM to defer lease obligations and instead use its low-cost financing from PANYNJ for uses not provided to Maher, including terminal capacity expansion improvements desired by Maersk-APM in lieu of projects mandated by PANYNJ, while not providing comparable preferences, allowances, deferrals, or funding to Maher. PANYNJ also unreasonably refused to deal or negotiate with Maher with respect to these matters. Maher became aware of these facts after April 1, 2009.

PANYNJ violated and continues to violate the Shipping Act by agreeing and continuing to agree with another marine terminal operator and ocean carrier to unreasonably discriminate in the provision of terminal services. Beginning in late 2009, PANYNJ agreed with PNCT and

MSC to unreasonably discriminate against Maher in favor of PNCT and MSC, among other things, with respect to the expansion of PNCT's operations, extension of its lease term, and granting of unduly preferential lease terms not provided to Maher, thereby unduly prejudicing Maher. Maher became aware of these facts in 2011, when it received a copy of the amended MSC-PNCT lease (LPN-264)

Maher obtained information establishing its causes of action under the Shipping Act, among other things because of events occurring after April 1, 2009, of which PANYNJ is fully aware, including as a result of evidence disclosed by PANYNJ in discovery in Docket 08-03 during 2011

Maher further directs PANYNJ to Maher's responses to Interrogatory Numbers 2, 4, 5, 7-13, 15, 18, 22, and 24-32.

Maher further responds that PANYNJ has applied an unreasonable change of control practice to Maher, Maersk-APM, NYCT, and PNCT, including, according to PANYNJ's Supplemental Response to Maher's First Set of Interrogatories Number 6 with respect to PANYNJ's change of control consent with AIG/PNCT and MSC announced in 2011, PNCT's change of control in 2011 from AIG/Highstar Capital LP to TIL, the acquisition of P&O Nedlloyd by AP Møller prior to the sale to AIG, AP Møller's decision to transfer its interest in PNCT to AIG, Maersk-APM's change of ownership interest effective after April 1, 2009, the purchase of Maher by Deutsche Bank Americas Holding Corp., the sale of NYCT to Ontario Teacher's Pension Fund, and the acquisition of 50% of PNCT by DP World through its acquisition of P&O Ports North America, pursuant to PANYNJ's supposed "substantive standard" established after the February 22, 2007 Board resolutions and, according to PANYNJ in its response to Maher's First Set of Interrogatories Number 10, "scaled in comparison" to the

aforementioned PNCT transfer to AIG, and that PANYNJ admits in its response to Maher's Interrogatory 9 that it seeks payments and/or economic consideration with respect to consent to transfers and/or changes of ownership and/or control policy for purposes not relating to, and in excess of, the cost of the service provided, including payments and/or economic consideration premised on the level of "capital gains" and payments to subsidize other port users and priorities, PANYNJ's change of control practice resulted in PANYNJ requiring \$136 million from Maher (\$22 million in cash and \$114 million for investments), \$50 million from PNCT (\$10 million in cash and \$40 million in investments), and \$46 million from NYCT (\$16 million in cash and \$30 million in investments), PANYNJ has imposed upon marine terminal operators the requirement that they waive protection from Shipping Act violations, including, e.g., the \$20 million liquidated damages provision in Section 53 of the Global lease (LPJ-001) and Section 53 of the PNCT lease (LPN-264) which also contains a \$20 million liquidated damages provision, as well as an unlawful "Right of Last Offer" provision regarding lease renewal, including, e.g., in Section 55 of LPJ-001, and PANYNJ foisted the same unlawful requirements on Maher during 2010 (PANYNJ demanded a general release in connection with the acquisition of the Maher terminal in 2007 but ultimately withdrew the demand), PANYNJ in 2011 provided undue preferences to PNCT in the form of a terminal expansion and more preferential lease terms, including lower rates, a preferential chassis storage arrangement, and a lease term extension, because PNCT is an ocean-carrier affiliated terminal without providing the incentive terms to Maher despite Maher's continued objections to PANYNJ's practice favoring ocean carrier-affiliated terminals and Maher's requests for parity and its comparable requests for expansion opportunities, rate reductions, lease extension, and other lease modifications from PANYNJ as recently as 2012, and actively facilitated the movement of Maher's largest customer, MSC, to

PNCT in late 2009 including through the provision of terminal expansion and through traffic facilitation assistance at PNCT's terminal, PANYNJ excluded Maher from consideration as a "Qualified Transferee" (as defined in Section 1 of the Global lease) for the property that is subject to the Global lease and excluded Maher from consideration in redevelopment of the NEAT property despite Maher's letter request to Richard Larrabee on March 9, 2009 informing him that Maher was aware of the NEAT property and requesting that Maher be included in the process of letting such property, a fact that PANYNJ admits in its response to Maher's Interrogatory 14, where PANYNJ confessed that it did not issue any sort of Request for Proposals (RFP) for the NEAT property or otherwise deal with Maher regarding the letting and/or redevelopment of the marine terminal facility that is now the subject of the Global lease prior to the signing of LPJ-001 in June 2010, but rather, PANYNJ engaged in an exclusive deal with the owner of the adjacent 100-acre privately owned container terminal because PANYNJ was engaged in a policy and practice to consolidate control over all of the marine container terminals in the Port "in order to manage the overall development of the Port effectively" and to "manage capacity" in the Port; after April 1, 2009, PANYNJ afforded Maersk-APM unduly preferential treatment in the form of specific deferrals and capacity expansion financing alternatives, including deferrals of Class A work consisting of 2500 feet of crane rail alongside Berths 94-98 and the reinforcement of 1300 feet of berth running from Berth 94 through half of Berth 96, allowing Maersk-APM to use the funding provided for under EP-248, \$174 million, for expansion of its container terminal beyond the capacity contemplated for this financing to develop a portion of the Maersk-APM terminal from a predominantly low-density and low-construction-cost "wheeled" operation into a predominantly high-density and high-construction-cost "grounded" operation, which used approximately \$40 to \$60 million more PANYNJ

financing for the expanded container yard work, including the expanded “Phase 3” container yard work, while unduly prejudicing Maher by failing to provide Maher in an evenhanded manner similar deferrals and/or low-cost funding requested by Maher for terminal capacity expansion work to expand its terminal capacity, as illustrated in 08PA01554092 at 08PA01554093, 08PA00202679 at 08PA00202680, 08PA00939463, and MT010348, and failing to establish a uniform policy for terminal capacity expansion at Maher’s request to ensure that every marine terminal operator received equal and fair treatment pursuant to a standard and transparent process.

In addition to but not as substitute for the foregoing, which comprise the principal and material facts that are currently available to Maher at this early stage and particularly considering PANYNJ’s failure to fulfill its discovery obligations, Maher also provides, based on PANYNJ’s disclosures, that documents containing the responsive information, including e-mails, leases, and lease drafts, from the dates August 1, 2005 to present, will be found under custodians Christopher Ward, Dennis Lombardi, Richard Larrabee, Patricia Duemig, Steve Borrelli, Andrew Saporito, and Jason Kirin regarding PANYNJ’s unreasonable preferences to PNCT and unreasonable prejudice to Maher concerning the new PNCT lease terms and terminal expansion, Dennis Lombardi, Richard Larrabee, Patricia Duemig, Steve Borrelli, and Jason Kirin regarding PANYNJ’s involvement with the relocation of MSC’s ocean carrier business from Maher to PNCT, and Steve Borrelli, Dennis Lombardi, Richard Larrabee, and Linda Handel regarding PNCT’s change of control or ownership interest after the 2007 purchase of PNCT by AIG

Interrogatory No. 2

For each allegation in the Complaint, identify all evidence upon which you intend to rely to substantiate or support each allegation.

Response: Maher objects to the Interrogatory's use of the term "you," as the definition given to the term by PANYNJ is vague and ambiguous, and Maher therefore cannot ascertain its meaning as used by PANYNJ. Maher objects to the Interrogatory to the extent it calls for the production of information held by PANYNJ or solely in the custody of third parties. Maher objects to this Interrogatory insofar as it seeks Maher's contentions while discovery is ongoing. Maher objects to the Interrogatory as overbroad and unduly burdensome, and cumulative and duplicative, including of PANYNJ's Interrogatory Numbers 1 and 4-32. Maher also objects to the Interrogatory to the extent it calls for a broad narrative for each of Maher's claims, and thus calls for more than a concise statement of the principal and material facts regarding the evidence Maher intends to rely upon at this early stage of this proceeding. Although discovery has only just begun, PANYNJ already has not complied with its discovery obligations, refusing to produce any documents in response to Maher's First Request for Production of Documents, which were due by PANYNJ's own admission no later than May 7, 2012, and failing to answer properly and fully Maher's interrogatories. Maher therefore reserves its right to supplement and/or amend this response as appropriate.

Subject to Maher's specific objections, the principal and material facts regarding Maher's allegations of PANYNJ's Shipping Act violations are set forth in Maher's Complaint, alleging that: PANYNJ violated and continues to violate the Shipping Act by imposing unduly and unreasonably prejudicial requirements on Maher and providing undue preferences to other port users and failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. Such unlawful conduct includes PANYNJ's establishment, observation, and enforcement of its regulations, policies, and practices with respect to its consenting to transfers or changes of control and

demanding (or failing to demand) consideration in exchange for that consent including with respect to Maersk-APM, NYCT, PNCT, and Maher, as well as such other consents disclosed by PANYNJ in its response to Maher's Interrogatory Number 6, that unduly prejudices Maher and/or unduly prefers other port users, and PANYNJ continues to establish, observe, or enforce this unreasonable and unjust regulation, policy, or practice that continues to harm Maher and constitutes an ongoing violation of the Shipping Act. Additionally, PANYNJ unreasonably refused to deal or negotiate, and continues to unreasonably refuse to deal or negotiate, with Maher with respect its consent to transfers or changes of control, including, but not limited to, PANYNJ's requirements for economic consideration. Maher became aware of its change of control provision in EP-249 when the lease was signed, Maher became aware of the change of control provision in the PNCT lease (LPN-264) and in the Global lease (LPJ-001) in 2011 Maher became aware of the other instances of PANYNJ's consent fee policy disclosed in PANYNJ's response to Maher's Interrogatory Number 6 when PANYNJ served such response on Maher on May 7, 2012.

PANYNJ also violated and continues to violate the Shipping Act by failing to establish, observe, or enforce just and reasonable regulations, policies, and practices regarding its unduly preferential treatment favoring ocean carriers and ocean-carrier-affiliated terminals and unduly prejudicial treatment of Maher, providing preferences and incentives in 2009-2011, extending through the present and into the future, to PNCT and its affiliated ocean carrier MSC relating to its marine terminal lease, and unlawfully failed to provide comparable preferences and incentives to Maher Maher became aware of these facts in 2011

PANYNJ also failed and continues to fail to establish, observe, and enforce just and reasonable regulations, policies, and practices relating to leasing marine terminals, including but

not limited to requiring marine terminal operators to waive or release potential Shipping Act claims, pay unreasonable sums in liquidated damages as penalty for seeking the protection of the Federal Maritime Commission, and imposing lease rate renewal and/or extension terms that establish future lease rates unreasonably related to the cost of the services provided. PANYNJ required such unreasonable marine terminal operator lease terms in the Global (all three of the aforementioned terms) and PNCT (the waiver of claims and liquidated damages provisions, but not the Right of Last Offer provision) leases in 2010 and 2011, respectively, and also insisted that Maher agree to the same terms. Maher became aware of the terms in the Global lease in January 2011, when PANYNJ provided Maher with the Global lease, it became aware of the PNCT lease in June 2011. Maher also became aware of PANYNJ's attempted impositions of such terms on Maher in 2010. (Maher was aware in 2007 that PANYNJ insisted on a general release from Maher in conjunction with the transfer of control/ownership, but ultimately withdrew the demand.)

PANYNJ also failed and continues to fail to establish, observe, and enforce just and reasonable regulations, policies, and practices relating to its practice of unreasonably excluding Maher and other existing tenants in the Port of New York and New Jersey from consideration as a lessee, operator, or "Qualified Transferee" of the marine terminal that is the subject of the Global lease. PANYNJ also unreasonably refused to deal or negotiate with Maher with regard to the leasing and operation of this marine terminal property. Maher became aware of these facts in June 2010.

After April 1, 2009, PANYNJ afforded Maersk-APM unduly preferential treatment compared to the unduly prejudicial treatment provided to Maher and failed and continues to fail to establish, observe, and enforce just and reasonable regulations, policies, and practices relating

to its granting undue preferences to Maersk-APM by allowing Maersk-APM to defer lease obligations and instead use its low-cost financing from PANYNJ for uses not allowed to Maher, including terminal capacity expansion improvements desired by Maersk-APM in lieu of projects mandated by PANYNJ, while not providing comparable preferences, allowances, deferrals, or funding to Maher. PANYNJ also unreasonably refused to deal or negotiate with Maher with respect to these matters. Maher became aware of these facts in April 2009.

PANYNJ violated and continues to violate the Shipping Act by agreeing and continuing to agree with another marine terminal operator and ocean carrier to unreasonably discriminate in the provision of terminal services. Beginning in late 2009, PANYNJ agreed with PNCT and MSC to unreasonably discriminate against Maher in favor of PNCT and MSC, among other things, with respect to the expansion of PNCT's operations, extension of its lease term, and granting of unduly preferential lease terms not provided to Maher, thereby unduly prejudicing Maher. Maher became aware of these facts in 2011, when it received a copy of the amended MSC-PNCT lease (LPN-264).

Maher obtained information establishing its causes of action under the Shipping Act, among other things because of events occurring after April 1, 2009, of which PANYNJ is fully aware, and as a result of evidence disclosed by PANYNJ in discovery in Docket 08-03 during 2011.

Maher further directs PANYNJ to Maher's responses to Interrogatory Numbers 2, 4, 5, 7-13, 15, 18, 22, and 24-32.

Maher further responds that PANYNJ has applied an unreasonable change of control practice to Maher, Maersk-APM, NYCT, and PNCT, including, according to PANYNJ's Supplemental Response to Maher's First Set of Interrogatories Number 6 with respect to

PANYNJ's change of control consent with AIG/PNCT and MSC announced in 2011, PNCT's change of control in 2011 from AIG/Highstar Capital LP to TIL, the acquisition of P&O Nedlloyd by AP Møller prior to the sale to AIG, AP Møller's decision to transfer its interest in PNCT to AIG, Maersk-APM's change of ownership interest effective after April 1, 2009, the purchase of Maher by Deutsche Bank Americas Holding Corp., the sale of NYCT to Ontario Teacher's Pension Fund, and the acquisition of 50% of PNCT by DP World through its acquisition of P&O Ports North America, pursuant to PANYNJ's supposed "substantive standard" established after the February 22, 2007 Board resolutions and, according to PANYNJ in its response to Maher's First Set of Interrogatories Number 10, "scaled in comparison" to the aforementioned PNCT transfer to AIG, and that PANYNJ admits in its response to Maher's Interrogatory 9 that it seeks payments and/or economic consideration with respect to consent to transfers and/or changes of ownership and/or control policy for purposes not relating to, and in excess of, the cost of the service provided, including payments and/or economic consideration premised on the level of "capital gains" and payments to subsidize other port users and priorities, PANYNJ's change of control practice resulted in PANYNJ requiring \$136 million from Maher (\$22 million in cash and \$114 million for investments), \$50 million from PNCT (\$10 million in cash and \$40 million in investments), and \$46 million from NYCT (\$16 million in cash and \$30 million in investments), PANYNJ has imposed upon marine terminal operators the requirement that they waive protection from Shipping Act violations, including, e.g., the \$20 million liquidated damages provision in Section 53 of the Global lease (LPJ-001) and Section 53 of the PNCT lease (LPN-264) which also contains a \$20 million liquidated damages provision, as well as an unlawful "Right of Last Offer" provision regarding lease renewal, including, e.g., in Section 55 of LPJ-001, and PANYNJ foisted the same unlawful requirements on Maher in 2010

(PANYNJ demanded a general release in connection with the acquisition of the Maher terminal in 2007 but ultimately withdrew the demand), PANYNJ in 2011 provided undue preferences to PNCT in the form of a terminal expansion and more preferential lease terms, including lower rates, a preferential chassis storage arrangement, and a lease term extension, because PNCT is an ocean-carrier affiliated terminal without providing the incentive terms to Maher despite Maher's continued objections to PANYNJ's practice favoring ocean carrier-affiliated terminals and Maher's requests for parity and its comparable requests for expansion opportunities, rate reductions, lease extension, and other lease modifications from PANYNJ as recently as 2012, and actively facilitated the movement of Maher's largest customer, MSC, to PNCT including through the provision of yet more space and through traffic facilitation assistance at PNCT's terminal, PANYNJ excluded Maher from consideration as a "Qualified Transferee" (as defined in Section 1 of the Global lease) for the property that is subject to the Global lease and excluded Maher from consideration of redevelopment of the NEAT property despite Maher's letter request to Richard Larrabee on March 9, 2009 informing him that Maher was aware of the NEAT property and requesting that Maher be included in the process of letting such property, a fact that PANYNJ admits in its response to Maher's Interrogatory 14, where PANYNJ confessed that it did not issue any sort of Request for Proposals (RFP) for the NEAT property or otherwise deal with Maher regarding the letting and/or redevelopment of the marine terminal facility that is now the subject of the Global lease prior to the signing of LPJ-001 in June 2010, but rather, PANYNJ engaged in an exclusive deal with the owner of the adjacent 100-acre privately owned container terminal because PANYNJ was engaged in a policy and practice to consolidate control over all of the marine container terminals in the Port "in order to manage the overall development of the Port effectively" and to "manage capacity" in the Port; after April 1, 2009, PANYNJ afforded

Maersk-APM unduly preferential treatment in the form of specific deferrals and capacity expansion financing alternatives, including deferrals of Class A work consisting of 2500 feet of crane rail alongside Berths 94-98 and the reinforcement of 1300 feet of berth running from Berth 94 through half of Berth 96, allowing Maersk-APM to use the funding provided for under EP-248, \$174 million, for expansion of its container terminal beyond the capacity contemplated for this financing to develop a portion of the Maersk-APM terminal from a predominantly low-density and low-construction-cost “wheeled” operation into a predominantly high-density and high-construction-cost “grounded” operation, which used approximately \$40 to \$60 million more PANYNJ financing for the expanded container yard work, including the expanded “Phase 3” container yard work, while unduly prejudicing Maher by failing to provide Maher in an evenhanded manner similar deferrals and/or low-cost funding requested by Maher for terminal capacity expansion work to expand its terminal capacity, as illustrated in 08PA01554092 at 08PA01554093, 08PA00202679 at 08PA00202680, 08PA00939463, and MT010348, and failing to establish a uniform policy for terminal capacity expansion at Maher’s request to ensure that every marine terminal operator received equal and fair treatment pursuant to a standard and transparent process.

In addition to but not as substitute for the foregoing, which comprise the principal and material facts that are currently available to Maher at this early stage of the proceeding and particularly considering PANYNJ’s failure to met its discovery obligations, Maher also provides, based on PANYNJ’s disclosures, that documents containing the responsive information, including e-mails, leases, and lease drafts, from the dates August 1, 2005 to present, will be found under custodians Christopher Ward, Dennis Lombardi, Richard Larrabee, Patricia Duemig, Steve Borrelli, Andrew Saporito, and Jason Kirin regarding PANYNJ’s unreasonable

preferences to PNCT and unreasonable prejudice to Maher concerning the new PNCT lease terms and terminal expansion, Dennis Lombardi, Richard Larrabee, Patricia Duemig, Steve Borrelli, and Jason Kirin regarding PANYNJ's involvement with the relocation of MSC's ocean carrier business from Maher to PNCT, and Steve Borrelli, Dennis Lombardi, Richard Larrabee, and Linda Handel regarding PNCT's change of control or ownership interest after the 2007 purchase of PNCT by AIG

Interrogatory No. 4

Identify and describe in detail each instance in which Maher sought from the Port Authority to defer its leasehold capital expenditure obligations or other financial obligations, including but not limited to the dates such requests took place, the individual or individuals from Maher making any such requests, and the Port Authority individuals to whom such requests were made, as well as any documents reflecting or concerning such requests.

Response. Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory's use of the term "Maher," as the definition given to the term by PANYNJ is vague and ambiguous, and Maher therefore cannot ascertain its meaning as used by PANYNJ. Maher further objects in light of PANYNJ's failure to comply with its discovery obligations by refusing to answer interrogatories properly and produce any documents in response to Maher's First Request for Production of Documents, and therefore reserves its right to supplement and/or amend this response as appropriate. Maher objects to the Interrogatory to the extent it calls for the production of information more easily obtained from within PANYNJ. Maher also objects to the Interrogatory as it mischaracterizes the allegations in the Complaint and because under the Shipping Act, PANYNJ has an absolute affirmative duty to provide Maher the same preferential terms

provided to other port users in a reasonable and evenhanded manner. Maher is not required to make specific requests for PANYNJ to comply with the Shipping Act.

Subject to Maher's specific objections, Maher refers to the facts set forth and alleged in the Complaint and Maher's responses to Interrogatory Numbers 1, 2, 5, 8, and 10, and responds that it has repeatedly and consistently requested parity for incentive terms and rates from PANYNJ and continues to request that PANYNJ afford it parity with other marine terminal operators in the Port with respect to incentive terms and rates in all dealings going forward, which PANYNJ has not provided. Additionally, with regard to PANYNJ's agreement to defer Maersk-APM's leasehold capital expenditure obligations, PANYNJ's agreement was expressly not effective until on or after April 1, 2009. PANYNJ's agreement constituted a preference provided to Maersk-APM, but a similar preference was not provided to Maher in a reasonable and evenhanded manner. Maher objected to PANYNJ's proposal to grant the preference to Maersk-APM without providing parity to Maher and Maher continues to object to the undue preference actually provided to Maersk-APM that was not provided to Maher on or after April 1, 2009 which unduly prejudices Maher, and PANYNJ's failure to provide Maher parity remains an ongoing violation of the Shipping Act.

Maher further responds that it requested parity on many occasions and PANYNJ continues to fail to provide parity to Maher. For example, on July 18, 1997, M. Brian Maher wrote to Lillian Borrone, requesting parity with other facilities in the Port of New York and New Jersey. Mr. Maher again wrote to the Port Authority on February 16, 1999, this time to Robert Boyle, requesting parity. On November 6, 2007, Sam Crane and Basil Maher met with Richard Larrabee, Dennis Lombardi, and Robert Evans and asked for parity again. John Buckley, Sam Crane, and David Kerr met with Messrs. Larrabee and Lombardi for the same purpose on

November 28, 2007, and then Seth Waugh of Deutsche Bank talked with PANYNJ's Executive Director at the time, Anthony Shorris, for the same purpose on December 11, 2007. On January 17, 2008, John Buckley wrote to Richard Larrabee, requesting parity. On May 29, 2008, counsel for the Port Authority, in a letter written to counsel for Maher, acknowledged that Maher had requested parity with respect to Maersk-APM in the proposed settlement between Maersk-APM and PANYNJ. On July 22, 2008, John Buckley wrote to PANYNJ Chairman Anthony Coscia, objecting to the Maersk-APM proposed settlement as providing additional undue preferences to Maersk-APM. Specifically, Buckley stated in his letter that the settlement violated the Shipping Act by relieving Maersk-APM of construction obligations imposed on Maher. In August 2008, Maher objected to PANYNJ's grant of preferential lease terms to Maersk-APM regarding the deferral of Maersk-APM's capital expenditure obligations, again asking for parity from PANYNJ.

Maher has requested assistance from PANYNJ regarding terminal capacity on multiple occasions, about which PANYNJ has refused to deal with Maher. First, in 2006, requesting low-cost financing from PANYNJ for terminal capacity expansion work to expand the capacity beyond that contemplated under EP-249, much as PANYNJ provided to Maersk-APM by approving projects related to terminal expansion not contemplated in EP-248. On May 3, 2006, Maher issued a request to PANYNJ to borrow an additional \$112 million to expand Maher's redevelopment plan due to Maher's urgent need for more capacity stemming from the market conditions and demand, but PANYNJ refused to provide such funding to Maher for less than RBI plus 300 basis points. In a meeting on November 6, 2006, attended by PANYNJ officials Dennis Lombardi, Ken Spahn, Jerri Raczynski, Titus Massey, and Robert Evans, Maher increased this request to \$200 million, with which Maher believed it could increase its annual

volume to 2.75 million containers by 2020, but in January 2007, PANYNJ demanded a financing rate on the additional financing of RBI plus 350 basis points, which was twice the rate Maher was paying under EP-249 (RBI plus 175 basis points), and more than twice as much as Maersk-APM was paying under EP-248 for the financing that was being used for terminal capacity expansion not contemplated in the lease (RBI plus 150 basis points). Thus, PANYNJ rejected and refused to deal with Maher's entreaties for parity with regard to low-cost financing for terminal capacity expansion. Then, on March 9, 2009, seeking additional capacity for the Maher terminal outside of the Bayonne Bridge, John Buckley sent a letter to Richard Larrabee requesting to be part of the process for redevelopment of the former NEAT property on Port Jersey, but instead of dealing with Maher, PANYNJ ignored Maher's request and dealt exclusively with Global, eventually giving Global the property in a new lease on June 23, 2010. The Complaint represents yet another request by Maher in 2012 for parity in terms of terminal capacity expansion assistance from PANYNJ, since after repeatedly asking PANYNJ to receive 1) parity with other marine terminal operators in the port, and 2) terminal capacity expansion opportunities, it objects to receiving neither one while PANYNJ continues its unlawful and undue preference for ocean carrier-affiliated terminals by providing such opportunities to MSC-PNCT and requests that PANYNJ provide it parity with MSC-PNCT in the form of a comparable expansion of its terminal capacity. PANYNJ has not satisfied Maher's Complaint.

Interrogatory No. 5

Identify and describe in detail each instance in which Maher contends the Port Authority unreasonably refused to deal or negotiate with Maher with respect to deferring its leasehold capital expenditure obligations or other financial obligations, including but not limited to the dates such requests took place, the individual or individuals from Maher making any such requests, and the Port Authority individuals to whom such requests were made, as well as any documents reflecting or concerning such requests.

Response: Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory's use of the term "Maher," as the definition given to the term by PANYNJ is vague and ambiguous, and Maher therefore cannot ascertain its meaning as used by PANYNJ. Maher objects to the Interrogatory insofar as it seeks Maher's contentions while discovery is ongoing. Maher objects to the Interrogatory to the extent that it seeks to mischaracterize the allegations in the Complaint as limited to express or specific requests and refusals of "[Maher's] leasehold capital expenditure obligations or other financial obligations" and because PANYNJ has an absolute affirmative duty under the Shipping Act to provide Maher incentive terms provided to other port users in a reasonable and evenhanded manner. Maher is not required to make specific requests for PANYNJ to comply with the Shipping Act. Maher objects to the Interrogatory to the extent it calls for the production of information more easily obtained from within PANYNJ. Maher further objects in light of PANYNJ's failure to comply with its discovery obligations by refusing to answer interrogatories properly and produce any documents in response to Maher's First Request for Production of Documents, as well as PANYNJ's inadequate and unresponsive answers to Maher's First Set of Interrogatories Numbers 22 and 25, and therefore reserves its right to supplement and/or amend this response as appropriate.

Subject to Maher's specific objections, Maher directs PANYNJ to the facts set forth and alleged in the Complaint and to Maher's responses to Interrogatory Numbers 1, 2, 4, 8, and 10. In addition, Maher responds that PANYNJ represented to the Commission that it has no duty to negotiate with Maher regarding PANYNJ's preferential agreement to defer Maersk-APM's

capital expenditure obligations, among other undue preferences that PANYNJ eventually provided to Maersk-APM after April 1, 2009. PANYNJ also has continued to refuse to deal or negotiate with Maher or to provide Maher in a reasonable and evenhanded manner the incentive terms provided to Maersk-APM, including refusing to provide Maher low-cost PANYNJ construction financing for terminal capacity expansion beyond the capacity contemplated under the financing provided in the lease, consistent with the terminal capacity expansion preferences provided to Maersk-APM despite Maher's objections to the Maersk-APM preference as undue and discriminatory. PANYNJ's refusal to deal or negotiate with Maher in this respect remains an ongoing refusal, and the violation is continuing in nature.

Maher further responds by noting that PANYNJ admitted in its response to Maher's First Set of Interrogatories Number 22 that it "did not make any decision" regarding a deferral of Maher's capital expenditure obligations, and that, in its response to Interrogatory Number 20, PANYNJ "has no formal rule or regulation with respect to 'the granting or denying of deferrals of investment or capital expenditure obligations and/or provision of constructing financing for terminal capacity expansion to marine terminal operators.'" Additionally, although in November 2006, Maher explicitly requested that PANYNJ create a policy statement and develop a "going forward plan" on terminal capacity expansion to ensure that all marine terminal operators would be treated fairly and equally, PANYNJ has continued to ignore Maher's request and failed to establish, observe and enforce such a policy.

Maher adds that it requested parity on many occasions and PANYNJ continues to fail to deal with these requests. For example, on July 18, 1997, M. Brian Maher wrote to Lillian Borrone, requesting parity with other facilities in the Port of New York and New Jersey. Mr. Maher again wrote to the Port Authority on February 16, 1999, this time to Robert Boyle,

requesting parity. On November 6, 2007, Sam Crane and Basil Maher met with Richard Larrabee, Dennis Lombardi, and Robert Evans and asked for parity again. John Buckley, Sam Crane, and David Kerr met with Messrs. Larrabee and Lombardi for the same purpose on November 28, 2007, and then Seth Waugh of Deutsche Bank talked with PANYNJ's Executive Director at the time, Anthony Shorris, for the same purpose on December 11, 2007. On January 17, 2008, John Buckley wrote to Richard Larrabee, requesting parity. On May 29, 2008, counsel for the Port Authority, in a letter written to counsel for Maher, acknowledged that Maher had requested parity with respect to Maersk-APM in the proposed settlement between Maersk-APM and PANYNJ. On July 22, 2008, John Buckley wrote to PANYNJ Chairman Anthony Coscia, objecting to the Maersk-APM settlement as providing additional undue preferences to Maersk-APM. Specifically, Buckley stated in his letter that the settlement violated the Shipping Act by relieving Maersk-APM of construction obligations imposed on Maher. In August 2008, Maher objected to PANYNJ's grant of preferential lease terms to Maersk-APM regarding the deferral of Maersk-APM's capital expenditure obligations, asking for parity from PANYNJ.

Maher has requested assistance from PANYNJ regarding terminal capacity expansion on multiple occasions, yet PANYNJ has refused to deal with Maher. First, in 2006, by requesting low-cost financing from PANYNJ for terminal capacity expansion work to expand the capacity beyond that contemplated under EP-249, much as PANYNJ provided to Maersk-APM by approving projects related to terminal expansion not contemplated in EP-248. On May 3, 2006, Maher issued a request to PANYNJ to borrow an additional \$112 million to expand Maher's redevelopment plan due to Maher's urgent need for more capacity stemming from the market conditions and demand of the time, but PANYNJ refused to provide such funding to Maher for less than RBI plus 300 basis points. In a meeting on November 6, 2006, attended by PANYNJ

officials Dennis Lombardi, Ken Spahn, Jerri Raczynski, Titus Massey, and Robert Evans, Maher increased this request to \$200 million, with which Maher believed it could increase its annual volume to 2.75 million containers by 2020, but in January 2007, PANYNJ demanded a financing rate on the additional financing of RBI plus 350 basis points, which was twice the rate Maher was paying under EP-249 (RBI plus 175 basis points), and more than twice as much as Maersk-APM was paying under EP-248 for the financing that was being used for terminal capacity expansion not contemplated in the lease (RBI plus 150 basis points). See, e.g., 08PA01554092 at 08PA01554093, 08PA00202679 at 08PA00202680, 08PA00939463, and MT010348. Thus, PANYNJ rejected and refused to deal with Maher's requests for parity with regard to low-cost financing for terminal capacity expansion. Then, on March 9, 2009, seeking additional capacity for the Maher terminal outside of the Bayonne Bridge, John Buckley sent a letter to Richard Larrabee requesting to be part of the process for redevelopment of the former NEAT property on Port Jersey, but instead of dealing with Maher, PANYNJ ignored Maher's request and dealt specifically with Global, eventually giving Global the property in a new lease on June 23, 2010. The Complaint represents yet another request by Maher in 2012 for parity in terms of terminal capacity expansion assistance from PANYNJ, since after repeatedly asking PANYNJ to receive 1) parity with other marine terminal operators in the port, and 2) terminal capacity expansion opportunities, it objects to receiving neither one while PANYNJ continues its unlawful and undue preference for ocean carrier-affiliated terminals by providing such opportunities to MSC-PNCT and requests that PANYNJ provide it parity with MSC-PNCT in the form of a comparable expansion of its terminal capacity. PANYNJ has failed to satisfy Maher's Complaint.

Interrogatory No. 11

Identify and describe in detail each instance, if any, in which Maher contends the Port Authority provided APM with additional financing beyond that contemplated in the terms of the lease agreement between APM and the Port Authority

Response: Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory's use of the term "Maher," as the definition given to the term by PANYNJ is vague and ambiguous, and Maher therefore cannot ascertain its meaning as used by PANYNJ. Maher objects to this Interrogatory insofar as it seeks Maher's contentions while discovery is ongoing. Maher also objects to this Interrogatory as calling for information more easily obtained from within PANYNJ or held solely by third parties. PANYNJ is in a far better position to identify the instances it deferred other obligations/granted Maersk-APM PANYNJ financing for projects and terminal capacity expansion. Maher objects to the Interrogatory's misrepresentation of the allegations in the Complaint. For example, as set forth in the Complaint, Maher's allegations pertain to PANYNJ's undue preference provided to Maersk-APM of providing PANYNJ low-cost financing for uses, including to expand terminal capacity, not provided to Maher in a reasonable and evenhanded manner, thereby unreasonably and unduly prejudicing Maher, and which violated and continues to violate the Shipping Act. Maher further objects in light of PANYNJ's failure to comply with its discovery obligations by refusing to produce any documents in response to Maher's First Request for Production of Documents, as well as PANYNJ's inadequate responses to Maher's First Set of Interrogatories Numbers 23 and 25, and therefore reserves its right to supplement and/or amend this response as appropriate. Subject to the

foregoing and Maher's specific objections, Maher directs PANYNJ to the facts set forth and alleged in the Complaint and to Maher's responses to Interrogatory Numbers 1, 2, 7, 9, and 10

Maher further responds that, subsequent to April 1, 2009, PANYNJ deferred approximately \$50 million of Maersk-APM's required investments, thereby providing Maersk-APM with preferential incentive financing to expand terminal capacity, not provided to Maher in a reasonable and even-handed manner, unreasonably prejudicing Maher. Maersk-APM failed to complete its required Class A work, failing to complete the portion of the Class A work consisting of 2,500 feet of crane rail alongside Berths 94-98 and the portion of the Class A work consisting of the reinforcement of 1,300 feet of berth running from Berth 94 through half of Berth 96, as provided under EP-24. PANYNJ allowed Maersk-APM to use the funding provided for under EP-248, \$174 million, for expansion of its container terminal capacity instead of for the timely completion of the Class A work. Maersk-APM used the financing provided for the Class A work that PANYNJ subsequently deferred to develop a portion of the Maersk-APM terminal contemplated as a predominantly low-density and low-construction-cost "wheeled" operation into a predominantly high-density and high-construction-cost "grounded" operation, which used approximately \$40 to \$60 million of PANYNJ financing for the expanded container yard work, including the expanded "Phase 3" container yard work, than originally contemplated for the PANYNJ financing in the lease. PANYNJ admitted in its response to Maher's First Set of Interrogatories Number 20 that it has no policy with respect to the provision of construction financing for terminal capacity expansion, thus confirming that it failed to establish, observe, and enforce a reasonable regulation, policy, or practice in this respect and illustrating that PANYNJ's provision to Maersk-APM of low-cost PANYNJ financing for additional capacity expansion beyond that contemplated was an undue preference given to ocean carrier-affiliated Maersk-

APM that was not afforded to Maher. In November 2006, Maher requested that PANYNJ create a policy statement and develop a “going forward plan” on terminal capacity expansion to ensure that the marine terminal operators were treated fairly in this respect, but PANYNJ continues to ignore and refuse to deal with Maher in this respect.

Interrogatory No. 12

Identify and describe in detail each instance, if any, in which Maher contends the Port Authority failed to establish, observe, and enforce just and reasonable regulations with respect to granting a deferral of leasehold obligations and/or agreeing to providing financing allotted for mandatory projects to terminal capacity expansion projects for any marine terminal operator other than APM.

Response. Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory’s use of the term “Maher,” as the definition given to the term by PANYNJ is vague and ambiguous, and Maher therefore cannot ascertain its meaning as used by PANYNJ. Maher objects to this Interrogatory insofar as it seeks Maher’s contentions while discovery is ongoing. Maher objects to this Interrogatory as calling for information more easily obtained from within PANYNJ or from third parties. PANYNJ is in a far better position to identify the instances it failed to establish, observe, and enforce just and reasonable regulations, policies, or practices with respect to leasehold obligations and/or financing for any marine terminal operator other than APM. Maher further objects in light of PANYNJ’s failure to comply with its discovery obligations by refusing to produce any documents in response to Maher’s First Request for Production of Documents, as well as PANYNJ’s inadequate responses to Maher’s First Set of Interrogatories Numbers 22, 24, and 25, and therefore reserves its right to supplement and/or amend this response as appropriate.

Subject to Maher's specific objections, Maher directs Respondent to the facts set forth and alleged in the Complaint and to Maher's responses to Interrogatory Numbers 1, 2, 4, 5, and 7-10. As set forth in the referenced interrogatory responses, Maher is aware of PANYNJ's failure to establish, observe, and enforce just and reasonable regulations, practices, or policies with respect to these matters, which failure remains ongoing. Discovery is at an early stage, and the full extent to which PANYNJ observed its unreasonable and discriminatory practice, including by agreeing to defer obligations or provide financing to terminal operators other than Maersk-APM, will be the subject of document discovery and testimony in this proceeding. In all events, PANYNJ's violations are ongoing.

Maher further responds that PANYNJ admitted in its responses to Maher's First Set of Interrogatories Number 20 that PANYNJ "has no formal rule or regulation with respect to 'the granting or denying of deferrals of investment or capital expenditure obligations and/or provision of constructing financing for terminal capacity expansion to marine terminal operators.'" PANYNJ thus confessed that it failed to establish, observe, and enforce just and reasonable regulations, policies and practices in granting preferences to Maersk-APM facilitating its capacity expansion. In November 2006, Maher explicitly requested that PANYNJ create a policy statement and develop a "going forward plan" on terminal capacity expansion to ensure that all marine terminal operators would be treated fairly and equally, but PANYNJ failed to do so and continues to ignore Maher's request. Maher is aware of the aforementioned deferral and terminal capacity expansion financing provided by PANYNJ to Maersk-APM, and PANYNJ's failure to establish, observe, and enforce a reasonable policy regarding terminal capacity expansion and its refusal to deal with Maher's request that it establish such a policy, and Maher anticipates further discovery once PANYNJ actually complies with its discovery obligations.

Moreover, while PANYNJ continues to refuse to deal with Maher regarding Maher's requests for terminal capacity expansion, it granted valuable terminal expansion opportunities to Global in 2010 and PNCT in 2011

Interrogatory No. 18

Identify and describe in detail each instance in which Maher sought from the Port Authority one or more of "the same or comparable expansion opportunities, rate reductions, lease extension, or other preferences" allegedly received by MSC and/or PNCT in late 2009, as stated in paragraph IV.S of the Complaint, including but not limited to the dates such requests took place, the individual or individuals from Maher making any such requests, and the Port Authority individuals to whom such requests were made, as well as any documents reflecting or concerning such requests.

Response. Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory's use of the terms "Maher," "MSC," and "PNCT," as the definitions given to the terms by PANYNJ are vague and ambiguous, and Maher therefore cannot ascertain their meaning as used by PANYNJ. Maher objects to the Interrogatory to the extent it misrepresents the allegations in the Complaint. Paragraph IV.S does not allege that PANYNJ provided MSC and/or PNCT lease preferences in late 2009. The Complaint alleges, inter alia, that PANYNJ provided preferences to PNCT and MSC not provided to Maher. Under the Shipping Act, PANYNJ has an absolute affirmative duty to provide parity with regard to incentive terms reasonably and in an even-handed basis. Maher is not required to make specific requests for PANYNJ to comply with the Shipping Act. Maher objects to the Interrogatory to the extent it calls for the production of information more easily obtained from within PANYNJ. Maher further objects in light of PANYNJ's failure to comply with its discovery obligations by refusing to produce any documents in response to

Maher's First Request for Production of Documents, and therefore reserves its right to supplement and/or amend this response as appropriate.

Subject to the foregoing and Maher's specific objections, Maher directs Respondent to Maher's responses to Interrogatory Numbers 1, 2, 22, and 32, as well as Maher's Complaint, which sets forth Maher's objections to the preferences granted to PNCT and not to Maher. Maher has repeatedly requested parity from PANYNJ with respect to incentive terms and rates and has continued to request that PANYNJ afford it parity with respect to incentive terms and rates provided to other marine terminal operators in the Port. For example, as PANYNJ is well aware, Maher actively sought expansion opportunities, rate reductions, lease extension, and other lease term modifications from PANYNJ as recently as 2011 and Maher has repeatedly requested parity with respect to incentive terms and rates PANYNJ provided to other marine container terminal operators, including evenhanded terms for terminal capacity expansion specifically, see, e.g., Maher's responses to Interrogatory Numbers 4, 8, and 10. PANYNJ failed and continues to fail to provide "one or more of 'the same or comparable expansion opportunities, rate reductions, lease extension, or other preferences' received by MSC and/or PNCT" and its violations remain ongoing.

Maher further responds that it has consistently requested parity, but PANYNJ has not provided it. For example, on July 18, 1997, M. Brian Maher wrote to Lillian Borrone, requesting parity with other facilities in the Port of New York and New Jersey. Mr. Maher again wrote to the Port Authority on February 16, 1999, this time to Robert Boyle, requesting parity. On November 6, 2007, Sam Crane and Basil Maher met with Richard Larrabee, Dennis Lombardi, and Robert Evans and asked for parity again. John Buckley, Sam Crane, and David Kerr met with Messrs. Larrabee and Lombardi for the same purpose on November 28, 2007, and then Seth

Waugh of Deutsche Bank talked with PANYNJ's Executive Director at the time, Anthony Shorris, for the same purpose on December 11, 2007. On January 17, 2008, John Buckley wrote to Richard Larrabee, requesting parity. On May 29, 2008, counsel for the Port Authority, in a letter written to counsel for Maher, acknowledged that Maher had requested parity with respect to Maersk-APM in the proposed settlement between Maersk-APM and PANYNJ. On July 22, 2008, John Buckley wrote to PANYNJ Chairman Anthony Coscia, objecting to the Maersk-APM settlement as providing additional undue preferences to Maersk-APM. Specifically, Buckley stated in his letter that the settlement violated the Shipping Act by relieving Maersk-APM of construction obligations imposed on Maher. In August 2008, Maher objected to PANYNJ's proposed grant of preferential lease terms to Maersk-APM regarding the deferral of Maersk-APM's capital expenditure obligations and facilitation of Maersk-APM's capacity expansion, asking for parity from PANYNJ. Maher has also complained of PANYNJ's policy of favoring ocean carrier-affiliated terminal Maersk-APM in the Dkt. 08-03 proceeding and requested parity.

Additionally, as PANYNJ is well aware, during 2006, Maher requested terminal capacity expansion assistance because Maher was rapidly approaching its maximum physical capacity, but PANYNJ did not accommodate Maher's requests. Specifically, on May 3, 2006, Maher issued a request to PANYNJ to borrow an additional \$112 million to expand Maher's redevelopment plan due to Maher's urgent need for more capacity. PANYNJ refused to provide such funding to Maher for less than RBI plus 300 basis points, and Dennis Lombardi acknowledged after a conversation with Basil Maher on June 20, 2006 that he did not know of a valid reason for this inflated interest rate. Further, in a meeting on November 6, 2006, attended by PANYNJ officials Dennis Lombardi, Ken Spahn, Jerri Raczynski, Titus Massey, and Robert Evans, Maher increased this request to \$200 million, with which Maher believed it could

increase its annual volume to 2.75 million containers by 2020. At this time, Maher also requested that PANYNJ create a policy statement and develop a “going forward plan” on terminal capacity expansion, but PANYNJ did not provide it. In January 2007, PANYNJ demanded a financing rate on the additional financing of RBI plus 350 basis points, which was twice the rate Maher was paying under EP-249 (RBI plus 175 basis points), and more than twice as much as Maersk-APM was paying under EP-248 for the financing that was being used for terminal capacity expansion not contemplated in the lease (RBI plus 150 basis points). Maher also directs PANYNJ to its own documents detailing PANYNJ’s internal communications regarding Maher’s terminal capacity expansion requests and PANYNJ’s failure to provide it.

In March 2009, Maher continued to seek terminal expansion opportunities to no avail – John Buckley sent a letter to Richard Larrabee requesting to be part of the bidding process for the former NEAT property on Port Jersey, but instead of dealing with Maher, PANYNJ ignored Maher’s request and dealt exclusively with Global, eventually giving Global the property in a new lease on June 23, 2010. And, as set forth in the Complaint, Maher also objected to PANYNJ providing Maersk-APM with deferral of its obligations and terminal capacity expansion financing after April 1, 2009, that were not provided to Maher, namely the provision of low-cost financing to develop a portion of the Maersk-APM terminal contemplated in EP-248 as a predominantly low-density and low-construction-cost “wheeled” operation into a predominantly high-density and high-construction-cost “grounded” operation.

Additionally, following PANYNJ’s public announcement of the MSC-PNCT deal in June 2011, Maher requested documents regarding the preferences provided to MSC-PNCT and PANYNJ refused to provide them consistent with its conduct in this litigation in which PANYNJ desperately seeks to avoid the Commission’s scrutiny of its unlawful conduct by stonewalling

Maher's proper discovery requests. Therefore, in accordance with the Shipping Act, on March 30, 2012, Maher filed its Complaint in this proceeding seeking parity. PANYNJ has not satisfied Maher's Complaint. As set forth in Maher's Complaint, and as PANYNJ is also well aware, PANYNJ's failure to provide Maher the incentive terms provided to MSC-PNCT continues, including through the present. Discovery has just begun and Maher reserves its right to supplement.

Interrogatory No. 23

Identify each provision in EP-249, if any, that Maher alleges (i) unreasonably requires Maher to provide general releases and/or waivers of claims, including to release the Port Authority from potential violations of the Shipping Act, (ii) requires Maher to agree to liquidated damages provisions that are unreasonable, and/or (iii) requires lease rate renewal and/or extension provisions that purport to set future lease rates in advance in a manner not reasonably related to the cost of the services provided, and describe in detail how, if at all, Maher was injured or damaged by any such provision.

Response: Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory's use of the term "Maher," as the definition given to the term by PANYNJ is vague and ambiguous, and Maher therefore cannot ascertain its meaning as used by PANYNJ. Maher objects to this Interrogatory insofar as it calls for a legal conclusion or seeks Maher's contentions while discovery is ongoing. Maher objects to PANYNJ's misstatement of the allegations in the Complaint insofar as PANYNJ misrepresents that Maher has alleged such terms are in EP-249. The Complaint does not make that allegation. Rather, it alleges that PANYNJ's practices regarding "marine terminal leases, lease extensions, and/or amendments and modifications" violate the Shipping Act when PANYNJ engages in the unreasonable practices and fails to establish, observe, and enforce just

and reasonable practices. These violations of the Shipping Act injure Maher and Maher's damages will be provided in accordance with the scheduling order provided for expert discovery in this proceeding.

Maher further responds by referring PANYNJ to EP-249, as the lease speaks for itself with regard to what provisions it does or does not contain, as well as to PANYNJ's Supplemental Response to Maher's First Set of Interrogatories Number 28(e), in which PANYNJ listed Dennis Lombardi as a knowledgeable person regarding the above-mentioned lease terms.

Interrogatory No. 24

Identify each provision in any marine terminal lease and the lease number that Maher alleges (i) unreasonably requires a terminal operator to provide general releases and/or waivers of claims, including to release the Port Authority from potential violations of the Shipping Act, (ii) requires a terminal operator to agree to liquidated damages provisions that are unreasonable, and/or (iii) requires lease rate renewal and/or extension provisions that purport to set future lease rates in advance in a manner not reasonably related to the cost of the services provided, and describe in detail how, if at all, Maher was injured or damaged by any such provision.

Response. Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory's use of the term "Maher," as the definition given to the term by PANYNJ is vague and ambiguous, and Maher therefore cannot ascertain its meaning as used by PANYNJ. Maher further objects to this Interrogatory insofar as it calls for a legal conclusion or seeks Maher's contentions while discovery is ongoing. Maher also objects to this Interrogatory as calling for information more easily obtained from within PANYNJ or solely held by third parties. PANYNJ is in a far better position to know the terms of the leases that it has entered into with marine terminal operators in

the Port. Maher additionally objects in light of PANYNJ's failure to comply with its discovery obligations by refusing to produce any documents in response to Maher's First Request for Production of Documents, as well as PANYNJ's inadequate responses to Maher's First Set of Interrogatories Numbers 17, 18, and 19, and therefore reserves its right to supplement and/or amend this response as appropriate.

Subject to Maher's specific objections, Maher directs PANYNJ to the facts set forth and alleged in the Complaint and Maher's responses to Interrogatory Numbers 1 and 2, and responds that Section 53 of PANYNJ's lease with Global (LPJ-001), effective June 2010, contains both a general release of any claims arising out of PANYNJ's violations of the Shipping Act concerning the rental rates, as well as a liquidated damages requirement of \$20 million or termination of a portion of the lease in the event that Global brings a complaint based on PANYNJ's Shipping Act violations with respect to the rental rates. The Global lease also contains an unreasonable provision concerning lease renewal in Section 55. Likewise, Section 53 of PANYNJ's lease with PNCT (LPN-264), effective June 2011, coincides with Section 53 of the Global lease, but encompasses all challenges to the lease pursuant to the Shipping Act, not just the rental rates. By the provision, PANYNJ requires that PNCT release any claims it may have against PANYNJ arising from PANYNJ's violations of the Shipping Act, and it also contains a \$20 million liquidated damages or lease termination provision. PANYNJ also insisted that Maher agree to these unreasonable terms in 2010. PANYNJ's foregoing unjust and unreasonable practice, policy, and regulations with respect to lease terms violates the Shipping Act. These unjust and unreasonable lease provisions in the Global and PNCT leases (and potentially others) violate the Shipping Act. PANYNJ's practice of requiring these unlawful terms in marine terminal operator leases is therefore, well-established.

PANYNJ admitted to foisting these provisions on other marine terminal operators in the Port of New York and New Jersey, while having no formal rule or regulation to govern this imposition on marine terminal operators in the Port, in its responses to Maher's First Set of Interrogatories Numbers 17-19. These violations of the Shipping Act by PANYNJ injure Maher by requiring Maher to waive the protections of the Shipping Act and the Federal Maritime Commission. Damages will be addressed through expert discovery in accordance with the schedule to be ordered in this proceeding, but at this early stage in the proceeding at a minimum they will include Maher's attorneys' fees and costs incurred in vindicating its Shipping Act protections. Maher also refers PANYNJ to its Supplemental Response to Maher's First Set of Interrogatories Number 28(e), in which PANYNJ listed Dennis Lombardi as a knowledgeable person regarding the above-mentioned lease terms, and further expects that there will be responsive documents under his custody which contain responsive information.

Interrogatory No. 27

Identify and describe in detail each instance in which Maher contends the Port Authority unreasonably refused to deal or negotiate with Maher with respect to "[the Port Authority's] practice to condition [the Port Authority's] consent to a change in ownership interest and/or control on requiring entities assuming ownership or control of a lease to pay and/or provide unreasonable economic consideration," as alleged in Count XIII of the Complaint.

Response: Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory's use of the term "Maher," as the definition given to the term by PANYNJ is vague and ambiguous, and Maher therefore cannot ascertain its meaning as used by PANYNJ. Maher further objects to this Interrogatory insofar as it calls for a legal conclusion or seeks Maher's contentions while

discovery is ongoing. Maher additionally objects in light of PANYNJ's failure to comply with its discovery obligations by refusing to produce any documents in response to Maher's First Request for Production of Documents, as well as PANYNJ's inadequate responses to Maher's First Set of Interrogatories Numbers 6-11, and therefore reserves its right to supplement and/or amend this response as appropriate.

Subject to Maher's specific objections, Maher refers to the facts set forth and alleged in the Complaint and Maher's responses to Interrogatory Numbers 1, 2, 25, 26, and 28, and responds that PANYNJ's establishment, enforcement, and observation of unjust and unreasonable regulations, practices, and policies regarding lease transfer/change of control consent constitutes an ongoing unreasonable refusal to deal or negotiate with Maher and other marine terminal operators in the port. Under the Shipping Act, PANYNJ has an absolute affirmative duty to provide incentive terms on a fair and reasonable basis and to establish, observe, and enforce just and reasonable regulations, policies, and practices, and its failure to do so regarding its lease transfer/change of control consent requirement constitutes a continuing violation, and particularly considering Maher's requests for parity, a continuing refusal to deal or negotiate that accrues anew each day that it does not remedy this failure. The policy and practice of requiring unreasonable and unjust economic concessions for transfers or changes of control, and failing to establish, observe, and enforce just and reasonable regulations, policies, and practices causes continuing harm and constitutes a continuing violation. Additionally, Maher has requested parity with respect to incentive rates and terms provided to other marine terminal operators, but PANYNJ has refused to provide Maher parity, including with respect to PANYNJ's consent practices. For example, on July 18, 1997, M. Brian Maher wrote to Lillian Borrone, requesting parity with other facilities in the Port of New York and New Jersey Mr

Maher again wrote to the Port Authority on February 16, 1999, this time to Robert Boyle, requesting parity. Around this same time, Maher objected strenuously to the change of control provision put into EP-249, but the provision was still put into the lease. In June and July 2007, despite Maher's requests to be treated as PNCT and NYCT were treated with regard to their recent changes of ownership, PANYNJ imposed a consent fee and investment requirements which were more than double those imposed on the other marine terminal operators. On November 6, 2007, Sam Crane and Basil Maher met with Richard Larrabee, Dennis Lombardi, and Robert Evans and asked for parity again. John Buckley, Sam Crane, and David Kerr met with Messrs. Larrabee and Lombardi for the same purpose on November 28, 2007, and then Seth Waugh of Deutsche Bank talked with PANYNJ's Executive Director at the time, Anthony Shorris, for the same purpose on December 11, 2007. On January 17, 2008, John Buckley wrote to Richard Larrabee, requesting parity. On May 29, 2008, counsel for the Port Authority, in a letter written to counsel for Maher, acknowledged that Maher had requested parity with respect to Maersk-APM in the proposed settlement between Maersk-APM and PANYNJ. On July 22, 2008, John Buckley wrote to PANYNJ Chairman Anthony Coscia, objecting to the Maersk-APM settlement as providing additional undue preferences to Maersk-APM. Specifically, Buckley stated in his letter that the settlement violated the Shipping Act by relieving Maersk-APM of construction obligations imposed on Maher. In August 2008, Maher again requested parity from PANYNJ.

PANYNJ's continuing refusal to provide Maher parity or deal meaningfully with Maher's requests for parity and PANYNJ's continuing requirement for unreasonable economic consideration for transfers or changes of control is an unreasonable policy or practice without a

valid transportation purpose and constitutes a continuing refusal to deal or negotiate in violation of the Shipping Act.

Maher further responds that, as set forth in its Complaint, PANYNJ's failure to provide Maher incentive terms provided to other marine terminal operators and PANYNJ's refusals to deal with Maher are continuing violations. PANYNJ admits that it seeks payments and/or economic consideration with respect to consent to transfers and/or changes of ownership and/or control policy for purposes not related to, and in excess of, the cost of the service provided, including payments and/or economic consideration premised on the level of "capital gains" and payments to subsidize other port users. PANYNJ's response to Maher's First Set of Interrogatories Number 9 (The purpose of "Seeking payments, increased investment obligations, or an increased security deposit is [] (1) to ensure that such new owners are committed to continued investment in the terminal, (2) to protect the Port Authority's investments and assets, and (3) in instances where private parties are deriving significant capital gains from increases in the value or productivity of Port Authority controlled land and facilities, to return a portion of the Port Authority's significant investment in the Port to the Port and to offset the need for increases in Port revenue collection.") In accordance with the Shipping Act, on March 30, 2012, Maher filed a Complaint regarding this violation, but PANYNJ has failed to satisfy Maher's Complaint or otherwise meaningfully deal with Maher PANYNJ's continuing refusal to establish, observe, and enforce a just and reasonable, non-discriminatory change of control/interest consent fee policy, constitutes a continuing refusal to deal with Maher

Interrogatory No. 33

Identify all third party consultants that Maher, RREEF, and Deutsche Bank have retained since January 1, 2005 to analyze or assess the value of the Maher terminal and/or the terms of
EP-249

Response: Maher objects to the Interrogatory to the extent it requires more than the production of principal and material facts, and as overbroad, unduly burdensome, and seeking information not relevant to this proceeding and not reasonably calculated to lead to the discovery of admissible evidence in this matter. Maher objects to the Interrogatory as asking for information that is protected by attorney-client privilege and the attorney work product doctrine. Maher objects to the terms “analyze or assess the value” as vague and ambiguous. If PANYNJ has a particular type of report or analysis in mind it should clearly specify the report or analysis. Maher is not required to guess. Maher objects to the Interrogatory’s use of the terms “RREEF,” “Deutsche Bank,” and “Maher,” as the definitions given to the terms by PANYNJ are vague and ambiguous, and Maher therefore cannot ascertain their meaning as used by PANYNJ. Maher further objects to this Interrogatory as calling for the production of information previously produced to PANYNJ regarding consultants retained in connection with the Maher financial statements, e.g., Maher’s auditors, as well as extensive material pertaining to other consultants performing functions not responsive to this Interrogatory, but nevertheless rendering the Interrogatory unreasonably cumulative and duplicative of Interrogatories and responses provided in Docket 08-03.

Maher further responds that it previously provided the identities of third-party consultants of which it is aware in the 08-03 proceeding, and, pursuant to the agreement between the parties to the current proceeding, does not need to reproduce such information here. With respect to Maher, those included KPMG LLP, Grant Thornton LLP, and Greenhill & Co., LLC. At this early stage of the proceeding, Maher is unaware of third-party consultants retained since January 1, 2005 to analyze or assess the value of the Maher terminal and/or the terms of EP-249.

Interrogatory No. 34

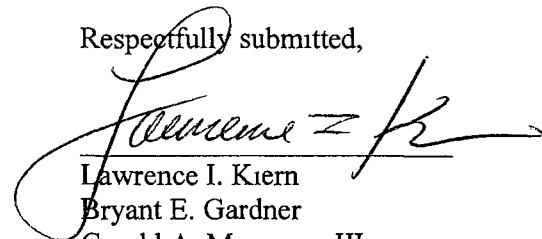
Identify all third party consultants that Maher, RREEF, and Deutsche Bank have retained since January 1, 2005 to analyze or assess any of the allegations in the Complaint.

Response: Maher objects to the terms "analyze or assess" as vague and ambiguous. If PANYNJ has a particular type of report or assessment in mind it should clearly specify the consultant. Maher is not required to guess. Maher objects to the Interrogatory's use of the terms "RREEF," "Deutsche Bank," and "Maher," as the definitions given to the terms by PANYNJ are vague and ambiguous, and Maher therefore cannot ascertain their meaning as used by PANYNJ. Maher objects to the Interrogatory as requesting information that is protected by attorney-client privilege and the attorney work product doctrine. To the extent the information may be responsive, Maher further objects to this Interrogatory as calling for the production of information that PANYNJ already has regarding consultants, and therefore as unreasonably cumulative and duplicative of Interrogatories and responses provided in Docket 08-03.

Maher further responds that Maher's auditors, KPMG LLP and later Grant Thornton LLP, performed financial services regarding Maher's business.

Dated. July 27, 2012

Respectfully submitted,



Lawrence I. Kiern
Bryant E. Gardner
Gerald A. Morrissey III
Rand K. Brothers
WINSTON & STRAWN LLP
1700 K Street, N W
Washington, D C 20006
lkiern@winston.com
bgardner@winston.com
gmorris@winston.com

rbrothers@winston.com
Telephone 202-282-5000
Facsimile 202-282-5100

CERTIFICATE OF SERVICE

I hereby certify that on this 27th day of July 2012, a copy of the foregoing was served by e-mail on the following:

Richard A. Rothman
Robert S. Berezin
Kevin F. Meade
Marcie R. Kaufman
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, NY 10153

Peter D. Isakoff
Holly E. Loiseau
WEIL, GOTSHAL & MANGES LLP
1300 Eye Street, NW
Suite 900
Washington, DC 20005



Brian M. Serafin

1

2

3

4

5

6

7

8

9

10

11

12

13

14

15

16

17

18

19

20

21

22

To David Samson, Chairman
From. William Baroni, Deputy Executive Director
Date February 23, 2011
Subject: **Port Newark Container Terminal, LLC (PNCT)- Amended and Restated Lease**

Copy To

Background.

Port Newark Container Terminal, LLC (PNCT) is a wholly owned subsidiary of Ports America Inc (Ports America) PNCT has a 30-year lease with the Port Authority for an approximately 176-acre terminal in Port Newark that expires on November 30, 2030 It also leases under separate agreements a 7 16-acre rail facility and a 4.27-acre chassis pool in Port Newark, and on a temporary basis a 35-acre container and chassis staging area at Polaris Street at the Elizabeth-Port Authority Marine Terminal (EPAMT) supporting its main terminal operation. For more than two years, the Port Authority and PNCT have been engaged in negotiations for the expansion of its main terminal.

PNCT has recognized that in order for it to compete and provide appropriate levels of customer service to shippers, it needs to expand the footprint of the terminal. As a result, in the spring of 2008 the Port Authority (PA) and PNCT began to negotiate for the expansion of PNCT's main terminal. Minimal progress was made as several factors consistently arose throughout the negotiations, which halted the ability of both parties to come to a final agreement. The issues included, but were not limited to

- 1) PNCT's request to receive rent relief on its main terminal,
- 2) PNCT's request to revise the Port Authority's required Change of Control language in its lease in an effort to make it easier to change ownership of the company without triggering the Port Authority's review of the transaction,
- 3) PNCT's request for the Port Authority's approval of a lease supplement that would allow PNCT to divest AIG's shares in the company;
- 4) Port Authority's requirement that in order for PNCT to expand, it must sign a General Release and Covenant Not to Sue

Since the original negotiations stalled, in October of 2009, PNCT secured Mediterranean Shipping Company (MSC) business to handle approximately 300,000 containers on an annual basis MSC is currently the largest carrier in the world, and as a result, is an important customer to the Port Authority MSC has become the Port Authority's number one user of rail at the Port and its container volumes provide for significant throughput and revenue

In September 2010, the PA was approached by Mr Diego Aponte, MSC Group-Vice President, informing the PA that MSC was interested in acquiring an interest in the ownership of PNCT through their terminal operating company, Terminal Investment Limited (TIL) Mr Aponte stated that two conditions needed to be addressed before MSC would go forward with the acquisition of an equity interest in the terminal. He

[APG]

asked that the rent be reduced to a more competitive rate (PNCT now pays the highest rent to the PA of all the container terminals) and that the PA make land available for expansion. The PA agreed to working toward a lease that accomplished MSC's needs and met the PA's requirements for a port wide guarantee of cargo from MSC and significant investment in the terminal going forward. An additional factor in MSC's decision to proceed with obtaining an interest in the ownership of PNCT was the impending implementation of the Cargo Facility Charge (CFC). As the largest user of rail in the port, the new approach to funding infrastructure will dramatically reduce MSC's operating costs and combined with their significant commitment to a Port-Wide Guarantee, will make its operating costs much more attractive at the port.

Current Status:

Significant progress was made through the fall and winter, which has resulted in an agreement to terms. We are currently reviewing draft documents that accomplish the following:

1) An Amended and Restated Terminal Lease

- a) Provides for a phased expansion of an approximately 180-acre container terminal at Port Newark to approximately 287 acres, including the short-term lease of approximately 35 acres of building and open area at the Elizabeth-Port Authority Marine Terminal (EPAMT), with the property to be surrendered and replaced with approximately 21.5 acres of open area at Port Newark, when available
- b) Restructures the rental terms of the existing lease based on a minimum investment of \$320 million in the leasehold by PNCT and terminal cargo volume guarantees by PNCT
- c) Extend the term of the letting for a 20-year period, through November 30, 2050, should PNCT meet certain capital investment requirements in the existing and expanded leasehold.
- d) Provide for the PA, at its sole discretion but not before 2016, to provide PNCT with up to \$150 million in construction funding for the development of the container terminal, which would constitute an additional rental under the terminal lease on a financially self-sustaining basis.

2) Rail Operating Agreement

A Railroad Operating Agreement with PNCT for the operation and maintenance of the ExpressRail Port Newark intermodal rail facility at Port Newark. The facility is currently approximately 7.16 acres and will be built-out in phases to an approximately 22-acre intermodal rail facility, commencing on or about March 1, 2011 and expiring on November 30, 2030, with the option to extend the agreement through February 28, 2050 should PNCT meet the aforementioned capital investment requirements.

3) Port-Wide Throughput Guaranty Agreement

[APG]

A Port-Wide Throughput Guaranty Agreement with MSC that would provide for guaranteed annual volumes of MSC-owned cargo through the port (up to 1.1 million containers) from March 1, 2011 through November 30, 2030, with the potential to extend the Guaranty Agreement through November 30, 2050 if Lease L-PN-264 is extended.

Next Steps.

We are awaiting the completion of the legal due diligence of TIL and Highstar Capital (parent company of Ports America and PNCT) and MSC's agreement of the language in the MSC Port Wide Throughput Guarantee. The current agreed upon term of the lease was to start on March 1, 2011, however, due to the complexity of the structure of the transaction, particularly with the various parties on the other side, we were not able to complete the entire package and present the item to the February Board as planned. We are now targeting a March Board Item.

REDACTED



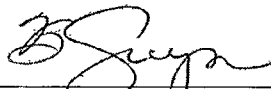
[APG]

CERTIFICATE OF SERVICE

I hereby certify that on this 2nd day of May, 2016, a copy of the foregoing was served by
Federal Express on the following:

Jared R. Friedmann
Richard A. Rothman
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, NY 10153

Peter D. Isakoff
WEIL, GOTSHAL & MANGES LLP
1300 Eye Street, NW
Suite 900
Washington, DC 20005



Brooke F. Shapiro

